

Prospectus
Pursuant to Article 5 of the Directive 2003/71/EC of the European Parliament and of the Council of 4 November 2003
Adriano Finance S.r.l.

Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065

This prospectus (the “**Prospectus**”) constitutes a prospectus for the purposes of Article 5 of the Directive 2003/71/EC of the European Parliament and of the Council of 4 November 2003 (the “**Prospectus Directive**”) as well as a *Prospetto Informativo* for the purposes of Article 2.3 of Italian Law No. 130 of 30 April 1999 (the “**Securitisation Law**”). Application has been made to the *Commission de Surveillance du Secteur Financier* as competent authority under the Prospectus Directive as transposed in Luxembourg on 10 July 2005 for the approval of this Prospectus and application has been made to the Luxembourg Stock Exchange (the “**Stock Exchange**”) for the Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065 (the “**Class A Notes**” or the “**Senior Notes**”), to be issued on or about 20 July 2009 (the “**Issue Date**”) by Adriano Finance S.r.l., a limited liability company organised under the laws of the Republic of Italy (the “**Issuer**”), to be admitted to the Official List and to be traded on the regulated market of the Stock Exchange, a regulated market for the purposes of Directive 2004/39/EC. In connection with the issue of the Senior Notes, the Issuer will issue on the Issue Date the Euro 563,400,000 Class B Residential Mortgage Backed Floating Rate Notes due June 2065 (the “**Class B Notes**” or the “**Junior Notes**” and together with the Senior Notes, the “**Notes**”). No application has been made to list the Class B Notes on any stock exchange. The Class B Notes are not being offered pursuant to this Prospectus nor this Prospectus will be approved by the *Commission de Surveillance du Secteur Financier* in relation to the Class B Notes. Calculations as to the expected maturity and average life of the Senior Notes can be made based on certain assumptions as set out in the section headed “*Expected Maturity and Average Life of the Senior Notes and Assumptions*” below. The principal source of payment of interest and of repayment of principal on the Notes will be from proceeds received from time to time in respect of a portfolio of performing residential mortgage loan receivables (the “**Portfolio**”) and connected rights purchased by the Issuer from Intesa Sanpaolo S.p.A. (“**Intesa Sanpaolo**” or the “**Originator**”), pursuant to the terms of a transfer agreement dated 25 May 2009 and amended on or about the Issue Date (the “**Transfer Agreement**”). The Portfolio does not consist, in whole or in part, actually or potentially, of credit-linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives. Interest on the Senior Notes will accrue on a daily basis and be payable in Euro semi-annually in arrears on the 29th day of April and October of each calendar year, starting from April 2010, and on the 30th day of June 2065, or, if any such day is not a day on which banks are generally open for business in Milan, London and Luxembourg and on which the Trans-European Automated Real-Time Gross-Settlement Express Transfer System (TARGET 2) (or any successor thereto) is open (a “**Business Day**”), the next succeeding Business Day (each a “**Payment Date**”) provided that, following the delivery of a Trigger Notice upon the occurrence of a Trigger Event, the Payment Date may be any Business Day specified in the Trigger Notice or thereafter by the Representative of the Noteholders. The rate of interest applicable to the Senior Notes for the period starting on (and including) the Issue Date and ending on (and excluding) the first Payment Date (the “**Initial Interest Period**”) shall be the rate per annum obtained by linear interpolation of 9 Month Euribor and 10 Month Euribor (as defined in the “*Glossary of Terms*”) and for all Interest Periods (as defined in the “*Glossary of Terms*”) thereafter shall be 6 Months Euribor, provided that the rate of interest applicable to the Senior Notes for the period starting on (and including) the Payment Date falling in April 2065 and ending on (and excluding) the Payment Date falling in June 2065 shall be the rate per annum obtained by linear interpolation of 2 Month Euribor (as defined in the “*Glossary of Terms*”) and 3 Month Euribor (as defined in the “*Glossary of Terms*”), in each case determined in accordance with Condition 5 (*Interest*), plus the following margin

Class A Notes margin: 0.7% per annum.

The Class A Notes are expected, on the Issue Date, to be rated AAA by Fitch Ratings Limited (“**Fitch**”) or the “**Rating Agency**”). The Class B Notes are not expected to be rated. A credit rating is not a recommendation to buy, sell or hold securities and may be subject to revision or withdrawal by the assigning rating organisation. Payments under the Notes may or may not be subject to withholding for or on account of tax, in accordance with Italian Legislative Decree No. 239 of 1 April 1996, as amended, *inter alia*, by Italian Law No. 409 of 23 November 2001. Upon the occurrence of any withholding for or on account of tax from any payments under the Notes, neither the Issuer nor any other person shall have any obligation to pay any additional amount(s) to any holder of the Notes of any class. The Notes will be direct secured limited recourse obligations solely of the Issuer. The Notes will not be obligations or responsibilities of, or guaranteed by, any of the Representative of the Noteholders, the Security Trustee, the Originator, the Administrative Services Providers, the Account Bank, the Paying Agent, the Servicer, the Special Servicers, the Luxembourg Agent, the Cash Manager, the Subordinated Loan Provider, the Calculation Agent, the Foundation Corporate Servicer, the Quotaholders or the Swap Counterparty (each as defined below in “*The Principal Parties*”), the Lead Manager, the Arrangers or the Bookrunner. Furthermore, none of such persons accepts any liability whatsoever in respect of any failure by the Issuer to make payment of any amount due on the Notes. The Notes will be in bearer form and will be held in dematerialised form on behalf of the ultimate owners as from the Issue Date until redemption or cancellation thereof, by Monte Titoli S.p.A. (“**Monte Titoli**”) for the account of the relevant Monte Titoli Account Holders (as defined below). The expression “**Monte Titoli Account Holders**” means any authorised financial intermediary institution entitled to hold accounts on behalf of their customers with Monte Titoli and includes any depository bank appointed by Clearstream Banking, Luxembourg (“**Clearstream**”) and Euroclear Bank S.A./N.V. as operator of the Euroclear system (“**Euroclear**”). Monte Titoli shall act as depository for Clearstream and Euroclear. Title to the Notes will at all times be evidenced by book-entries in accordance with the provisions of article 28 of Italian Legislative Decree No. 213 of 24 June 1998 and with the regulation issued on 22 February 2008 by the Bank of Italy together with the *Commissione Nazionale per le Società e la Borsa* (“**CONSOB**”). No physical document of title will be issued in respect of the Notes. The Notes will start to amortise on the earlier of: (i) the Payment Date falling in April 2011 (the “**Initial Amortisation Date**”) and (ii) the Payment Date immediately following an amendment in the provisions of Italian Presidential Decree No. 600 of 29 September 1973 as a consequence of which the Issuer may no longer be required to pay an additional amount determined as a percentage of interest and other proceeds accrued on the Notes upon redemption thereof during the period up to the date falling after 18 months after the Issue Date, and on each Payment Date falling thereafter in accordance with the Order of Priority as set out in Condition 4.1 unless certain events set out in Condition 10 (*Trigger Events*) (each a “**Trigger Event**”) occur, in which case the Notes will be redeemed in the manner specified in Condition 4.2. The Notes will be redeemed *pro rata* in the manner specified in Condition 6 (*Redemption, Purchase and Cancellation*). Before the Final Maturity Date (as defined in the “*Glossary of Terms*”) the Notes will be subject to optional redemption in whole or in part in certain circumstances, as set out in Condition 6 (*Redemption, Purchase and Cancellation*).

For a discussion of certain risks and other factors that should be considered in connection with an investment in the Notes, see the section headed “*Risk Factors*”.

Arrangers
Intesa Sanpaolo S.p.A.
Banca IMI S.p.A.
Lead Manager and Bookrunner
Banca IMI S.p.A.

The date of this Prospectus is 20 July 2009.

*None of the Issuer, the Arrangers, the Lead Manager, the Bookrunner or any other party to the Transaction Documents other than Intesa Sanpaolo S.p.A. (“**Intesa Sanpaolo**”), has undertaken or will undertake any investigations, searches or other actions to verify the details of the Portfolio sold by Intesa Sanpaolo to the Issuer, nor have the Issuer, the Arrangers, the Lead Manager, the Bookrunner or any other party to the Transaction Documents undertaken, nor will they undertake, any investigations, searches, or other actions to establish the creditworthiness of any Debtor (as defined in the “Glossary of Terms”).*

The Issuer accepts responsibility for the information contained in this document, other than that information for which Intesa Sanpaolo or Italfondiaro accept responsibility as described in the following paragraph. To the best of the knowledge of the Issuer (which has taken all reasonable care to ensure that such is the case), such information is true and does not omit anything likely to affect the import of such information.

Intesa Sanpaolo accepts responsibility for the information included in this document in the sections headed “The Portfolio”, “Loan Servicing and Collection Procedures as at the Execution Date” (excluding paragraph C.2, headed “The Management by Italfondiaro of the Defaulted Loans Classified as “in sofferenza””, for which Italfondiaro accepts responsibility) and “The Originator” and any other information contained in this document relating to itself and the Intesa Sanpaolo Group, the collection procedures relating to the Portfolio, the Claims, the Mortgage Loans and the Mortgages (each as defined in “Glossary of Terms” below). To the best of the knowledge of Intesa Sanpaolo (which has taken all reasonable care to ensure that such is the case), such information is true and does not omit anything likely to affect the import of such information.

Italfondiaro accepts responsibility for the information included in this document in the section headed “The Management by Italfondiaro of the Defaulted Loans Classified as “in sofferenza”” and any other information contained in this document relating to itself. To the best of the knowledge of Italfondiaro (which has taken all reasonable care to ensure that such is the case), such information is true and does not omit anything likely to affect the import of such information.

No person has been authorised to give any information or to make any representation not contained in this document and, if given or made, such information or representation must not be relied upon as having been authorised by or on behalf of the Lead Manager, the Representative of the Noteholders, the Issuer, the Quotaholders, Intesa Sanpaolo (in any capacity) or any other party to the Transaction Documents. Neither the delivery of this document nor any sale or allotment made in connection with the offering of any of the Notes shall, under any circumstances, constitute a representation or imply that there has been no change in the affairs of the Issuer, Intesa Sanpaolo or the Intesa Sanpaolo Group or the information contained herein since the date hereof or that the information contained herein is correct as at any time subsequent to the date hereof.

*The Notes constitute direct secured limited recourse obligations of the Issuer. By operation of Italian law, the Issuer’s right, title and interest in and to the Portfolio will be segregated from all other assets of the Issuer. By operation of Italian law and of the Transaction Documents, subject to the provisions of the Intercreditor Agreement and of the applicable Order of Priority, amounts deriving from the Portfolio will only be available, both prior to and following a winding up of the Issuer, to satisfy the obligations of the Issuer to the holders of the Class A Notes (the “**Class A Noteholders**”), the holders of the Class B Notes (the “**Class B Noteholders**” and together with the Class A*

Noteholders, the **"Noteholders"**) and to pay any costs, fees and expenses and any other amount payable to the Representative of the Noteholders, the Security Trustee, the Originator, the Administrative Services Providers, the Account Bank, the Paying Agent, the Servicer, the Special Servicers, the Luxembourg Agent, the Cash Manager, the Subordinated Loan Provider, the Calculation Agent, the Foundation Corporate Servicer, the Foundation Sole Director, the Quotaholders, the Lead Manager and the Swap Counterparty (each as defined below under "The Principal Parties") (together the **"Other Issuer Creditors"**) and to any third party creditor in respect of any costs, fees or expenses incurred by the Issuer to such third party creditors in relation to the securitisation of the Portfolio (the **"Securitisation"**). Subject to the provisions of the Intercreditor Agreement and of the applicable Order of Priority, amounts derived from the Portfolio will not be available to any other creditors of the Issuer. The Noteholders agree that the Issuer Available Funds will be applied by the Issuer in accordance with the applicable Order of Priority (as defined in the **"Glossary of Terms"**). The Notes will also be secured, in each case, over certain assets of the Issuer. See "Description of the Transaction Documents - Description of the Intercreditor Agreement", "Description of the Deed of Pledge" and "Description of the Deed of Charge".

The distribution of this document and the offer, sale and delivery of Notes in certain jurisdictions may be restricted by law. Persons into whose possession this document comes are required by the Issuer and the Lead Manager to inform themselves about, and to observe, any such restrictions.

Neither this document nor any part of it constitutes an offer, and may not be used for the purpose of an offer to sell any of the Notes, or a solicitation of any offer to buy any of the Notes, by anyone in any jurisdiction or in any circumstances in which such offer or solicitation is not authorised or is unlawful.

The Notes have not been and will not be registered under the United States Securities Act of 1933 (the **"Securities Act"**) and have not been registered or qualified under any state securities or "Blue Sky" laws of the United States and may not be offered or sold within the United States or to, or for the benefit of, U.S. persons except in certain transactions exempt from, or not subject to, the registration requirements of the Securities Act and the registration and qualification requirements of state securities or "Blue Sky" laws of the United States or of any other US tax law requirements. Terms used in this paragraph have the meanings given to them by Regulation S under the Securities Act.

The Notes may not be offered or sold directly or indirectly, and neither this document nor any other prospectus, form of application, advertisement, other offering material or other information relating to the Issuer or the Notes may be issued, distributed or published in any country or jurisdiction (including the Republic of Italy, the Grand Duchy of Luxembourg, the United Kingdom and the United States), except under circumstances that will result in compliance with all applicable laws, orders, rules and regulations. For a further description of certain restrictions on offers and sales of the Notes and the distribution of this document see "Subscription and Sale" below.

Words and expressions in this document shall, except so far as the context otherwise requires, have the same meaning as those set out in the "Glossary of Terms" below. These and other terms used in this document are subject to the definitions of such terms and the principles of interpretation set out in the Transaction Documents.

In this Prospectus, references to “Euro” and “cents” are to the single currency introduced in the member states of the European Community which adopted the single currency in accordance with the Treaty of Rome of 25 March 1957 and which is now the lawful currency in the Republic of Italy.

In this Prospectus, references to any agreement or other document, including the Transaction Documents (as defined below), shall include such agreement or other document, as modified from time to time, as of the date of this Prospectus.

In this Prospectus, references to any law or regulation shall be interpreted and construed to include any amendments and implementation thereof as of the date of this Prospectus.

DOCUMENTS INCORPORATED BY REFERENCE

The financial statements of the Issuer as at 31 December 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007, approved by the Board of Directors of the Issuer on 11 July 2008, together with the relevant explanatory notes thereto and the auditor's report issued on 14 July 2008, and the financial statements of the Issuer as at 31 December 2008 and for the year then ended, approved by the quotaholders' meeting of the Issuer on 24 March 2009, together with the relevant explanatory notes thereto and the auditor's report issued on 9 March 2009, shall be deemed to be incorporated in, and form part of, this Prospectus. The Issuer will provide, free of charge, a copy of such financial statements and auditor's reports incorporated by reference in this Prospectus at the specified office of the Luxembourg Agent. Written or oral requests for such documents should be directed to the specified office of the Luxembourg Agent. The reference pages of the information contained in such documents are set out in the cross-reference list below (page numbers refer to the English version of the relevant document).

Financial Information	Page Number
Audited financial information as at 31 December 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007, including:	
(a) balance sheet	<i>page 13</i>
(b) income statement	<i>page 14</i>
(c) statement of changes in quotaholders' equity	<i>page 15</i>
(d) statement of cash flows	<i>page 16</i>
(e) accounting policies and explanatory notes	<i>page 17</i> <i>The explanatory notes include:</i> <i>Introduction - General Information</i> • <i>part A: Accounting Policies, page 18</i> • <i>part B: Information on the Balance Sheet, page 21</i> • <i>part C: Information on the Statement of Income, page 22</i> • <i>part D: Other information - Credit Securitisation, page 22</i>
(f) Auditor's report issued on 14 July 2008	<i>The Auditor's report is in a separate single document.</i>
Audited financial information as at 31 December 2008 and for the year then ended, including:	
(a) balance sheet	<i>page 22</i>
(b) income statement	<i>page 23</i>
(c) statement of changes in quotaholders' equity	<i>page 24</i>

(d) statement of cash flows	<i>page 25</i>
(e) accounting policies and explanatory notes	<i>page 26</i> <i>The explanatory notes include:</i> <i>Introduction - General Information</i> • <i>part A: Accounting Policies, page 27</i> • <i>part B: Information on the Balance Sheet, page 30</i> • <i>part C: Information on the Statements of Income, page 33</i> • <i>part D: Other information -Credit Securitisation, page 35</i>
(f) Auditor's report issued on 9 March 2009	<i>page 18</i>

Any information not listed in the cross-reference list above but included in the documents incorporated by reference is given for information purposes only.

This Prospectus and all documents incorporated by reference will be available on the Luxembourg Stock Exchange's website (www.bourse.lu).

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TRANSACTION SUMMARY INFORMATION

*The following information is a summary (the “**Transaction Summary**”) of the essential characteristics and risks associated with the Issuer and the Notes and is qualified in its entirety by reference to the detailed information presented elsewhere in this document and in the Transaction Documents. This Transaction Summary has to be read as an introduction to the Prospectus and any decision to invest in the Notes has to be based upon the consideration of the Prospectus as a whole by the investor.*

Pursuant to Article 5.2 of the Prospectus Directive, where a claim relating to the information contained in a prospectus is brought before a court, the plaintiff investor might, under the national legislation of the Member States, have to bear the costs of translating the prospectus even before the starting of the relevant legal proceedings and civil liability attaches to those persons who have tabled the following summary including any translation thereof, and applied for its notification, but only if the summary is misleading, inaccurate or inconsistent when read together with the other parts of the prospectus.

The principal parties

Issuer

Adriano Finance S.r.l. (“**Issuer**”), a limited liability company, incorporated under the laws of the Republic of Italy under article 3 of Italian Law No. 130 of 30 April 1999 (*legge sulla cartolarizzazione dei crediti*) (the “**Securitisation Law**”), whose registered office is at Via Eleonora Duse 53, Rome, Italy, with Fiscal Code, V.A.T. and registration with the Rome Register of Enterprises No. 09646141003 and ABI Code No. 334706. The Issuer is registered under No. 40170 in the general register held by the Bank of Italy pursuant to article 106 of Italian Legislative Decree n. 385 of 1 September 1993 (the “**Consolidated Banking Act**”).

Originator

Intesa Sanpaolo S.p.A. (“**Intesa Sanpaolo**”), a bank organised as a joint stock company, incorporated under the laws of the Republic of Italy, whose registered office is at Piazza San Carlo 156, Turin, Italy and secondary office at Via Monte di Pietà 8, Milan, Italy, with Fiscal Code and registration with the Turin Register of Enterprises No. 00799960158, VAT No. 10810700152, ABI Code No. 3069, agreed into the *Fondo Interbancario di Tutela dei Depositi* and into the *Fondo Nazionale di Garanzia*, registered with the Bank of Italy pursuant to article 13 of the Consolidated Banking Act under No. 5361 and which is the parent company of the Intesa Sanpaolo Group.

Servicer	Intesa Sanpaolo.
Special Servicers	Intesa Sanpaolo, and Italfondinario S.p.A. (“ Italfondinario ”), a joint stock company, incorporated under the laws of the Republic of Italy, whose registered office is at Via del Tritone 181, Rome, Italy, with Fiscal Code and registration with the Rome Register of Enterprises No. 00399750587, VAT No. 00880671003, registered under No. 31725 in the general register held by the Bank of Italy pursuant to article 106 of the Consolidated Banking Act and in the special register held by the Bank of Italy pursuant to Article 107 of the Consolidated Banking Act. Italfondinario is rated as “special servicer” by Fitch (RSS1-IT and CSS1-IT for residential and commercial loans respectively) and by Standard & Poor’s Ratings Services (“strong”).
Representative of the Noteholders	KPMG Fides Servizi di Amministrazione S.p.A. (“ KPMG ”), a joint stock company, incorporated under the laws of the Republic of Italy, whose registered office is at Via Vittor Pisani 27, Milan, Italy, with Fiscal Code, VAT and registration with the Milan Register of Enterprises No. 00731410155, acting through its secondary office in Rome, Via Eleonora Duse 53.
Administrative Services Providers	Intesa Sanpaolo and KPMG.
Security Trustee	KPMG.
Cash Manager	Intesa Sanpaolo.
Account Bank	Intesa Sanpaolo.
Calculation Agent	Deutsche Bank S.p.A. (“ Deutsche Bank ”), a bank organised as a joint stock company, incorporated under the laws of the Republic of Italy, whose registered office is at Piazza del Calendario 3, 20126 Milan, Italy, with Fiscal Code, V.A.T. and registration with the Milan Register of Enterprises No. 01340740156, registered with the register of banks held by the Bank of Italy pursuant to article 13 of the Consolidated Banking Act under No. 3104.
Paying Agent	Intesa Sanpaolo.
Luxembourg Agent	Sanpaolo Bank S.A. (“ Sanpaolo Bank ”), a bank incorporated under the laws of Luxembourg, whose registered office is at 8,

	Avenue de la Liberté L-1930, Luxembourg, registered with the Luxembourg Register of Enterprises under No. B 18498 and which is a company of the Intesa Sanpaolo Group.
Swap Counterparty	Intesa Sanpaolo.
Subordinated Loan Provider	Intesa Sanpaolo.
Quotaholders	Intesa Sanpaolo (holding a quota of the corporate capital of the Issuer equal to 5% thereof) and Stichting Megatrendburg (the “ Foundation ”), a foundation incorporated under the law of The Netherlands, whose registered office is at Claude Debussylaan 24, 1082 MD, Amsterdam, The Netherlands (holding a quota of the corporate capital of the Issuer equal to 95% thereof).
Foundation Corporate Servicer	KPMG.
Foundation Sole Director	ANT Management (Netherlands) B.V. (“ ANT ”), a company incorporated under the law of The Netherlands, whose registered office is at Claude Debussylaan 24, 1082 MD, Amsterdam, The Netherlands.
Lead Manager	Banca IMI S.p.A., a bank organised as a joint stock company, incorporated under the law of the Republic of Italy, whose registered office is at Piazzetta Giordano dell’Amore 3, Milan, Italy, with Fiscal Code, VAT and registration with the Milan Register of Enterprises No. 04377700150, ABI code No. 3249.0 and which is a company of the Intesa Sanpaolo Group (hereinafter, “ Banca IMI ”).
The Notes	
The Notes	On or about 20 July 2009 (the “Issue Date”), the Issuer will issue Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065 (the “Class A Notes” or the “Senior Notes”) and Euro 563,400,000 Class B Residential Mortgage Backed Floating Rate Notes due June 2065 (the “Class B Notes” or the “Junior Notes” and, together with the Senior Notes, the “Notes”). The Notes will constitute secured, direct and limited recourse obligations of the Issuer.

Issue Price

The Notes will be issued at the following percentages of their principal amount:

Class A Notes 100%

Class B Notes 100%

**Form and
Denomination of the
Notes**

The Notes will be in bearer form and will be held in dematerialised form on behalf of the ultimate owners until redemption or cancellation thereof by Monte Titoli for the account of the relevant Monte Titoli Account Holder (as defined in the “*Glossary of Terms*”). Monte Titoli shall act as depository for Clearstream and Euroclear. Title to the Notes will be evidenced by book entries in accordance with the provisions of article 28 Italian Legislative Decree No. 213 of 24 June 1998 and the regulation issued on 22 February 2008 by the Bank of Italy together with CONSOB. No physical document of title will be issued in respect of the Notes. The Notes will be issued in denominations of Euro 50,000 (and integral multiples of Euro 1,000 in excess thereof) each and no physical document of title will be issued in respect thereof.

Interest

The Notes will bear interest on their Principal Outstanding Amount (as defined in the “*Glossary of Terms*”) at a rate that for the Initial Interest Period (as defined in the “*Glossary of Terms*”) shall be the rate per annum obtained by linear interpolation of 9 Month Euribor and 10 Month Euribor (as defined in the “*Glossary of Terms*”) and for all Interest Periods thereafter (as defined in the “*Glossary of Terms*”) shall be 6 Month Euribor, provided that the rate of interest applicable to the Senior Notes for the period starting on (and including) the Payment Date falling in April 2065 and ending on (and excluding) the Payment Date falling in June 2065 shall be the rate per annum obtained by linear interpolation of 2 Month Euribor (as defined in the “*Glossary of Terms*”) and 3 Month Euribor (as defined in the “*Glossary of Terms*”), in each case determined in accordance with Condition 5 (*Interest*), plus the following margins in respect of the relevant Classes:

Class A Notes, a margin of 0.7% per annum; and
Class B Notes, a margin of 0.8% per annum (the “**Base Interest**”).

The Class B Notes shall bear additional interest on their Principal Outstanding Amount equal to the Additional Return (as defined in the “*Glossary of Terms*”).

Interest on the Notes will be payable in arrears on the 29th day of April and October of each calendar year, starting from the 29th day of April 2010, and ending on the 30th day of June 2065 or, if any such day is not a day on which banks are generally open for business in Milan, London and Luxembourg and on which the Trans-European Automated Real-Time Gross-Settlement Express Transfer System (TARGET 2) (or any successor thereof) is open (a “**Business Day**”), on the next succeeding Business Day (each a “**Payment Date**”), provided that, following the delivery of a Trigger Notice upon the occurrence of a Trigger Event, the Payment Date may be any Business Day specified in the Trigger Notice or thereafter by the Representative of the Noteholders.

**Expected Maturity of
the Senior Notes**

Calculations as to the expected maturity and average life of the Senior Notes can be made based on certain assumptions, as set out in the section “*Expected Maturity and Average Life of the Senior Notes and Assumptions*” below.

The expected maturity date of the Class A Notes is the Payment Date falling in October 2023.

Final Maturity Date

Save as described below, unless previously redeemed in full, the Notes are due to be repaid in full at their respective Principal Outstanding Amount on the Payment Date falling in June 2065 (the “**Final Maturity Date**”). The Notes, to the extent not redeemed in full by the Final Maturity Date, shall be cancelled.

**Mandatory
Redemption**

The Notes will be subject to mandatory redemption in full or in part - in each case in accordance with the provisions of the Pre-Enforcement Order of Priority, with particular regard to items (viii) and (xvi) thereof (please see pages 29 and 30, respectively - on the earlier of: (i) the Payment Date falling in April 2011 (the “**Initial Amortisation Date**”) and (ii) the Payment Date immediately following an amendment in the provisions of Italian Presidential Decree No. 600 of 29 September 1973 as a consequence of which the Issuer will no longer be required to pay an additional amount determined as a percentage of interest and other proceeds accrued on the Notes upon redemption

thereof during the period up to the date falling after 18 months after the Issue Date, and on each Payment Date falling thereafter, in an amount equal to (a) as concerns the Senior Notes, the Class A Principal Payment Amount and (b) as concerns the Junior Notes, and provided that the Senior Notes have been redeemed in full, the Principal Outstanding Amount of the Class B Notes on such Payment Date.

Optional Redemption

The Issuer may on any Payment Date falling on or after the Initial Amortisation Date redeem the Senior Notes in whole but not in part at their Principal Outstanding Amount, together with all accrued but unpaid interest thereon up to and including the relevant Payment Date, if the Outstanding Principal Portfolio (as defined below) is equal to or less than the lower of 10% of the Initial Principal Portfolio (as defined below) or of the Initial Purchase Price.

Any such redemption shall be effected by the Issuer giving not more than 60 nor less than 30 days' prior notice in writing to the Representative of the Noteholders and to the Noteholders in accordance with Condition 14, and provided that the Issuer, prior to giving such notice to the Representative of the Noteholders, has produced to the Representative of the Noteholders a certificate signed by the sole director or the chairman of the board of directors of the Issuer evidencing that it will have the necessary funds, not subject to interests of any other person, to discharge all its outstanding liabilities in respect of the Notes (or the Senior Notes in the event the Class B Noteholders have confirmed their acceptance that only the Senior Notes be so discharged and the Junior Notes may be cancelled, in whole or in part) and any amounts required to be paid in priority to, or *pari passu* with, the Notes (or the Senior Notes, as applicable), in accordance with the applicable Order of Priority.

The Intercreditor Agreement contains provisions concerning possible funding of the above redemption.

“Outstanding Principal Portfolio” means, as at the end of a Collection Period, the principal outstanding amount of the Portfolio at such date, considering any Pertaining Collections.

“Initial Principal Portfolio” means the principal outstanding

**Redemption for Tax
Reasons**

amount of the Portfolio as at 00:01 A.M. of the 23 May 2009 (net of the claims that as at that date would have satisfied the Criteria but were not transferred to the Issuer, having been entirely prepaid prior to the opening of business of 25 May 2009).

If the Issuer confirms to the Representative of the Noteholders that (i) on the next Payment Date the Issuer would be required to deduct or withhold, from any payment of principal or interest on the Senior Notes, any amount for or on account of any present or future taxes, duties, assessments or governmental charges by the Republic of Italy or any political sub-division thereof or any authority thereof or therein (other than in respect of a Decree 239 Deduction) or (ii) following a change of law, interpretation and administration thereof, the Issuer is likely (or amounts payable to the Issuer in respect of the Claims are likely) to become unconditionally subject to taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or any political sub-division thereof or any authority thereof or therein or any other applicable tax authority having jurisdiction, and the Issuer produces to the Representative of the Noteholders a certificate signed by the sole director or the chairman of the board of directors evidencing that it will have the necessary funds, not subject to the interest of any other person, to discharge all its outstanding liabilities in respect of the Notes (or the Senior Notes in the event the Class B Noteholders have confirmed their acceptance that only the Senior Notes be so discharged and the Junior Notes may be cancelled, in whole or in part) and any amounts required to be paid in priority to or *pari passu* with the Notes (or the Senior Notes, as applicable), in accordance with the applicable Order of Priority then following receipt of a written notice from the Representative of the Noteholders authorising the redemption, the Issuer will redeem, on the next succeeding Payment Date (which, for the avoidance of doubt, can precede the Initial Amortisation Date unless the Noteholders have resolved otherwise), the Senior Notes in whole but not in part at their Principal Outstanding Amount together with accrued but unpaid interest up to and including the relevant Payment Date, having given not more than 60 nor less than 30 days' notice in writing to the Rating Agency, the Representative

of the Noteholders and to such Noteholders in accordance with Condition 14.

Taxation

Payments under the Senior Notes may or may not be subject to withholding or deduction for or on account of “*imposta sostitutiva*”, in accordance with Italian Legislative Decree No. 239 of 1 April 1996, as amended, *inter alia*, by Italian Law No. 409 of 23 November 2001 (any such withholding or deduction, a “**Decree 239 Deduction**”). See “*Taxation*”. Upon the occurrence of any withholding or deduction for or on account of tax from any payments under the Notes, neither the Issuer nor any other person shall have any obligation to pay any additional amount(s) to any holder of Notes of any class.

**Pre-Enforcement
Priority in relation to
Interest and Principal
of the Notes**

In respect of the obligation of the Issuer to pay interest and principal on the Notes in accordance with the Pre-Enforcement Order of Priority (as defined below) the Notes of each Class will rank *pari passu* and without any preference or priority among themselves in respect of the payment of interest and principal.

The Class A Notes will rank *pari passu* and without any preference or priority among themselves in respect of the payment of interest. The Class A Noteholders will be entitled to receive payment of interest in priority to payment of interest to the Class B Noteholders.

The Class A Noteholders will be entitled to receive payment of principal in priority to payment of principal to the Class B Noteholders.

The Class B Noteholders will not be entitled to receive any payment of interest including, for the avoidance of doubt, Additional Return, unless and until all interest amounts then due to the Class A Noteholders have been paid in full. The Class B Noteholders will not be entitled to receive any payment of principal unless and until the Class A Notes have been redeemed in full. The payment of interest to the Class B Noteholders will be subordinated to the payment of principal to the Class A Noteholders.

**Post-Enforcement
Priority in relation to
Interest and Principal**

In respect of the obligation of the Issuer to pay interest and principal on the Notes in accordance with the Post-Enforcement Order of Priority (as defined below) Condition 4.2 provides that

of the Notes

the Class A Noteholders will be entitled to receive payment of interest and principal in priority to the payment of interest and principal to the Class B Noteholders. The Class B Noteholders will not be entitled to receive any payment of interest and principal unless and until all interest and principal amounts due to the Class A Noteholders have been paid in full.

Security for the Notes

By operation of Italian law, the Issuer's right, title and interest in and to the Portfolio will be segregated from all other assets of the Issuer. By operation of Italian law and of the Transaction Documents, subject to the provisions of the Intercreditor Agreement and of the applicable Order of Priority, amounts deriving from the Portfolio will only be available, both prior to and following a winding up of the Issuer, to satisfy the obligations of the Issuer to the holders of the Class A Notes (the "**Class A Noteholders**") and the holders of the Class B Notes (the "**Class B Noteholders**" and, together with the Class A Noteholders, the "**Noteholders**"), the Other Issuer Creditors and any third party creditor to whom the Issuer has incurred costs, fees and expenses in relation to the securitisation of the Portfolio (the "**Securitisation**").

Rating

The Class A Notes are expected, on the Issue Date, to be rated AAA by Fitch (as defined in the "*Glossary of Terms*"). The Class B Notes are not expected to be rated.

A credit rating is not a recommendation to buy, sell or hold securities and may be subject to revision or withdrawal by the assigning rating organisation.

Purchase of the Notes

The Issuer may not purchase any Notes at any time.

Description of Cash Flows, Issuer Accounts and Issuer Quota Capital Account

Accounts held with the Account Bank

Pursuant to the terms of the Cash Allocation, Management and Payments Agreement, the Issuer will establish the following accounts with the Account Bank:

(A) the "**Issuer Payment Account**": into which (a)(1) all the amounts credited to the Issuer Investment Account during the Collection Period immediately preceding the relevant Payment Date (including, for the avoidance of doubt, any Pertaining Collections) other than amounts stated to remain credited thereto, and (2) all interest accrued during the Collection Period

immediately preceding the relevant Payment Date on the amounts standing to the credit of the Issuer Accounts and credited thereto, will be transferred three Business Days before each relevant Payment Date; (b) all return (other, for the avoidance of doubt, than repayment of principal) from Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and of the Issuer Initial Amortisation Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; (c) the Cash Reserve Amount will be credited one day following the Issue Date; (d) all sums paid into the Issuer Initial Amortisation Account under item (vii) of the Pre-Enforcement Order of Priority or, as applicable, under items (v) and (xiii) of the Post-Enforcement Order of Priority will be transferred three Business Days before the Initial Amortisation Date; (e) any amount due by the Swap Counterparty under the Swap Agreements will be paid on each Swap Payment Date (other than the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement); and (f) all other sums (other than the Collections, including for the avoidance of doubt the Pertaining Collections) collected or received by the Issuer under any Transaction Document to which the Issuer is a party, and which is not to be credited on a different Issuer Account in accordance with the provisions of the Transaction Documents, will be credited from time to time; and out of which (g) all amounts to be paid to the Noteholders on such Payment Date, will be paid, as directed one Business Day prior to each Payment Date by the Paying Agent in accordance with Clause 4.1 of the Cash Allocation, Management and Payments Agreement; (h) all the other amounts standing to the credit thereof on each Payment Date shall be applied for distribution on such Payment Date in accordance with the applicable Order of Priority; and (i) amounts limited to the provisions to be made in accordance with the applicable Order of Priority, or payments that were to be made pursuant to the applicable Order of Priority and were not made for the inability to reach the relevant creditor or other technical or similar errors will be used, up to three Business Days before the immediately succeeding Payment Date, to make, upon instruction of the Paying Agent, such payments (for the avoidance of doubt in an amount not greater than that set out in

the relevant Order of Priority and as indicated in the relative Payments Report) as and when technically possible (see the sections entitled “*Description of the Transaction Documents - Description of the Intercreditor Agreement*”);

(B) the “**Issuer Collection Account**”: into which all the amounts collected and/or recovered from time to time by the Issuer in respect of the Claims (as defined in the “*Glossary of Terms*”) as principal, interest and/or expenses, including Prepayments (as defined in the “*Glossary of Terms*”) and any payment of damages, by means of the activity of the Servicer and the Special Servicers pursuant to the Servicing Agreement (the “**Collections**”), will be credited. Any amounts credited to the Issuer Collection Account will be transferred on the same date to the Issuer Investment Account opened in the name of the Issuer with the Account Bank (see the sections entitled “*Servicing and Collection Procedures*” and “*Description of the Transaction Documents - Description of the Servicing Agreement*”);

(C) the “**Issuer Corporate Account**”: into which (a) the Issuer Retention Amount will be credited on the Payment Date falling in April of each year in accordance with the applicable Order of Priority and (b) an amount which, together with the amount credited to the Issuer Expenses Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date; and out of which (c) all administrative and other corporate expenses of the Issuer, in order for the Issuer to maintain its corporate existence will be paid, and (d) all interest accrued thereon during the preceding Collection Period (as defined in the section headed “*Glossary of Terms*”) and credited thereto will be transferred to the Issuer Payment Account three Business Days prior to the relevant Payment Date;

(D) the “**Issuer Expenses Account**”: into which (a) the Issuer Disbursement Amount will be credited on the Payment Date falling in April of each year in accordance with the applicable Order of Priority; (b) on the Issue Date: (1) the proceeds from the issuance of the Notes will be credited; (2) the Cash Reserve Amount will be credited; (3) the upfront payment made by the Swap Counterparty on the Issue Date under the

Swap Agreement will be credited; and (c) by the tenth day immediately succeeding the Issue Date an amount which, together with the amount credited to the Issuer Corporate Account on or about the same date, is no higher than 265,000 Euro, will be credited; out of which (d) on or immediately after the Issue Date, as set out by the relevant Transaction Documents (1) the Initial Purchase Price of the Portfolio will be paid to the Originator; (2) certain initial costs of the Securitisation will be paid (including without limitation the selling, management and underwriting commissions due by the Issuer to the Lead Manager); (e) one day following the Issue Date the Cash Reserve Amount will be paid to the Issuer Payment Account; (f) all out of pocket expenses of the Issuer, incurred in the framework of the Securitisation, other than corporate costs and expenses, will be paid; and (g) all interest accrued thereon during the preceding Collection Period and credited thereto will be transferred to the Issuer Payment Account three Business Days prior to the relevant Payment Date;

(E) the “**Issuer Initial Amortisation Account**”: into which (a) on each Payment Date preceding the Initial Amortisation Date, provided that the Issuer has not received a Trigger Notice, the amount under item (vii) of the Pre-Enforcement Order of Priority, and (b) upon delivery of a Trigger Notice, on each Payment Date preceding the Initial Amortisation Date the amounts under items (v) and (xiii) of the Post-Enforcement Order of Priority will be credited from the Issuer Investment Account; (c) all principal payments deriving from the liquidation of the Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Initial Amortisation Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; and out of which (d) three Business Days before each Payment Date which falls prior to the Initial Amortisation Date, any interest accrued in the relevant Collection Period on the amounts standing to the credit of the Issuer Initial Amortisation Account and credited thereto will be transferred to the Issuer Payment Account, and (e) three Business Days before the Initial Amortisation Date, all amounts credited to the Issuer Initial Amortisation Account pursuant to sub-paragraphs (a) and (b) above (together with interest accrued

and paid thereon and standing to the credit thereof) will be transferred to the Issuer Payment Account; and the Issuer Initial Amortisation Account shall be closed as soon as all the monies standing to the credit thereof have been transferred further to the Initial Amortisation Date;

(F) the “**Issuer Investment Account**”: into which (a) all amounts credited to the Issuer Collection Account will be transferred on the same date; (b) all principal payments deriving from the liquidation of the Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; and out of which (c) all the amounts credited to the Issuer Investment Account during the Collection Period immediately preceding a Payment Date (including, for the avoidance of doubt, any Pertaining Collections), will be transferred three Business Days before such Payment Date to the Issuer Payment Account, provided that (1) any amount available in accordance with the applicable Payments Report to be credited to the Issuer Investment Account on such Payment Date out of item (vi) of the Pre-enforcement Order of Priority will not be so transferred and will remain credited thereto; and (2) any amount available in accordance with the applicable Payments Report to be credited to the Issuer Initial Amortisation Account on such Payment Date out of item (vii) of the Pre-enforcement Order of Priority, or items (v) and (xiii) of the Post-enforcement Order of Priority, as applicable, will not be so transferred and be transferred instead to the Issuer Initial Amortisation Account on such Payment Date; (d) by the tenth day immediately succeeding the Issue Date, an amount will be credited to the Issuer Expenses Account and the Issuer Corporate Account, not being higher than 265,000 Euro in aggregate (see the section entitled “*Description of the Transaction Documents - Description of the Cash Allocation, Management and Payments Agreement*”).

Pursuant to the terms of the Cash Allocation, Management and Payments Agreement, in the period starting from the Business Day following a Collection Date (or in the case of the first Collection Period, from the Issue Date) and ending one Business Day before the immediately following Collection Date, the Cash

Manager may instruct the Account Bank to invest on behalf of the Issuer funds standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account in Eligible Investments (as defined below) which have the requisite maturity date, and any return generated thereby will be transferred to the Issuer Payment Account and will form part of the Issuer Available Funds on the immediately following Payment Date, and the principal amounts deriving from the liquidation thereof shall be credited to the Issuer Initial Amortisation Account and of the Issuer Investment Account;

(G) the “**Issuer Securities Account**”: where (a) all securities constituting Eligible Investments will be registered from time to time and pledged in accordance with the provisions of the Intercreditor Agreement and the Deed of Pledge, (b) all return (other, for the avoidance of doubt, than repayment of principal) from Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account, will be transferred to the Issuer Payment Account as soon as available and in any event no later than the fourth Business Day preceding the immediately following Payment Date and (c) all capital payments deriving from the liquidation of Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and of the Issuer Initial Amortisation Account will be transferred to the Issuer Investment Account or the Issuer Initial Amortisation Account, as applicable, as soon as available and in any event no later than the fourth Business Day preceding the immediately following Payment Date (see the sections entitled “*Description of the Transaction Documents - Description of the Cash Allocation, Management and Payments Agreement, Description of the Intercreditor Agreement and Description of the Deed of Pledge*”);

The Issuer Collection Account, the Issuer Corporate Account, the Issuer Expenses Account, the Issuer Payment Account, the Issuer Initial Amortisation Account and the Issuer Investment Account together with the Issuer Securities Account are jointly referred to as the “**Issuer Accounts**”.

Issuer Quota Capital

The Issuer Quota Capital Account was opened in the name of

Account

the Issuer with the Account Bank in the framework of the First Existing Securitisation and, while the First Existing Notes are outstanding, is to be held and operated in accordance with the provisions of the First Existing Cash Allocation, Management and Payments Agreement and the First Existing Intercreditor Agreement. In particular, in accordance with the provisions thereof, the bank with which the Issuer Quota Capital Account is held shall be (i) an eligible institution as set out by the First Existing Master Definitions Agreement (i.e., *inter alia*, a bank which rating is consistent with the rating from time to time of the First Existing Senior Notes) and (ii) selected by the Issuer or the representative of the noteholders appointed in the framework of the First Existing Securitisation. The Account Bank has undertaken and agreed to hold the Issuer Quota Capital Account in accordance with the provisions of the Cash Allocation, Management and Payments Agreement and the Intercreditor Agreement in the event the Existing Notes are redeemed in full or cancelled while the Notes are outstanding.

Account Bank

As at the Issue Date the unsecured, unguaranteed and unsubordinated short-term debt obligations of the Account Bank are rated F1+ by Fitch.

If the Account Bank is downgraded and, as a result of such downgrading, it ceases to be an Eligible Institution, this will constitute a Termination Event with regard to the Account Bank, pursuant to the Cash Allocation, Management and Payments Agreement.

Notwithstanding the above, in the event the Account Bank ceases to qualify as an Eligible Institution and as long as Intesa Sanpaolo continues to act as Servicer in the Securitisation, all Collections shall continue to be paid to the Issuer Collection Account opened with Intesa Sanpaolo, provided that (x) within 30 calendar days after the date on which the Account Bank ceases to qualify as an Eligible Institution, Intesa Sanpaolo, at its own cost (a) provides the Issuer with a first demand unconditional, irrevocable guarantee by a qualifying Eligible Institution; or (b) makes a deposit to an account to be opened in the name of the Issuer with a qualifying Eligible Institution, in both cases for an amount corresponding to the highest monthly

Collections received in a pre-determined number of immediately preceding consecutive Collection Periods, and subject to subsequent periodical adjustments, and (y) Fitch has confirmed that the rating of the Notes will not be adversely affected.

Any amount rendered available via the structures outlined in paragraphs (a) or (b) above, will be applied by or on behalf of the Issuer as if they were Collections in the corresponding amount.

“Eligible Institution” means a depository institution organised under the laws of any state which is a member of the European Union or of the United States, the short-term unsecured and unsubordinated debt obligations of which are rated at least the Minimum Rating.

“Minimum Rating” means a rating assigned to the short term unguaranteed, unsubordinated and unsecured short-term debt obligations at least equal to F1 by Fitch or the different rating assigned by Fitch, as determined in relation to the rating of the Class A Notes.

Account bank semi-annual report

On or prior to each Semi-annual Report Date (as defined in the *“Glossary of Terms”*), the Account Bank shall deliver a copy of the semi-annual report prepared and provided pursuant to the Cash Allocation, Management and Payments Agreement to the Issuer, the Representative of Noteholders, Intesa Sanpaolo in its capacity as Paying Agent, Cash Manager, Servicer, Administrative Services Provider and the Calculation Agent, which shall include details of the balance, interest accrued and paid and movement occurred in the Accounts, as of the immediately preceding Collection Date.

Eligible Investments

The Cash Manager shall invest funds standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account in Euro denominated investments which may include any senior, unsubordinated debt security, commercial paper, deposit or other debt instrument having at least the rating assigned by Fitch for the maturity (or the residual maturity, as applicable) of such investment as set out below,

Maturity	Rating
	Fitch

Between 30 calendar days and 6 months	AA- and F1+
Less than 30 calendar days	A and F1

or the different rating applicable by Fitch, in relation to the rating of the Senior Notes,

provided always that (a) any such investment, paper, deposit or instrument has a maturity date falling on or before four Business Days preceding the immediately following Payment Date, (b) the investments provide a principal amount at maturity or upon liquidation of the investment which is not lower than the invested amount and (c) no such investment shall be made, in whole or in part, actually or potentially, in credit linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives or asset-backed securities.

Cash Reserve Amount

The Cash Reserve Amount will be financed at the Issue Date by Intesa Sanpaolo pursuant to the Subordinated Loan Agreement and, prior to the service of a Trigger Notice, will provide a liquidity support for payments of interest due to the Class A Noteholders, and other payments ranking prior thereto or *pari passu* therewith in the Pre-Enforcement Order of Priority, while the Senior Notes are outstanding. In light of its purpose, the Cash Reserve Amount will no longer be credited to the Issuer Payment Account starting from the Payment Date (included) at which the Senior Notes are expected to be redeemed in full or cancelled, i.e. the Payment Date at which the Principal Outstanding Amount of the Class A Notes prior to payments being made in accordance with the Pre-Enforcement Order of Priority is not higher than the Cash Reserve Amount and/or after which no Senior Notes will be outstanding.

Issuer Available Funds and Order of Priority

Issuer Available Funds

On each Payment Date, the Issuer Available Funds shall comprise the aggregate of:

- (a) all the Collections received or recovered by the Issuer, through the Servicer and the Special Servicers and all interest accrued and paid on such sums during the

Collection Period immediately preceding such Payment Date;

- (b) on the Payment Date falling on the Initial Amortisation Date, any amount credited to the Issuer Initial Amortisation Account during the Collection Periods immediately preceding such Payment Date in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable;
- (c) all amounts due and payable to the Issuer by the Swap Counterparty pursuant to the terms of the Swap Agreement in relation to such Payment Date;
- (d) all amounts received from the Originator pursuant to the Transfer Agreement during the Collection Period immediately preceding such Payment Date;
- (e) any profit generated by the Eligible Investments and credited to the Issuer Payment Account by the fourth Business Day prior to such Payment Date;
- (f) any other interest accrued on the Issuer Accounts (as defined in the “*Glossary of Terms*”) during the Collection Period immediately preceding such Payment Date and credited to the Issuer Payment Account by the third Business Day prior to such Payment Date;
- (g) all other amounts received by the Issuer under the Transaction Documents during the preceding Collection Period (except the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement);
- (h) any other amounts, not included in the foregoing items from (a) through (g) standing to the credit of the Issuer Investment Account, the Issuer Initial Amortisation Account (excluding, prior to the Initial Amortisation Date, any amount credited to such account in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable) and the Issuer Payment Account on the Collection Date immediately preceding the

relevant Payment Date;

- (i) all amounts received from the sale of the Portfolio should such sale occur; and
- (j) following the delivery of a Trigger Notice, any proceeds from the enforcement of the Deed of Pledge and of the Deed of Charge,

without double counting.

Allocation of Principal

On each Payment Date falling on or after the Initial Amortisation Date, the principal payment due and payable on the Class A Notes in accordance with the Pre-Enforcement Order of Priority (the “**Class A Principal Payment Amount**”) will be, with respect to the relevant Calculation Date, the lesser of: (a) the Target Amortisation Amount (or, if lower, the amount available after the application of the Issuer Available Funds, on the immediately following Payment Date, to all items of ranking prior to the payment of principal on the Class A Notes in the applicable Order of Priority) and (b) the Principal Outstanding Amount of the Class A Notes on such Calculation Date. On each Payment Date falling on or after the Initial Amortisation Date, provided that the Class A Notes have been redeemed in full, the principal payments due and payable on the Class B Notes in accordance with the Pre-Enforcement Order of Priority will be, with respect to the relevant Calculation Date, the Principal Outstanding Amount of the Class B Notes on such Calculation Date.

“**Target Amortisation Amount**” means the positive amount to be calculated in accordance with the following formula:

$$\text{TAA} = \text{Outstanding Notes} - \text{POPP} + \text{Additional Amount}$$

where:

“**TAA**” means Target Amortisation Amount (in relation to each Calculation Date, the Principal Outstanding Amount of the Notes at such Calculation Date less the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding such Calculation Date plus any Additional Amount transferred to the Issuer during the Collection Period

immediately preceding such Calculation Date).

“Outstanding Notes” means the aggregate Principal Outstanding Amount of the Class A Notes and the Class B Notes as at such Calculation Date.

“Performing Outstanding Principal Portfolio” means the principal outstanding amount of all the Mortgage Loans as of a Collection Date which are not Defaulted Loans as at such Collection Date.

“POPP” means the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding the relevant Calculation Date.

“Additional Amount” means the aggregate of:

- (a) an amount equal to (x) the Individual Initial Purchase Price (net of the interest component thereof) *less* (y) the aggregate repayments of principal of each Claim repaid to the Issuer by the Originator pursuant to Clause 6.1 (ii) of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date, *plus* (z) the amount due to the Issuer by the Originator as interest on the principal amounts to be paid thereby pursuant to Clause 6.1 (ii) of the Transfer Agreement;
- (b) an amount equal to the Individual Initial Purchase Price of each Claim (net of the interest component thereof) in respect of which the Originator has granted to the Issuer a Limited Recourse Loan, in addition to interest thereon due pursuant to Clause 11.5 of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date; and
- (c) the amount credited by Intesa Sanpaolo to the Issuer pursuant to Clause 11.3 of the Servicing Agreement during the Collection Period immediately preceding such Calculation Date.

“Defaulted Loan” means a Mortgage Loan (a) which has been classified by the Servicer as “*in sofferenza*” in accordance with the provisions of the Bank of Italy and/or (b) has, or has at any time

**Pre-Enforcement
Order of Priority**

had, an Arrears Ratio equal to or greater than (i) 10, in the case of a Mortgage Loan payable on a monthly basis, (ii) 4 in the case of a Mortgage Loan payable on a quarterly basis and (iii) 2 in the case of a Mortgage Loan payable on a semi-annual basis.

Prior to the service of a Trigger Notice, the Issuer Available Funds shall be applied on each Payment Date in making the following payments and provisions in the following order of priority (the “**Pre-Enforcement Order of Priority**”) (in each case, only if and to the extent that payments of a higher priority have been made in full):

(i) *first*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, any and all taxes due and payable by the Issuer, to the extent that such sums are not met by utilising the amount standing to the credit of the Issuer Corporate Account;

(ii) *second*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) all due and payable administrative costs and expenses incurred by the Issuer other than those payable to parties to the Intercreditor Agreement, to the extent that such costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account, as the case may be; (b) any other fees, costs, payments and expenses required to be paid in order to preserve the corporate existence of the Issuer, maintain it in good standing and comply with applicable legislation, including, without limitation, any compensation owed to directors, officers, employees and consultants, or in connection with any listing or deposit of the Notes or any notice to be given to the Noteholders or to other parties to the Transaction Documents; in each case to the extent such fees, costs and expenses are not met by utilising the amounts standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account; (c) on the Payment Date falling in April of each year, to credit the Issuer Retention Amount into the Issuer Corporate Account and (d) on the Payment Date falling in April of each year, to credit the Issuer Disbursement Amount into the Issuer Expenses Account;

(iii) *third*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) the fees, costs and expenses of, and all

other amounts due and payable to, the Representative of the Noteholders and, if applicable, the Security Trustee, (b) the fees, costs and expenses of, and all other amounts due and payable to, the Cash Manager, the Calculation Agent, the Paying Agent, the Account Bank, the Luxembourg Agent, the Administrative Services Providers, the Foundation Corporate Servicer, the Servicer and the Special Servicers;

(iv) *fourth*, to pay to the Swap Counterparty any amounts due and payable under the Swap Agreement excluding any termination payments resulting from a termination event caused by the Swap Counterparty under the Swap Agreement;

(v) *fifth*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, interest due and payable in respect of the Class A on such Payment Date;

(vi) *sixth*, provided that the Principal Outstanding Amount of the Senior Notes is higher than the Cash Reserve Amount and/or that the Senior Notes will be outstanding after such Payment Date, to credit the Issuer Payment Account with the Cash Reserve Amount;

(vii) *seventh*, prior to the Initial Amortisation Date, to pay to the Issuer Initial Amortisation Account an amount up to the Target Amortisation Amount calculated in respect of such Payment Date;

(viii) *eighth*, on or after the Initial Amortisation Date, in or towards satisfaction, *pari passu* and *pro rata*, of the Principal Outstanding Amount of the Class A Notes, in an overall amount equal to the Class A Principal Payment Amount with respect to such Payment Date;

(ix) *ninth*, in or towards satisfaction of any claims of the Lead Manager under the Senior Notes Subscription Agreement and thereafter to pay to the Swap Counterparty all the remaining payments then due and payable under the Swap Agreement;

(x) *tenth*, in or towards satisfaction of any amount due and payable to the Originator in respect of any Price Adjustment (as defined in the “*Glossary of Terms*”) to be paid under the Transfer Agreement;

(xi) *eleventh*, to pay interest due and payable pursuant to the terms

of the Subordinated Loan Agreement;

(xii) *twelfth*, to pay the Base Interest due and payable in respect of the Class B Notes on such Payment Date;

(xiii) *thirteenth*, provided that the Senior Notes have been redeemed in full, in or towards satisfaction, *pari passu* and *pro rata*, of interest (if any) and principal due and payable on any limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement;

(xiv) *fourteenth*, provided that the Class A Notes have been redeemed in full, in or towards repayment of principal under the Subordinated Loan, pursuant to the terms of the Subordinated Loan Agreement;

(xv) *fifteenth*, to pay any Additional Return due and payable in respect of the Class B Notes on such Payment Date and any Additional Return in respect of the Class B Notes outstanding from any preceding Payment Date;

(xvi) *sixteenth*, provided that the Class A Notes have been redeemed in full, in or towards satisfaction, *pari passu* and *pro rata*, of the Principal Outstanding Amount of the Class B Notes;

(xvii) *seventeenth*, to pay any surplus into the Issuer Investment Account and, on the Payment Date when all the Notes have been redeemed in full, in and towards satisfaction of the Deferred Purchase Price, pursuant to the terms of the Transfer Agreement and thereafter in or towards satisfaction of any claims of Intesa Sanpaolo under the Subscription Agreements; and

(xviii) *eighteenth*, on the Payment Date when all the Notes have been redeemed in full and the Deferred Purchase Price has been paid in full, to pay any surplus to the Issuer,

PROVIDED HOWEVER that, if at any time a payment is proposed to be made to any of the Other Issuer Creditors (as defined below) in accordance with the Pre-Enforcement Order of Priority and such Other Issuer Creditor is in default under any of its obligations to make a payment under any of the Transaction Documents to which it is a party, the amount of the payment which may be made to that Other Issuer Creditor shall be reduced by an amount equal to the amount of such defaulted

payment. Any amount so withheld shall not be available for any other purpose and shall be paid to that Other Issuer Creditor as and when (and *pro rata* to the extent that) the defaulted payment is duly made by it and with the same priority as if such amount had been paid when originally due, and further provided that the Representative of the Noteholders shall be entitled, and is hereby authorised, to call for (and to accept as conclusive evidence thereof) a certificate from the auditors of the Issuer as to the amounts of the claims of any of the relevant parties.

“Issuer Disbursement Amount” means on each Payment Date falling in April of each year, the positive difference between (i) Euro 160,000 and (ii) the amount standing to the credit of the Issuer Expenses Account on the Collection Date immediately preceding such Payment Date.

“Issuer Retention Amount” means (a) on the first Payment Date an amount that shall not be lower than Euro 57,000 and shall not be higher than Euro 170,000, and (b) thereafter, on each Payment Date falling in April of each year, the difference between (i) an amount that shall not be lower than Euro 57,000 and shall not be higher than Euro 170,000 and (ii) the amount standing to the credit of the Issuer Corporate Account on the Collection Date immediately preceding such Payment Date, provided that the decision as to the actual amount applicable to each Payment Date - that shall be in any case within the above range - will be made and notified to the Calculation Agent by the Administrative Services Provider prior to the relevant Calculation Date.

Post-Enforcement Order of Priority

After the service of a Trigger Notice following the occurrence of a Trigger Event (as defined below), the Issuer Available Funds shall be applied on each Payment Date in making the following payments and provisions in the following order of priority (the **“Post-Enforcement Order of Priority”**) (in each case, only if and to the extent that payments of a higher priority have been made in full):

(i) *first*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, upon the occurrence of a Trigger Event as set forth in Condition 10(d) (*Insolvency*), any mandatory expenses relating to the insolvency proceedings in accordance with Italian

bankruptcy law and thereafter, or upon the occurrence of any other Trigger Event, any and all taxes due and payable by the Issuer, to the extent that such sums are not met by utilising the amount standing to the credit of the Issuer Corporate Account;

(ii) second, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) all due and payable administrative costs and expenses incurred by the Issuer other than those payable to parties to the Intercreditor Agreement, to the extent that such costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account, as the case may be; (b) any other fees, costs, payments and expenses required to be paid in order to preserve the corporate existence of the Issuer, maintain it in good standing and comply with applicable legislation, including, without limitation, any compensation owed to directors, officers, employees and consultants, or in connection with any listing or deposit of the Notes or any notice to be given to the Noteholders or to other parties to the Transaction Documents; in each case to the extent such fees, costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account; (c) on the Payment Date falling in April of each year, if any, to credit the Issuer Retention Amount into the Issuer Corporate Account, and (d) on the Payment Date falling in April of each year, if any, to credit the Issuer Disbursement Amount into the Issuer Expenses Account;

(iii) third, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) the fees, costs and expenses of, and all other amounts due and payable to, the Representative of the Noteholders and the Security Trustee, (b) the fees, costs and expenses of, and all other amounts due and payable to, the Cash Manager, the Calculation Agent, the Paying Agent, the Account Bank, the Luxembourg Agent, the Administrative Services Providers, the Foundation Corporate Servicer, the Servicer and the Special Servicers;

(iv) fourth, to pay to the Swap Counterparty any amounts due and payable under the Swap Agreement excluding any termination payments resulting from a termination event caused by the Swap

Counterparty under the Swap Agreement;

(v) *fifth*, in or towards satisfaction, *pari passu* and *pro rata* according to the respective amounts thereof, of the Principal Outstanding Amount and any interest due and payable and unpaid in respect of the Class A Notes, provided that any Issuer Available Funds available for the payment of the Principal Outstanding Amount of the Class A Notes on each Payment Date prior to the Initial Amortisation Date shall be credited to the Issuer Initial Amortisation Account and will become part of the Issuer Available Funds on the Initial Amortisation Date; and, provided that the Senior Notes have been redeemed in full, thereafter:

(vi) *sixth*, in or towards satisfaction of any claims of the Lead Manager under the Senior Notes Subscription Agreement and thereafter to pay to the Swap Counterparty all the remaining payments then due and payable under the Swap Agreement;

(vii) *seventh*, in or towards satisfaction of any amount due and payable to the Originator in respect of any Price Adjustment to be paid under the Transfer Agreement;

(viii) *eighth*, to pay interest due and payable in respect of the Subordinated Loan pursuant to the terms of the Subordinated Loan Agreement;

(ix) *ninth*, to pay the Base Interest due and payable in respect of the Class B Notes on such Payment Date;

(x) *tenth*, in or towards satisfaction, *pari passu* and *pro rata*, of interest (if any) and principal due and payable on any limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement;

(xi) *eleventh*, in or towards satisfaction of the principal due and payable on the Subordinated Loan, pursuant to the terms of the Subordinated Loan Agreement;

(xii) *twelfth*, to pay any Additional Return due and payable in respect of the Class B Note on such Payment Date and any Additional Return in respect of the Class B Notes outstanding from any preceding Payment Date;

(xiii) *thirteenth*, in or towards satisfaction, *pari passu* and *pro rata* according to the respective amounts thereof, of the Principal

Outstanding Amount due and payable and unpaid in respect of the Class B Notes provided that any Issuer Available Funds available for the payment of the Principal Outstanding Amount of the Class B Notes on each Payment Date prior to the Initial Amortisation Date shall be credited to the Issuer Initial Amortisation Account and will become part of the Issuer Available Funds on the Initial Amortisation Date;

(xiv) *fourteenth*, to pay any surplus into the Issuer Investment Account and, on the Payment Date when all the Notes have been redeemed in full, in and towards satisfaction of the Deferred Purchase Price, pursuant to the terms of the Transfer Agreement and thereafter in or towards satisfaction of any claims of Intesa Sanpaolo under the Subscription Agreements; and

(xv) *fifteenth*, on the Payment Date when all the Notes have been redeemed in full and the Deferred Purchase Price has been paid in full, to pay any surplus to the Issuer,

PROVIDED HOWEVER that, if at any time a payment is proposed to be made to any of the Other Issuer Creditors in accordance with the Post-Enforcement Order of Priority and such Other Issuer Creditor is in default under any of its obligations to make a payment under any of the Transaction Documents to which it is a party, the amount of the payment which may be made to that Other Issuer Creditor shall be reduced by an amount equal to the amount of such defaulted payment. Any amount so withheld shall not be available for any other purpose and shall be paid to that Other Issuer Creditor as and when (and *pro rata* to the extent that) the defaulted payment is duly made by it and with the same priority as if such amount had been paid when originally due, and further provided that the Representative of the Noteholders shall be entitled, and is hereby authorised, to call for (and to accept as conclusive evidence thereof) a certificate from the auditors or, if applicable, the liquidator (if any) of the Issuer as to the amounts of the claims of any of the relevant parties.

If the Trigger Event is an insolvency (or any similar proceeding), a receiver or liquidator may elect to handle the Issuer Available Funds independently of the foregoing priorities, and in such circumstance, only the portion of Issuer Available Funds

available to make payments to the Noteholders and the other parties to the Intercreditor Agreement will be applied to make such payments in accordance with the foregoing Post-Enforcement Order of Priority.

General Costs

Taxes, administrative and corporate fees, costs and expenses and other general payment obligations of the Issuer, in each case to the extent that they are unrelated *per se* to any of the Existing Securitisations, the Securitisation or any other securitisation that the Issuer may carry out in the future (the “**General Costs**”) to be paid in accordance with items (i) and (ii) of the Orders of Priority or out of funds standing to the credit of the Issuer Corporate Account (and by the equivalent items and accounts in the other securitisation transactions carried out by the Issuer) shall be apportioned equally to each securitisation transaction carried out by the Issuer as existing from time to time, subject to timely availability of relevant funds and in compliance with the rules set out by the Cash Allocation, Management and Payment Agreement.

Trigger Events

Each of the following events is a “**Trigger Event**”:

(a) *Non-payment of principal on the Notes*

Principal due and payable on the Most Senior Class of Notes on a Payment Date is not paid on the due date or within a period of five Business Days thereafter; or

(b) *Non-payment of interest on the Notes*

Interest due on the Most Senior Class of Notes (as defined in the “*Glossary of Terms*”) is not paid on the due date or within a period of three Business Days thereafter; or

(c) *Breach of obligations*

The Issuer defaults in the performance or observance of any of its other obligations under or in respect of the Notes, or any of them, or of any of the Transaction Documents to which it is a party (other than under (a) and (b) above) and except where, in the sole and absolute opinion of the Representative of the Noteholders, such default is incapable of remedy (in which case no notice will be required) or such default remains unremedied for

30 days after the Representative of the Noteholders has given written notice thereof to the Issuer, certifying that such default is, in the opinion of the Representative of the Noteholders, materially prejudicial to the interests of the Noteholders; or

(d) *Insolvency etc.*

- (i) An administrator, administrative receiver or liquidator of the Issuer is appointed over or in respect of the whole or any part of the undertaking, assets and/or revenues of the Issuer or the Issuer becomes subject to any bankruptcy, liquidation, administration, insolvency, composition, reorganisation (among which, without limitation, “*fallimento*”, “*concordato preventivo*”, “*amministrazione straordinaria*” and “*liquidazione coatta amministrativa*” with the meaning ascribed to those expressions by the laws of the Republic of Italy) or similar proceedings (or application for the commencement of any such proceeding) or an encumbrancer takes possession of the whole or any substantial part of the undertakings or assets of the Issuer;
- (ii) proceedings are initiated against the Issuer under any applicable bankruptcy, liquidation, administration, insolvency, composition, reorganisation or similar laws and such proceedings are not, in the opinion of the Representative of the Noteholders, being disputed in good faith; or
- (iii) the Issuer takes any action for a readjustment or deferment of any of its obligations or makes a general assignment or an arrangement or composition with or for the benefit of its creditors or is granted by a competent court a moratorium in respect of any of its indebtedness or any guarantee of any indebtedness given by it or applies for bankruptcy or suspension of payments; or

(e) *Winding up etc.*

An order is made or an effective resolution is passed for the winding up, liquidation or dissolution of the Issuer except a winding up for the purposes of or pursuant to an amalgamation or reconstruction, the terms of which have been previously approved in writing by the Representative of the Noteholders or by an Extraordinary Resolution; or

(f) *Unlawfulness*

It is or will become unlawful, to a material extent, in the opinion of the Representative of Noteholders, for the Issuer to perform or comply with any of its obligations under or in respect of the Notes or any Transaction Document to which it is a party.

Upon the occurrence of a Trigger Event, the Representative of the Noteholders shall: (1) have the power to decide whether to serve a notice (a “**Trigger Notice**”) (other than in the event under paragraph (c), in relation to which no Trigger Notice can be served without a prior Extraordinary Resolution) on the Issuer. In the event of an Extraordinary Resolution having been passed requesting a Trigger Notice to be served as a result of the occurrence of a Trigger Event, the Representative of the Noteholders shall serve such Trigger Notice; and, provided it has served a Trigger Notice, (2) be entitled to dispose of the Portfolio, in whole or in part, subject to the provisions of clause 21 of the Intercreditor Agreement.

In the event a Trigger Notice is served by the Representative of the Noteholders, the Notes shall become immediately due and repayable at their Principal Outstanding Amount together with interest accrued thereon.

**Sale of the Portfolio by
the Issuer - Price**

Subject to the Option Right and the other applicable provisions of the Transaction Documents, in case the Portfolio is sold to fund an early redemption of the Notes under Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*) or further to service of a Trigger Notice, as applicable, its transfer price - in each case based upon the then prevailing market practice - shall be at least equal, together with any other

monetary rights and claims of the Issuer:

(x) to an amount sufficient to discharge in full all the Issuer's outstanding liabilities in respect of the Notes and any amounts required to be paid in priority thereto or *pari passu* therewith the Notes in accordance with the applicable Order of Priority; or

(y) in case the Portfolio is sold to fund an early redemption of the Notes under Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*) and provided that if the Class B Noteholders have confirmed their acceptance that only the Senior Notes be discharged in accordance with the provisions of Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable, and the Junior Notes may be cancelled, in whole or in part, to an amount, determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders, which shall in any case be sufficient to discharge in full all the Issuer's outstanding liabilities in respect of the Senior Notes and any amounts required to be paid in priority thereto or *pari passu* therewith in accordance with the applicable Order of Priority; or

(z) in case the Portfolio is sold further to the service of a Trigger Notice, to an amount that (a) either is sufficient to discharge in full all Issuer's outstanding liabilities in respect of the Notes and any amounts required to be paid in priority thereto or *pari passu* therewith, in accordance with the Post-Enforcement Order of Priority, (b) or, in the event it is not so sufficient, has been determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders. In any case further to the service of a Trigger Notice, the Portfolio may be disposed in whole or in part and transferred to one or more purchasers/counterparties according to the then current market conditions.

**Purchase of the
Portfolio by Intesa
Sanpaolo**

Under the Intercreditor Agreement, the Issuer will irrevocably grant Intesa Sanpaolo an option right to purchase, or to cause another entity to purchase, from the Issuer:

(i) in whole but not in part all then outstanding Claims, in the period starting from the date on which the

Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio or of the Initial Purchase Price, and ending on the date on which the Notes have been redeemed in full;

- (ii) in whole but not in part all then outstanding Claims that will be offered for sale, upon exercise by the Issuer of its option of early redemption of the Notes for tax reasons pursuant to Condition 6.4 (*Redemption for Tax Reasons*);
- (iii) in whole but not in part all then outstanding Claims that will be offered for sale, upon decision of the Representative of the Noteholders to dispose of the Portfolio further to a Trigger Notice having been served upon the Issuer following the occurrence of a Trigger Event

(each, an **“Option Right”** and the **“Option Claims”**, respectively).

In the circumstances:

(x) set out in paragraph (i) above, Intesa Sanpaolo shall exercise the Option Right by serving not more than 80 nor less than 50 days’ prior notice in writing to the Issuer and, in copy, to the Representative of the Noteholders and the Rating Agency;

(y) set out in paragraph (ii) above, the Issuer shall notify in writing Intesa Sanpaolo (the **“Issuer Option Notice”**) and, in copy, the Representative of the Noteholders, that it intends to exercise the redemption option pursuant to Condition 6.4 (*Redemption for Tax Reasons*) and Intesa Sanpaolo shall notify in writing the Issuer and, in copy, the Representative of the Noteholders its intention to exercise the Option Right by the 20th day following receipt of the Issuer Option Notice; and

(z) set out in paragraph (iii) above, the Representative of the Noteholders shall notify in writing Intesa Sanpaolo (the **“Representative of the Noteholders Option Notice”**), that it intends to dispose of the Portfolio and Intesa Sanpaolo shall notify in writing the Representative of the Noteholders its intention to exercise the Option Right by the 20th day following receipt of the Representative of the Noteholders Option Notice

(each of the notices sent by Intesa Sanpaolo pursuant to paragraphs (x), (y) and (z) above, an “**Intesa Sanpaolo Option Notice**”).

The Intesa Sanpaolo Option Notice shall include a solvency certificate and a certificate issued by the relevant Register of Enterprises (*certificato di vigenza*) and, in the circumstances set out in paragraphs (i) and (ii) above:

- (a) a legal opinion, satisfactory to the Issuer and the Representative of the Noteholders, as to the capacity of the Issuer to sell the Option Claims to Intesa Sanpaolo prior to the date on which the Notes are redeemed in full and as to the segregation of the purchase price of the Option Claims for the benefit of the Noteholders and the Other Issuer Creditors; or
- (b) in the event no such an opinion is provided, the details of the structure by which Intesa Sanpaolo will render available to the Issuer funds in an amount equal to the purchase price of the Option Claims on time for the Issuer to redeem the Notes in accordance with the applicable provisions of the Conditions.

Intesa Sanpaolo shall obtain the confirmation by the Issuer and the Representative of the Noteholders that they find acceptable any financing structure suggested in the Intesa Sanpaolo Option Notice as outlined in paragraph (b) above, provided that the Issuer and the Representative of the Noteholders will consider acceptable - for the purpose of Conditions 6.3 (*Optional Redemption*) and Condition 6.4 (*Redemption for Tax Reasons*) and the transfer of the Option Claims - a structure by which Intesa Sanpaolo is to grant (or cause a qualified/suitable entity to grant) the Issuer a fully subordinated bridge financing (i.e. any payments under which are subordinated to the discharge in full of any other Issuer's obligations *vis-à-vis* the Noteholders and any Other Issuer Creditors) in an amount equal to the purchase price of the Option Claims to be advanced by the date on which the Issuer will serve the early redemption notice pursuant Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable.

Any purchaser of the Portfolio shall provide the Representative

of the Noteholders with: (i) a certificate issued by the relevant Register of Enterprises (*certificato di vigenza*) or an equivalent certificate available under the law and jurisdiction of its incorporation; (ii) a satisfactory solvency certificate; (iii) proof of full power to enter into the transfer agreement and to perform any obligations thereunder; and (iv) in the event it has not been assigned a rating by the Rating Agency equal to, or higher than, investment grade, a bankruptcy certificate issued by the competent Court.

The transfer of the Option Claims shall be completed:

- (1) in the circumstance set out in paragraph (a) above, on a date, either immediately prior to the date on which the notice is served pursuant to Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as the case may be, or immediately prior to the relevant date of redemption of the Notes, as will be agreed upon between Intesa Sanpaolo and the Issuer (with the prior written consent of the Representative of the Noteholders);
- (2) in the circumstance set out in paragraph (b) above, on the date on which the relevant purchase price is applied towards redemption of the Notes in accordance with the applicable provisions of the Conditions or towards redemption of any applicable bridge financing or any other date as will be agreed upon between the Issuer and the purchaser (with the prior written consent of the Representative of the Noteholders); or
- (3) in the circumstance set out in paragraph (iii) above, at the date of payment of the purchase price or any other date as will be agreed upon between the Issuer and the purchaser (with the prior written consent of the Representative of the Noteholders),

(any of the above date, as applicable, the “**Transfer Date**”).

Any purchase of the Portfolio by Intesa Sanpaolo or any other entity will occur only in compliance with the applicable regulations from time to time issued by the Bank of Italy or as otherwise authorised by the Bank of Italy (if applicable).

The Intercreditor Agreement sets out rules for the determination of the purchase price of the Option Claims.

Summary of Transaction Documents

Transfer of the Portfolio

On 25 May 2009, the Originator and the Issuer entered into a transfer agreement, as amended on or about the Issue Date (the “**Transfer Agreement**”), pursuant to which the Originator assigned and transferred the Portfolio to the Issuer, without recourse (*pro soluto*), in accordance with the Securitisation Law. Pursuant to the Transfer Agreement, the Issuer has agreed to pay the Originator a purchase price (the “**Purchase Price**”) which is equal to the sum of an initial purchase price and a deferred purchase price. The Portfolio does not consist, in whole or in part, actually or potentially, of credit-linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives.

The initial purchase price which is equal to Euro 5,860,077,110.80 (the “**Initial Purchase Price**”) will be paid on the Issue Date and the Deferred Purchase Price, if any, will be paid simultaneously with the redemption in full of the Notes.

“**Deferred Purchase Price**” means an amount equal to the amount resulting from the liquidation of the Residual Assets. “**Residual Assets**” means any assets owned by the Issuer in the context of the Securitisation as at the date of repayment in full of the Notes and payment of all costs and charges and, in general, of all liabilities of the Issuer in the context of the Securitisation (including any liabilities arising from the Subordinated Loan) or provision thereof, with the exception of the payment of the Deferred Purchase Price.

Pursuant to the Transfer Agreement, the Originator has given certain representations and warranties in favour of the Issuer in relation to the Portfolio and has agreed to indemnify the Issuer in respect of certain liabilities of the Issuer incurred in connection with the purchase and ownership of the Portfolio. See “*The Portfolio*” and “*Description of the Transaction Documents - Description of the Transfer Agreement*”.

Servicing and Collection Procedures

Pursuant to the terms of a servicing agreement entered into on 25 May 2009 by and between the Issuer, the Servicer and the First Special Servicer and to which the Second Special Servicer

has acceded on 5 June 2009, and amended on or about the Issue Date (the “**Servicing Agreement**”), (i) the Servicer has agreed, *inter alia*, to manage and service the Claims, on behalf of the Issuer and (ii) each Special Servicer has agreed to carry out, on behalf of the Issuer, if informed by the Servicer that any of the Mortgage Loans is to be considered as a Defaulted Loans classified as “*in sofferenza*” in accordance with the provisions of the Bank of Italy, any activities relating to the management of the Defaulted Loans classified as “*in sofferenza*” entrusted thereto in accordance with the provisions of the Servicing Agreement. In return for the services provided, the Issuer will pay the Servicer a fee in arrears on each Payment Date equal to 0.5% of the amounts collected in the previous Collection Period and each Special Servicer a fee equal to 9% of the sums recovered thereby in the previous Collection Period. In addition, an amount of Euro 50 per annum for each Defaulted Loan classified as “*in sofferenza*” managed by each Special Servicer during each calendar year shall be paid to such Special Servicer in arrears on the first Payment Date of the following calendar year.

The Servicer has undertaken to prepare and submit monthly and quarterly reports to the Issuer, the Rating Agency and the Calculation Agent, and semi-annual reports to the Issuer, the Representative of the Noteholders, the Luxembourg Agent, the Rating Agency and the Calculation Agent, substantially in the form set out in the Servicing Agreement, containing information as to the Collections made in respect of the Portfolio during the preceding calendar month, quarter or the preceding Collection Period (including, for the avoidance of doubt, and without limitation, any Pertaining Collections), respectively. The reports will provide the main information relating to the amortisation of the Portfolio and the Servicer’s activity during the period, including without limitation: a description of the Portfolio (outstanding amount, principal and interest), information relating to delinquencies, defaults and Collections during the Collection Period as well as a performance analysis. The Servicer will appoint a firm of internationally recognised auditors acceptable to the Representative of the Noteholders to prepare a report pursuant to certain agreed upon procedures in respect of the first Servicer Semi-annual Report of each year starting from year 2010

(as defined in the “*Glossary of Terms*”). Pursuant to the terms of the Servicing Agreement, the Servicer will provide the services related to compliance with reporting requirements relating to the Claims and with any other regulatory requirement imposed on the Issuer. See “*Description of the Transaction Documents - Description of the Servicing Agreement*”.

Issuer Administrative Services

Pursuant to an administrative services agreement entered into on or about the Issue Date (the “**Administrative Services Agreement**”), among the Administrative Services Providers and the Issuer (i) Intesa Sanpaolo has agreed to provide, in favour of the Issuer, certain administrative and accounting services, including the keeping of the accounting and tax register and (ii) KPMG has agreed to provide, in favour of the Issuer, certain administrative and corporate services, including the keeping of the corporate books. See “*Description of the Transaction Documents - Description of the Administrative Services Agreement*”.

Deed of Pledge

By a deed of pledge to be executed by the Issuer on or about the Issue Date (the “**Deed of Pledge**”) the Issuer will pledge in favour of the Noteholders and the Other Issuer Creditors, *inter alia*, (i) all the monetary claims and rights and all the amounts payable from time to time (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled pursuant or in relation to the Transaction Documents (other than the English Law Documents and the Deed of Pledge), (ii) all the monetary claims and rights (including the accrued interests) relating to the amounts standing to the credit of the Issuer Accounts and any other account established by the Issuer in accordance with the provisions of the Transaction Documents and (iii) all Eligible Investments made on its behalf under the Cash Allocation, Management and Payments Agreement. See “*Description of the Transaction Documents - Description of the Deed of Pledge*”.

Deed of Charge

By a deed of charge to be executed by the Issuer on or about the Issue Date (the “**Deed of Charge**”) the Issuer will assign by way of security to and charge in favour of the Security Trustee on trust for the Noteholders and the Other Issuer Creditors all the Assets including the Assigned Documents, the Assigned Rights and the UK Accounts (if any) but excluding (a) the Issuer’s assets

which are segregated by virtue of the Securitisation Law; (b) the Issuer's assets which are secured under the provision of a Transaction Document governed by Italian law; and (c) the corporate assets owned by the Issuer in its own right and located in Italy (the "**Charged Property**"). See "*Description of the Transaction Documents - Description of the Deed of Charge*".

Mandate Agreement

By a mandate agreement to be entered into on or about the Issue Date (the "**Mandate Agreement**") between the Issuer and the Representative of the Noteholders, the Representative of the Noteholders shall be authorised to exercise, in the name and on behalf of the Issuer and in the interest of the Noteholders and the Other Issuer Creditors: (i) following the delivery of a Trigger Notice, all the Issuer's rights relating to the Claims and/or the Transaction Documents to which the Issuer is a party and (ii) upon failure by the Issuer to exercise its rights under the Transaction Documents against any party in default and to ensure the remedy of such default, all the Issuer's rights arising under such Transaction Documents against the defaulting counterparty. See "*Description of the Transaction Documents - Description of the Mandate Agreement*".

Intercreditor Agreement

Under the terms of an intercreditor agreement to be entered into on or about the Issue Date (the "**Intercreditor Agreement**") among the Issuer, the Representative of the Noteholders (for itself and as legal representative of the Organisation of Noteholders), the Security Trustee, the Originator, the Administrative Services Providers, the Account Bank, the Cash Manager, the Paying Agent, the Servicer, the Subordinated Loan Provider, the Swap Counterparty, the Special Servicers, the Luxembourg Agent, the Foundation Corporate Servicer, the Foundation Sole Director, the Quotaholders, the Lead Manager and the Calculation Agent (collectively, the "**Other Issuer Creditors**"), the Representative of the Noteholders will, subject to a Trigger Notice being served upon the Issuer following the occurrence of a Trigger Event, ensure that the Issuer Available Funds are applied in or towards satisfaction of the Issuer's payment obligations towards the Noteholders as well as the Other Issuer Creditors, in accordance with the Post-Enforcement Order of Priority.

The obligations owed by the Issuer to each of the Noteholders and each of the Other Issuer Creditors will be limited recourse obligations of the Issuer. The Noteholders and the Other Issuer Creditors will have a claim against the Issuer only to the extent of the Issuer Available Funds, in each case subject to and as provided for in the Intercreditor Agreement (and the other Transaction Documents) provided that the Originator will have a claim against the Issuer as concerns the repayment of any Limited Recourse Loan as may be granted thereby pursuant to the Transfer Agreement in respect of: (i) the collections related to the Claims in connection with which such Limited Recourse Loan has been granted – which shall not be included in the Issuer Available Funds and (ii) for the balance, any Issuer Available Funds available to make such payments in accordance with the applicable Order of Priority. The Intercreditor Agreement sets out the provisions concerning Intesa Sanpaolo’s option to purchase the Portfolio in the circumstances outlined above. See “*Description of the Transaction Documents - Description of the Intercreditor Agreement*”.

**Cash Allocation,
Management and
Payments Agreement**

Under the terms of a cash allocation, management and payments agreement to be entered into on or about the Issue Date (the “**Cash Allocation, Management and Payments Agreement**”), among the Issuer, Intesa Sanpaolo in its capacity as Cash Manager, Account Bank, Paying Agent, Administrative Services Provider and Servicer, the Calculation Agent and the Representative of the Noteholders, the Account Bank, the Paying Agent, the Cash Manager and the Calculation Agent will provide the Issuer with certain calculation, notification and reporting services together with account handling and cash management services in relation to moneys or securities from time to time standing to the credit of, or registered on, the Issuer Accounts. In particular, the Calculation Agent will prepare, on or prior to each Calculation Date, a report (the “**Payments Report**”) containing details of amounts to be paid by the Issuer on the immediately following Payment Date in accordance with the applicable Order of Priority and on or prior to the Investors Report Date the Calculation Agent will prepare an investors report (the “**Investors Report**”) setting out certain information with respect to the Portfolio and the Notes. See “*Description of the*”

Transaction Documents - Description of the Cash Allocation, Management and Payments Agreement".

Subordinated Loan Agreement

Under the terms of a subordinated loan agreement to be entered into on or about the Issue Date (the "**Subordinated Loan Agreement**") between the Issuer and the Subordinated Loan Provider, the Subordinated Loan Provider will advance a subordinated loan to the Issuer (the "**Subordinated Loan**"), which will be applied by the Issuer to fund on the Issue Date the Cash Reserve Amount. See "*Description of the Transaction Documents - Description of the Subordinated Loan Agreement*".

Agency Agreement

Under the terms of an agency agreement to be entered into on or about the Issue Date (the "**Agency Agreement**"), among the Issuer, the Representative of the Noteholders and the Luxembourg Agent, the Luxembourg Agent will provide certain agency services to the Issuer in relation to the Senior Notes. See "*Description of the Transaction Documents - Description of the Agency Agreement*".

Quotaholders' Agreement

By a quotaholders' agreement entered into on 4 August 2008 (the "**Quotaholders' Agreement**") and amended on 18 December 2008, among the Issuer, Intesa Sanpaolo and the Foundation, the Foundation has granted a call option in favour of Intesa Sanpaolo to purchase from the Foundation, and Intesa Sanpaolo have granted a put option in favour of the Foundation to sell to Intesa Sanpaolo, the quota of the Issuer corporate capital held by the Foundation. Each option may only be exercised from the day on which all the notes issued by the Issuer in the context of all the securitisation transactions carried thereby have been redeemed in full or cancelled. The Quotaholders Agreement contains provisions and undertakings in relation to the management of the Issuer. See "*Description of the Transaction Documents - Description of the Quotaholders' Agreement*".

Subscription Agreements

Pursuant to the terms of a Senior Notes subscription agreement to be entered into on or about the Issue Date (the "**Senior Notes Subscription Agreement**"), among, *inter alios*, the Issuer, the Representative of Noteholders and the Lead Manager, Banca IMI has agreed to subscribe for the Senior Notes and pay the relevant issue price as set out therein, less the agreed selling, management and underwriting commission; and pursuant to the

terms of a Junior Notes subscription agreement entered into on or about the Issue Date among, *inter alios*, the Issuer, Intesa Sanpaolo and the Representative of the Noteholders (the “**Junior Notes Subscription Agreement**” and together with the Senior Notes Subscription Agreement, the “**Subscription Agreements**”), Intesa Sanpaolo has agreed to subscribe for the Junior Notes and pay the relevant issue price as set out therein.

Pursuant to the provisions of the Subscription Agreements, Banca IMI and Intesa Sanpaolo will appoint the Representative of the Noteholders. See “*Description of the Transaction Documents - Description of the Senior Notes Subscription Agreement and Description of the Junior Notes Subscription Agreement*”.

Swap Agreement

In order to hedge its interest rate exposure in relation to its floating rate obligations under the Notes and the interest component of its risk exposure due to any renegotiation (whether or not encompassing payment holidays) of the Mortgage Loans, made under the Bersani-bis Decree, in connection with the issue of Tremonti Bonds by the Intesa Sanpaolo Group, under article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007, or under other laws or regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached, or in accordance with other provisions of the Collection Policy, on or about the Issue Date the Issuer will enter into one or more swap confirmations with the Swap Counterparty under the 1992 International Swaps and Derivatives Association Inc. (ISDA) Master Agreement (Multicurrency - Cross Border) and Schedule, together with the associated Credit Support Annex and relevant ISDA Master Agreement (the “**Swap Agreement**”). The Swap Counterparty will, *inter alia*, be required to have a rating assigned to its unguaranteed, unsubordinated and unsecured long-term and short-term debt obligations of at least A and F1, respectively, by Fitch. If the Swap Counterparty’s rating falls below such ratings or if the Swap Counterparty fails to perform its obligations under the Swap Agreement resulting in the Issuer being entitled to terminate the Swap Agreement, the Swap Counterparty will be required to either (at its discretion) (a) transfer all of its rights and obligations with respect to the Swap Agreement to a replacement

swap counterparty with appropriate rating; or (b) activate an appropriate mark-to-market collateral agreement; or (c) obtain a guarantee from a third party with appropriate ratings in relation to its obligations under the Swap Agreement. The Swap Agreement is expected to remain in place until final redemption or cancellation of the Notes. See "*Description of the Transaction Documents - Description of the Swap Agreement*".

Stichting Corporate Services Agreement

Pursuant to the terms of a corporate service agreement entered into on 28 March 2008 (the "**Stichting Corporate Services Agreement**"), amended on 24 November 2008 and supplemented on or about the Issue Date, the Foundation Corporate Servicer, the Foundation, the Foundation Sole Director and the Issuer have agreed to make arrangements with respect to the duties to be performed by the Foundation Corporate Servicer and the Foundation Sole Director in relation to the Foundation and the Issuer. See "*Description of the Transaction Documents - Description of the Stichting Corporate Services Agreement*".

Existing Securitisations

Existing Securitisations

On 4 August 2008, the Issuer issued the Euro 7,557,950,000 Class A Residential Mortgage Backed Floating Rate Notes due December 2055 and the Euro 439,900,000 Class B Residential Mortgage Backed Floating Rate Notes due December 2055 (the "**First Existing Notes**"), that are outstanding, in the framework of a securitisation transaction (the "**First Existing Securitisation**") concerning claims originated (a) by Cariplo – Cassa di Risparmio delle Provincie Lombarde S.p.A. which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000; (b) by Banca Intesa S.p.A. which, following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (c) by the branches of Intesa Sanpaolo which before the above mentioned merger were branches of Banca Intesa S.p.A. (the "**First Existing Claims**"). On 18 December 2008, the Issuer issued the Euro 5,281,150,000 Class A Mortgage Backed Floating Rate Notes due December 2058 and the Euro 397,500,000 Class B Mortgage Backed Floating Rate Notes due December 2058 (the "**Second Existing Notes**", and together with the First Existing Notes, the "**Existing Notes**"), that are

outstanding, in the framework of a securitisation transaction (the “**Second Existing Securitisation**”, and together with the First Existing Securitisation, the “**Existing Securitisations**”) concerning claims originated by (a) Cariplo - Cassa di Risparmio delle Provincie Lombarde S.p.A., which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000, (b) Banco Ambrosiano Veneto S.p.A., subsequently merged by incorporation with effect as from 31 December 2000 in Banca Intesa S.p.A., (c) Banca Commerciale Italiana S.p.A., subsequently merged by incorporation with effect as from 1 May 2001 in Banca Intesa S.p.A., (d) Banca Intesa S.p.A., which following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (e) the branches of Intesa Sanpaolo which before the above mentioned merger, were branches of Banca Intesa S.p.A. (the “**Second Existing Claims**”, and together with the First Existing Claims, the “**Existing Claims**”).

The accounts opened by the Issuer in connection with the Existing Securitisations are different from the Issuer Accounts provided however that at all times there shall only be a single account to which the quota capital of the Issuer shall be credited, named Issuer Quota Capital Account and managed in accordance with the provisions of the First Existing Cash Allocation, Management and Payments Agreement and the First Existing Intercreditor Agreement and/or the Second Existing Cash Allocation, Management and Payments Agreement and the Second Existing Intercreditor Agreement (as the case may be), while the First Existing Notes and/or the Second Existing Notes (as the case may be) are outstanding and, thereafter, in accordance with the provisions of the Cash Allocation, Management and Payments Agreement and the Intercreditor Agreement. The Servicer and the Special Servicers have undertaken and agreed that they will keep separately at all times the Claims and the Existing Claims and the respective proceeds thereof.

Overview of Risk Factors and of Selected Aspect of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio

Overview of Risk

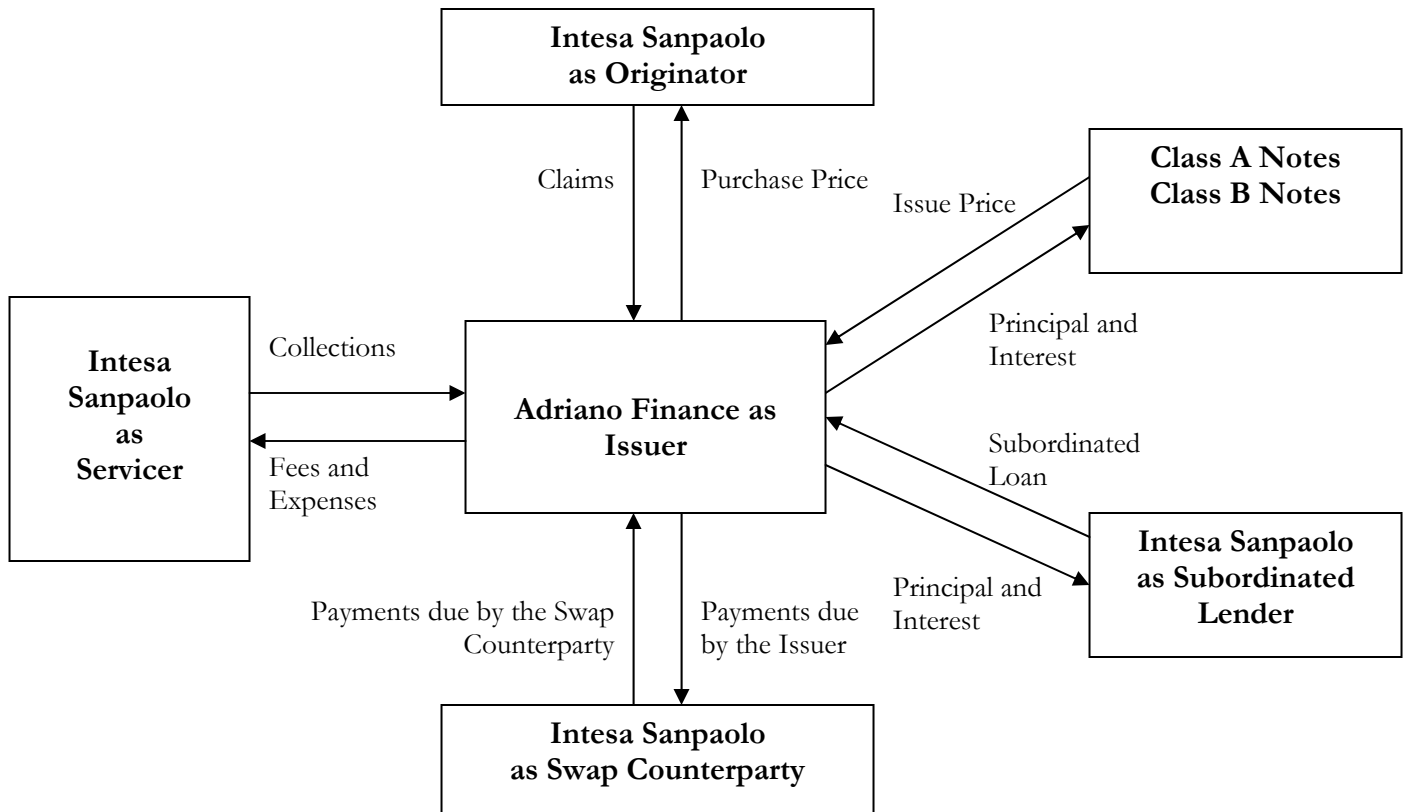
Prospective noteholders should be aware of certain critical

**Factors and of Selected
Aspect of Italian Law
Relevant to the
Portfolio and the
Transfer of the
Portfolio**

aspects of the issue of the Notes; the above information represents the essential characteristics of the Issuer and the Notes but any decision to invest in the Notes has to be based on consideration of the Prospectus as a whole by the investor and in particular prospective Noteholders should also read the detailed information set out in the section headed “*Risk Factors*” which summarises certain risks factors related to, *inter alia*, the Issuer, the Notes and the underlying assets of the Securitisation and in the section headed “*Selected Aspect of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio*” which summarises certain aspect of Italian law relevant to the Portfolio and the transfer of the Portfolio.

TRANSACTION SUMMARY STRUCTURE DIAGRAM

The table below shows a summary of the structure of the transaction.



RISK FACTORS

The following is an overview of certain aspects of the issue of the Notes of which prospective Noteholders should be aware. It is not intended to be exhaustive and prospective Noteholders should also read the detailed information set out elsewhere in this document.

Source of Payments to Noteholders

The Notes will be obligations solely of the Issuer. In particular, the Notes will not be obligations or responsibilities of or guaranteed by any of the Arrangers, the Lead Manager, the Bookrunner, the Representative of the Noteholders, the Security Trustee, the Quotaholders, the Administrative Services Providers, the Cash Manager, the Servicer, the Special Servicers, the Calculation Agent, the Paying Agent, the Luxembourg Agent, the Account Bank, the Subordinated Loan Provider, the Swap Counterparty, the Foundation Corporate Servicer or the Originator. None of any such persons accepts any liability whatsoever in respect of any failure by the Issuer to make any payment of any amount due on the Notes.

In order to make the above-mentioned payments on the Notes, the Issuer will not as at the Issue Date have any significant assets other than the Portfolio and its rights under the Transaction Documents to which it is a party. Consequently, upon the occurrence of a Trigger Event, there may be insufficient Issuer Available Funds to repay the Notes in full.

The capacity of the Issuer to meet its obligations in respect of the Notes will be dependent on the receipt by the Issuer of Collections made on its behalf by the Servicer and the Special Servicers from the Portfolio, any payments made by the Swap Counterparty under the Swap Agreement and any other amounts received by the Issuer pursuant to the provisions of the Transaction Documents.

Liquidity and Credit Risk

The Issuer is subject to the risk of delay arising between the receipt of payments due from the Debtors and the scheduled Payment Dates. This risk is addressed in respect of the Notes by the credit support provided by the Cash Reserve Amount and by the excess spread on the Portfolio. The Cash Reserve Amount will be used by the Issuer, *inter alia*, to fund the Issuer Payment Account on the day following the Issue Date.

The Issuer is subject to the risk of failure by the Servicer and the Special Servicers to collect or recover sufficient funds in respect of the Portfolio in order to enable the Issuer to discharge all amounts payable under the Notes when due.

The Issuer is also subject to the risk of default in payment by Debtors or insurers and the failure to realise or recover sufficient funds in respect of the relevant Mortgage Loans in order to discharge all amounts due by those Debtors under the Mortgage Loans. This risk is mitigated with respect to the

Class A Notes by the credit support provided by the Class B Notes, the Cash Reserve Amount and the excess spread and, with respect to the Class B Notes, by the excess spread.

However, in each case, there can be no assurance that the levels of the Collections received or recovered from the Portfolio will, together with the liquidity support provided, be adequate to ensure timely and full receipt of amounts due under the Notes.

Subordination

In respect of the obligation of the Issuer to pay interest and principal on the Notes in accordance with the Pre-Enforcement Order of Priority, the Notes of each Class will rank *pari passu* and without any preference or priority among themselves in respect of the payment of interest and principal.

The Class A Noteholders will be entitled to receive payment of interest in priority to the Class B Noteholders. The Class A Noteholders will be entitled to receive payment of principal in priority to payment of principal on the Class B Notes.

The Class B Noteholders will be entitled to receive payment of interest subordinated to the payment of interest on the Class A Notes. The Class B Noteholders will not be entitled to receive any payment of principal unless and until the Class A Notes have been redeemed in full.

In respect of the obligation of the Issuer to make payments on the Notes in accordance with the Post-Enforcement Order of Priority, the Class A Noteholders will be entitled to receive payment of interest and principal in priority to the payment of interest and principal on the Class B Notes. The Class B Noteholders will not be entitled to receive payment of interest and principal unless and until all interest and principal amounts due on the Class A Notes have been paid in full.

If a Trigger Event occurs, as long as the Class A Notes are outstanding, unless notice has been given to the Issuer declaring the Class A Notes due and payable, the Class B Notes shall not be capable of being declared due and payable and the Class A Noteholders will be entitled to determine the remedies to be exercised. Remedies pursued by the Class A Noteholders could be adverse to the interests of the Class B Noteholders.

Yield and Payment Considerations

The yield to maturity of the Notes will depend on, *inter alia*, the amount and timing of repayment of principal on the Mortgage Loans (including Prepayments and sale proceeds arising on enforcement of a Defaulted Loan) which, in turn, can be affected by the exercise by the Borrowers of the options to extend the natural maturity of the contract and/or to suspend payments of instalments due, that are set out by some of the Mortgage Loan Agreements or by law. Such yield may be adversely affected by a higher or lower than anticipated rate of prepayment on the Mortgage Loans.

Prepayments may result from refinancing, voluntary sales of properties by Debtors, as well as the receipt of proceeds from building insurance and life insurance policies.

The rate of prepayment of Mortgage Loans cannot be predicted and is influenced by a wide variety of economic, social, legal and other factors, including prevailing mortgage market interest rates and margin offered by the banking system, the availability of alternative financing, special legislation that may affect refinancing terms (including, without limitation, the Bersani-*bis* Decree), local and regional economic conditions and homeowners mobility. Therefore, no assurance can be given as to the level of prepayments that the Mortgage Loan will experience. See further "*Expected Maturity and Average Life of the Senior Notes and Assumptions*" below.

Claims of Unsecured Creditors of the Issuer

By operation of Italian law, the Issuer's right, title and interest in and to the Portfolio will be segregated from all other assets of the Issuer (including, for the avoidance of doubt, the Existing Claims (as defined below) and any other portfolio as may be purchased by the Issuer pursuant to the Securitisation Law). By operation of Italian law, and in any case subject to the provisions of the Post-Enforcement Order of Priority, amounts deriving from the Portfolio will only be available on a winding up of the Issuer, to satisfy the obligations of the Issuer to the holders of the Notes, to make payments to the Other Issuer Creditors and any third party creditor to whom the Issuer has incurred costs, fees and expenses in relation to the Securitisation. Subject to the provisions of the Intercreditor Agreement and of the applicable Order of Priority, amounts derived from the Portfolio will not be available to any other creditors of the Issuer. However, under Italian law, any other creditor of the Issuer would be able to commence insolvency or winding up proceedings against the Issuer in respect of any unpaid debt.

Limited Enforcement Rights

The protection and exercise of the Noteholders' rights against the Issuer and of the security in respect of the Notes is one of the duties of the Representative of the Noteholders. The Conditions limit the ability of individual Noteholders to commence proceedings against the Issuer by conferring to the Meeting of the Organisation of Noteholders the power to resolve on the ability of any Noteholder to commence any such individual actions.

Loans Performance

The Portfolio is exclusively comprised of residential mortgage backed loans which were performing as at the Reference Dates (see "*The Portfolio*"). There can be no guarantee that the Debtors or any insurer will not default under such Mortgage Loans and that they will therefore continue to perform. The recovery of amounts due in relation to non-performing loans will be subject to the effectiveness of enforcement proceedings in respect of the Portfolio which in the Republic of Italy can take a considerable time depending on the type of action required and where such action is taken and on

several other factors, including the following: proceedings in certain courts involved in the enforcement of the Mortgage Loans and Mortgages may take longer than the national average; obtaining title deeds from land registries which are in the process of computerising their records can take up to two or three years; further time is required if it is necessary to obtain an injunction decree (*decreto ingiuntivo*) and if the Debtor raises a defence or counterclaim to the proceedings. According to statistics published by the Bank of Italy in 2009 with regard to data as at 2006, the recovery period for loans in respect of which recovery is by foreclosure proceedings on the related mortgaged real estate usually exceeds four years and a half, although such period may vary significantly depending upon, *inter alia*, the type and location of the related mortgaged real estate and the other factors described above.

Italian Law No. 302 of 3 August 1998 (“**Law No. 302 of 1998**”), Italian Law No. 80 of 14 May 2005 (“**Law No. 80 of 2005**”), Italian Law No. 263 of 28 December 2005 (“**Law No. 263 of 2005**”) and the Italian Code of Civil Procedure, allow notaries public, lawyers or chartered accountant duly registered with the relevant register as kept and updated from time to time by the president of the relevant Court (*Presidente del Tribunale*) to conduct certain stages of the enforcement procedures in place of the courts and are expected to reduce the length of the enforcement proceedings. See “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio - Amendments to the Italian foreclosure proceedings*”.

Italian Usury Law

Italian Law No. 108 of 7 March 1996 (the “**Usury Law**”) introduced legislation preventing lenders from applying interest rates higher than one and a half times the rates published every three months on the basis of a Decree issued by the Italian Treasury (the “**Usury Rates**”) (the last such Decree having been issued on 24 June 2009). Pursuant to article 1815 of the Italian Civil Code, if the parties to a loan agreement agree upon interest rates which exceed the Usury Rates, the relevant clause is null and void and no interest at all is due by the debtor.

On 29 December 2000, the Italian Government issued Law Decree No. 394 (“**Usury Law Decree**” and, together with the Usury Law, the “**Usury Regulations**”), converted into law by the Italian Parliament on 28 February 2001, which clarified the uncertainty over the interpretation of the Usury Law and provided, *inter alia*, that interest will be deemed to be usurious only if the interest rate agreed upon by the parties exceeded the Usury Thresholds applicable at the time the relevant loan agreement or such other credit facility was entered into or the interest rate was agreed upon. The Usury Law Decree also provided that as an extraordinary measure due to the exceptional fall in interest rates in 1998 and 1999, interest rates due on instalments payable after 2 January 2001 on fixed rate loans (other than subsidised loans) already entered into on the date such decree came into force (such date being 31 December 2000) are to be substituted, except where the parties have agreed to more favourable terms, with a lower interest rate set in accordance with parameters fixed by such decree by reference to the average gross yield of multi-annual treasury bonds (*Buoni Tesoro*

Poliennali) in the period from January 1986 to October 2000, which have a residual maturity more than one year.

The interpretation of the Usury Law given by the Usury Law Decree as well as the interpretation of the law by which the Usury Law Decree was ratified by the Italian Parliament have been challenged before the Italian Constitutional Court on the ground that they would not comply with the provisions of the Italian Constitution. By decision No. 29 of 25 February 2002, the Italian Constitutional Court has stated, *inter alia*, that the Usury Law Decree complies with the principles set out in the Italian Constitution except for such provisions of the Usury Law Decree providing that interest rates due on instalments payable after 2 January 2001 on loans are to be substituted with lower interest rates fixed in accordance with the Usury Law Decree. By such decision, the Italian Constitutional Court has established that lower interest rates fixed in accordance with the Usury Law Decree are to be substituted on instalments payable from the date on which the Usury Law Decree came into force (such date being 31 December 2000) and not on instalments payable after 2 January 2001 (the “**Mandatory Reduced Rates**”).

Claims under the Usury Regulations could affect both payments which have been received or which are to be received by the Issuer under the Mortgage Loans. The Originator has undertaken in the Transfer Agreement to indemnify the Issuer in respect of any losses, costs, claims, damages and expenses that may be incurred by the Issuer in connection with the breach of the Usury Regulations in relation to any Mortgage Loan Agreement granted by the Originator prior to the Execution Date.

Rights of Set-off and Other Rights of the Debtors

Under general principles of Italian law, the Debtors are entitled to exercise rights of set-off in respect of amounts due under any Mortgage Loan against any amounts payable by the Originator to the relevant Debtor. Under the terms of Transfer Agreement, the Originator has agreed to indemnify the Issuer in respect of any reduction in amounts received by the Issuer in respect of the Portfolio as a result of the exercise by any Debtor of a right of set-off.

Compounding of Interest (*Anatocismo*)

Pursuant to article 1283 of the Italian Civil Code, accrued interest in respect of a monetary claim or receivable may be capitalised, after a period of not less than six months from the date when any legal proceedings are commenced in respect of that monetary claim or receivable or pursuant to arrangements made not less than six months after the date the interest became due and payable and provided that such interest has remained unpaid for a period of not less than six months. Article 1283 of the Civil Code allows derogation from this provision in the event that there are recognised customary practices (“*usi*”) to the contrary. Banks in the Republic of Italy have traditionally capitalised accrued interest on a three monthly basis on the grounds that such practice could be characterised as a customary practice (“*uso normativo*”). However, a number of recent judgements from Italian courts (including the judgement from the Italian Supreme Court No. 2374 of 16 March

1999) have held that such practices are not customary practices (“*uso normativo*”). Pursuant to article 120 of the Consolidated Banking Act, as amended by article 25, paragraph 2, of Italian Legislative Decree No. 342 of 4 August 1999 (“**Law No. 342 of 1999**”) enacted by the Italian Government under a delegation granted pursuant to Law No. 142 of 19 February 1992 (the “**Legge Delega**”), and pursuant to the resolution of the Interministerial Committee of Credit and Savings (CICR) of 9 February 2000 (the “**Resolution**”), the banks can capitalize accrued interest due from clients provided that they capitalize with the same frequency interest owed to clients. In particular, pursuant to the Resolution, from the date on which the Resolution came into force (such date being 22 April 2000) the capitalisation of accrued interest will be possible in the circumstances and at the terms established by the Resolution, which further provides that all conditions applied to contracts executed prior to its coming into force were to be amended, before 30 June 2000 and effective as of 1 July 2000, in accordance with the Resolution. It should be noted that Article 25, paragraph 3, of Law No. 342 of 1999 deemed the capitalisation of accrued interest (*anatocismo*) made by banks prior to the date on which the Resolution came into effect to be valid. Law No. 342 of 1999 has been challenged before the Italian Constitutional Court on the grounds that it falls outside the scope of the legislative powers delegated under the Legge Delega. On these grounds, by decision No. 425 of 17 October 2000 issued by the Italian Constitutional Court, Article 25, paragraph 3, of Law No. 342 of 1999 has been declared as unconstitutional. A judgement by the Italian Supreme Court (No. 21095 of 4 November 2004, confirmed by a recent decision: No. 10376 of 5 May 2006) states that the practice by the banks to capitalise accrued interest on a quarterly basis is invalid also in relation to agreements executed before the judgement No. 2374 of 16 March 1999 by the Italian Supreme Court and not only for those agreements executed after such judgement. Consequently if customers of the Originator were to challenge this practice and such interpretation of the Italian Civil Code were to be upheld before other courts in the Republic of Italy there could be a negative effect on the returns generated from such Mortgage Loans.

The Originator has consequently undertaken in the Transfer Agreement to indemnify the Issuer in respect of any losses, costs and expenses that may be incurred by the Issuer in connection with any challenge in respect of any compounded interest that may have accrued up to the Execution Date.

Insurance coverage

Intesa Sanpaolo obtained the additional security that under Article 38 *et seq.* of the Consolidated Banking Act would allow the maximum loan to value of a *mutuo fondiario* to exceed the threshold of 80% - and, in the instance would bring it up to 100% - by means of insurance policies underwritten by GE Mortgage Insurance Limited (subsequently renamed as Genworth Financial Mortgage Insurance Limited) for the benefit of Intesa Sanpaolo or its assignors (and to which Intesa Sanpaolo has succeeded) (the “**Mortgage Insurance Policies**”). There can be no assurance that all risks that could affect the relevant Claims are or will be covered by the Mortgage Insurance Policies or that, if such risks are covered, the insured losses will be covered in full (in particular, without limitation, a number of risks are expressly not covered by the Mortgage Insurance Policies – see “*The Portfolio*”).

Any loss incurred in relation to the relevant Claims which is not covered (or which is not covered in full) by the Mortgage Insurance Policies or in relation to which the insurer does not make a duly and timely payment (including, without limitation, in the event the insurer becomes insolvent), could adversely affect the ability of the Issuer to meet its payment obligations *vis-à-vis* the Noteholders and the other Issuer Secured Creditors.

Servicing of the Portfolio

The Portfolio will be serviced by the Servicer and the Special Servicers starting from the Execution Date pursuant to the Servicing Agreement. Previously the Portfolio had always been serviced by the relevant Lender as owner of the relevant Claims or by the entity/ies from time to time appointed thereby in accordance with its policies. The net cash flows from the Portfolio may be affected by decisions made, actions taken and the collection procedures adopted pursuant to the provisions of the Servicing Agreement by the Servicer and the Special Servicers.

The Servicer has undertaken to prepare and submit to the Issuer, the Representative of the Noteholders, the Rating Agency, the Luxembourg Agent and the Calculation Agent semi-annual, quarterly and monthly reports in the form set out in the Servicing Agreement not later than on 17 April and on 17 October of each calendar year, on 17 January and on 17 July of each calendar year and on the 17th day of each calendar month, respectively, or, if such day is not a Business Day, on the immediately preceding Business Day (provided however that the June 2009, July 2009, August 2009 and September 2009 monthly reports and the first semi-annual report shall be made available on October 2009 and that the first quarterly report shall be made available on January 2010), containing information as to the Collections made in respect of the Portfolio during the preceding Collection Period and each calendar month thereof respectively. The Servicer will appoint a firm of internationally recognised auditors acceptable to the Representative of the Noteholders to prepare a report, pursuant to certain agreed upon procedures, in respect of the first semi-annual report produced by the Servicer every year starting from year 2010.

Credit Risk on Intesa Sanpaolo and Other Parties

The ability of the Issuer to make payments in respect of the Notes will depend to a significant extent upon the due performance by Intesa Sanpaolo and the other parties to the Transaction Documents of their respective obligations under the Transaction Documents to which they are a party. In particular, without limiting the generality of the foregoing, the timely payment of amounts due on the Notes will depend on the ability of the Servicer to service the Portfolio and of the Special Servicers to recover the amounts relating to Defaulted Loans classified as “*in sofferenza*” (in accordance with the provisions of the Bank of Italy), if any, and on the continued availability of hedging under the Swap Agreement. In each case the performance by the Issuer of its obligations in respect of the Notes is dependent on the solvency of the Servicer, the Special Servicers and the Swap Counterparty.

It is not certain that a suitable alternative Servicer or Special Servicer could be found to service the Portfolio were the Servicer or a Special Servicer to become insolvent. If such an alternative Servicer or Special Servicer was to be found it is not certain whether it would service the Portfolio on the same terms as are provided for in the Servicing Agreement. In the event that, as a result of the above circumstances, a Trigger Notice was served upon the Issuer, the Representative of the Noteholders could attempt to sell the Portfolio, but there is no assurance that the amount received on such a sale would be sufficient to repay in full all amounts due to the Noteholders.

In the event of termination of the Swap Agreement imputable to the Swap Counterparty a mark to market reset payment would have to be settled between Intesa Sanpaolo and the Issuer depending on the market value of the swap as of the Termination Date. In the event of a downgrading by Fitch's of Intesa Sanpaolo that would render it ineligible as Swap Counterparty, the power of the Servicer to renegotiate the terms of the Mortgage Loans would be reduced, such provision being aimed at rendering it easier to find a substitute swap counterparty. In any case, due to its complexity and economic terms, in the event the Swap Agreement was terminated it is not certain whether an alternative swap counterparty would offer the Issuer a comparable level of protection.

Existing Securitisations

In the context of the Existing Securitisations (as defined above), the Issuer appointed Intesa Sanpaolo as the servicer and Intesa Sanpaolo and Italfondinario as special servicers, respectively. Pursuant to the Servicing Agreement (as defined below), the Issuer has appointed Intesa Sanpaolo as Servicer and First Special Servicer and Italfondinario as Second Special Servicer. However, each of the Servicer and the Special Servicers has undertaken to keep the Claims of which management it is entrusted (and where applicable, the Collections) separated from the Existing Claims (as defined below) and the relevant collections.

Further Securitisations

The Issuer may purchase and securitise further portfolios of monetary claims in addition to the Portfolio. Any such securitisation is subject to the Rating Agency's prior confirmation that any such securitisation transaction will not adversely affect the rating of the Senior Notes.

The Representative of the Noteholders

The Conditions and the Intercreditor Agreement contain provisions requiring the Representative of the Noteholders to have regard to the interests of the holders of the Notes of all classes as regards all powers, authorities, duties and discretion of the Representative of the Noteholders as if they formed a single class (except where expressly provided otherwise) but requiring the Representative of the Noteholders, in the event of a conflict between the interests of the holders of different Classes of Notes, to have regard only to the interests of the holders of the Most Senior Class of Notes. In addition, and subject to the above – as in the context of the Securitisation, KPMG will act

as Representative of the Noteholders and Security Trustee, and also as Administrative Services Provider and Foundation Corporate Servicer – the Representative of the Noteholders has undertaken and agreed to act in the best interest of the Securitisation and in the best interest of the Other Issuer Creditors different from itself.

Absence of a secondary market

Although the Issuer has applied for a listing on the official list of the Luxembourg Stock Exchange, there can be no assurance that a secondary market in the Senior Notes will develop or, if it does develop, that such a market will provide holders of the Senior Notes with liquidity of investment, or that it will continue for the life of the Senior Notes. Furthermore, the Notes will not be registered under the securities laws of the United States or the Republic of Italy or any other jurisdiction, and the transfer of the Notes will be subject to restrictions (see section headed “*Subscription and Sale*”).

The Senior Noteholders therefore may not be able to find a buyer to buy the Senior Notes readily or at prices that will enable the Senior Noteholders to realise a desired yield. Such restrictions can have a severe adverse effect on the market value of the Senior Notes. In addition, the market value of the Senior Notes may be affected by general debt capital markets conditions, including the then prevailing interest rates.

Suitability

Structured securities, such as the Senior Notes, are sophisticated instruments, which can involve a significant degree of risk. Prospective investors in the Senior Notes should ensure that they understand the nature of the Senior Notes and the extent of their exposure to the relevant risk. Such prospective investors should also ensure that they have sufficient knowledge, experience and access to professional advice to make their own legal, tax, accounting and financial evaluation of the merits and risks of investment in the Senior Notes and that they consider the suitability of the Senior Notes as an investment in light of their own circumstances and financial condition.

Securitisation Law

As at the date of this Prospectus, only limited interpretation on the application of the Securitisation Law has been issued by any Italian governmental or regulatory authority, therefore it is possible that further regulations, relating to the Securitisation Law or the interpretation thereof, are issued in the future, the impact of which cannot be predicted by the Issuer, the Arrangers, the Lead Manager, the Bookrunner or any other party to the Transaction Documents, as at the date of this Prospectus.

Projections, forecasts and estimates

Forward-looking statements, including estimates, any other projections, forecasts and estimates in this Prospectus, are necessarily speculative and subjective in nature and some or all of the assumptions underlying the projections may not materialise or may vary significantly from actual

results. Such statements are subject to risks and uncertainties that could cause the actual results to differ materially from those expressed or implied by such forward-looking statements. Prospective investors should not rely on these forward-looking statements, which speak only as of the date of this Prospectus and are based on assumptions that may prove to be inaccurate. None of the Issuer, the Lead Manager, the Bookrunner, the Arrangers or any other party to the Transaction Documents has or will have any obligation to update or revise any forward-looking statements contained herein to reflect events or circumstances occurring after the date of this Prospectus.

Limited review of the Claims and limited representations and warranties

Without prejudice to provisions set forth in this Prospectus concerning the responsibility accepted, respectively, by the Issuer, the Originator and the Special Servicers for the information contained in this Prospectus, none of the Issuer, the Lead Manager, the Bookrunner and the Arrangers has undertaken, or will undertake, any review, investigation, search or other action to verify the details of the Claims sold to the Issuer pursuant to the Transfer Agreement or to establish the creditworthiness of the Originator. The Issuer will rely solely on certain representations and warranties given by the Originator in respect of itself and the Claims pursuant to the Transfer Agreement. See section headed “*Description of the Transaction Documents – Transfer Agreement*”.

European Withholding Tax Directive

The EU has adopted a Directive regarding the taxation of savings income in the form of interest payments (Council Directive 2003/48/EC of 3 June 2003). Under the Directive, subject to a number of important conditions being met, Member States are required from 1 July 2005 to provide to the tax authorities of other Member States details of payments of interest and other similar income paid by a person within its jurisdiction to an individual resident in another Member State, except that Austria, Belgium and Luxembourg may instead impose a withholding system for a transitional period in relation to such payments unless during such period they elect otherwise, deducting tax at rates rising over time to 35%. The transitional period will terminate at the end of the first fiscal year following agreement by certain non-EU countries to the exchange of information relating to such payments. For further details see the section headed “*Taxation*”.

Risk of Losses Associated with Declining Property Values

The security for the Notes consists of, *inter alia*, the Issuer's interest in the Mortgage Loans. The value of this security may be affected by, among other things, a decline in property values. No assurance can be given that the values of the Real Estate Assets have remained or will remain at the level at which they were on the origination dates of the related Mortgage Loans. Should the Italian residential property market experience an overall decline in property values, such a decline could, in certain circumstances, result in a significantly reduced security value and ultimately, may result in losses to the Noteholders if the security is required to be enforced.

Limited Nature of Credit Rating assigned to the Notes

The credit rating assigned to the Senior Notes reflects the Rating Agency's assessment only of the likelihood of timely payment of interest (pursuant to the Transaction Documents) and the ultimate repayment of principal on or before the Final Maturity Date, not that such repayment of principal will be paid when expected or scheduled. This rating is based, among other things, on the Rating Agency's determination of the value of the Claims, the reliability of the payments on the Claims and the availability of credit enhancement.

In particular, without limitation, the rating does not address the following:

- the likelihood that the principal will be redeemed on the Senior Notes on the expected redemption dates;
- possibility of the imposition of Italian or European withholding taxes;
- the marketability of the Senior Notes, or any market price for the Senior Notes; or
- whether an investment in the Senior Notes is a suitable investment for a Class A Noteholder.

A rating is not a recommendation to purchase, hold or sell the Senior Notes.

The Rating Agency may lower its rating or withdraw its rating if, in the sole judgement of the Rating Agency, the credit quality of the Senior Notes has declined or is in question. If the rating assigned to the Senior Notes is lowered or withdrawn, the market value of the Senior Notes may be adversely affected.

Legal Proceedings on Intesa Sanpaolo

Intesa Sanpaolo is subject to a variety of claims and is party to a number of legal proceedings, arising in the ordinary course of its business.

Although the outcome of such claims and proceedings is inherently uncertain, Intesa Sanpaolo does not believe liabilities related thereto to be likely to, individually or in aggregate, have a material adverse effect on its the financial and economic position, on the Claims or on the transfer thereof under the Transfer Agreement.

Potential Conflicts of Interest

The Arrangers and the Lead Manager and its affiliates have engaged, and may in the future engage, in investment banking and/or commercial banking transactions with, and may perform services for, the Originator and its affiliates in the ordinary course of their business. Other parties to the transaction may also perform multiple roles, including Intesa Sanpaolo who, in addition to being the Originator, is also the Servicer, the First Special Servicer, the Account Bank, the Paying Agent, the Cash Manager, a Quotaholder, an Administrative Services Provider, the Swap Counterparty and the Subordinated Loan Provider, and KPMG who, in addition to being the Representative of the

Noteholders and the Security Trustee, is also the Administrative Services Provider and the Foundation Corporate Servicer.

Accordingly, conflicts of interest may exist or may arise as a result of parties to this transaction: (a) having previously engaged or in the future engaging in transactions with other parties to the transaction; (b) having multiple roles in this transaction; and/or (c) carrying out other transactions for third parties.

Withholding Tax under the Senior Notes

Payments under the Senior Notes may, in certain circumstances, described in the section entitled “*Taxation*” of this Prospectus, be subject to a Decree 239 Deduction. In such circumstance, any beneficial owner of an interest payment relating to the Senior Notes will receive amounts of interest payable on the Senior Notes net of the Decree 239 Deduction. At the date of this Prospectus, such Decree 239 Deduction is levied at the rate of 12.5%, or, in case of payments to non-resident beneficial owners, such lower rate as may be applicable under the relevant double taxation treaty.

In the event that any Decree 239 Withholding or any other deduction or withholding for or on account of tax is imposed in respect of payments to Senior Noteholders of amounts due pursuant to the Senior Notes, neither the Issuer or any other person will be obliged to gross-up or otherwise compensate Noteholders for the lesser amounts the Noteholders will receive as a result of the imposition of any such deduction or withholding, or otherwise to pay any additional amounts to any of the Noteholders.

In addition to the above, pursuant to article 26 of Italian Legislative Decree No. 600 of 29 September, 1973, in the event that any Senior Notes are redeemed in whole or in part prior to the expiring of the eighteen month period from the Issue Date, the Issuer will be obliged to pay tax in Italy at a rate of 20% of all interest accrued on the principal amount repaid early up to the relevant repayment date.

Any such tax payments would have the effect of reducing the amounts available to the Issuer to meet its obligation to make payment to the holders of the Senior Notes. See the section entitled “*Taxation*”.

Prepayment and Renegotiations

Debtors are in general entitled to prepay their loans at any time (see the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio - Prepayment Fee*”). In the case of *mutui fondiari* the right to prepay the loan is provided for by article 40 of the Consolidated Banking Act.

In addition, pursuant to article 8 of the Italian Law Decree No. 7 of 31 January 2007, that came into force on the 2 February 2007, as converted into law by Italian Law No. 40 of 2 April 2007 (the

“**Bersani-bis Decree**”), any Borrower may at any time prepay the relevant Mortgage Loan funding such prepayment by a loan granted by another lender which will be subrogated pursuant to article 1202 of the Italian Civil Code (*surrogato per volontà del debitore*) in the rights of the Issuer, including the Mortgages (without any formalities for the annotation of the transfer with the land registry, which shall be requested by enclosing a certified copy of the deed of subrogation (*atto di surrogazione*) to be made in the form of a public deed (*atto pubblico*) or of a deed certified by a notary public with respect to the signature (*scrittura privata autenticata*)) without prejudice to any fiscal benefits.

Based also on the trends emerged from the date on which the Bersani-*bis* Decree came into force, it is reasonable to assume that the enactment of the Bersani-*bis* Decree will contribute to maintaining a higher level of prepayments compared to the period preceding their enactment and/or a higher level of renegotiations of the Mortgage Loans resulting in lower Instalments and longer terms; it is however not possible to foresee the actual level of prepayments and of renegotiations of the Claims and its implications on the Securitisation.

Under Article 65 of the Italian Bankruptcy Law payments falling due on or after the date on which the relevant debtor is declared bankrupt but which were made by the debtor before such date, are ineffective against the creditors of the bankrupt debtor if made in the two years immediately preceding the date on which the debtor was declared bankrupt. While the Securitisation Law provides that claw-back provisions set forth in Article 67 of the Italian Bankruptcy Law do not apply to payments made by the assigned debtors to the Issuer in respect of the securitised Claims, it does not contain any specific exemption provisions in respect of Article 65 of the Italian Bankruptcy Law. Therefore, it cannot be excluded that Article 65 of the Italian Bankruptcy Law would apply to payments made in respect of the Claims before the relevant due date. The above is only relevant in the event a debtor is a commercial company or a commercial entrepreneur (*imprenditore che esercita un'attività commerciale*) qualifying under article 1 of the Italian Bankruptcy Law.

Lower Instalments for year 2009

Pursuant to article 2 of Italian Law Decree No. 185 of 29 November 2008, converted into law, with amendments, by Law No. 2 of 28 January 2009 (“**Decree 185/2008**”), the amount of the instalments of qualifying non fixed rate loans (i.e. those undertaken to finance the purchase, building and renovation of the main residence (*abitazione principale*) - with the exception of those belonging to categories A1, A8 and A9 (i.e. luxury flats and houses and castles) - taken out by individuals up to 31 October 2008) to be paid during year 2009, may have to be calculated by applying an interest rate lower than the one then prevailing in accordance with the provisions of the relevant loan agreement. The difference between the amounts of the instalments that would be due under the applicable contractual terms and those determined in accordance with the provisions of Decree 185/2008 shall be assumed for by the State (the “**Balance Amount**”). On 28 December 2008, the MEF has clarified that, with regard to securitised loans, the Balance Amount shall be paid to the relevant debtor by the originator or by the servicer appointed pursuant to article 2.3(c) of the Securitisation

Law on the due date of payment of the relevant instalment. No express provision has been set out to discipline failure by the relevant lender to pay the Balance Amount or refusal by the borrower to pay the entire instalment of a securitised claim. See further “*Selected Aspects of Italian law relevant to the Portfolio and the transfer of the Portfolio - Lower Instalments for year 2009*”.

Payment holidays

In the framework of the enactment of measures to enhance competition in the retail banking system (See further “*Risk Factors - Lower Instalments for year 2009*” and “*Risk Factors - Prepayment and Renegotiations*”) and due to the current economic climate, a number of laws and regulations have been recently enacted that set out provisions purporting to encourage banks to allow borrowers to obtain, *inter alia*, payment holidays in specific circumstances. In certain cases the implementing regulations have yet to be issued, and as a consequence the relevant laws or regulations are not yet effective, in other cases the banks would have to accede to agreements with relevant authorities or trade associations (*associazioni di categoria*) in order to be bound to grant payment holidays to qualifying borrowers.

Some of the above laws and regulations are:

(i) Article 12 of Decree 185/2008, setting out the discipline concerning the Tremonti Bonds. The management board and the supervisory board of Intesa Sanpaolo resolved upon the issuance of Tremonti Bonds (as defined below) in an amount up to Euro 4,000,000,000. The issue of Tremonti Bond by Intesa Sanpaolo and the underwriting thereof by the MEF are subject to a number of conditions. The terms of the Tremonti Bonds to be issued by Intesa Sanpaolo and the specific measures that Intesa Sanpaolo would adopt under article 12 of Decree 185/2008 - including, without limitation, those concerning payment holidays for at least 12 months to be allowed to borrowers (or a family member) of qualifying mortgage loans receiving unemployment benefit or wage subsidies following redundancy or the payment of a lump sum due to non-employed workers in accordance with article 19, paragraph 2, of Decree 185/2008 - are not yet available. See the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio – Tremonti Bonds*”.

(ii) Article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007 (the Italian budget law for year 2008), setting out the terms upon which payment holidays for an aggregate maximum holiday payment of eighteen months can be obtained by borrowers that cannot meet the payments obligations under the mortgage loan they have undertaken to fund the purchase of their main residence (*abitazione principale*). The fund to be created to fund certain costs in connection with the above and to be held by the MEF has yet to be implemented notwithstanding Decree 185/2008 setting out further provisions concerning the above fund. See the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio – Fund to support debtors of mortgage loans obtained to fund the purchase of their main residence*”.

(iii) Article 6 of the law of the Umbria Region No. 4 of 5 March 2009, setting out the terms at which payment holidays up to twenty four months and Euro 20,000 that would be funded by a regional fund can be obtained by qualifying borrowers having been made redundant in connection with mortgage loans undertaken to fund the purchase or the renovation of their main residence (*abitazione principale*). Intesa Sanpaolo has not yet acceded to the relevant agreements.

In addition, article 5, paragraph 3, of Italian law decree No. 39 of 28 April 2009, converted into law, with amendments, by Italian law No. 77 of 24 June 2009, sets out, *inter alia*, a payment holiday until 31 July 2009 for the benefit of, *inter alios*, individual debtors working in the areas of the Abruzzo Region that were affected by the 6 April 2009 earthquake (as such areas have been identified in accordance with the provisions of the above decree). Intesa Sanpaolo will implement measures extending the above payment holiday up to April 2010.

In the event payment holidays were to concern the Claims due to the measures above or to other similar measures, the Swap Agreement (in addition to aiming at hedging the Issuer's interest rate exposure in relation to its floating rate obligations under the Notes) aims at hedging the Issuer with regard to its interest rate exposure in relation to its floating rate obligations under the Notes and the interest component of its risk exposure due to any renegotiation (whether or not encompassing payment holidays) the Mortgage Loans, made under the Bersani-*bis* Decree, in connection with the issue of Tremonti Bonds by the Intesa Sanpaolo Group, under article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007, or under other laws or regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached, or in accordance with other provisions of the Collection Policy. In addition, as concerns the effects of a payment holiday on the principal component of the relevant instalments, the Noteholders would have the protection offered by the time delay between the Final Maturity Date and the final term of the relevant Claims, that could fall after the end of June 2051 only as an effect of payment holidays having to be granted under laws or regulations or granted under agreements promoted by relevant authorities or trade associations (*associazioni di categoria*).

Tax Treatment of the Issuer

Taxable income of the Issuer is determined in accordance with Italian Presidential Decree No. 917 of 22 December, 1986, as amended by Legislative Decree No. 344 of 12 December 2003. Pursuant to the regulations issued by the Bank of Italy on 29 March 2000 and on 14 February 2006 ("*Schema di bilancio delle società per la cartolarizzazione dei crediti*"), the assets, liabilities, costs and revenues of the Issuer in relation to the securitisation of the Mortgage Loans will be treated as off-balance sheet assets, liabilities, costs and revenues. Based on the general rules applicable to the calculation of the net taxable income of a company, such taxable income should be calculated on the basis of accounting, i.e. on-balance sheet, earnings, subject to such adjustments as are specifically provided for by applicable income tax rules and regulations. On this basis, no taxable income should accrue to the Issuer in the context of the transfer to the Issuer of the Portfolio. In this respect, Italian tax

authorities (Circular No. 8/E issued by *Agenzia delle Entrate* on 6th February 2003) have stated that the net proceeds generated by the receivables may not be considered as legally available to the issuer – and therefore do not constitute taxable income - insofar as they are destined to the payment of the noteholders (also in respect of junior notes), of the other creditors of the issuer and of certain third party creditors in respect of the securitisation of the receivables.

It is, however, possible that the MEF or another competent authority may issue further regulations, letters or rulings relating to the Securitisation Law which might alter or affect the tax position of the Issuer as described above in respect of all or certain of its revenues and/or items of income also through the non-deduction of costs and expenses.

As confirmed by the tax authority (Ruling No. 222 issued by *Agenzia delle Entrate* on 5 December 2003) the interest accrued on the Issuer Accounts in the Republic of Italy will be subject to withholding tax on account of corporate income tax. As of the date of this Prospectus, such withholding tax is levied at the rate of 27% and has to be imposed at the time of payment. Such withholding tax as well as, more in general, any withholding tax applied on any income accrued or paid to the Issuer in the context of the Securitisation could not be recovered in the absence of any taxable income of the Issuer. See Section headed “*Taxation*” for further details.

Senior Notes as Eligible Collateral for ECB Liquidity and/or Open Market Transactions

After the Issue Date an application may be made by the Lead Manager, Intesa Sanpaolo or others to a central bank in the Eurozone to record the Senior Notes as eligible collateral, within the meaning of the guidelines issued by the European Central Bank in November 2008 (*The implementation of monetary policy in the Euro area*), for liquidity and/or open market transactions carried out with such central bank. In this respect, it should be noted that in accordance with their policies, neither the European Central Bank nor the central banks of the Eurozone will confirm the eligibility of the Senior Notes for the above purpose prior to their issuance and if the Senior Notes are accepted for such purpose, the relevant central bank may amend or withdraw any such approval in relation to the Senior Notes at any time. The assessment and/or decision as to whether the Senior Notes qualify as eligible collateral for liquidity and/or open market transactions rests with the relevant central bank. None of the Issuer, the Originator, the Arrangers or the Lead Manager or any other party to the Transaction Documents gives any representation or warranty as to the eligibility of the Senior Notes for such purpose, nor do they accept any obligation or liability in relation to such eligibility or lack of it of the Senior Notes at any time.

Historical Information

The historical financial and other information set out in the sections headed “*The Originator*”, “*Loan Servicing and Collection Procedures*” (except paragraph C.2 thereof) and “*The Portfolio*”, including in respect of collection rates, represents the historical experience of the Originator. There can be no

assurance that the future experience and performance of Intesa Sanpaolo as Servicer and First Special Servicer of the Portfolio will be similar to the experience shown in this document.

Change of Law

The structure of the transaction and, *inter alia*, the issue of the Notes and the rating assigned to the Senior Notes are based on Italian laws, regulations and practice, including as concerns tax matters, in effect at the date hereof and, in particular as concerns tax matters, having due regard to the expected tax treatment of all the relevant entities under such laws, regulations and practice. No assurance can be given that Italian laws, regulations and practice, including as concerns tax will not change after the Issue Date or that any such change will not adversely impact the structure of the transaction and the treatment of the Notes. This Prospectus will not be updated to reflect any such changes or events.

The Issuer believes that the risks described above are the principal risks inherent in the transaction for holders of the Senior Notes but the inability of the Issuer to pay interest or repay principal on the Notes of any such class may occur for other reasons and the Issuer does not represent that the above statements of the risks of holding the Senior Notes are exhaustive. While the various structural elements described in this Prospectus are intended to lessen some of these risks for holders of the Senior Notes, there can be no assurance that these measures will be sufficient or effective to ensure payment to the holders of the Senior Notes of such classes of interest or principal on such Notes on a timely basis or at all. Neither the Issuer, the Representative of the Noteholders, the Arrangers nor the Lead Manager have carried out any investigation of, or due diligence exercise in respect of, the Portfolio, the Claims, the Mortgages or the Real Estate Assets and each of them has relied, and will rely, on the representations and warranties given by Intesa Sanpaolo in the Transfer Agreement.

THE PORTFOLIO

The Portfolio consisting of 66,505 Loan Positions and the Claims comprised in it, primarily arising out of residential mortgage loans, qualifying as *mutui fondiari*, and for the remaining part arising out of residential mortgage loans, not qualifying as *mutui fondiari*, (the “**Mortgage Loans**”), classified as performing by Intesa Sanpaolo, have been transferred to the Issuer pursuant to the terms of the Transfer Agreement. Each of the Mortgage Loans is governed by Italian Law. For the avoidance of doubt, the Portfolio does not consist, in whole or in part, actually or potentially, of credit-linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives.

The nominal value (principal plus accrued interest) of the Claims as at the Effective Date was equal to Euro 5,860,077,110.80, which is expected to enable generation of sufficient funds to cover payments due on the issued securities (see paragraph entitled “*The Portfolio*” below and section headed “*Expected Maturity and Average Life of the Senior Notes and Assumptions*”).

The Transfer Agreement does not contain any provision pursuant to which the Claims comprised in the Portfolio could be replaced or exchanged or the value of the Portfolio could be increased, except for increases of the Portfolio which may take place pursuant to the Transfer Agreement in respect of those claims which complied with the Criteria but which were in error not transferred to the Issuer on the Execution Date.

“**Loan Position**” means each drawdown under any Mortgage Loan and where any drawdown has been fractioned into two or more portions, each such fractioned portion the Claims in respect of which have been transferred by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement, and “**Loan Positions**” means all such drawdowns and all the fractioned portions thereof.

Characteristics of the Mortgage Loans

The Claims were existing as at the Execution Date and, with reference to the close of business of 25 March 2009 (the “**First Reference Date**”) and of 12 May 2009 (the “**Second Reference Date**”), were meeting the following objective criteria (the “**Criteria**”):

Mortgage Loan Types

- (i) each Claim derived from Mortgage Loans granted by (a) Cariplo – *Cassa di Risparmio delle Provincie Lombarde S.p.A.* which was merged by incorporation in Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003) (“**Intesa**”) with effect as from 31 December 2000; (b) Banco Ambrosiano Veneto S.p.A. which was merged by incorporation in Intesa with effect as from 31 December 2000; (c) Banca Commerciale Italiana S.p.A. which was merged by incorporation

- in Intesa with effect as from 1 May 2001; (d) Intesa which, following the merger with Sanpaolo IMI S.p.A. (“**Sanpaolo IMI**”), changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007; (e) Istituto Bancario San Paolo di Torino S.p.A. which, following the merger with IMI - Istituto Mobiliare Italiano S.p.A., changed its name into Sanpaolo IMI with effect as from 1 November 1998; (f) Sanpaolo IMI, which following the merger with Intesa, changed its name into Intesa Sanpaolo with effect as from 1 January 2007; (g) Intesa Sanpaolo; (h) Banca di Legnano S.p.A., the claims originated thereby have been assigned and transferred *pro soluto* to Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003, now Intesa Sanpaolo) on 13 June 2002; (i) Banco di Napoli S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 31 December 2002; (j) Cassa dei Risparmi di Forlì S.p.A. (which has subsequently changed its name into Cassa dei Risparmi di Forlì e della Romagna S.p.A. as from 1 March 2007), through the branches which have been transferred to Intesa Sanpaolo - in the context of an assignment of ongoing concern - as from 1 October 2007; (k) Cassa di Risparmio di Padova e Rovigo S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 24 January 2005; (l) Cassa di Risparmio in Bologna S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 31 January 2005; (m) Banca Popolare dell’Adriatico S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 17 June 2006;
- (ii) each Claim represented 100% (one hundred per cent.) of the monetary rights arising from the relevant Mortgage Loan Agreement or, as regards those Mortgage Loans which were fractioned into one or more portions (*frazionamento mediante accollo*), represented 100% (one hundred per cent.) of the monetary rights pertaining to Intesa Sanpaolo in relation to such fractioned portion;
 - (iii) no Mortgage Loan Agreements have been entered into in the framework of any conventions or agreements with any national or supranational entities or any public or private entities, which allowed the relevant originator to grant loans to particular categories of borrowers or at particular interest rates;
 - (iv) no Mortgage Loan was subsidised by any third party (*credito agevolato*) (*credito agevolato* excludes, for the avoidance of doubt, the measures provided for by articles 2 and 12 of the Italian Law Decree No. 185 of 29 November 2008, converted into law, with amendments, by Law No. 2 of 28 January 2009);
 - (v) no Mortgage Loan was granted with funding belonging to third parties;
 - (vi) no Mortgage Loan benefits from any special conditions granted to the employees of the Intesa Sanpaolo Group nor the relevant Borrowers, or one or more of them in the case of joint Borrowers, are employees of the Intesa Sanpaolo Group;
 - (vii) no Mortgage Loan was granted by the issue of “*cartelle fondiari*”;

- (viii) no Mortgage Loan was granted in accordance with Italian Law No. 1228 of 27 July 1962 (*Imposta Annuale di Abbonamento*);
- (ix) no Mortgage Loan was part of a syndicated loan;
- (x) the Mortgage Loan Agreements do not include mortgage loan agreements with a “*taylor made*” amortisation profile without pre-agreed timing of repayment of the principal;
- (xi) the Mortgage Loan Agreements do not include mortgage loan agreements which provide for a single repayment in full, bullet at maturity;
- (xii) no Mortgage Loans have been renegotiated in accordance with the provisions of Italian Law Decree No. 93 of 27 May 2008
- (xiii) no Mortgage Loans was granted by any of the following 61 branches of the Intesa Sanpaolo Group:

2009	VIA A.LAZZARI, 3/5	VENEZIA	VE
2048	PIAZZA DEL MERCATO, 11/A	VENEZIA	VE
36181	VIA VENEZIA, 153	MIRA	VE
36320	VIA ROMA, 31	SCORZE'	VE
36040	VIA ROMA, 59	CEGGIA	VE
36282	VIA XIII MARTIRI, 80	SAN DONA' DI PIAVE	VE
2610	VIA A. DE GASPERI, 40	ANCONA	AN
89240	Via Municipio, 18/20/22	MONTECORVENE SUPERIORE	AV
77912	CORSO EUROPA, 9	VASTO	CH
58590	VIA ROMA, 20	MERANO	BZ
20802	CORSO ROSMINI, 56	ROVERETO	TN
15600	VIA XXIV MAGGIO, 125	ISERNIA	IS
77000	VIA D'ANNUNZIO ANG. VIA VERONA	PINETO	TE
36160	PIAZZA VITTORIA, 27 ANG. VIA CASTELLANA	MARTELLAGO	VE
15430	CORSO VITTORIO EMANUELE II, 254 ANG. VIA TRENTO, 2	PESCARA	PE
15410	VIALE G. MARCONI, 60	PESCARA	PE
77840	CORSO ITALIA, 39	SAN GIOVANNI TEATINO	CH
2210	VIA S.CATERINA DA SIENA, 4	TRIESTE	TS
1814	VIA MANTOVA, 2	TRENTO	TN
35320	VIALE GIOVANNI PRATI, 47	RIVA DEL GARDA	TN
11620	VIA DELLA MOSTRA, 2	BOLZANO	BZ
2047	PIAZZALE DONATORI DI SANGUE, 2	VENEZIA	VE
2040	CALLE LARGA XXII MARZO, 2188	VENEZIA	VE
2221	PIAZZA DELLA LIBERTA', 4 ANG. VIA BENVENUTO CELLINI, 3	TRIESTE	TS
2223	VIALE XX SETTEMBRE, 35	TRIESTE	TS
2226	PIAZZA DEL SANSOVINO, 7/A	TRIESTE	TS
2224	PIAZZA DELLA BORSA, 15/A	TRIESTE	TS
2225	VIA GIOVANNI E SEBASTIANO CABOTO, 12	TRIESTE	TS
2220	PIAZZA DELLA REPUBBLICA, 2	TRIESTE	TS
12410	CORSO ITALIA, 4	GORIZIA	GO
64610	VIALE SAN MARCO, 13/A	MONFALCONE	GO
63690	VIA NAZIONALE, 41	BUTTRIO	UD

12320	PIAZZA DEL DUOMO, 8/9	UDINE	UD
63901	Via Marconi, 14	LATISANA	UD
12510	VIALE TRENTO, 42	PORDENONE	PN
64991	VIALE DELLA REPUBBLICA, 47	SACILE	PN
65011	VIA MANFRIN, 16	SAN VITO AL TAGLIAMENTO	PN
2620	CORSO STAMIRA, 2	ANCONA	AN
21200	VIA TORNABROCCO, 2/A ANG. VIALE DELLA VITTORIA	JESI	AN
37350	VIA IV NOVEMBRE, 3	FALCONARA MARITTIMA	AN
21100	VIALE G. MILIANI, 2	FABRIANO	AN
13300	VIA DEI PARTIGIANI, 1	PESARO	PU
68870	VIA MATTEO BOIARDO, 28	CIVITANOVA MARCHE	MC
24400	VIA CAVOUR, 14	SAN BENEDETTO DEL TRONTO	AP
40220	Corso Italia, 106 - Palazzo Manzo	SAVIANO	NA
13400	VIA ROMA, 15/F	MACERATA	MC
39770	Via Cucca 130 Ang. Via De Gasperi	BRUSCIANO	NA
41130	VIA MARIO MILANO, 7	TERMOLI	CB
40390	Via V. Emanuele, 55-57	CASTELLO DI CISTERNA	NA
3800	VIALE XXIV MAGGIO, 97	CAMPOBASSO	CB
15401	VIA CONTE DI RUVO, 78	PESCARA	PE
15402	VIALE GIOVANNI BOVIO, 452	PESCARA	PE
77340	CORSO UMBERTO I, 17	MONTESILVANO	PE
77750	VIA FABIO FILZI, 20/B	LANCIANO	CH
77690	PIAZZALE SIRENA, 15	FRANCAVILLA AL MARE	CH
76720	VIALE MAZZINI, 77	ALBA ADRIATICA	TE
40440	VIA NAZARIO SAURO, 58	AVEZZANO	AQ
77780	VIA XXIV MAGGIO, 23	ORTONA	CH
15500	PIAZZA VITTORIO EMANUELE II, 15	CHIETI	CH
3600	VIA CORRADO IV, 16	L'AQUILA	AQ
15310	VIALE BOVIO, 55	TERAMO	TE

Mortgage Loan Status

- (i) no payments on any Mortgage Loans were outstanding in an amount of principal and interest (other than in respect of default interest) (the “**Overdue Amount**”) (i) higher than 300% of the last overdue instalment in respect of the Mortgage Loans which payments (at least interest payments) are due on a monthly basis, and (ii) equal to or higher than 101% of the last overdue instalment in respect of the Mortgage Loans which payments (at least interest payments) are due on quarterly or semi-annual basis; for the purposes of the calculation of the Overdue Amount in relation to this *criterium*, the payments made in respect of each Mortgage Loan as of the relevant due date were determined on the basis of the accounting records of Intesa Sanpaolo as of each such date, taking into account the payment methods applicable to the relevant Mortgage Loan Agreement;

- (ii) no Mortgage Loan was classified as “*in sofferenza*” or “*incagliato*” in accordance with the Bank of Italy’s Guidelines (*Istruzioni di Vigilanza per le Banche*), as set out in the information available to the relevant Borrower at the branches of Intesa Sanpaolo;
- (iii) no Mortgage Loan granted by Banca di Legnano S.p.A., Banco di Napoli S.p.A., Cassa dei Risparmi di Forlì S.p.A., Cassa di Risparmio di Padova e Rovigo S.p.A., Cassa di Risparmio in Bologna S.p.A., Banca Popolare dell’Adriatico S.p.A. was advanced after 30 April 2004; none of the remaining Mortgage Loans was advanced after 20 March 2009;
- (iv) where the Mortgage Loan Agreements set out an amortisation plan with variable duration in order to maintain the instalments due from time to time as fix as possible notwithstanding the floatation of the interest rate (save for the specific terms provided for in the relevant Mortgage Loan Agreement), the Mortgage Loans which had both the following characteristics were excluded: (a) were advanced by the branches of Intesa Sanpaolo which, before 1 January 2007, were branches of Intesa, and (b) were advanced before 1 March 2007;
- (v) where the Mortgage Loans Agreements provide for a constant instalments and an amortisation plan with variable duration, they satisfied the following conditions: (i) were advanced by Intesa; (ii) their amortisation period began in years 2005 and 2006, and (iii) their original final repayment date is of 10 or 15 or 18 or 20 or 24 or 25 years;
- (vi) each Mortgage Loan was still outstanding for a principal amount (a) in excess of Euro 500 and (b) lower than or equal to Euro 750,000;
- (vii) each Mortgage Loan was fully advanced, disbursed and drawn-down and there was no obligation on Intesa Sanpaolo to advance or disburse further amounts in connection therewith;
- (viii) the Mortgage Loans from which they arise do not provide for an amortisation plan on a semi-annual basis and payment of instalments on a monthly basis;
- (ix) payments (at least interest payments) of the Mortgage Loans from which they arise are due on a monthly, quarterly or semi-annual basis.

Security

- (i) each Mortgage Loan was secured by a mortgage (*ipoteca*) on residential properties located in Italy with the exception of the Abruzzo Region;

Currency

- (i) each Mortgage Loan was denominated in Italian Lire and/or Euro as at the relevant execution date;
- (ii) no Mortgage Loan was indexed to a foreign currency.

Interest Rates

- (i) each Mortgage Loan Agreement sets out fixed and/or floating interest rates; provided that where floating interest rate applies – whether to all or part of the relevant Mortgage Loan,

and to the whole term thereof or to one or more periods – such rate implies an indexation only to the Euribor rate, timely obtained.

Term

- (i) no amortisation plan set out by a Mortgage Loan Agreement has been modified by means of a postponement of the final repayment date as a consequence of the decrease of each instalment and the consequent increase of the number of instalments, with the suspension of part of the default interest due by the Borrower;
- (ii) the payment of the instalment due was not currently suspended further to the exercise by the Borrower of a subsuspension option set out by the relevant Mortgage Loan Agreement.

Borrowers

- (i) the relevant Borrowers are individuals, who have not been declared non *compos mentis*, belonging to the category of consumer (SAE 600) - producer households (SAE 614 and 615) (*famiglie produttrici o consumatrici*), residing in Italy with the exception of the Abruzzo Region.

The Portfolio

The following tables reflect the position and characteristics of the principal outstanding amount of the Portfolio as at the close of business of 23 May 2009. The characteristics of the principal outstanding amount of the Portfolio as at the Issue Date may vary from those set out in the following tables as a result, *inter alia*, of prepayments and renegotiations of the Mortgage Loans prior to the Issue Date.

Overview of the Residential Mortgage Loan Portfolio

General Statistics

(data as of 23 May 2009 - Amounts in Euro, unless otherwise stated)

Loan Positions	66,505
Average Original Outstanding Amount	102,299.88
Largest Original Outstanding Amount	2,000,000.00
Average Current Outstanding Amount	87,790.43
Largest Current Outstanding Amount	741,868.01
Weighted Average Original Loan to Value	65.25%
Weighted Average Current Loan to Value ^(*)	59.75%
Weighted Average Seasoning (Months)	30.83
Weighted Average Residual Maturity (Months)	247.51
Weighted Average Original Maturity (Months)	267.10
Aggregate Value of the Real Estate Assets ^(**)	12,694,701,608.11

(*) Current LTV defined as the ratio between the current outstanding amount and the housing value at the origination date

(**) as at relevant origination date

Each range excludes the lowest percentage and includes the highest percentage

Table 1) Breakdown of the Portfolio by Current Outstanding Amount

Range (Euro)		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
0.00	25,000.00	391,863,415.92	5.76%	9,696	14.58%	116,934,270.47	2.00%
25,000.00	50,000.00	629,679,063.18	9.26%	10,780	16.21%	410,430,757.07	7.03%
50,000.00	75,000.00	826,496,263.93	12.15%	11,034	16.59%	686,546,351.03	11.76%
75,000.00	100,000.00	1,095,687,008.83	16.10%	11,294	16.98%	992,458,413.38	17.00%
100,000.00	125,000.00	1,061,366,130.96	15.60%	8,887	13.36%	996,853,764.69	17.07%
125,000.00	150,000.00	978,099,644.08	14.38%	6,775	10.19%	929,281,836.00	15.92%
150,000.00	175,000.00	513,514,068.57	7.55%	3,035	4.56%	488,571,213.41	8.37%
175,000.00	200,000.00	385,061,429.92	5.66%	1,951	2.93%	366,234,421.80	6.27%
200,000.00	225,000.00	216,381,753.01	3.18%	981	1.48%	206,339,963.58	3.53%
225,000.00	250,000.00	180,388,552.57	2.65%	723	1.09%	172,204,274.76	2.95%
250,000.00	275,000.00	90,282,001.66	1.33%	322	0.48%	84,307,344.83	1.44%
275,000.00	300,000.00	113,046,896.02	1.66%	368	0.55%	106,587,643.97	1.83%
300,000.00	325,000.00	41,468,496.87	0.61%	122	0.18%	38,174,272.05	0.65%
325,000.00	350,000.00	36,814,001.70	0.54%	99	0.15%	33,761,158.52	0.58%
350,000.00	375,000.00	28,121,205.58	0.41%	71	0.11%	25,631,600.81	0.44%
375,000.00	400,000.00	31,156,220.02	0.46%	70	0.11%	27,248,287.26	0.47%
400,000.00	500,000.00	81,065,300.75	1.19%	151	0.23%	68,381,003.42	1.17%
500,000.00	600,000.00	49,463,158.82	0.73%	77	0.12%	42,268,224.06	0.72%
600,000.00	700,000.00	38,129,719.00	0.56%	50	0.08%	32,534,738.21	0.56%
700,000.00	750,000.00	15,369,000.00	0.23%	19	0.03%	13,753,263.86	0.24%
		6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 2) Breakdown of the Portfolio by Original Loan to Value

Range		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
0%	30%	544,574,894.75	8.00%	8,959	13.47%	449,771,478.19	7.70%
30%	40%	484,812,130.37	7.13%	6,002	9.02%	408,993,797.51	7.01%
40%	50%	693,083,853.78	10.19%	7,423	11.16%	560,448,345.36	9.60%
50%	60%	670,790,465.85	9.86%	5,973	8.98%	596,668,533.72	10.22%
60%	70%	859,456,067.43	12.63%	7,476	11.24%	766,620,117.36	13.13%
70%	80%	2,841,675,363.10	41.77%	25,325	38.08%	2,379,435,059.07	40.75%
80%	90%	176,066,608.79	2.59%	1,340	2.01%	165,731,541.59	2.84%
90%	100%	532,993,947.32	7.83%	4,007	6.03%	510,833,930.38	8.75%
Total		6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 3) Breakdown of the Portfolio by Current Loan to Value

Range		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
0%	30%	1,167,684,184.28	17.16%	17,683	26.59%	686,009,756.61	11.75%
30%	40%	674,253,100.40	9.91%	7,619	11.46%	527,966,301.87	9.04%
40%	50%	715,276,844.53	10.51%	6,927	10.42%	610,813,746.27	10.46%
50%	60%	881,928,591.99	12.96%	8,020	12.06%	782,707,458.28	13.41%
60%	70%	938,698,998.86	13.80%	7,934	11.93%	879,397,026.08	15.06%
70%	80%	1,772,160,888.45	26.05%	13,468	20.25%	1,718,331,635.65	29.43%
80%	90%	299,851,915.36	4.41%	2,273	3.42%	287,204,812.89	4.92%
90%	100%	353,598,807.52	5.20%	2,581	3.88%	346,072,065.53	5.93%
Total		6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 4) Breakdown of the Portfolio by Mortgage Economic Rank

Economic Rank	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
First ranking	6,604,170,284.43	97.07%	63,983	96.21%	5,666,822,926.50	97.06%
> First ranking	199,283,046.96	2.93%	2,522	3.79%	171,679,876.68	2.94%
	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 5) Breakdown of the Portfolio by mutui fondiari Mortgages and other Mortgages

Loan Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Fondario	6,269,271,773.92	92.15%	59,530	89.51%	5,575,280,986.52	95.49%
Ipotecario	534,181,557.47	7.85%	6,975	10.49%	263,221,816.66	4.51%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 6) Breakdown of the Portfolio by Property Type

Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Fist Home	6,461,159,581.37	94.97%	62,598	94.13%	5,542,697,498.79	94.93%
Second Home	329,632,253.39	4.85%	3,390	5.10%	287,114,611.43	4.92%
Boxes	12,661,496.63	0.19%	517	0.78%	8,690,692.96	0.15%
Total	16,926,336,600.71	100.00%	66,505	100.00%	12,895,798,852.01	100.00%

Table 7) Breakdown of the Portfolio by Property Location

Geographic Area	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Lombardia	3,072,244,388.97	45.16%	28,631	43.05%	2,650,177,907.91	45.39%
Piemonte	1,055,920,277.55	15.52%	10,949	16.46%	930,739,506.85	15.94%
Liguria	421,263,348.40	6.19%	4,057	6.10%	359,832,479.36	6.16%
Veneto	211,673,977.54	3.11%	1,754	2.64%	194,280,832.18	3.33%
Emilia Romagna	70,444,144.31	1.04%	544	0.82%	63,531,478.38	1.09%
Valle D'Aosta	26,997,200.55	0.40%	230	0.35%	24,169,246.76	0.41%
Trentino Alto Adige	4,943,980.82	0.07%	37	0.06%	4,547,938.10	0.08%
Friuli Venezia Giulia	3,631,652.67	0.05%	26	0.04%	3,133,640.83	0.05%
Total North	4,867,118,970.81	71.54%	46,228	69.51%	4,230,413,030.37	72.46%
Lazio	774,172,391.19	11.38%	8,161	12.27%	616,380,845.17	10.56%
Toscana	399,619,635.01	5.87%	3,899	5.86%	320,505,857.93	5.49%
Umbria	66,745,907.91	0.98%	690	1.04%	56,475,268.53	0.97%
Marche	4,900,944.71	0.07%	36	0.05%	4,015,806.85	0.07%
Abruzzo	-	0.00%	-	0.00%	-	0.00%
Total Centre	1,245,438,878.82	18.31%	12,786	19.23%	997,377,778.48	17.08%
Sicilia	362,968,123.78	5.34%	4,203	6.32%	311,200,887.47	5.33%
Sardegna	179,784,020.66	2.64%	1,754	2.64%	165,473,159.41	2.83%
Puglia	90,882,692.33	1.34%	934	1.40%	83,579,135.13	1.43%
Campania	26,199,057.67	0.39%	240	0.36%	22,990,270.77	0.39%
Calabria	20,244,227.19	0.30%	233	0.35%	18,277,814.63	0.31%
Basilicata	9,836,325.24	0.14%	111	0.17%	8,382,510.00	0.14%
Molise	981,034.89	0.01%	16	0.02%	808,216.92	0.01%
Total South	690,895,481.76	10.16%	7,491	11.26%	610,711,994.33	10.46%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 8-a) Breakdown of the Portfolio by Months of Seasoning

Months	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
0 6	1,122,117,636.19	16.49%	9,592	14.42%	1,109,062,991.45	19.00%
6 12	1,141,884,462.75	16.78%	9,765	14.68%	1,112,220,424.69	19.05%
12 18	361,379,374.87	5.31%	3,260	4.90%	346,572,518.47	5.94%
18 24	395,205,707.00	5.81%	3,627	5.45%	370,301,910.01	6.34%
24 36	869,183,488.09	12.78%	7,499	11.28%	801,025,380.43	13.72%
36 48	1,157,029,689.08	17.01%	9,810	14.75%	1,057,087,652.43	18.11%
48 60	410,181,035.93	6.03%	3,890	5.85%	348,009,938.04	5.96%
60 72	155,409,995.21	2.28%	1,641	2.47%	108,831,430.22	1.86%
72 84	171,461,018.02	2.52%	2,242	3.37%	108,847,613.68	1.86%
84 96	253,186,384.89	3.72%	3,365	5.06%	149,293,932.51	2.56%
96 108	236,001,970.14	3.47%	3,260	4.90%	125,466,506.81	2.15%
108 120	252,905,268.36	3.72%	3,750	5.64%	108,211,846.35	1.85%
120 132	147,905,856.24	2.17%	2,304	3.46%	56,030,313.10	0.96%
132 144	43,693,951.11	0.64%	789	1.19%	17,411,992.01	0.30%
144 156	23,939,149.96	0.35%	411	0.62%	8,594,706.22	0.15%
over 156	61,968,343.55	0.91%	1,300	1.95%	11,533,646.76	0.20%
Total	6,803,453,331.39	100.0%	66,505	100%	5,838,502,803.18	100.0%

Table 8-bis) Breakdown of the Sub-Portfolio other than mutui fondiari Mortgages - Months of Seasoning

Months		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
60	72	5,510,103.86	1.03%	54	0.77%	3,390,415.69	1.29%
72	84	51,323,577.60	9.61%	553	7.93%	32,160,042.62	12.22%
84	96	126,554,450.22	23.69%	1,537	22.04%	75,446,875.44	28.66%
96	108	110,701,514.41	20.72%	1,333	19.11%	59,696,016.28	22.68%
108	120	128,166,874.98	23.99%	1,645	23.58%	57,251,700.60	21.75%
120	132	49,814,456.01	9.33%	642	9.20%	16,845,780.03	6.40%
132	144	18,600,081.46	3.48%	339	4.86%	7,425,141.86	2.82%
144	156	11,305,008.72	2.12%	209	3.00%	4,183,100.77	1.59%
over	156	32,205,490.21	6.03%	663	9.51%	6,822,743.37	2.59%
Total		534,181,557.47	100.0%	6,975	100%	263,221,816.66	100.0%

NB: WA seasoning of the Sub-Portfolio other than mutui fondiari Mortgages: 8,5y (vs 2,5y of the overall portfolio)

Table 9) Breakdown of the Portfolio by Residual Maturity

Months		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
0	12	106,635,454.92	1.57%	2,027	3.05%	8,506,731.17	0.15%
12	24	79,867,183.36	1.17%	1,370	2.06%	16,453,034.07	0.28%
24	36	80,684,316.36	1.19%	1,372	2.06%	24,765,349.75	0.42%
36	48	86,217,373.00	1.27%	1,407	2.12%	33,732,861.49	0.58%
48	60	108,827,591.20	1.60%	1,739	2.61%	55,502,449.23	0.95%
60	72	144,922,328.69	2.13%	2,254	3.39%	68,493,389.58	1.17%
72	84	126,798,461.62	1.86%	1,855	2.79%	68,584,309.37	1.17%
84	96	133,179,264.52	1.96%	1,710	2.57%	82,300,575.42	1.41%
96	108	138,569,933.92	2.04%	1,774	2.67%	99,050,632.15	1.70%
108	120	301,799,687.19	4.44%	3,826	5.75%	262,955,711.09	4.50%
120	132	129,217,311.56	1.90%	1,574	2.37%	90,844,647.83	1.56%
132	144	145,862,930.41	2.14%	1,610	2.42%	103,943,229.29	1.78%
144	156	180,727,657.10	2.66%	2,098	3.15%	142,329,850.09	2.44%
156	168	269,239,615.29	3.96%	2,980	4.48%	227,000,972.03	3.89%
168	180	346,179,736.80	5.09%	3,702	5.57%	325,824,627.83	5.58%
180	240	1,179,213,653.74	17.33%	10,504	15.79%	1,099,194,366.31	18.83%
240	300	1,052,680,963.87	15.47%	8,505	12.79%	1,004,575,760.78	17.21%
300	360	1,713,504,314.40	25.19%	12,897	19.39%	1,649,148,567.42	28.25%
over	360	479,325,553.44	7.05%	3,301	4.96%	475,295,738.28	8.14%
Total		6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 10) Breakdown of the Portfolio by Original Maturity

Months		Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
60	84	30,941,661.52	0.45%	444	0.67%	22,227,416.90	0.38%
84	120	23,220,748.58	0.34%	305	0.46%	9,580,759.01	0.16%
120	144	616,367,290.38	9.06%	8,776	13.20%	385,213,055.70	6.60%
144	180	88,647,061.80	1.30%	1,393	2.09%	45,289,597.03	0.78%
180	240	1,420,984,024.73	20.89%	17,813	26.78%	1,040,040,376.69	17.81%
240	300	1,643,737,534.56	24.16%	15,363	23.10%	1,469,126,777.25	25.16%
300	360	1,263,401,157.37	18.57%	9,713	14.60%	1,208,206,298.22	20.69%
360	420	1,683,493,507.19	24.74%	12,451	18.72%	1,627,008,371.62	27.87%
420		32,660,345.26	0.48%	247	0.37%	31,810,150.76	0.54%
Total		6,803,453,331.39	99.52%	66,505	100.00%	5,838,502,803.18	100.00%

Table 11) Breakdown of the Portfolio by Type of Mortgage Loan

Loan Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Non fractioned	6,453,627,507.39	94.86%	61,212	92.04%	5,556,235,769.09	95.17%
Fractioned	349,825,824.00	5.14%	5,293	7.96%	282,267,034.09	4.83%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 12) Breakdown of the Portfolio by Interest Type

Interest rate Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Floating	3,729,921,264.08	54.82%	35,912	54.00%	3,019,879,615.70	51.72%
-dort 'Sonni Tranquilli'	1,712,508,877.44	25.17%	14,460	21.74%	1,595,712,650.38	27.33%
Fixed	2,930,940,083.73	43.08%	29,111	43.77%	2,706,021,558.00	46.35%
Multiposizione	80,787,208.93	1.19%	935	1.41%	62,839,044.08	1.08%
Mixed ("Mutui Bilanciati" Loans)	61,804,774.65	0.91%	547	0.82%	49,762,585.40	0.85%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 13) Breakdown of the Portfolio by Current Interest Type

Interest rate Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Floating	3,793,201,985.72	55.75%	36,596	55.03%	3,070,354,530.03	52.59%
Fixed	3,010,251,345.67	44.25%	29,909	44.97%	2,768,148,273.15	47.41%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 14) Breakdown of the Portfolio by Payment Frequency

Payment Frequency	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Current Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Monthly	6,363,639,004.95	93.54%	59,277	89.13%	5,623,480,173.34	96.32%
Semiannual Annually	434,859,794.17	6.39%	7,174	10.79%	212,887,576.84	3.65%
Quarterly	4,954,532.27	0.07%	54	0.08%	2,135,053.00	0.04%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 15) Breakdown of the Provisional Portfolio by Payment Method

Payment Method	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Current Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Direct Debit	5,711,627,174.25	83.95%	53,975	81.16%	4,941,023,210.34	84.83%
RID	842,199,457.41	12.38%	7,991	12.02%	742,998,978.82	12.73%
MAV	249,626,699.73	3.67%	4,539	6.83%	154,480,614.02	2.65%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Table 16) Breakdown of the Portfolio by Current Interest Rate

Range	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
<3.50%	1,042,680,012.94	15.33%	9,205	13.84%	860,346,490.58	14.74%
3.50% 4.00%	347,806,929.36	5.11%	3,863	5.81%	189,703,482.32	3.25%
4.00% 4.50%	1,118,135,485.00	16.43%	10,992	16.53%	903,481,524.55	15.47%
4.50% 5.00%	1,460,764,378.48	21.47%	13,928	20.94%	1,297,134,581.72	22.22%
5.00% 5.50%	771,456,885.94	11.34%	7,990	12.01%	693,845,157.89	11.88%
5.50% 6.00%	1,450,200,889.21	21.32%	13,744	20.67%	1,374,934,858.19	23.55%
6.00% 6.50%	470,184,167.05	6.91%	4,653	7.00%	428,186,970.26	7.33%
6.50% 7.00%	104,261,788.42	1.53%	1,398	2.10%	77,225,078.28	1.32%
7.00% 7.50%	16,636,523.42	0.24%	287	0.43%	9,373,173.91	0.16%
7.50% 8.00%	16,521,372.05	0.24%	358	0.54%	3,219,929.41	0.06%
8.00% 8.50%	442,734.74	0.01%	5	0.01%	260,120.49	0.00%
8.50% 9.00%	335,696.99	0.00%	7	0.01%	120,548.00	0.00%
9.00% 10.00%	4,026,467.79	0.06%	75	0.11%	670,887.58	0.01%
Total	6,803,453,331.39	100.00%	66,423.00	100.00%	5,838,502,803.18	100.00%

Table 17) Breakdown of the Portfolio by Debtor Type

Debtor Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Famiglie Consumatrici	6,048,100,499.28	88.90%	60,296.00	0.91	5,222,868,530.92	89.46%
Altre famiglie produttrici fino a 5 addetti	655,735,390.91	9.64%	5,270	7.92%	532,761,872.77	9.12%
Artigiani fino a 5 addetti	99,617,441.20	1.46%	939	1.41%	82,872,599.49	1.42%
Total	6,803,453,331.39	100.00%	66,505.00	100.00%	5,838,502,803.18	100.00%

Table 18) Breakdown of the Portfolio by Debtor Type

Debtor Type	Original Outstanding Amount	% of Original Outstanding Amount	No of Mortgage Loans	% of No of Mortgage Loans	Current Outstanding Amount	% of Current Outstanding Amount
Intesa Sanpaolo	2,731,236,235.71	40.14%	23,471	35.29%	2,664,317,401.74	45.63%
Banca Intesa	2,301,065,532.83	33.82%	22,194	33.37%	1,978,776,934.28	33.89%
S Paolo IMI	1,089,265,447.53	16.01%	10,700	16.09%	896,968,740.40	15.36%
Comit	359,596,830.81	5.29%	4,916	7.39%	158,279,338.57	2.71%
Cariplo	99,846,773.47	1.47%	2,138	3.21%	43,369,240.91	0.74%
Cassa di Risparmio di Bologna	72,402,416.72	1.06%	860	1.29%	35,418,154.48	0.61%
Banco Ambrosiano Veneto	84,105,140.16	1.24%	1,200	1.80%	30,758,512.59	0.53%
Banco Napoli	31,598,304.91	0.46%	579	0.87%	16,399,665.86	0.28%
Banca dell'Adriatico	19,716,944.69	0.29%	278	0.42%	8,162,800.02	0.14%
Cassa di Risparmio del Veneto	14,229,779.59	0.21%	163	0.25%	5,917,759.79	0.10%
Cassa di Risparmio di Forlì	265,975.31	0.00%	4	0.01%	115,463.40	0.00%
Banca di Legnano	123,949.66	0.00%	2	0.00%	18,791.14	0.00%
Total	6,803,453,331.39	100.00%	66,505	100.00%	5,838,502,803.18	100.00%

Mortgage Insurance Policies

Intesa Sanpaolo obtained the additional security that under Article 38 et seq. of the Consolidated Banking Act would allow the maximum loan to value of a *mutuo fondiario* to exceed the threshold of 80% - and, in the instance would bring it up to 100% - by means of insurance policies underwritten by GE Mortgage Insurance Limited (subsequently renamed as Genworth Financial Mortgage Insurance Limited), an insurance company, incorporated under the laws of England and Wales, whose registered office is at 80 Strand, London WC2R 0GR, United Kingdom, which is rated as insurance company AA- by Standard & Poor's, for the benefit of Intesa Sanpaolo or its assignors (and to which Intesa Sanpaolo has succeeded) (the “**Mortgage Insurance Policies**”).

Cover under the Mortgage Insurance Policies with regard to qualifying Mortgage Loans is subject to, *inter alia*, Intesa Sanpaolo having duly and timely: (i) notified to Genworth Financial Mortgage Insurance Limited the list of such qualifying Mortgage Loan from time to time and (ii) paid the relevant one-off and upfront premium. Termination of the Mortgage Insurance Policies is expressly set out not to limit the cover thereunder with regard to qualifying Mortgage Loans insured thereunder at the time of termination.

Each of the Mortgage Insurance Policies covers Intesa Sanpaolo from losses (calculated in accordance with and pursuant to the relevant Mortgage Insurance Policy) in connection with defaults of the Debtor's payment obligations under the relevant Mortgage Loan Agreement, unless such default is due to, *inter alia*, (i) force majeure (war, civil war, insurrection, terrorism, etc.), (ii) presence of radioactive, toxic or any other similar substance below, on, or near to the relevant Real

Estate Asset, (iii) serious damages to, or destruction of, the relevant Real Estate Asset due to fire, explosions or any other similar cause, and (iv) fraud or gross negligence of the beneficiary.

Under the terms of each Mortgage Insurance Policy, Intesa Sanpaolo can request the relevant indemnity (*indennizzo*) - calculated in accordance with and pursuant to the relevant Mortgage Insurance Policy - by notifying a request of indemnity (*richiesta di indennizzo*) to Genworth Financial Mortgage Insurance Limited within twelve months from the earlier of (i) the date falling sixteen months after the date at which six consecutive monthly installments due under the relevant Mortgage Loan Agreement are outstanding (also partially) or after the date at which the Debtor is subjected to any insolvency proceedings, and (ii) the date of sale of the relevant Real Estate Asset (the “**Date of Loss**”). Genworth Financial Mortgage Insurance Limited shall pay the relevant indemnity (*indennizzo*) within thirty days from the above request of indemnity (*richiesta di indennizzo*). In case of a settlement agreement entered into and between the insured party and the Debtor concerning the Debtor’s overdue payment obligations under the relevant Mortgage Loan Agreement, Genworth Financial Mortgage Insurance Limited shall pay the relevant indemnity (*indennizzo*), if any, within thirty days from its authorization to the insured party to enter into the above settlement agreement (provided that in such case the insured party may not notify Genworth Financial Mortgage Insurance Limited with the request of indemnity (*richiesta di indennizzo*)).

Under the terms of the Mortgage Insurance Policies, for each relevant Mortgage Loan:

- (A) in the event of sale of the relevant Real Estate Asset, the relevant indemnity (*indennizzo*) shall be calculated in accordance with the following formula:

the aggregate of:

- (i) the overdue principal of the Mortgage Loan at the Date of Loss;
- (ii) the overdue accrued interest due by the Debtor under the relevant Mortgage Loan Agreement, up to (a) the date of sale of the relevant Real Estate Asset or (b) the date at which, following the above authorization, the Debtor settled with the insured party its overdue payment obligations under the relevant Mortgage Loan Agreement; and
- (iii) the expenses incurred by the insured party in connection with default of the Debtor’s payment obligations under the relevant Mortgage Loan Agreement (e.g. legal fees and expenses related to the sale of the relevant Real Estate Asset);

less the aggregate of

- (a) the amount assigned to the insured party following the sale of the relevant Real Estate Asset; and

- (b) any sum received by the insured party in connection with the relevant Mortgage Loan, which has the effect to reduce the loss of the insured party in connection with defaults of the Debtor's payment obligations under the relevant Mortgage Loan Agreement;
- (B) in the event the Real Estate Asset is not sold, the relevant indemnity (*indennizzo*) shall be calculated in accordance with the following formula:
 - (i) the overdue principal of the Mortgage Loan at the Date of Loss;
 - (ii) the overdue accrued interest due by the Debtor under the relevant Mortgage Loan Agreement up to (a) the date at which a settlement agreement is entered into and between the insured party and the Debtor or (b) the date of the payment and writeoff of the relevant Mortgage Loan; and
 - (iii) the expenses incurred by the insured party in connection with default of the Debtor's payment obligations under the relevant Mortgage Loan Agreement (e.g. legal fees and tax and expenses related to the relevant Real Estate Asset);

less the aggregate of

- (a) the value of the relevant Real Estate Asset as determined by the appraisal made by Genworth Financial Mortgage Insurance Limited within thirty business days from the request of indemnity (*richiesta di indennizzo*); and
- (b) any sum received by the insured party in connection with the relevant Mortgage Loan, which has the effect to reduce the loss of the insured party in connection with defaults of the Debtor's payment obligations under the relevant Mortgage Loan Agreement;

provided that in no case the relevant indemnity (*indennizzo*) shall exceed the amount calculated in accordance with the following formula:

- (loan to value at the date at which the relevant Mortgage Loan has been granted less 80% of the value of the relevant Real Estate Asset as determined by the relevant initial appraisal),
- *by* 1.25,
- *by* the lesser of (i) the value of the relevant Real Estate Asset as determined by the relevant initial appraisal and (ii) the value of the relevant Real Estate Asset as determined by the preliminary agreement to sell (*contratto preliminare di vendita*) by means of which the Debtor undertook to buy the Real Estate Asset.

Under each Mortgage Insurance Policy the insurer would be allowed to claim back from the insured party all or part of the relevant indemnity (*indennizzo*) thereto in the event that, further to payment thereof, the insured party receives a payment by a third party (including payments received under any settlement agreement entered into and between the insured party and the Debtor concerning the Debtor's overdue payment obligations under the relevant Mortgage Loan Agreement) in an amount higher than the value of the relevant Real Estate Property used to calculate the relevant indemnity (*indennizzo*) thereto as an effect of which the relevant indemnity (*indennizzo*) under the Mortgage Insurance Policies would have been reduced. However, the Collection Policy set out that payments under the Mortgage Insurance Policies will be requested only further to the date at which all Foreclosure Proceedings and/or Insolvency Proceedings, and/or any other recovery avenues are exhausted.

Historical Performance

The following tables show the historical performance of the cumulative prepayments and the cumulative defaults, from the first quarter of year 2000 to the last quarter of year 2008, of a portion of the residential mortgage loans portfolio of Intesa Sanpaolo which includes mortgage loans and debtors similar to those comprised in the Portfolio.

Each of the tables shows the historical performance of the cumulative prepayments and the cumulative defaults in relation to specific debtors (i.e. SAE 600 and SAE 614 and SAE 615 combined) as classified in accordance with the SAE criteria issued by the Bank of Italy and applied by Intesa Sanpaolo in the context of periodic regulatory reports.

The table related to the historical performance of the cumulative defaults has been prepared based on the dates in which any mortgage loans have been classified by Intesa Sanpaolo as "*in sofferenza*", according to the applicable regulations of the Bank of Italy.

SAE 600 - Time to Default																																				
YEAR	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	Q16	Q17	Q18	Q19	Q20	Q21	Q22	Q23	Q24	Q25	Q26	Q27	Q28	Q29	Q30	Q31	Q32	Q33	Q34	Q35	Q36
2000	0.00%	0.00%	0.00%	0.02%	0.04%	0.06%	0.09%	0.11%	0.14%	0.18%	0.22%	0.37%	0.39%	0.45%	0.48%	0.53%	0.55%	0.60%	0.63%	0.72%	0.76%	0.82%	0.87%	0.97%	1.03%	1.08%	1.13%	1.23%	1.26%	1.32%	1.36%	1.42%	1.44%	1.47%	1.51%	1.57%
2001	0.00%	0.00%	0.00%	0.01%	0.03%	0.04%	0.07%	0.15%	0.17%	0.21%	0.24%	0.32%	0.34%	0.41%	0.47%	0.57%	0.64%	0.74%	0.81%	0.92%	0.98%	1.06%	1.11%	1.29%	1.35%	1.43%	1.49%	1.59%	1.62%	1.64%	1.70%	1.85%				
2002	0.00%	0.00%	0.00%	0.01%	0.01%	0.04%	0.04%	0.08%	0.09%	0.12%	0.15%	0.24%	0.30%	0.38%	0.48%	0.62%	0.69%	0.80%	0.86%	1.00%	1.08%	1.20%	1.25%	1.36%	1.39%	1.44%	1.51%	1.69%								
2003	0.00%	0.00%	0.00%	0.03%	0.03%	0.04%	0.06%	0.11%	0.16%	0.24%	0.27%	0.36%	0.44%	0.56%	0.63%	0.78%	0.87%	1.00%	1.11%	1.31%	1.36%	1.44%	1.55%	1.75%												
2004	0.00%	0.00%	0.00%	0.02%	0.02%	0.04%	0.05%	0.14%	0.18%	0.28%	0.38%	0.47%	0.60%	0.74%	0.82%	0.96%	1.03%	1.10%	1.22%	1.45%																
2005	0.00%	0.00%	0.00%	0.01%	0.03%	0.05%	0.09%	0.20%	0.28%	0.42%	0.56%	0.80%	0.88%	1.00%	1.18%	1.64%																				
2006	0.00%	0.00%	0.00%	0.02%	0.05%	0.14%	0.24%	0.40%	0.52%	0.65%	0.85%	1.35%																								
2007	0.00%	0.00%	0.01%	0.04%	0.06%	0.11%	0.22%	0.56%																												
2008	0.00%	0.00%	0.01%	0.07%																																

SAE 6148615 - Time to Default																																				
YEAR	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	Q16	Q17	Q18	Q19	Q20	Q21	Q22	Q23	Q24	Q25	Q26	Q27	Q28	Q29	Q30	Q31	Q32	Q33	Q34	Q35	Q36
2000	0.00%	0.00%	0.00%	0.01%	0.01%	0.04%	0.08%	0.08%	0.18%	0.18%	0.29%	0.34%	0.38%	0.44%	0.46%	0.55%	0.64%	0.65%	0.79%	0.81%	1.00%	1.11%	1.36%	1.39%	1.49%	1.55%	1.74%	1.77%	1.94%	1.95%	2.09%	2.12%	2.19%	2.26%	2.45%	
2001	0.00%	0.00%	0.00%	0.06%	0.08%	0.22%	0.28%	0.43%	0.46%	0.51%	0.53%	0.53%	0.54%	0.63%	0.67%	0.94%	1.05%	1.19%	1.31%	1.48%	1.59%	1.82%	1.86%	2.03%	2.08%	2.28%	2.46%	2.62%	2.64%	2.73%	2.82%	2.93%				
2002	0.00%	0.00%	0.00%	0.00%	0.01%	0.06%	0.06%	0.07%	0.18%	0.22%	0.30%	0.40%	0.52%	0.66%	0.73%	0.82%	0.90%	1.02%	1.09%	1.47%	1.58%	1.76%	1.90%	2.06%	2.16%	2.27%	2.38%	2.71%								
2003	0.00%	0.00%	0.00%	0.02%	0.02%	0.03%	0.03%	0.30%	0.34%	0.52%	0.58%	0.77%	0.83%	0.97%	1.05%	1.28%	1.42%	1.51%	1.73%	1.82%	1.98%	2.08%	2.26%	2.54%												
2004	0.00%	0.00%	0.00%	0.00%	0.03%	0.10%	0.12%	0.16%	0.22%	0.29%	0.41%	0.65%	0.81%	0.96%	1.15%	1.41%	1.51%	1.59%	1.84%	2.11%																
2005	0.00%	0.00%	0.00%	0.03%	0.04%	0.04%	0.13%	0.32%	0.41%	0.55%	0.68%	0.85%	0.92%	1.01%	1.21%	1.61%																				
2006	0.00%	0.00%	0.00%	0.00%	0.01%	0.06%	0.13%	0.26%	0.43%	0.67%	0.79%	1.04%	1.61%																							
2007	0.00%	0.00%	0.00%	0.01%	0.02%	0.09%	0.20%	0.76%																												
2008	0.00%	0.00%	0.00%	0.07%																																

SAE 600 - PREPAYMENT RATES																																				
YEAR	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	Q16	Q17	Q18	Q19	Q20	Q21	Q22	Q23	Q24	Q25	Q26	Q27	Q28	Q29	Q30	Q31	Q32	Q33	Q34	Q35	Q36
2000	0.01%	0.05%	0.14%	0.36%	0.67%	1.10%	1.47%	1.93%	2.36%	2.96%	3.43%	4.08%	4.52%	5.52%	6.83%	8.00%	9.16%	10.25%	11.14%	12.23%	13.18%	14.34%	15.34%	16.54%	17.72%	18.88%	19.75%	20.85%	21.79%	22.84%	23.70%	24.63%	25.76%	26.67%	27.39%	28.33%
2001	0.00%	0.06%	0.16%	0.40%	0.72%	1.04%	1.36%	1.85%	2.51%	3.42%	4.30%	5.39%	6.46%	7.72%	8.66%	9.89%	11.00%	12.33%	13.31%	14.56%	15.75%	17.11%	18.20%	19.69%	20.72%	22.11%	23.22%	24.72%	25.89%	26.93%	27.86%	28.67%				
2002	0.00%	0.06%	0.16%	0.38%	0.69%	1.17%	1.71%	2.47%	3.24%	4.14%	4.92%	5.89%	6.80%	8.04%	9.06%	10.50%	11.79%	13.26%	14.25%	15.59%	16.71%	18.35%	19.72%	21.59%	23.27%	24.77%	25.99%	27.47%								
2003	0.02%	0.07%	0.21%	0.49%	0.90%	1.47%	1.97%	2.65%	3.38%	4.39%	5.21%	6.34%	7.44%	8.93%	10.04%	11.74%	13.09%	14.79%	16.37%	18.39%	20.02%	21.86%	23.68%	25.75%												
2004	0.01%	0.08%	0.24%	0.61%	1.06%	1.73%	2.31%	3.14%	4.12%	5.36%	6.43%	7.97%	9.37%	11.59%	13.36%	15.91%	17.90%	20.05%	21.96%	24.05%																
2005	0.00%	0.06%	0.19%	0.49%	0.94%	1.71%	2.43%	3.55%	4.67%	6.56%	8.19%	10.49%	12.40%	14.59%	16.55%	18.81%																				
2006	0.01%	0.10%	0.32%	0.72%	1.34%	2.22%	3.20%	4.80%	6.20%	7.97%	9.52%	11.41%																								
2007	0.01%	0.13%	0.46%	0.96%	1.71%	2.62%	3.44%	4.43%																												
2008	0.03%	0.21%	0.47%	1.07%																																

SAE 6148615 - PREPAYMENT RATES																																				
YEAR	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Q11	Q12	Q13	Q14	Q15	Q16	Q17	Q18	Q19	Q20	Q21	Q22	Q23	Q24	Q25	Q26	Q27	Q28	Q29	Q30	Q31	Q32	Q33	Q34	Q35	Q36
2000	0.07%	0.14%	0.18%	0.58%	0.95%	1.39%	1.86%	2.14%	2.74%	3.42%	3.91%	4.64%	5.29%	6.31%	7.41%	8.74%	10.09%	11.39%	12.37%	13.44%	14.34%	15.46%	16.57%	18.31%	19.48%	20.57%	21.27%	22.58%	23.41%	24.73%	25.71%	26.88%	27.59%	28.25%	28.87%	29.41%
2001	0.02%	0.09%	0.25%	0.66%	1.14%	1.64%	2.00%	2.68%	3.85%	5.22%	6.35%	7.47%	8.52%	10.00%	11.02%	12.39%	13.96%	15.02%	16.15%	17.40%	18.58%	19.98%	21.04%	22.16%	23.32%	24.79%	25.92%	27.20%	28.21%	29.44%	30.00%	30.96%				
2002	0.00%	0.12%	0.25%	0.44%	0.82%	1.59%	2.29%	3.24%	4.04%	5.18%	6.34%	7.52%	9.41%	10.82%	11.95%	13.72%	15.03%	16.46%	17.42%	19.10%	20.39%	21.88%	22.95%	24.68%	26.43%	27.86%	28.85%	29.82%								
2003	0.01%	0.14%	0.34%	0.84%	1.54%	2.30%	3.22%	4.17%	5.32%	6.70%	7.81%	9.07%	10.24%	11.82%	13.29%	15.12%	16.64%	18.47%	19.95%	22.01%	23.72%	25.67%	27.13%	28.60%												
2004	0.00%	0.17%	0.53%	1.00%	1.50%	2.21%	2.81%	4.07%	4.94%	6.26%	7.43%	9.60%	11.35%	13.41%	15.21%	17.74%	19.49%	21.18%	22.65%	24.59%																
2005	0.06%	0.18%	0.37%	1.26%	1.90%	2.70%	3.44%	4.82%	5.87%	7.39%	8.81%	10.84%	12.53%	15.09%	17.23%	19.05%																				
2006		0.02%	0.06%	0.39%	1.15%	1.94%	2.98%	3.88%	5.24%	6.45%	7.96%	9.40%	10.69%																							
2007	0.14%	0.34%	0.90%	1.79%	2.86%	3.89%	4.75%	5.95%																												
2008	0.12%	0.56%	1.10%	1.91%																																

SELECTED ASPECTS OF ITALIAN LAW RELEVANT TO THE PORTFOLIO AND THE TRANSFER OF THE PORTFOLIO

The Securitisation Law

The Securitisation Law was enacted on 30 April 1999 and was conceived to simplify the securitisation process and to facilitate the increased use of securitisation as a financing technique in the Republic of Italy.

It applies to securitisation transactions involving the “true” sale (by way of non-gratuitous assignment) of receivables, where the sale is to a company created in accordance with article 3 of the Securitisation Law and all amounts paid by the debtors are to be used by the relevant company exclusively to meet its obligations under notes issued to fund the purchase of such receivables and all costs and expenses associated with the securitisation transaction.

Ring-Fencing of the Assets

Under the terms of article 3 of the Securitisation Law, the assets relating to each securitisation transaction will by operation of law be segregated for all purposes from all other assets of the company which purchases the receivables. On a winding up of such a company such assets will only be available to holders of the notes issued to finance the acquisition of the relevant receivables and to certain creditors claiming payment of debts incurred by the company in connection with the securitisation of the relevant assets. In addition, the assets relating to a particular transaction will not be available to the holders of notes issued to finance any other securitisation transaction or to general creditors of the issuer company.

However, under Italian law, any other creditor of the issuer would be able to commence insolvency or winding up proceedings against the issuer in respect of any unpaid debt.

The Assignment

The assignment of the receivables under the Securitisation Law will be governed by article 58 paragraphs 2, 3 and 4, of the Consolidated Banking Act. The prevailing interpretation of this provision, which view has been strengthened by article 4 of the Securitisation Law, is that the assignment can be perfected against the originator, assigned debtors and third party creditors by way of publication of a notice in the Italian Official Gazette and by way of registration of such notice in the register of enterprises (*registro delle imprese*) at which the purchaser is registered, so avoiding the need for notification to be served on each debtor pursuant to articles 1264 and 1265 of the Italian Civil Code.

As from the latest to occur between the date of publication of the notice of the assignment in the Italian Official Gazette and the date of registration of such notice with the Register of Enterprises of

Rome, pursuant to the Securitisation Law and article 58 of the Consolidated Banking Act the assignment becomes enforceable against:

- (a) the debtors and any creditors of the originator who have not, prior to the date of publication of the notice, commenced enforcement proceedings in respect of the relevant receivables;
- (b) the liquidator or any other bankruptcy officials of the debtors (so that any payments made by a debtor to the purchasing company may not be subject to any claw-back action according to article 67 of the Italian Bankruptcy Law);
- (c) other permitted assignees of the originator who have not perfected their assignment prior to the date of publication.

Upon the completion of the formalities referred to above, the benefit of any privilege, guarantee or security interest guaranteeing or securing repayment of the assigned receivables will automatically be transferred to and perfected with the same priority in favour of the Issuer, without the need for any formality or annotation.

As from the latest to occur between the date of publication of the notice of the assignment in the Italian Official Gazette and the date of registration of such notice with the Register of Enterprises of Rome, no legal action may be brought against the receivables assigned or the sums derived therefrom other than for the purposes of enforcing the rights of the holders of the notes issued for the purpose of financing the acquisition of the relevant receivables and to meet the costs of the transaction.

Notice of the assignment of the Claims pursuant to the Transfer Agreement was published in the Italian Official Gazette on 7 July 2009 and re-published on 16 July 2009 in order to amend an error and was filed with the Register of Enterprises of Rome on 14 July 2009.

Assignments under the Securitisation Law

Assignments executed under the Securitisation Law are subject to revocation on bankruptcy under article 67 of the Italian Bankruptcy Law but only in the event that the securitisation transaction is entered into within three months of the adjudication of bankruptcy of the relevant party or in cases where paragraph 1 of article 67 applies, within six months of the adjudication of bankruptcy.

Mortgage Loans

Under Italian law mortgage loans give the mortgage lender the right to expropriate and sell the mortgaged property subject to the obligor defaulting payments under the mortgage loan agreement in accordance with the provisions thereof; the sale proceeds can be used to repay the principal debt secured by the mortgage and, with the same seniority as that of the principal debt, interest at the contractual rate accrued and unpaid during the year in which the attachment (*pignoramento*) is initiated and the two preceding years, and interest at the then legal rate up to the date of the sale of the

mortgaged property. The rights under different mortgage loans secured by mortgages over the same property may be satisfied in accordance with the priority of the relevant mortgage. See the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio – Ordinary Foreclosure Proceedings*”.

Mutui Fondiari

The majority of the Mortgage Loans are *mutui fondiari* (as defined below). In addition to the general legislation commonly applicable to mortgage lending, *mutui fondiari* are regulated by specific legislation (*credito fondiario*), which grants certain rights to the mortgage lender which are not provided for by the general legislation. These include entitling the lender to commence or continue foreclosure proceedings after the declaration of insolvency (*fallimento*) of the affected debtor, entitling the lender of a *mutuo fondiario* to receive repayment from the price paid for a mortgaged property at auction to the extent of the price corresponding to the *mutui fondiari* debt directly from the purchaser (without having to await disbursement by the court), and entitling the lender to an assignment of any rentals earned by the mortgaged property, net of administration expenses and taxes.

Pursuant to Article 40, paragraph 2 of the Consolidated Banking Act, a mortgage lender is entitled to terminate a loan agreement and accelerate the mortgage loan (*diritto di risoluzione contrattuale*) if the debtor has delayed payment of an instalment at least seven times whether consecutively or otherwise. For this purpose, a payment is considered delayed if it is made between 30 and 180 days after the due date for payment. Accordingly, the commencement of enforcement proceedings in relation to *mutui fondiari* may take longer than usual. See the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio – Mutui Fondiari Foreclosure Proceedings*”.

Prepayment Fee

Pursuant to article 10 of the Italian Law Decree No. 223 of 4 July 2006 as amended by Law No. 248 of 4 August 2006, the client of a bank or a financial institution operating in Italy, can withdraw from a continuing contract without being charged penalties and withdrawal expensed. Further to the entering into force of the above provision, certain Italian consumers associations have argued that the above provisions would also apply to the prepayment of mortgage loans, while the banking sector has argued against such application.

Bersani-*bis* Decree amended the legal framework by setting out that the provision of a prepayment fee is null and void (without affecting the validity of the contract) in mortgage loan agreements (i) entered into or fractioned into one or more portions (*frazionamento mediante accollo*) starting from 2 February 2007 (as set out also by the ABI-Consumer Agreement described below) for the purpose of funding the purchase of the main residence (“*prima casa*”) of the relevant borrower, (ii) entered into starting from 3 April 2007 (as set out by the ABI-Consumer Agreement) for the purpose of

funding the purchase or the refurbishment of a residential real estate property or a real estate property where an individual carries out its economic or professional activity.

Pursuant to the Bersani-*bis* Decree, the Italian Banking Association (ABI) and the national consumer associations had to set out, within three months from the coming into force of the Bersani-*bis* Decree, the maximum amount of any prepayment fee payable under mortgage loan agreements as above described entered into for the above purposes prior to above dates. ABI and the national consumer associations reached an agreement on the matter on 2 May 2007 (the “**ABI-Consumers Agreement**”). Such agreement sets out that the maximum amount of any prepayment fee payable under the above mentioned mortgage loan agreements:

- (i) with floating interest rate, is equal to 0.50%, reduced to 0.20% in case of early redemption carried out within the third year from the final maturity date and reduced to 0.00% in case of early redemption carried out within two years from the final maturity date;
- (ii) with fixed interest rate and entered into before 1 January 2001, is equal to 0.50%, reduced to 0.20% in case of early redemption carried out within the third year from the final maturity date and reduced to 0.00% in case of early redemption carried out within two years from the final maturity date;
- (iii) with fixed interest rate and entered into after 1 January 2001, equal to 1.90% if such early redemption is carried out during the first half of the amortisation period and if during the second half, equal to 1.50%, reduced to 0.20% in case of early redemption carried out within the third year from the final maturity date and reduced to 0.00% in case of early redemption carried out within two years from the final maturity date).

With regard to those loan agreements which already provide for a prepayment fee equal to or lower than the thresholds described above, the ABI-Consumers Agreement reduces the amount of the relevant prepayment fee by:

- (i) 0.20% in case of loan agreements with fixed interest rate entered into before 1 January 2001 and loan agreements with floating interest rate;
- (ii) 0.25% in case of loan agreements with fixed interest rate entered into after 31 December 2000 and the amount of the prepayment fee of which was equal or higher than 1.25%; and
- (iii) 0.15% in case of loan agreements with fixed interest rate entered into after 31 December 2000 and the amount of the prepayment fee of which was lower than 1.25%.

With regard to those loan agreements which allow the kind of interest rate to be changed (i.e. from floating to fixed or from fixed to floating), the ABI-Consumers Agreement sets out which one of the above described rules applies to the specific circumstances specific solutions similar to those in respect of floating and fixed rate loan agreements.

Pursuant to Bersani-*bis* Decree, the banks would not be able to refuse a request made by the relevant debtors to reduce, to the maximum amount determined as described above, the prepayment fee originally set out in mortgage loan agreements to which the above reductions apply.

As at the date of this Prospectus, only limited interpretation on the application of the Bersani-*bis* Decree has been issued by any Italian governmental or regulatory authority, therefore it is possible that further regulations, relating to the Bersani-*bis* Decree or the interpretation thereof, are issued in the future, the impact of which cannot be predicted as at the date of this Prospectus.

No prepayment fee was taken into account for the purpose of determining the cash flows of the Securitisation or to make any estimate related therewith and with the Notes and the Servicer has covenanted in the Servicing Agreement not to accept the payment of any prepayment fee in an amount higher than (i) the maximum amount as may be determined in accordance with applicable laws and regulations, or (ii) the prepayment fee set out in the relevant Mortgage Loan Agreement, whichever is lower.

Cancellation of Mortgages

Article 13 of the Bersani-*bis* Decree has simplified the formalities for the cancellation of mortgages. Pursuant to article 13, paragraphs 8-*sexies et seq.* of the Bersani-*bis* Decree, the mortgage securing a claim of a bank of a financial institution will be automatically released at the date of discharge of the relevant claim. The creditor shall deliver the receipt to the debtor setting out the date of release of the mortgage and notify the above receipt to the relevant land registry (in all cases at no costs for the debtor) within thirty days of the discharge of the secured claim; the land registry shall register the above communication the day after its receipt and shall cancel the mortgage the day after the expiry of the above thirty day term, unless the creditor - where a legitimate reason to oppose such cancellation exists - has notified, within the same thirty day term, to the relevant land registry and to the debtor that the mortgage should be maintained. Pursuant to article 13, paragraph 8-*duodecies* of the Bersani-*bis* Decree all laws, regulations and clauses incompatible therewith are null and void as from the sixtieth day from the coming into force (on the 3rd of April 2007) of the law converting the Bersani-*bis* Decree.

As at the date of this Prospectus, only limited interpretation on the application of the Bersani-*bis* Decree has been issued by any Italian governmental or regulatory authority (including the Land Register Authority (*Agenzia del Territorio*), therefore it is possible that further regulations, relating to the Bersani-*bis* Decree or the interpretation thereof, are issued in the future, the impact of which (in particular on the servicing procedures) cannot be predicted as at the date of this Prospectus. Uncertainty exists as to the scope of article 13 of the of the Bersani-*bis* Decree, with particular regard to the type of mortgages and/or mortgage loan agreements and creditors to which it would apply.

Fund to support debtors of mortgage loans obtained to fund the purchase of their main residence

Pursuant to article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007 (the Italian budget law for year 2008), debtors having undertaken a mortgage loan to fund the purchase of their main residence (*abitazione principale*) in relation to which no execution proceedings have yet started, could obtain a maximum of two payment holidays thereunder for an aggregate maximum payment holiday of eighteen months, subject to proving that they cannot meet the relevant payments obligations. The term of the loan and of its security would be postponed accordingly.

The above law has also created a fund to be held by the MEF, that would finance the banking costs and notary fees connected with the transaction. The details of the implementation of the above, including with regard to the formalities by which a debtor can prove its inability to timely make the relevant payments, are due to be set out by a regulation to be issued by Minister of the Economy and Finance and the Welfare Minister (*Ministro della Solidarietà Sociale*). To date the above regulation has not been issued, notwithstanding (i) article 2, paragraph 5-*sexies* of Decree 185/2008 setting out that the MEF had to issue the regulation implementing the above fund within 60 days from the entry into force, on 29 January 2009, of the Italian law No.2 of 28 January 2009, (ii) article 2, paragraph 5-*quinquies* of Decree 185/2008 setting out provisions for the increase of such fund, and (iii) the fund being mentioned among the sources to finance payment holidays to be allowed by the issuers of Tremonti Bonds, uncertainty remains as to whether the above rules will be implemented and as to their scope, particularly as to whether or not the fund (originally for Euro ten million for each of year 2008 and 2009, yet to be funded) would finance payments due by the debtor during the payment holiday(s). See the section headed “*Selected Aspects of Italian Law Relevant to the Portfolio and the Transfer of the Portfolio – Tremonti Bonds*”.

Tremonti Bonds

Pursuant to article 12 of Decree 185/2008 up to 31 December 2009 the MEF can underwrite Tremonti Bonds. MEF's underwriting of the Tremonti Bonds is subject to a number of conditions among which are the following: (a) approval by Bank of Italy; (b) the issuer of Tremonti Bonds being bound by the undertakings set out by an agreement with the MEF, including, *inter alia*, provisions concerning the level and terms of credit for the benefit of small and medium businesses and families, among which an undertaking to allow borrowers (or a family member) receiving unemployment benefit or wage subsidies following redundancy or the payment of a lump sum due to non-employed workers in accordance with article 19, paragraph 2, of Decree 185/2008 to obtain payment holidays under their mortgage loans (including existing mortgage loans) for at least 12 months; and (c) the issuer of Tremonti Bonds being bound by an ethical code setting out, *inter alia*, remuneration strategies for its management.

Ordinary Foreclosure Proceedings

Mortgages may be “voluntary” (*ipoteche volontarie*) where granted by a borrower or a third party guarantor by way of a deed, “judicial” (*ipoteche giudiziarie*) following a Court order or injunction to pay amounts in respect of any outstanding debt or unperformed obligation or “legal” (*ipoteche legali*)

where granted by operation of law. All mortgages become effective only upon registration in the appropriate land registry (*Ufficio dei Registri Immobiliari*).

A mortgage lender (whose debt is secured by a mortgage whether “voluntary” or “judicial”) may commence foreclosure proceedings in the jurisdiction where the mortgaged property is located.

For this purpose, a mortgage lender must obtain an enforcement order (*titolo esecutivo*). If the deed pursuant to which acknowledgment is made of the drawdown of the mortgage loan was executed in the form of a public deed (*atto pubblico*) or, since 1 March 2006, also of a deed certified by a notary public with respect to the signature (*scrittura privata autenticata*), a mortgage lender can serve a copy of the mortgage loan agreement, stamped by a notary public with an order for the execution thereof (*formula esecutiva*), directly on the debtor without the need to obtain a *titolo esecutivo* from the Court.

The enforcement order (*titolo esecutivo*), accompanied by a writ of execution (*atto di precetto*) requesting payment of the relevant obligation, is notified to the debtor.

After ten days, but not later than ninety days from the date on which notice of the *atto di precetto* is served, the mortgage lender may request the attachment of the mortgaged property by serving an attachment order (*atto di pignoramento*) upon the debtor. The attachment order (*atto di pignoramento*) must then be filed for registration with the appropriate land registry (*Conservatoria dei Registri Immobiliari*) and an original thereof, accompanied by evidence of such registration, must be filed with the competent Court. The Court will, at the request of the mortgage lender, appoint a custodian to manage the mortgaged property in the interest of the mortgage lender. If the mortgage lender does not make such a request, the debtor will automatically become the custodian of such property.

The mortgage lender is required to search the land registry to ascertain the identity of the current owner of the property and must then serve notice of the request for attachment on the current owner, even if no transfer of the property from the original borrower or mortgagor to a third party purchaser has been previously notified to the mortgage lender.

Not earlier than ten days and not later than ninety days after serving the attachment order, the mortgage lender may request the Court to arrange for the sale of the mortgaged property. The Court may delay taking of any action in respect of the mortgage lender’s request in order to hear any challenge by the debtor to the attachment thereof.

The Court authorises the sale (*vendita senza incanto*) of the mortgaged property and sets forth a term not earlier than ninety days and not later than one hundred and twenty days by which anyone, except the debtor, can make an offer (which shall be filed with the Court by a closed envelope, jointly with a deposit (*cauzione*) equal to at least one-tenth of the price offered) on the mortgaged property. The closed envelopes containing the offers are opened at the hearing fixed by the Court, at the presence of the bidders. If there is a sole offer one-fifth above the minimum bid price (sets forth by the Court on the basis of an expert’s appraisal), such offer is accepted and the mortgaged property is

consequently assigned to the relevant bidder. In the event no offer one-fifth above the minimum bid price is made, but one offer is available in an amount lower than the aggregate of (i) the minimum bid price and (ii) an amount equal to one-fifth thereof (provided that offers below the minimum bid price will not qualify), the Court cannot sell the mortgaged property if (i) the lender raises objections to the sale at that price, or (ii) the Court deems that, by a sale at auction (*vendita con incanto*), the mortgaged property can be sold at a higher price. In the event more than one offers one-fifth above the minimum bid price exist, the Court may invite the bidders to make a new offer on the mortgaged property higher than the previous highest one. In the event no new offer is made, the Court may (i) assign the mortgaged property to the bidder who made previously the highest offer, or (ii) order to proceed with the sale at auction (*vendita con incanto*) of the mortgaged property. In these cases, and in the event no qualifying offer is made, the Court orders that the mortgaged property be sold at auction (*vendita con incanto*).

In case of sale at auction (*vendita con incanto*) of the mortgaged property, the Court determines on the basis of the expert's appraisal the minimum bid price for the property at the auction. If an auction fails to result in the sale of the property, the Court will appoint an administrative receiver (*amministratore giudiziario*) or will arrange a new auction with different terms of sale and publicity, and a lower minimum bid price. The Court has discretion to decide whether, and to what extent, the bid price should be reduced (the maximum permitted reduction being one-fourth of the minimum bid price of the previous auction). In practice, the Court tends to apply the one-fourth reduction. If the Court decides different terms of sale or a lower price from the ones set out for the first auction, it also sets out a new term, not lower than sixty days and not higher than ninety days, to receive new offers without auction. In the event no offer is made during an auction (or otherwise in the contest of the sale), the mortgage lender may apply to the Court for a direct assignment of the mortgaged property to the mortgage lender itself by way of satisfaction *pro tanto* of its debt claims towards the debtor. In practice, however, the Court tends to hold actions until the mortgaged property is sold.

The sale proceeds, after deduction of the expenses of the foreclosure proceedings, INVIM (a tax payable by the debtor in respect of any increase in the value of the mortgaged property during the time it was owned by him until 31 December 1992 but which has been abolished with effect from 1 January 2002) and any expenses for the deregistration of the mortgages, will be applied in satisfaction of the claims of any mortgage lenders, with priority according to the ranking of each mortgage and in priority to the claims of any other unsecured creditor of the debtor (except for certain claims for taxes due in relation to the mortgaged property and for which the collector of taxes participates in the foreclosure proceedings).

Pursuant to article 2855 of the Italian Civil Code the claims of a mortgage lender in respect of interest may be satisfied in priority to the claims of all other unsecured creditors in an amount equal to the aggregate of (i) the interest accrued at the contractual rate in the year in which the attachment (*pignoramento*) is initiated and in the two preceding years and (ii) the interest accrued, following the completion of the year in which the attachment (*pignoramento*) is initiated, at the legal rate (currently

3%) until the date on which the mortgaged property is sold. Any amount recovered in excess of this will be applied to satisfy, on a *pari passu* basis, the claims of any other creditor participating in the foreclosure proceedings. The mortgage lender will be entitled to participate in the distribution of any such excess as an unsecured creditor. The balance, if any, will then be paid to the debtor.

Upon payment in full of the purchase price by the purchaser within the specified time period, title to the property will be transferred after the Court issues an official decree ordering the transfer. In the event that proceedings have been commenced by creditors other than the mortgage lender, the mortgage lender will have priority over such other creditors in having recourse to the assets of the debtor during such proceedings, such recourse being limited to the value of the mortgaged property.

According to statistics published by the Bank of Italy, the recovery period for loans in respect of which recovery is by foreclosure proceedings on the related mortgaged real estate usually exceeds four years and a half, although such period may vary significantly depending upon, *inter alia*, the type and location of the related mortgaged real estate and the other factors described in the section entitled “*Risk Factors*”. In the medium-sized central and northern Italian cities it can be significantly less whereas in major cities or in Southern Italy the length of the procedure can significantly exceed the average.

Amendments to the Italian foreclosure proceedings

Law No. 302 of 1998, Law No. 80 of 2005 and Law No. 263 of 2005 amending the Italian Civil Procedure Code have introduced certain rules according to which some of the activities to be carried out in an enforcement procedure may be entrusted to a notary public, a lawyer or a chartered accountant duly registered with the relevant register as kept updated from time to time by the president of the relevant Court (*Presidente del Tribunale*). In particular, if requested by a creditor, the notary public may issue a notarial certificate attesting the results of the searches with the “*Catasto*” and with the appropriate land registry (*Conservatoria dei Registri Immobiliari*). Such notarial certificate replaces several documents which are usually required to be attached by the mortgage lender to the motion for the sale of the mortgaged property and reduces the timing normally required to obtain the documentation from the relevant public offices. Moreover, if appointed by the enforcement judge (*giudice dell'esecuzione*) (the “**Judge**”) in the order authorising the sale of the mortgaged property, the notary public, the lawyer or the chartered accountant (as the case may be) will carry out, either in case of sale without auction (*vendita senza incanto*) or sale at auction (*vendita con incanto*), the activities related to the sale of the mortgaged property, including: (i) determining the value of the property, (ii) deciding on the offers made on the mortgaged property, (iii) initiating further auctions or transfer, (iv) executing certain formal documents relating to the registration and filing with the land registry of the transfer decree prepared by the same notary public and issued by the Judge and (v) preparing the proceeds' distribution plan and forwarding the same to the Judge.

Mutui Fondiari Foreclosure Proceedings

The majority of the Mortgage Loans included in the Portfolio are "*mutui fondiari residenziali*". Foreclosure Proceedings in respect of *mutui fondiari* commenced after 1 January 1994 are currently regulated by article 38 (and following) of the Consolidated Banking Act in which several exceptions to the rules applying to Foreclosure Proceedings in general are provided for. In particular, under article 41, there is no requirement to serve a copy of the loan agreement directly on the borrower and the mortgage lender of *mutui fondiari* is entitled to commence or continue Foreclosure Proceedings after the debtor is declared insolvent or insolvency proceedings have been commenced.

Moreover, the custodian appointed to manage the mortgaged property in the interest of the *fondario* lender pays directly to the same the revenues originated by the mortgaged property (net of administration expenses and taxes). After the sale of the mortgaged property, the Court orders the purchaser (or the assignee in the case of an assignment) to pay that part of the price corresponding to the *mutui fondiari* lender's debt directly to the same.

Pursuant to Article 58 of the Consolidated Banking Act, as amended by Article 12 of Italian Legislative Decree No. 342 of 4 August 1999, the Issuer will be entitled to benefit from such procedural advantages that apply in favour of a lender of a *mutuo fondiario*.

Foreclosure Proceedings for *mutui fondiari* commenced on or before 31 December 1993 are regulated by *Regio Decreto* No. 646 of 16 July 1905 which confers on the *mutuo fondiario* lender rights and privileges which are not conferred by the Consolidated Banking Act with respect to Foreclosure Proceedings on *mutui fondiari* commenced on or after 1 January 1994. Such additional rights and privileges include the right of the bank to commence Foreclosure Proceedings against the borrower even after the real estate has been sold to a third party who has substituted the borrower as debtor under the *mutuo fondiario* provided that the name of such third party has not been notified to the lender. Further rights include the right of the bank to apply for the real estate to be valued by the Court after commencement of Foreclosure Proceedings, at the value indicated in the *mutuo fondiario* agreement without having to have a further expert appraisal.

Attachment of Debtor's Credits

Attachment proceedings may be commenced also on due and payable debts to a borrower (such as bank accounts, salary etc.) or on a borrower's moveable property which is located on a third party's premises.

Lower Instalments for year 2009

Pursuant to article 2 of Decree 185/2008, the amount of the instalments of qualifying non fixed rate loans (i.e. those undertaken to finance the purchase, building and renovation of the main residence (abitazione principale) - with the exception of those belonging to categories A1, A8 and A9 (i.e. luxury flats and houses and castles) - taken out by individuals up to 31 October 2008) to be paid during year 2009, will be calculated with reference to an interest rate equal to the higher of 4 per

cent. and the interest rate applicable as at the date of execution of the loan agreement, provided that the above shall not apply where the instalment determined in accordance with the provisions of the relevant loan agreement would be lower than the one determined in accordance with the above. The difference between the amounts of the instalments that would be due under the applicable contractual terms and those determined in accordance with the provisions of Decree 185/2008 shall be assumed by the State and shall be made available to the debtor by the relevant lender, which shall benefit from a tax claim (credito d'imposta) for a corresponding amount. On 28 December 2008, 13 February 2009 and 30 April 2009 the MEF has has, inter alia, set out the discipline applicable in the event payment of Balance Amounts by lenders be made at a date falling after the due date of the relevant instalment under the mortgage loans (including setting out applicable interest rates to be paid by the lenders), clarified that the above measure can benefit also borrowers in arrears with their mortgage payments (as long as the relevant mortgage loan agreement has not been accelerated or terminated) and that, with regard to securitised loans, the Balance Amount shall be paid to the relevant debtor by the originator or by the servicer appointed pursuant to article 2.3(c) of the Securitisation Law on the due date of payment of the relevant instalment.

LOAN SERVICING AND COLLECTION PROCEDURES AS AT THE EXECUTION DATE

A. Performing Mortgage Loans

Payment Procedures

The payment procedures will be described depending on the connection group of the loans and the relevant IT procedures: the procedure “M0” in the case of loans originated by the ex Banca Intesa group and the procedure “CMLT” in the case of loans originated by the ex-Sanpaolo IMI group.

M0 Procedure: almost all the mortgage loans begin to amortise on the first day of the amortisation period (which may be monthly, quarterly, semi-annual, annual or other) falling after the execution date of the mortgage loan agreement (except where the mortgage loan agreements provide for pre-amortisation periods). From the date of execution of the agreement to the start date of the amortisation, the borrower is only required to pay interest.

CMLT Procedure: almost all the mortgage loans begin to amortise on the first day of the second month falling after the execution date of the mortgage loan agreement (except where the mortgage loan agreements provide for pre-amortisation periods). From the date of execution of the agreement to the start date of the amortisation, the borrower is only required to pay interest.

In both cases, the payment of the instalments under the mortgage loans can be mainly effected as follows:

- (i) by direct debit from the current account of the borrower, held with any branch of Intesa Sanpaolo;
- (ii) by submitting the payment advice slip (**MAV** - “*Pagamento Mediante Avviso*”, at a branch of Intesa Sanpaolo or at another bank using the MAV system, including post offices;
- (iii) by direct debit from the current account of the borrower, held with another bank (“**RID**”);
- (iv) by payment with a branch of Intesa Sanpaolo and/or by a transfer from another bank.

Intesa Sanpaolo requests any person applying for a mortgage loan to hold a current account with Intesa Sanpaolo, from which payments are made by direct debit (even though not all Borrowers have a current account with Intesa Sanpaolo or pay their Instalment by direct debit).

Direct debit payments from current accounts held with Intesa Sanpaolo

Where payments are made by direct debit from a current account held with Intesa Sanpaolo, a procedure is in place which identifies all the instalments falling due on a specific day and debits the current account of the borrower (on such a day and taking into account any grace period). Where a

current account of the borrower does not have sufficient funds to its credit, the account will still be debited, and the IT system will automatically flag to each branch, on a daily basis, the list of instalments made which have caused a current account to exceed its limit. The relevant branch can then transfer the said instalment back to the current account of the borrower.

Any default is immediately registered on the IT systems of Intesa Sanpaolo. The status of payments of a mortgage loan in any case can be checked at any time.

Payments by direct debit – “RID”

In order to facilitate the making of payments by the borrowers and to offer borrowers services increasingly aimed at meeting their needs, it is also possible for the borrowers to make the payments of instalments due by authorising direct debit payments (“RID”) to current accounts of other banks. Such instruction to debit accounts held with other banks, only to be carried out upon the explicit request of the relevant borrower, is an alternative to the debiting to a current account open with Intesa Sanpaolo. This option is interesting in respect of the management of borrowers operating with other credit institutions. This service contributes to minimising the number of mortgage loans which are not linked to a current account.

A few days prior to the instalments falling due in relation to the amounts to be collected by direct debit, the flows of amounts due are automatically determined by Intesa Sanpaolo and notified to the relevant correspondent banks. On the day on which such instalment is payable in accordance with the direct debit mandate, the IT direct debit system credits the collections (“*salvo buon fine*”) subject to the availability of funds to a transitional account, and on the same day the “Mutui” procedure debits the amounts of the instalment due to such account so as to offset the credited amount.

Where such direct debit cannot be effected by the correspondent banks, the instalment payment is automatically transferred back to the transitional account by the IT direct debit system. In the M0 procedure, such payments back are made directly by the central administration while in the CMLT procedure, such payments are made by the relevant branch. In view of the time that it takes for the banks with which the borrowers’ accounts are held to return the credited amounts (“*salvo buon fine*”) and the subsequent processing time, the instalment only appears as paid (or unpaid) approximately twenty days after the instalment falls due in the M0 Procedure and thirty days after the instalment falls due in the CMLT Procedure.

The payment advice slip – (MAV) – “Pagamento Mediante avviso”

In order to ensure a faster registration of the payments made against the payment of mortgage loan instalments with other credit institutions and making the relevant procedure automatic, a payment advice slip was prepared in standard interbank form, which permits the automatic interbank payment system to be used to credit the amounts received to Intesa Sanpaolo.

The payment advice slip (MAV) is a paper form which can be presented to make payment at any bank which uses such a system (i.e. virtually all Italian banks and post offices). In the M0 procedure, Intesa Sanpaolo sends such form to the borrower, before the instalment payment is due, approximately forty days, in case of a mortgage loan payable on a semi-annual basis or on a quarterly basis, while such procedure is not applicable in case of a mortgage loan payable on a monthly basis. If the payment is then made with a branch of Intesa Sanpaolo, the relevant registration is made in real time. If the borrower makes such payment with another bank, an electronic data flow concerning all the details of such payment is transferred to Intesa Sanpaolo.

Any payment made with another bank (and transferred electronically) is normally received within three days of the date of such payment.

In the CMLT procedure, Intesa Sanpaolo sends such form to the borrower, before the instalment payment is due, approximately sixty days, in case of a mortgage loan payable on a semi-annual basis, forty five days, in case of a mortgage loan payable on a quarterly basis and twenty days, in case of a mortgage loan payable on a monthly basis. If the payment is then made with a branch of Intesa Sanpaolo, the relevant registration is made in real time. If the borrower makes such payment with another bank, an electronic data flow concerning all the details of such payment is transferred to Intesa Sanpaolo.

The use of the automatic interbank payment system, in addition to accelerating the transfer of data and providing timely updates on the mortgage files, also minimises the manual work that needs to be carried out by Intesa Sanpaolo in order to monitor the documented money transfers received from other banks.

Any payment made with another bank (and transferred electronically) is normally received within three days of the date of such payment.

B. The Management of Mortgage Loans in Arrears (*crediti con arretrati*)

The management procedures of the problematic claims have been structured to enable prompt action to be taken in relation to any borrowers who are in arrears with their payments. The loan may therefore be intercepted by Intesa Sanpaolo with regard to several indicators (level of risk of any debtor and level of risk of the economic group, rating, *Sconfino*, ratio of installments in arrears), which enable the bank to take the most appropriate measures and decisions with regard to the borrower and the recovery of the unpaid amounts.

Once the loan (or the borrower, as the case may be) is intercepted, the bank uses a set of different processes. In case of a borrower having only mortgage loans or other kind of loans based on the payment of instalments, the relevant process is the *Processo Rateale*. In case of borrowers having other kind of credit products in place with the bank (eg. the possibility to draw a credit line), the other process are: *Processo Basso Valore*, *Processo Rischio Medio*, *Processo Rischio Alto*.

In the *Processo Rateale* a Mortgage Loan is intercepted when the ratio of the sum of instalment payments in arrears and default interest divided by the last due instalment in relation to the following payment periods is equal to or greater than 1. The process is divided into three steps. The first, *Gestione Filiale* status, is the management of the loan made at the branch level with the support by the telephone contact unit, and has a duration of 60 days. The second automatic step is the *Valutazione Specialista*, which has a duration of 30 days: the relevant branch transfers the responsibility for the management of such Loan position to the credit specialist in charge at the *Area* level (*Addetto Ufficio Crediti di Area*). The credit specialist may also rely on the telephone contact unit. If this second step is also unsuccessful, the loan is automatically classified as *Rischio in Osservazione*, divided in two phases having target duration of 60 days each, that can be followed by the status *Proroga Rischio in Osservazione* (another 60 days). The purpose of the *Rischio in Osservazione* status is to preserve the relationship with the borrower.

The loan is subsequently classified as *Incaglio* (maximum duration 180 days): (i) automatically if no success is obtained from the *Rischio in Osservazione* status or if the borrower is in a *Sconfino* status (as defined below) or (ii) automatically if the loan is to be classified as *Incaglio Oggettivo* according to the provisions of the Bank of Italy, or (iii) manually by the bank's officers (at the branch level, the Area level or by the Bank's Credit Department) at any moment of the managing process, if deemed appropriate.

The *Sconfino* status is a daily and automatic interception by the IT system arising when (i) the total exposure of a borrower (eg. current account, mortgage) is in arrears or the cash account is negative for more than 180 days with no interruption - and (ii) such amount in arrears must be greater than 5% of the client's total exposure.

According to the provisions of the Bank of Italy, the total exposure of a borrower who is insolvent or bankrupt or is in the process of being declared insolvent or bankrupt or who has an equivalent status, is considered as "*in sofferenza*" (even where no judgment has yet been given in relation to such insolvency), regardless of any debt predictions which may have been drawn up by Intesa Sanpaolo or any valuations made in relation to guarantees.

In each case, in the Securitisation, a mortgage loan will be considered as being a Defaulted Loan if the loan is classified as "*in sofferenza*" according to the provisions of the Bank of Italy (as defined below) and, in any event, where the ratio of the sum of instalment payments in arrears divided by the last due instalment is equal to or greater than (i) 10, in the case of a mortgage loan payable on a monthly basis, (ii) 4 in the case of a mortgage loan payable on a quarterly basis and (iii) 2 in the case of a Mortgage Loan payable on a semi-annual basis.

In the case of a Mortgage Loan with overdue payments, only the term of the amortisation plan may be renegotiated, while all other economic conditions provided for by contract, including the frequency of instalments, are to be maintained. As to the positions classified as *Rischio in Osservazione*,

Sconfino o *Incaglio*, the proposal of a renegotiation of the Mortgage Loan to the relevant client must obtain previous clearance by the relevant department (*Organo Superiore competente*).

The characteristics of such renegotiation are as follows, subject to renegotiations made under laws or regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached:

- (i) repayment of the amount of the overdue and unpaid instalments together with the outstanding debt over a period longer than the then residual life of the Mortgage Loan (in any case not after June 2051);
- (ii) collection of overdue interest accrued and not paid over the last six months;
- (iii) suspension of 20% (up to Euro 51,600) of the default interest recorded as at the due date of the instalment immediately preceding the renegotiation and obligation to collect the remaining 80%;
- (iv) the maximum term of the loan is 40 years from the initial registration of the Mortgage. Such term can only be granted if as at the new final due date the age of all borrowers is lower than 75 years.

A loan is deemed to be “restructured” if it meets both the following conditions:

- (i) deterioration of the economic and financial situation of the debtor (except for the Country Risk); and
- (ii) a loss exists under such loan.

The meeting of the second condition is determined by a comparison between the current values of the expected cashflows before and after the restructuring.

The renegotiations involving amendments of the economic terms fall within such category; in that case, the loans shall be classified as restructured loans.

The characteristics of the restructuring are substantially the same than the renegotiations, provided that for the claims to be securitised, a possible extension of the amortisation plan may not, in any case, exceed 30 June 2051, subject to the provisions of article 11 of the Servicing Agreement.

C. The Management of the Defaulted Loans Classified as “*in sofferenza*”

Pursuant to the Servicing Agreement, the Servicer shall (i) establish when a Mortgage Loan is to be classified as “*in sofferenza*” in accordance with the provisions of the Bank of Italy; (ii) inform the Special Servicer of any Mortgage Loan being classified as “*in sofferenza*”; and (iii) provide the relevant Special Servicer with all relevant information and documentation.

The allocation of the activities related to the management of any Defaulted Loan classified as “*in sofferenza*” between the First Special Servicer and the Second Special Servicer shall be as follows:

- (a) as of the date of effectiveness of the Servicing Agreement between the Issuer, the Servicer, the First Special Servicer and the Second Special Servicer and until the date of effectiveness of the New Management Agreement (excluded), all the Defaulted Loans classified as “*in sofferenza*” (if any) shall be managed as follows:

- (i) as per the Ex Sanpaolo Claims by the First Special Servicer;
 - (ii) as per the Ex Intesa Claims, by the Second Special Servicer;

Where, before the date of effectiveness of the New Management Agreement, (x) the Issuer owns one or more Ex Sanpaolo Claims and one or more Ex Intesa Claims against the same debtor, or (y) the Issuer owns one or more Ex Sanpaolo Claims or one or more Ex Intesa Claims against the same debtor which is also debtor of a claim granted by an Ex Intesa Branch or by an Ex Sanpaolo Branch, respectively, the management of all such Claims shall be attributed to the First Special Servicer in case the Owner Branch is an Ex Sanpaolo Branch or to the Second Special Servicer in case the Owner Branch is an Ex Intesa Branch.

- (b) as of the date of effectiveness of the New Management Agreement (included), the allocation of the activities related to the management of any Defaulted Loan classified as “*in sofferenza*” between Italfondinario and Intesa Sanpaolo will be regulated pursuant to the provisions of the New Management Agreement.

Pursuant to the provisions of the New Management Agreement, the aforementioned allocation shall be made based on the GBV of the aggregate debt position of each debtor *vis-à-vis*:

- (i) the Issuer and
- (ii) if applicable, Intesa Sanpaolo (i.e. any debt position that is not assigned to the Issuer in the context of the Securitisation and that

- (a) remains vested in Intesa Sanpaolo, or

- (b) is transferred by Intesa Sanpaolo to a special purpose vehicle in order to be securitised in the framework of a securitisation transaction before or after the Issue Date, in the context of transactions where Italfondinario acts as a Special Servicer,

with the only exception of the debt positions assigned outside the scope of the above transactions, whether or not individually, to persons not belonging to the Intesa Sanpaolo Group).

In particular, if the aggregate GBV as determined according to the above provisions:

- (x) is lower than or equal to the threshold to be determined pursuant to the provisions of the New Management Agreement, the relevant debt position, including the relevant Defaulted Loan classified as “*in sofferenza*”, shall be managed by Italfondinario;

(y) is higher than such threshold, the relevant debt position, including the relevant Defaulted Loan classified as “*in sofferenza*”, shall be managed by Intesa Sanpaolo.

In this context:

GBV means gross book value of the relevant defaulted loan classified as “*in sofferenza*”, as resulting from the accounts of the Issuer or of the holder of an Intesa Sanpaolo Position with reference to the date(s) to be identified in the New Management Agreement, or as may be determined otherwise than as specified above, in any case in compliance with the provisions of the New Management Agreement;

Intesa Sanpaolo Position means any debt position that is not assigned to the Issuer in the context of the Securitisation and that

- (a) remains vested in Intesa Sanpaolo, or
- (b) is securitised before or after the Issue Date, in the context of transactions where Italfondario acts as Special Servicer,

with the only exception of the debt positions assigned outside the scope of the above transactions, whether or not individually, to persons not belonging to the Intesa Sanpaolo Group.

C.1 The Management by Intesa Sanpaolo of the Defaulted Loans Classified as “*in sofferenza*”

Intesa Sanpaolo is responsible for the recovery of moneys under defaulted loans classified as “*in sofferenza*”, which management will be entrusted thereto in accordance with the provisions of the Servicing Agreement.

The defaulted loans will be handled by the claims recovery departments (*Presidi Recupero Crediti*), which shall immediately implement the most suitable recovery actions. When resolving upon the course of action for the recovery of the claims, both legal proceedings and out-of-court settlements shall carefully be considered, in terms of costs-benefits, in view of, among other things, the financial implication of the estimated recovery times.

A judicial action will be carried out as follows:

- (i) by Intesa Sanpaolo, to the extent possible, for actions to be taken by the parties (*atti di parte*) (e.g. timely proving in bankruptcy, declaration of credit in insolvency proceedings, etc.) or for judicial acts carried out with the assistance of in-house counsels,

and

- (ii) by appointing external counsel for judicial initiatives (e.g. injunction decree (*decreto ingiuntivo*), and foreclosure proceedings, etc), whose activity will be closely supervised.

As for the recovery activity of positions having a significant value, an initial assessment will be carried out and all the urgent and necessary actions will be implemented to maximise the chance of recovery of the claim. The best operating strategy will then be devised in order to maximise the recovery within the shortest possible period of time and, in particular, it may be resolved:

- (a) to carry out the direct recovery of the individual claim (whether in the framework of a judicial action or by an out-of-court procedure);
- (b) to entrust the recovery to external companies (almost exclusively in the case of positions of negligible amount);
- (c) to carry out transfers of individual claims without recourse (*pro soluto*).

C.2 The Management by Italfondionario of the Defaulted Loans Classified as “*in sofferenza*”

Italfondionario S.p.A. (“**Italfondionario**”) is responsible for the recovery of moneys under defaulted loans classified as “*in sofferenza*”, which management will be entrusted thereto in accordance with the provisions of the Servicing Agreement.

Waivers with respect to a mortgage loan can be agreed to in order to recover amounts due in a shorter period of time as opposed to recovering moneys under the same mortgage loan by means of legal proceedings. Italfondionario’s power to make any settlements or arrangements is provided for in the Collection Policy of the Securitisation.

External legal advisers will be used in almost all circumstances, and such legal advisers will be closely supervised at all times.

The manager of each mortgage loan will ensure that:

- (a) any legal proceedings to recover debt are initiated and will encourage or direct such legal proceedings where necessary;
- (b) where possible out-of-court settlements with customers are pursued (including the transfer of the loans); and
- (c) other assets of the borrower are, where appropriate, seized (attachment of one-fifth of salary, real estate foreclosure of assets other than the collateral involved).

Italfondionario attempts to ensure that out-of-court settlements are reached and, in particular, Italfondionario:

- (a) will consider the rental value of any mortgaged or seized property;
- (b) will request a set of accounts from the custodian of the property;
- (c) may agree, upon request, to borrowers paying their debts by instalments; and

(d) may agree, in exceptional cases, to borrowers deferring their payment.

Should the debtors be companies or other persons “non-bankruptcy remote”, Italfondario shall, where the relevant conditions are met, handle filings for bankruptcy, applications for proving in bankruptcy and any connected act or claim (including any consents, which may also be compositions in bankruptcy, to be provided as a creditor or possibly as a member of the committee of creditors), always with a view to maximising the recovered amounts and/or reducing the recovery times, compared with the amounts obtainable through enforcement actions (which may in any case be commenced simultaneously, where so permitted by the law).

As from the effective date of the New Management Agreement, the powers of the Second Special Servicer as set out in the Collection Policy, shall be replaced by those provided for by the New Management Agreement, except for any amendment that may be agreed between the First Special Servicer and the Second Special Servicer to take into account specific circumstances of the Securitisation, with particular regard to the rating of the Senior Notes. Any further amendments of the powers set out in the New Management Agreement shall also apply to the Securitisation.

D. Renegotiations

Certain provisions concerning Intesa Sanpaolo’s powers under the Servicing Agreement to renegotiate the Mortgage Loans are set out in Section “*Description of the Transaction Documents - Description of the Servicing Agreement*”. In addition, the Servicer may, *inter alia*, allow payment holidays for up to twelve months in extraordinary circumstances (e.g. to the benefit of borrowers who have recently become unemployed, those who receive redundancy payments, divorced or separated with dependant children and individual debtors working in the areas of the Abruzzo Region that were affected by the 6 April 2009 earthquake as such areas have been identified in accordance with the provisions of Italian law decree No. 39 of 28 April 2009, converted into law, with amendments, by Italian law No. 77 of 24 June 2009, from August 2009 up to April 2010), provided that the aggregate outstanding principal of the relevant Mortgage Loans, with reference to the date at which such suspension of payment is granted do not exceed an amount equal to 5% of the aggregate outstanding principal of the Mortgage Loans with reference to the Execution Date. Interest shall not accrue on the instalments which payment has been suspended in accordance with the above and the term of the Mortgage Loan will be extended to allow payment of the suspended instalments. Furthermore the Servicer will allow payment holidays in connection with the likely issue of Tremonti Bonds by the Intesa Sanpaolo Group, under article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007, under article 5, paragraph 3, of Italian law decree No. 39 of 28 April 2009, converted into law, with amendments, by Italian law No. 77 of 24 June 2009 or under other laws or regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached.

THE ORIGINATOR

INTESA SANPAOLO

Merger of Sanpaolo IMI into Banca Intesa S.p.A.

Intesa Sanpaolo derives from the merger by incorporation of Sanpaolo IMI with and into Banca Intesa S.p.A. following the deed of the merger of 28 December 2006 of the Notary public Ettore Morone. The merger came into legal and accounting effect as of 1 January 2007. In the merger, the surviving entity was Banca Intesa S.p.A., which changed its name from Banca Intesa S.p.A. to Intesa Sanpaolo S.p.A.

Banca Intesa S.p.A. was formed in 1998 from the merger of Cassa di Risparmio delle Provincie Lombarde S.p.A. and Banco Ambrosiano Veneto. In 1999, Banca Commerciale Italiana ("**BCI**") joined the Intesa Group. With the subsequent merger of BCI into Banca Intesa S.p.A. (May 2001), the Group took the name IntesaBci. In December 2002 the Shareholders' Meeting resolved upon the change of the company name to Banca Intesa S.p.A., effective as of 1 January 2003.

Sanpaolo IMI was formed in 1998 from the merger of Istituto Bancario San Paolo di Torino and IMI (Istituto Mobiliare Italiano). These two banks were highly complementary: Istituto Bancario San Paolo di Torino was specialised in retail lending, IMI, a public entity founded in 1931 to support the reconstruction of the national industrial system, was a leading business and investment bank.

Legal status

Intesa Sanpaolo is a joint stock company, incorporated in 1925 under the laws of Italy and registered with the Companies' Registry of Turin under registration number 00799960158. It is also registered on the National Register of Banks under No. 5361 and is the parent company of "Gruppo Intesa Sanpaolo".

Registered office

Intesa Sanpaolo's registered office is at Piazza San Carlo 156, 10121 Turin and its telephone number is +39 0115551. Intesa Sanpaolo's secondary office is at Via Monte di Pietà 8, 20121 Milan.

Objects

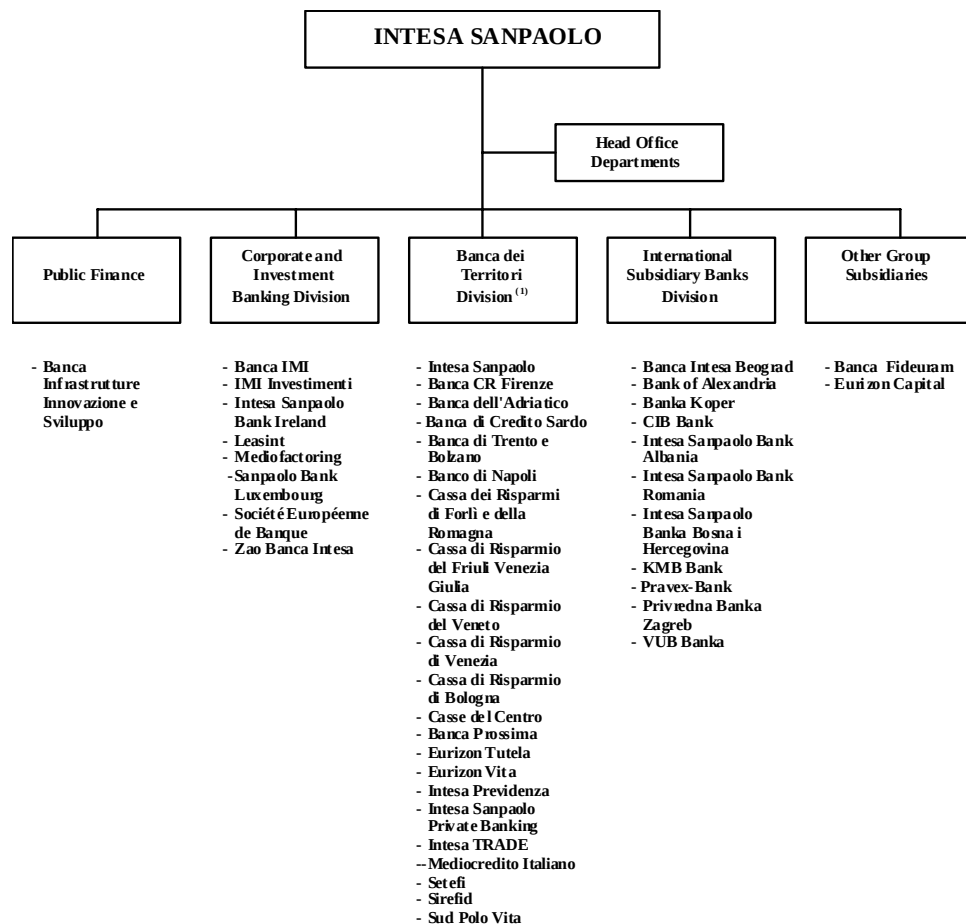
The objects of Intesa Sanpaolo are deposit-taking and the carrying-on of all forms of lending activities, including through its subsidiaries. Intesa Sanpaolo may also, in compliance with laws and regulations applicable from time to time and subject to obtaining the required authorisations, provide all banking and financial services, including the establishment and management of open-

ended and closed-ended supplementary pension schemes, as well as the performance of any other transactions that are incidental to, or connected with, the achievement of its objects.

Share capital

At 31 March 2009, Intesa Sanpaolo's issued and paid-up share capital amounted to €6,646,547,922.56, divided into 12,781,822,928 shares with a nominal value of €0.52 each, in turn comprising 11,849,332,367 ordinary shares and 932,490,561 non-convertible savings shares.

Organisational Structure



⁽¹⁾ Domestic commercial banking

The activity of the Intesa Sanpaolo Group is organised by business units:

- The **Banca dei Territori Division** – which includes Italian subsidiary banks – operates with 6,150 branches serving 11.2 million customers and is based on a business model oriented to maintain and enhance regional brands, strengthen local commercial coverage and relations with individuals, small businesses and SMEs. Banca Prossima was established to serve non-profit entities and operates through the Group's branches, with local offices and dedicated professionals. The activities of this Division include private banking, industrial credit (operated by Mediocredito Italiano) and bancassurance (operated by EurizonVita, Intesa Vita – a joint venture with the Generali group and carried at equity – and Sud Polo Vita in the life insurance sector and EurizonTutela in the casualty sector, with products mainly addressed to the safeguard of person and assets).
- The **Corporate & Investment Banking Division** has the mission of supporting the steady and sustainable growth of businesses and financial institutions with a medium/long term view, on a national and international basis, acting as a "global partner" with an in-depth understanding of company strategies and a complete service range. The Division includes M&A activities, structured finance and capital markets (performed through Banca IMI) and also merchant banking and global custody. It is present in 34 countries supporting the cross-border activity of its customers through a specialised network which comprises foreign branches, representative offices and subsidiaries performing corporate banking activity.
- The **International Subsidiary Banks Division**, which is responsible for activities outside Italy, operates through subsidiary and partly-owned commercial banks and provides guidelines, coordination and support to subsidiaries abroad active in retail and commercial banking. It operates with 1,915 branches serving approximately 8.5 million customers and has total assets of approximately 43.9 billion euro in the following 13 countries in Central-Eastern Europe and the Mediterranean region: Albania (Intesa Sanpaolo Bank Albania), Bosnia Herzegovina (Intesa Sanpaolo Banka Bosna i Hercegovina), Croatia (Privredna Banka Zagreb), Egypt (Bank of Alexandria), the Russian Federation (KMB Bank), Greece (with the Athens and Thessaloniki branches of Intesa Sanpaolo Bank Albania), the Czech Republic (with the Prague branch of VUB Banka), Romania (with Intesa Sanpaolo Bank Romania), Serbia (Banca Intesa Beograd), Slovakia (VUB Banka), Slovenia (Banka Koper), Hungary (CIB Bank) and Ukraine (Pravex-Bank).
- The **Public Finance** Business Unit is responsible for customers in government, public entities, local authorities, public utilities, general contractors, public and private healthcare structures, developing activities related to lending and day-to-day banking operations, project financing, securitisations, financial advisory, with the aim of favouring cooperation between public and private entities and supporting initiatives and investment projects in large infrastructures,

healthcare, research and public utilities in general. The business unit is composed of Banca Infrastrutture Innovazione e Sviluppo.

- **Eurizon Capital** is the Group's asset management company.
- **Banca Fideuram** is the Group company specialised in asset gathering, performed by the networks of financial advisors and 97 branches serving customers with medium to high savings potential.

The integration process of the Intesa Sanpaolo Group

The integration process progressed during the whole of 2007 and 2008: in the first three months of the year 2007 the decisions on the operating structure were taken and all the managers responsible for the units were appointed; client attribution across the Business Units was also defined. Moreover, the distribution model was aligned both for retail customers and for corporate and enterprise customers and integrated solutions have been implemented for guidance and control systems relating to management and operating reports, to risk control tools and to lending procedures. Lastly, the first joint commercial initiatives were launched with the support of specific advertising campaigns. The Group's target ICT system, which was identified in the first quarter of 2007, permits the construction of a common platform of models, processes, products and systems as scheduled in the merger programme, with the migration of Group Banks to the target system pursuing the following objectives:

- implementing the migration of banks to the target platform, leading to the unification of the commercial offer and the standardisation of models and operating processes; the changeover has been planned gradually, testing solutions and results via the migration of certain pilot units and subsequently groups of branches;
- training the resources of the Head Office departments and of the network to use the new ICT system and the target operating processes;
- managing the post conversion period, via initiatives to support/assist operating resources and, where necessary, customers.

The activities have been organised into specific task forces involving user company departments, commercial and management structures, as well as the company departments responsible for organisational and IT development.

The project entails the migration process of former Intesa branches to the Target system. Having completed this migration phase, a territorial reorder is underway, that is the revision of territorial coverage which also includes the sale of Intesa Sanpaolo branches to the Banca dei Territori Division.

To permit the complete rationalisation of the ICT systems and operations, in the last three months of 2007 the Integration project DOF/Migration Banca IMI was also activated, with the objective of

realising the IT System and the Operations in support of the Capital Markets business of the new Banca IMI on the target system.

The criteria which guided the selection of the IT System and the operating system were first and foremost the safeguard of the needs of the business (in terms of selection of the most effective and flexible IT applications and continuation of all the specific functionalities in support of front office activities), the minimisation of migration times and risks, as well as the maximisation of cost synergies.

Intesa Sanpaolo in 2008

Acquisition of Carifirenze

In the first half of 2008 activities continued for the rationalisation of Group structure. At the end of January, Intesa Sanpaolo acquired control of Cassa di Risparmio di Firenze S.p.A. ("**Carifirenze**") from Ente Cassa di Risparmio di Firenze, Fondazione Cassa di Risparmio di Pistoia e Pescia, Fondazione Cassa di Risparmio della Spezia and So.Fi.Ba.R. – Società Finanziaria di Banche Romagnole, by means of a share swap of own ordinary shares. As a result of the stake already held, the share swap, the subsequent Mandatory Public Offer and the exercise of the squeeze-out right on the residual shares, Intesa Sanpaolo now holds an 89.71% stake in Carifirenze's share capital and Ente Cassa di Risparmio di Firenze holds the residual stake.

The acquisition of Carifirenze significantly strengthens Intesa Sanpaolo's competitive position in the five regions of Centre-North Italy, where Carifirenze has an extensive presence, and specifically in Tuscany. This transaction effectively complements Intesa Sanpaolo's strategy aimed at completing its territorial coverage of Italy, as set out in its Business Plan.

At the end of June, the Board of Directors of Carifirenze approved the 2008-2010 Business Plan, in the framework of the integration process of Carifirenze within the Banca dei Territori Division of Intesa Sanpaolo.

This integration process involves, among other things, the application of the model of the Banca dei Territori of the Intesa Sanpaolo Group to Carifirenze and the transfer of Casse del Centro and 130 Intesa Sanpaolo branches (inclusive of branches under disposal) to the Carifirenze Group in its current configuration, as part of the definition of the geographical areas of competence of Carifirenze. The process also entails the disposal of 29 branches to meet the decision of the Italian Competition Authority "AGCM" dated 17 January 2008.

The Business Plan of Carifirenze sets, in particular, synergies - in which neither the Casse del Centro transfer nor the cost savings from the branch disposal have been figured in yet - at approximately 180 million euro, in full operation in 2010, of which, in approximate figures, 60 million from revenues and 120 million from costs (no synergies foreseen in 2008, 70 million expected in 2009 of which 25 million from revenues and 45 million from costs).

Upon completion of the integration process, Carifirenze, which already enjoys a forefront position in its home region, will be a leading bank in Central Italy and rank eighth in Italy with approximately 900 branches, thus playing a key role in the competitive positioning of the competitive positioning of the Intesa Sanpaolo Group.

Rationalisation of Group structure

Various infra-group mergers became effective as of 1 January 2008 and involved both Italian and international subsidiaries. In Italy, the integration between Banca Intesa Infrastrutture e Sviluppo S.p.A. - which took on the new corporate name of Banca Infrastrutture Innovazione e Sviluppo S.p.A. ("**BIIS**") - and Banca per la Finanza alle Opere Pubbliche e alle Infrastrutture ("**Banca OPI**") came into effect. The operation was realised through the total spin-off of Banca OPI. All assets, liabilities and legal relationships previously referred to Banca OPI were assigned completely and totally unchanged to BIIS, with the exception of the equity investments held by Banca OPI in Fin.OPI (now Equiter) and in INLOC, which were transferred, respectively, to Intesa Sanpaolo and Fin.OPI.

Leasint - the company formed from the merger by incorporation of Sanpaolo Leasint into Intesa Leasing - is also operational from the beginning of the year 2008 and it is a leading player in Italy.

The disposal of 198 branches, to comply with decisions issued by the Italian Competition Authority relative to the Banca Intesa S.p.A. and Sanpaolo IMI merger, was finalised in the first quarter of 2008. More specifically, 36 branches of the Intesa Sanpaolo Group were sold to Veneto Banca on 14 February for a total consideration of 274 million euro. This disposal which came into effect as of 18 February 2008 included branches located in the provinces of Imperia (5 branches), Venezia (12), Padova (7), Udine (9) and Rovigo (3). On 21 February the following further disposals were finalised and came into effect as of 25 February 2008: 35 branches, for a total consideration of 395 million euro, to the Credito Valtellinese Group, of which 12 to Credito Artigiano in the Pavia province and 23 to Credito Piemontese in the provinces of Alessandria (4) and Torino (19); 6 branches, for a total consideration of 54 million euro, to Banca Popolare Alto Adige in the Venezia province; 43 branches, for a total consideration of 181 million euro, to Banca Popolare di Bari in the provinces of Pesaro (2), Terni (11), Napoli (15), Caserta (10) and Brindisi (5). The sale of the remaining 78 branches – in the provinces of Torino (14), Aosta (1), Como (19), Pavia (6), Venezia (18), Padova (15), Rovigo (1) and Sassari (4) – to Banca Carige was finalised on 7 March with effect as of 10 March 2008 for a total consideration of 996 million euro.

In May 2008, the acquisition on the part of Intesa Sanpaolo of the depositary bank services of MPS Finance (today known as Intesa Sanpaolo Servizi Trasazionali) was finalised in accordance with the commitments made by the parties in the agreement signed on 31 March 2008. Again in May 2008, Intesa Sanpaolo S.p.A. and Crédit Agricole S.A. have finalised the sale to Crédit Agricole of Intesa Sanpaolo's 49 per cent total interest in AGOS S.p.A., their joint venture in the consumer credit business in Italy.

Lastly, the integration in Eurizon Capital of Eurizon Investimenti (former CAAM Sgr), whose control was acquired at the end of 2007 following the purchase of the activities attributable to the 65% stake of Nextra Investment Management, was finalised in April 2008. The new Eurizon Capital controls Eurizon Capital SA – with registered office in Luxembourg and branches in Chile and Singapore – Eurizon Alternative Investments Sgr and Eurizon A.I. Sgr, both asset management companies of funds of hedge funds, and Epsilon Sgr, specialised in quantitative asset management. Eurizon Capital is the leading Italian asset management company with over 145 billion euro of net managed assets.

As far as the Intesa Sanpaolo Group's presence abroad is concerned, in Albania, Intesa Sanpaolo Bank Albania (rebranding of American Bank of Albania) absorbed Banca Italo Albanese; in Serbia, Banca Intesa Beograd merged with Panonska Banka and in Hungary CIB Bank absorbed Inter-Europa Bank. In parallel the rebranding of International Banks, is underway. On 27 June 2008, Intesa Sanpaolo and the controlling shareholders of JSC Pravex-Bank (“Pravex”), finalised the Intesa Sanpaolo’s acquisition of 100% of the share capital of Pravex, in conformity with the agreement executed on 4 February 2008. This acquisition enables to effectively enter the large market of Ukraine, a country with approximately 47 million inhabitants.

Management

Supervisory Board

The composition of Intesa Sanpaolo's Supervisory Board is as set out below.

Name	Position
Giovanni Bazoli	Chairman
Antoine Bernheim	Vice Chairman
Rodolfo Zich	Vice Chairman
Carlo Barel di Sant’Albano	Director
Rosalba Casiraghi	Director
Marco Ciabattoni	Director
Giovanni Costa	Director
Franco Dalla Sega	Director
Gianluca Ferrero	Director
Angelo Ferro	Director
Pietro Garibaldi	Director
Giulio Lubatti	Director
Giuseppe Mazzarello	Director
Eugenio Pavarani	Director
Gianluca Ponzellini	Director
Gianguido Sacchi Morsiani	Director
Ferdinando Targetti	Director
Livio Torio	Director
Riccardo Varaldo	Director

Management Board

The composition of the Management Board is as set out below:

Name	Position
Enrico Salza	Chairman
Orazio Rossi	Deputy Chairman
Corrado Passera	Managing Director and Chief Executive Officer
Aureliano Benedetti	Director
Elio Catania	Director
Giuseppe Fontana	Director
Gianluigi Garrino	Director
Virgilio Marrone	Director
Emilio Ottolenghi	Director
Giovanni Perissinotto	Director
Marcello Sala	Director

The business address of each member of the Management Board is Intesa Sanpaolo S.p.A., Piazza San Carlo 156, Turin.

Principal Shareholders

As of 30 June 2009, the shareholder structure of Intesa Sanpaolo was composed as follows (holders of shares exceeding 2%).

Shareholder	Ordinary shares	% of ordinary shares
Compagnia di San Paolo	1,171,622,725	9.888%
Crédit Agricole S.A.	708,822,880	5.982%
Assicurazioni Generali	601,586,930	5.077%
Fondazione C.R. Padova e Rovigo	583,404,899	4.924%
Fondazione Cariplo	554,578,319	4.680%
Ente C.R. Firenze	400,287,395	3.378%
Fondazione C.R. in Bologna (*)	323,955,012	2.734%
Carlo Tassara S.p.A.	296,764,457	2.504%
Barclays Global Investors UK Holdings Ltd (**)	239,017,266	2.017%

(*) Of which 50,000,000 shares being securities lent to Mediobanca with voting rights held by the lender

(**) Fund Management

Subprime Mortgages

A universally agreed-upon definition of subprime mortgages does not exist. In short, this classification refers to mortgaged lending which is riskier since it is granted to borrowers which have previously defaulted or because the debt-to-income or loan-to-value ratio is high.

As at 31 March 2009, the Intesa Sanpaolo Group:

- did not have mortgages definable as subprime in its portfolio, since the Group's policy does not envisage granting of this kind;
- did not issue guarantees connected to the aforementioned products.

That being said, Intesa Sanpaolo considers US subprime exposure to mean all products - cash

investments (securities and funded CDOs) and derivative positions (unfunded CDOs) - with collateral mainly made up of non-prime US residential mortgages (i.e. Home Equity Loans, residential mortgages with B&C ratings and similar products) granted in the years 2005/06/07, irrespective of the FICO score and the Loan-to-Value ratio, as well as those with collateral represented by US residential mortgages granted before 2005 with a FICO score under 629 and Loan-to-Value over 90 per cent. (as at 31 March 2009, unchanged with respect to our disclosure dated 31 December 2008, the weight of this second product class is immaterial in the Intesa Sanpaolo Group portfolio). The risk on these investments was managed and reduced via “short” positions on ABX indices. These positions have been actively managed on the basis of market movements and portfolio investment write-downs. The write-down has been partially offset by the earnings from the sale of the short positions on ABX indices initially underwritten. As at 31 March 2009, the net exposure is of 27 million euro.

Recent Events

1. *Incorporation of Intesa Sanpaolo Group Services s.c.p.a.*

On 20 April 2009, Intesa Sanpaolo Group Services s.c.p.a. (“**IGS**”), with registered offices at Piazza San Carlo 156, Turin (Italy), was incorporated by means of a contribution of businesses as going concerns and in accordance with applicable laws. IGS is owned by Intesa Sanpaolo S.p.A. as the majority shareholder and by other companies in the Intesa Sanpaolo Group benefiting from the services carried out by IGS.

The services provided by IGS to the parent company and the other companies in the Intesa Sanpaolo Group being its shareholders include operating activities related to organisation, security, real estate properties, purchases, operational services, IT and contact Unit services.

For the purposes of the carrying out of such services, IGS will employ persons formerly employed by Intesa Sanpaolo to carry out the relevant activities prior to the above contribution of businesses as going concerns. The company, in accordance with the provisions of the Intesa Sanpaolo Group regulations, will report to the Chief Operating Officer of Intesa Sanpaolo.

2. *Crédit Agricole and Assicurazioni Generali*

a. *Shareholders’ Agreement concerning the company entered into by Crédit Agricole and Assicurazioni Generali*

On 7 May 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

“Torino, Milano, 7 May 2009 – Intesa Sanpaolo, upon request of Consob, with reference to the shareholders’

agreement concerning the Company's shares, which Crédit Agricole and Assicurazioni Generali entered into on 24 April 2009, informs as follows:

- *Intesa Sanpaolo has scrupulously respected its engagements with the Italian Competition Authority;*
- *the Company learned the contents of the shareholders' agreement upon publication of the extract in the press on 1 May 2009;*
- *the Authority made a timely request of Intesa Sanpaolo for adequate information regarding the consistency of this agreement with the provisions contained in its decision;*
- *since Intesa Sanpaolo will provide the information required and collaborate with the Authority with the aim of defining whatever that can be useful to the Authority, for the time being the Bank thinks it suitable to put off any evaluation until the outcome of the ongoing verifications;*
- *any further development will be duly communicated to the market."*

b. Non-compliance process regarding the company started by Italian Competition Authority following the Crédit Agricole – Assicurazioni Generali Agreement

On 14 May 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

"Torino, Milano, 14 May 2009 – With reference to the non-compliance process started this afternoon by the Italian Competition Authority regarding Intesa Sanpaolo and related to the provisions included in the Decision which authorised the merger between Banca Intesa and Sanpaolo IMI, Intesa Sanpaolo believes that it has scrupulously respected its commitments to the Authority - as already stated in the press release issued on 7 May 2009 - and is confident that the correctness of its behaviour will emerge under the process.

Intesa Sanpaolo restates its full cooperation with the Authority in order that a positive outcome to the process is reached as soon as possible."

3. Parmalat and Banca C.R. Firenze

a. Agreement between Parmalat and Banca C.R. Firenze

On 20 May 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

"Parmalat S.p.A. communicates that today agreements have been reached with Banca C.R. Firenze and its subsidiaries Centro Factoring SpA and Cassa di Risparmio della Spezia SpA (Intesa Sanpaolo Group) which settle the pending dispute related to the period prior to the insolvency declaration of the Parmalat Group (December 2003). As a result of these agreements, Banca C.R. Firenze and its aforementioned subsidiaries will pay to Parmalat SpA a total amount of €20,000,000.00 in exchange for Parmalat SpA abandoning revocatory actions it has already filed and any action or claim against the former Gruppo Cassa di Risparmio di Firenze.

Banca C.R. Firenze and its subsidiaries have waived the right to demand inclusion among the liabilities of the companies under extraordinary administration that are parties to the proposal of Composition with creditors of the claim arising from the payment made as a result of the settlement agreement and of any other claims that may arise from past transactions. Moreover, Banca C.R. Firenze and its subsidiaries waive any and all actions or claims against Parmalat SpA, Assumptor of the Composition with Creditors.”

b. Clarification regarding settlement between Parmalat and Banca C.R. Firenze

On 20 May 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

“Torino, Milano, 20 May 2009 – With reference to the settlement of all relations and claims involving Banca C.R. Firenze and its subsidiaries (Intesa Sanpaolo Group) with respect to the Parmalat Group default agreed upon today with Parmalat S.p.A. (Assumptor of the Composition with creditors), Intesa Sanpaolo once more declares that the Group had been absolutely fair in its behaviour and totally unaware of the Parmalat state of insolvency and clarifies that the settlement has been resolved upon only to avoid uncertainties which arise, as a matter of fact, from the involvement in a long lasting and very complex litigation while also considering the related heavy administrative costs.

In particular, the settlement provides that, with the payment by Banca C.R. Firenze and its subsidiaries - Centro Factoring SpA and Cassa di Risparmio della Spezia SpA - of a total amount of 20 million euro, which has already been set aside in the Intesa Sanpaolo Group consolidated financial statements as at 31 March 2009, all revocatory actions already filed for approximately 154 million euro as well as revocatory actions or damage claims eventually to be filed, are to be waived.”

4. Intesa Sanpaolo: boards approve rationalisation project of bancassurance business

On 23 June 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

“Torino, Milano, 23 June 2009 – The Management and the Supervisory Boards of Intesa Sanpaolo met today under the chairmanships of Enrico Salza and Giovanni Bazoli and approved within their respective competencies a project which aims to rationalise the Intesa Sanpaolo Group bancassurance business. The project has been laid out based on a logic of specialisation by distribution network. The aim is to set up a single company serving the Group’s banking networks and a life company at the service of the financial advisors of Banca Fideuram.

Intesa Sanpaolo currently holds stakes in the following companies operating in the bancassurance business:

- Intesa Vita (50%), a joint venture with the Generali Group serving the former Banca Intesa branches;*
- EurizonVita (99.96%), a subsidiary serving the former Sanpaolo IMI branches;*
- Centrovita Assicurazioni (51%), a subsidiary in joint venture with Cardif Assurance (BNP Paribas Group) serving the Carifirenze branches;*
- Sud Polo Vita (99.97%), a subsidiary serving the branches of Banco di Napoli and Casse del Centro.*

Following the unwinding of the joint ventures with Generali and Cardif and the exercising of the connected put option

by the respective insurance partners, Intesa Sanpaolo will actually acquire full control of the four companies.

The realisation of the project is conditional upon obtaining the necessary authorisations. In particular, as the Competition Authority in its decision authorising the Banca Intesa and Sanpaolo IMI merger required that Sud Polo Vita be disposed of to third parties, a request has been made to the Authority that this provision be amended thus removing the obligation on Intesa Sanpaolo to sell that company.

The implementation of the project would bring the Intesa Sanpaolo Group bancassurance business to record gross premiums written of some 8 billion euro and technical reserves of some 63 billion euro on a pro-forma basis at year-end 2008.

The project offers a remarkable opportunity for value creation as it will lead to:

- achieving significant efficiency, with cost synergies stemming from the unification of systems and processes;*
- improving commercial effectiveness substantially, with alignment to internal best practice as well as reviewing and unifying both product range and investment policies;*
- re-launching the insurance business of Banca Fideuram thanks to a dedicated structure to manage customers' specific needs.*

Intesa Sanpaolo has been assisted in preparing this project by KPMG Advisory for financial consulting."

5. Intesa Sanpaolo: growing together with enterprises

On 3 July 2009, Intesa Sanpaolo published a press release, the full text of which is set out below:

"Torino, Milano, 3 July 2009 – The Intesa Sanpaolo Group confirms its commitment to grow together with enterprises and launches tailor-made initiatives - including the agreement with Confindustria to assist SME liquidity and capitalisation - which will be illustrated this morning by CEO Corrado Passera in a meeting in Milano with entrepreneurs.

The Group's lending to the Italian System amounts to nearly 500 billion euro in the form of facilities granted, equivalent to approximately one third of the country's Gross Domestic Product, of which some 67% to enterprises, above all small and medium-sized (50% of the total facilities granted to the Italian System).

The Intesa Sanpaolo Group has succeeded in not reducing its lending to Italian enterprises even during the last 12 months, despite the sharp fall in loan demand and the significant rise in credit risk. The amount of on-balance sheet loans to small and medium-sized enterprises remained stable at 152 billion euro while substantial medium-long term credit disbursements to support investments totalled some 18 billion euro for the period.

The Group confirms that lending will be available to small and medium-sized Italian enterprises over the next 36 months for:

- some 60 billion euro as current unused margin of facilities already granted;
- some 30 billion euro as new facilities to be granted on request;

The Group expects new medium and long term credit disbursements of some 50-60 billion euro over the same period (the figure for the last 6 months was some 8 billion euro).

Enterprises' access to credit will be facilitated by the following further commitments on the part of the Intesa Sanpaolo Group aimed at:

- constant renewal of the offering also for specific sectors;
- proximity typical of a local bank, thanks to the validity of the Banca dei Territori model;
- "bridging" with all the other entities that can facilitate credit access (Confidi, Fondo Centrale di Garanzia, SACE, Cassa Depositi e Prestiti, BEI);
- capital investment and not only lending to enterprises;
- increasing transparency and simplification of contractual conditions. In this framework, provisions set out in the recent "anti-crisis" Law Decree will not significantly impact on the Group's future profitability.

Enterprise access to the Intesa Sanpaolo Group credit will however remain based on creditworthiness."

THE ISSUER

Introduction

The Issuer was incorporated in the Republic of Italy (under registered number 09646141003 with the Register of Enterprises of Rome) pursuant to the Securitisation Law as a limited liability company on 21 September 2007 under the name of Adriano Finance S.r.l. and registered under No. 40170 in the register held by the Bank of Italy pursuant to article 106 of the Consolidated Banking Act. The by-laws of the Issuer provide that the life of the company ends on 31 December 2080.

The authorised, issued and paid in quota capital of the Issuer is Euro 15,000. The quotaholders of the Issuer (hereafter together the “**Quotaholders**”) are as follows:

Stichting Megatrendburg	95 % of the quota capital;
Intesa Sanpaolo	5 % of the quota capital.

The Quotaholders' Agreement contains *inter alia* a call option in favour of Intesa Sanpaolo to purchase from Stichting Megatrendburg (the “**Foundation**”) and a put option in favour of the Foundation to sell to Intesa Sanpaolo, the quota of the Issuer held by the Foundation and provisions in relation to the management of the Issuer. Each option may only be exercised from the day on which all the Notes, the notes issued by the Issuer in the context of the Existing Securitisations and the notes issued in the context of all the securitisation transactions that the Issuer will carry out, have been redeemed in full or cancelled.

In addition the Quotaholders' Agreement provides that no Quotaholder of the Issuer will approve the payments of any dividends or any repayment or return of capital by the Issuer prior to the date on which all amounts of principal and interest on the Notes, on the notes issued by the Issuer in the context of the Existing Securitisations and the notes issued in the context of all the securitisation transactions that the Issuer will carry out, have been paid in full.

Registered office

The Issuer has its registered office at Via Eleonora Duse 53, 00197 Rome, Italy and the telephone number of the registered office is +39 06 8091531.

Issuer Principal Activities

The principal corporate objects of the Issuer are set out in article 2 of its by-laws (*statuto*) and are (i) to acquire monetary receivables for the purposes of securitisation transactions and (ii) to issue asset backed securities.

The Issuer has been engaged in the purchase of the Existing Claims, the entering into of the Existing Transaction Documents and issuing the notes in the framework of the Existing

Securitisations. Currently the Issuer is engaged in the purchase of the Portfolio and the entering into of the Transaction Documents and other ancillary documents.

Consequently, the Issuer performs solely securitisation activities according to the Securitisation Law and, in compliance with Bank of Italy's instructions of 14 February 2006, has recognised the acquired loans, the issued notes and the other transactions accomplished during the course of the securitisation in the explanatory notes to the financial statements and not in the balance sheet. As disclosed in the directors' report of the Issuer, the recognition of financial assets and liabilities in the explanatory notes to the financial statements is done in conformity with the administrative dispositions issued by the Bank of Italy based on article 9 of Italian Legislative Decree n° 38/2005, in accordance with IFRS. Such an approach is also in line with what is established by the Securitisation Law, according to which the loans concerning each securitisation represents, to all effects, a separate equity from that of the Issuer and from that of the other securitisations.

So long as any of the Notes remain outstanding, the Issuer shall not, without the consent of the Representative of the Noteholders, incur any other indebtedness for borrowed moneys or engage in any business (other than acquiring and holding the assets on which the Notes are secured, issuing the Notes and entering into the Transaction Documents to which it is a party), pay any dividends, repay or otherwise return any equity capital, have any subsidiaries, employees or premises, consolidate or merge with any other person or convey or transfer its property or assets to any person (otherwise than as contemplated in the Conditions or the Intercreditor Agreement or in the Existing Transaction Documents) or issue any additional quota.

The Issuer will covenant to observe, *inter alia*, those restrictions which are detailed in Condition 3 (*Covenants*).

Directors and Statutory Auditors

The directors of the Issuer are:

- Gian Piero Alessandrini, who is a professional consultant as President, its business address, in his capacity of chairman of the board of directors of the Issuer, is at Via Eleonora Duse 53, 00197 Rome, Italy;
- Paolo Vantellini, who is a qualified chartered accountant and a university Professor, its business address, in his capacity of director of the Issuer, is at Via Eleonora Duse 53, 00197 Rome, Italy; and
- Franco Marini, who is a professional consultant, its business address, in his capacity of director of the Issuer, is at Via Eleonora Duse 53, 00197 Rome, Italy.

The statutory auditors of the Issuer are:

- Sabrina Navarra, who is a professional consultant as President;

- Alessandro Cotto, who is a professional consultant as effective auditor;
- Anna Maria Faienza, who is professional consultant as effective auditor;
- Paolo Giulio Nannetti, who is a qualified chartered accountant as alternative auditor; and
- Paola Palazzo, who is a professional consultant as alternative auditor.

Capitalisation and Indebtedness Statement

The capitalisation of the Issuer as at the date of this Prospectus, adjusted for the issue of the Notes now being issued on the Issue Date, is as follows:

Quota capital

Issued and authorised

Intesa Sanpaolo has a quota of Euro 750,00 and the Foundation has a quota of Euro 14.250,00, each fully paid up.

Loan Capital

First Existing Notes

Class A Residential Mortgage Backed Floating Rate Notes due December 2055	Euro 7,557,950,000
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Class B Residential Mortgage Backed Floating Rate Notes due December 2055	Euro 439,900,000
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Second Existing Notes

Class A Mortgage Backed Floating Rate Notes due December 2058	Euro 5,281,150,000
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Class B Mortgage Backed Floating Rate Notes due December 2058	Euro 397,500,000
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Notes

Class A Residential Mortgage Backed Floating Rate Notes due June 2065	Euro 5,296,700,000
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Class B Residential Mortgage Backed Floating Rate Notes due June 2065	Euro 563,400,000
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Total capitalisation and indebtedness

Save for the foregoing, at the date of this document, the Issuer has no borrowings or indebtedness in the nature of borrowings (including loan capital issued or created but unissued), term loans,

liabilities under acceptances or acceptance credits, mortgages, charges or guarantees or other contingent liabilities.

Financial Statements and report of the auditors

The financial statements of the Issuer as at 31 December 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007, approved by the Board of Directors of the Issuer on 11 July 2008, together with the relevant explanatory notes thereto and the auditor's reports issued on 14 July 2008 thereon, and the financial statements of the Issuer as at 31 December 2008 and for the year then ended, approved by the Quotaholders' Meeting of the Issuer on 24 March 2009, together with the relevant explanatory notes thereto and the auditor's reports issued on 9 March 2009 thereon, shall be deemed to be incorporated in, and form part of, this Prospectus. The following tables show the summary figures of the Issuer's financial statements as at 31 December 2008.

Balance sheet as at 31 December 2008

<i>Assets</i>	<i>Euro</i>
Receivables	128,984
Tax assets	25,829
Other assets	24,002
Total Assets	178,815
<i>Liabilities and Quotaholders' Equity</i>	
Tax liabilities	39,102
Other liabilities	114,354
<i>Quotaholders' Equity</i>	
Quote capital	15,000
Net income for the year	10,359
Total Liabilities and Quotaholders' Equity	178,815

Statements of income for the year ended 31 December 2008

<i>Income</i>	<i>Euro</i>
Interest and similar income	336
Other operating income	230,000
<i>Expenses</i>	

Fee and commission expense	(358)
Administrative expenses	(210,519)
Taxes on income from continuing operations	(9,100)
Net income for the year	10,359

The above reported balance sheet of the Issuer as at 31 December 2008 and the statement of income for the year then ended are incorporated by reference in this Prospectus. The fully paid-up outstanding quota capital is owned by the Foundation (95% of the capital quota) and Intesa Sanpaolo (5% of the capital quota). The Issuer was incorporated as a special purpose vehicle to carry out securitisations of loan receivables (issuing asset backed securities). Pursuant to the regulations issued by the Bank of Italy on 14 February 2006, securitisation transactions of loan receivables are accounted for by the Issuer as off-balance sheet assets and liabilities, costs and revenues, and the accounting information relating to the securitisation of loan receivables are reported by the Issuer in the explanatory notes to its financial statements.

The Issuer has carried out the Existing Securitisations, and it has principally recognised in the income statement for the year ended 31 December 2008, as other income, the related fees and, as administrative expenses, the directors and auditors fees.

Auditors

The auditors of the Issuer are Reconta Ernst & Young S.p.A. enrolled at No. 2 in the Special Register (*Albo Speciale*) maintained by CONSOB pursuant to article 161 of the Financial Act and enrolled at No. 70945 in the Register of Accountancy Auditors (*Registro dei Revisori Contabili*) in compliance with the provisions of Italian Legislative Decree No. 88 of 27 January 1992, whose registered address is at Via Po 32, 00198 Rome, Italy. Reconta Ernst & Young S.p.A. has audited the Issuer's financial statements as at 31 December 2008 and for the year then ended and as of 31 December 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007.

THE SWAP COUNTERPARTY

Intesa Sanpaolo, a bank organised as a joint stock company under the laws of the Republic of Italy, will be the Swap Counterparty.

The registered office of Intesa Sanpaolo is located at Piazza San Carlo 156, Turin, Italy and secondary office at Via Monte di Pietà 8, Milan, Italy.

Copies of the latest annual report and accounts of Intesa Sanpaolo will be available during usual business hours at the registered office of the Luxembourg Agent.

USE OF PROCEEDS

The estimated proceeds from the issue of the Notes, being Euro 5,860,100,000 will be applied by the Issuer towards payment of the Initial Purchase Price of the Portfolio on the Issue Date pursuant to the Transfer Agreement.

DESCRIPTION OF THE TRANSACTION DOCUMENTS

The description of the Transaction Documents set out below is a summary of certain features of such documents and is qualified by reference to the detailed provisions of the terms and conditions of each Transaction Document. Prospective Noteholders may inspect a copy of the Transaction Documents upon request at the registered office of the Luxembourg Agent and of the Representative of the Noteholders.

DESCRIPTION OF THE TRANSFER AGREEMENT

On 25 May 2009 (the “**Execution Date**”), the Issuer and Intesa Sanpaolo, in its capacity as Originator, entered into the Transfer Agreement (as amended on or about the Issue Date), pursuant to which the Originator assigned and transferred without recourse (*pro soluto*) in accordance with the Securitisation Law with economic effects from 00:01 A.M. of 23 May 2009 (the “**Effective Date**”), all the rights, title and interest in and to the Claims arising out of the Mortgage Loans.

The Claims have been selected on the basis of certain criteria set out in Exhibit A to the Transfer Agreement (the “**Criteria**”).

Purchase Price

In consideration for the assignment and transfer of the Claims, the Issuer has agreed to pay the Originator, on the Issue Date, an initial purchase price equal to the aggregate of the individual initial purchase price of the Claims (Euro 5,860,077,110.80) (the “**Initial Purchase Price**”). In addition, the Issuer has agreed to pay the Originator, simultaneously with the redemption in full of the Notes, a deferred purchase price, in an amount equal to the amount resulting from the liquidation of any Residual Assets, (the “**Deferred Purchase Price**” and together with the Initial Purchase Price, the “**Purchase Price**”), subject to the right for Intesa Sanpaolo to obtain from the Issuer the transfer of the Residual Assets without recourse (*pro soluto*) as at such date as an alternative to the payment of the Deferred Purchase Price by the Issuer to Intesa Sanpaolo. Intesa Sanpaolo may exercise the above-mentioned right by sending a notice to the Issuer - such notice to be sent not earlier than 180 days before and not later than 85 days after the due date of the payment of the Deferred Purchase Price.

Price Adjustments

The Transfer Agreement provides that if, after the Execution Date, it transpires that any Claim does not meet the Criteria then such Claim will be deemed not to have been assigned and transferred to the Issuer pursuant to the Transfer Agreement. The amount payable by the Issuer shall be adjusted accordingly as a result, since the Originator shall repay an amount equal to the Individual Initial Purchase Price in relation to such Claim plus interest from the Effective Date to the Payment Date (not falling prior to the Initial Amortisation Date) following the date at which such amount is paid by the Originator, calculated at a rate equal to (i) Euribor from the Effective Date to the Issue Date

(excluded) and (ii) the weighted average rate of interest of the Notes from the Issue Date (included) to the Payment Date (not falling prior to the Initial Amortisation Date) following the date at which such amount is paid by the Originator) *plus* any costs incurred by the Issuer in relation to such Claim (and interest accrued thereon at a rate equal to Euribor) *less* the total of any amounts received as from the Effective Date by the Issuer in relation to such Claim (with interest accrued thereon at a rate equal to 1 Month Euribor less a margin of 0.125%).

The Transfer Agreement further provides that if, after the date of execution of such agreement, it transpires that any Claim which meets the Criteria has not been included in the list of Mortgage Loans, then such Claim shall be deemed to have been assigned and transferred to the Issuer by the Originator with effect from the Effective Date. In such a case the Issuer shall pay the Originator, out of the Issuer Available Funds and in accordance with the applicable Order of Priority, an amount equal to the book value (including any interest accrued) of the relevant Claim as at the Effective Date *less* any amount collected or recovered by the Originator in relation to the relevant Claim from the Effective Date (with interest accrued thereon at a rate equal to 1 Month Euribor less a margin of 0.125%) (the “**Price Adjustment**”).

Representations and Warranties - Undertakings

The Transfer Agreement contains certain representations and warranties given by the Originator in respect of the Claims. The Originator has, under the Transfer Agreement, represented *inter alia* that, as at the Execution Date:

- (i) the Originator had full and unencumbered legal title to, and was fully and unconditionally the owner of, the Claims free and clear of any security interest, lien, privilege, burden, encumbrance or any other third party right;
- (ii) the Claims were unencumbered and were not subject to any attachment, seizure, confiscation, pledge, encumbrance or other lien, charge or other right in favour of any third party (with the exception of mortgages subordinated to the mortgages securing the Originator's claims);
- (iii) the Claims were freely assignable and transferable to the Issuer; and
- (iv) the Claims were valid and existing and in particular were valid and existing for the amounts set out in Schedule D to the Transfer Agreement.

The Transfer Agreement also contains a number of undertakings by the Originator in respect of its activities in relation to the Claims. The Originator has undertaken, *inter alia*, to refrain from carrying out activities with respect to the Claims which may prejudice the validity or recoverability of any Claims and in particular not to assign or transfer the Claims to any third party or to create any security interest, charge, lien or encumbrance or other right in favour of any third party in respect of the Claims between the date of the proposal of the Transfer Agreement by Intesa Sanpaolo and the later of the date of publication of the notice of transfer in the Official Gazette (*Gazzetta Ufficiale della Repubblica Italiana*) and the date of registration thereof with the competent register of enterprises. The Originator has also undertaken to refrain from any action which could cause any of the

Mortgage Loans to become invalid or to cause a reduction in the amount of any of the Claims, the Mortgages or the Collateral Security and, with regard to the Mortgage Loans granted after 30 November 2008, to duly and timely pay all taxes, duties and fees of any kind due from the time on which the Mortgage Loan was originated up to the Execution Date, as well as in connection with each Mortgage Loan Agreement, to create and preserve each Mortgage and Collateral Security and to execute any other agreement, deed or document or the performance and fulfilment of any action or formalities relating thereto, in any case, limited to such taxes, duties and fees referring to the period ending on the Execution Date, even if the payment may occur afterwards.

The Transfer Agreement also provides that the Originator will indemnify the Issuer in respect of any amounts paid by the Issuer as a result of any revocation of payments (*azioni revocatorie*) received by the Originator in respect of the Claims prior to the Effective Date.

Specifically, the Originator has represented and warranted, as of the Execution Date and as of the Issue Date, *inter alia*, as follows:

- (i) Each of the Mortgage Loan Agreement was executed (i) until 28 February 2006 as a public deed (*atto pubblico*) and (ii) since 1 March 2006 as a public deed (*atto pubblico*) or a private notarised act (*scrittura privata autenticata*), drawn up by an Italian Public Notary. In the event that the granting of a Mortgage had not been provided for by the relevant Mortgage Loan Agreement, the deed of Mortgage was executed simultaneously with the relevant Mortgage Loan Agreement.
- (ii) Each Mortgage Loan Agreement and each other agreement, deed or document relating thereto was valid and effective and constituted valid, legal and binding obligations of each party thereto (including the relevant Debtor(s), Mortgagor(s) and/or Guarantor(s)) enforceable in accordance with their respective terms.
- (iii) Each Mortgage Loan Agreement was entered into, executed and performed and the advances of each Mortgage Loan was made in compliance with all laws, rules and regulations applicable as at the entry into of each agreement, including, without limitation, all laws, rules and regulations relating to consumer credit protection, *credito fondiario*- to the extent applicable, usury, personal data protection and disclosure, as well as in accordance with the internal rules, including underwriting and origination guidelines and lending policies and procedures adopted from time to time by the Originator.
- (iv) Each Mortgage Loan Agreement and any other related agreement, deed or document was entered into and executed without any fraud (*frode*) or wilful misrepresentation (*dolo*) or undue influence by or on behalf of the Originator or any of its directors (*amministratori*), managers (*dirigenti*), officers (*funzionari*) and/or employees (*impiegati*), which would entitle the relevant Borrower(s), Mortgagor(s) and/or Guarantor(s) to claim against the Originator for fraud or wilful misrepresentation or to repudiate any of the obligations under or in respect of such Mortgage Loan Agreement and other agreement,

deed or document relating thereto.

- (v) Each Mortgage Loan was granted (i) on the basis of an appraisal of the relevant Real Estate Asset(s) made and signed prior to the approval of each such Mortgage Loan, (a) by a qualified appraiser who, if external to the Originator, had at all times no interest, direct or indirect, in the relevant Real Estate Asset(s) and Mortgage Loan and whose compensation was not related to the approval of the Mortgage Loan or (b) with reference to certain Mortgage Loans originated by Sanpaolo IMI and BAV, by the manager of the branch (*direttore di filiale*) which had granted such Mortgage Loans or (c) with reference to certain Mortgage Loans originated by Banco di Napoli, by the officer (*funzionari*) in charge from time to time, and (ii) on the basis of an appraisal of additional Collateral Security if necessary to comply with the rules for the *fondario* loans.
- (vi) All the Mortgage Loans listed in Annex D to the Transfer Agreement were identified on the basis of the Criteria and in full compliance with them and there were no Mortgage Loans from which Claims arose which met the Criteria and had not been listed in Annex D to the Transfer Agreement.
- (vii) Each Mortgage was duly granted, created, renewed (when necessary) and preserved, was valid and enforceable and was duly and properly perfected, met all requirements under all applicable laws or regulations and was not affected by any material defect whatsoever.
- (viii) The “hardening” period (*periodo di consolidamento*) applicable to each Mortgage had expired and the relevant security interest created thereby was not capable of being challenged under all applicable laws and regulations whether by way of revocatory action or otherwise including, without limitation, pursuant to Article 67 of the Italian Bankruptcy Law.
- (ix) Each guarantee surety, pledge, collateral and other security interest constituting Collateral Security was duly granted, created, perfected and maintained and to the best of the Originator’s knowledge and belief, was still valid and enforceable in accordance with the terms upon which it was granted and relied upon by the Originator, met all requirements under all applicable laws and regulations and was not affected by any material defect whatsoever.
- (x) The Originator had not (whether in whole or in part) cancelled, released or reduced or consented to cancel, release or reduce any of the Mortgages except (i) to the extent such cancellation, release or reduction was in accordance with prudent and sound banking practice in Italy and (ii) when requested by the relevant Debtor or Mortgagor in circumstances where (aa) such cancellation, release or reduction was required by any applicable laws or contractual provisions of the relevant Mortgage Loan Agreement or (bb) because the outstanding principal amount of the relevant Mortgage Loan exceeded at the relevant time the limits provided for under the laws and regulations on *credito*

fondinario, to the extent applicable, in force from time to time and applicable in relation to the appraised value (*valore di perizia*) of such Real Estate Asset(s), in order for the Mortgage Loan to qualify as a *mutuo fondiario* pursuant to Article 38 and followings of the Consolidated Banking Act. No Mortgage Loan Agreement contains provisions entitling the relevant Debtor(s) or Mortgagor(s) to any cancellation, release or reduction of the relevant Mortgage other than where and to the extent it was required under any applicable laws and/or regulations.

- (xi) The Originator held sole and unencumbered legal title to each of the Mortgage Loan Agreements, the Mortgage Loans and the Claims, and had not assigned (whether absolutely or by way of security), participated, charged, transferred or otherwise disposed of any of the Mortgage Loan Agreements, the Mortgage Loans and/or the Claims or otherwise created or allowed creation or constitution of any lien, pledge, encumbrance, security interest, arrangement or other right, claim or beneficial interest of any third party on any of the Mortgage Loan Agreements, the Mortgage Loans and/or the Claims. There were no clauses or provisions in the Mortgage Loan Agreements, or in any other agreement, deed or document, pursuant to which the Originator was prevented from transferring, assigning or otherwise disposing of the Claims or of any of them. The transfer of the Claim to the Issuer pursuant to the Transfer Agreement shall not impair or affect in any manner whatsoever the obligation of the relevant Debtors to pay the amounts outstanding in respect of any Claims and the enforceability of the Mortgages and the Collateral Security.
- (xii) The Originator had not, from the Effective Date (included), relieved or discharged any Debtor, Mortgagor or Guarantor, or subordinated their respective rights to the claims of other creditors thereof, or waived any rights, except in relation to payments made in a corresponding amount in satisfaction of the relevant Claims.
- (xiii) None of the Claims fell within the definition of a restructured debt (*credito ristrutturato*) under the Bank of Italy supervisory regulations (*Istruzioni di Vigilanza*) or was in the process of being restructured (*credito in corso di ristrutturazione*) under such regulations.
- (xiv) Except for the Mortgage Loans granted after 30 November 2008, all taxes, duties and fees of any kind, required to be paid by the Originator in connection with each Mortgage Loan from the time on which the Mortgage Loan was originated up to the Execution Date, as well as in connection with each Mortgage Loan Agreement, the creation and preservation of each Mortgage and Collateral Security and the execution of any other agreement, deed or document or the performance and fulfilment of any action or formalities relating thereto, had been duly and timely paid.
- (xv) To the best of the Originator's knowledge, none of the Debtors and / or the Mortgagors was subject to foreclosure proceedings (*procedure esecutive*) and/or precautionary proceedings (*procedure cautelari*) and /or Insolvency Proceedings; the Real Estate Assets

had not been subject to any foreclosure proceedings (*procedura esecutiva*) and/or precautionary proceedings (*procedura cautelare*), nor had the commencement of such proceedings been notified to the Originator by any third party creditor in accordance with Article 498 of the Italian Code of Civil Procedure.

- (xvi) With respect to each Mortgage Loan Agreement, Mortgage Loan, Mortgage and Collateral Security, no Borrower, Mortgagor and/or Guarantor thereunder was entitled to exercise any right of set-off, counterclaim or defence to, or in respect of, any of the terms of the relevant Mortgage Loan Agreement, Mortgage Loan, Mortgage and Collateral Security or any connected agreement, deed or document, or in respect of any amount payable or repayable thereunder, including, but not limited to, any claim or defence of usury or any counterclaim against the Originator, as applicable, under or in connection with the Mortgage Loan Agreements for damages or otherwise, or any other claims or defences of any kind which may adversely affect the ability of the Issuer to make payments of interest and principal on the Notes, and no such rights or claims had been asserted or threatened against the Originator.
- (xvii) Any interest accrued on any Mortgage Loan up to (but excluding) the Execution Date had been agreed upon and paid in compliance with the Usury Law.
- (xviii) The transfer of the Claims to the Issuer was in accordance with the Securitisation Law and had been made to an entity which was established in accordance with the Securitisation Law. The Claims possessed specific objective common elements such as to constitute a portfolio of homogenous monetary rights within the meaning and for the purposes of Securitisation Law.
- (xix) No claims had been made for adverse possession (including *usucapione*) in respect of any of the Real Estate Assets nor were there any prejudicial registration annotations (*iscrizioni o trascrizioni pregiudizievoli*) or third party claims in relation to any of the Real Estate Assets which may impair, affect or jeopardise in any manner whatsoever the relevant Mortgages, their enforceability and/or their ranking.
- (xx) Risks of damage to, or destruction of, the Real Estate Assets for occurrences up to the Execution Date were covered by the Insurance Policies (covering at least the risk of fire and explosion for an amount equal to the “new for old” value (*valore di ricostruzione*) of the relevant Real Estate Assets) entered into by the Borrowers and/or the Mortgagor and (i) endorsed to the benefit of the Originator, (ii) in respect of which has been granted to the Originator an irrevocable mandate for collection (*mandato irrevocabile all’incasso*) (iii) in respect of which the Originator has been appointed as beneficiary (*beneficiario*) and/or by a global Insurance Policy (covering the same risks and for the same amount as above) entered into by the Originator, which premium had been fully paid by the Originator.

- (xxi) Each of the Real Estate Assets was completed and complied with all applicable planning and building laws and regulations (*legislazione edilizia, urbanistica e vincolistica*).
- (xxii) At the time of advance of the Mortgage Loans and perfection of the Mortgages, the relevant Real Estate Assets were duly registered with the competent land office registers and registration offices or a valid petition had been presented officially to register them, in compliance with all applicable laws and regulations.
- (xxiii) To the best of the Originator's knowledge and belief at the time of advance of the Mortgage Loans and perfection of the Mortgages, the Real Estate Assets complied with all applicable laws and regulations concerning health and safety and environmental protection.
- (xxiv) Each Real Estate Asset was located in Italy.
- (xxv) All the information supplied by the Originator to the Issuer and/or its respective affiliates, representative agents and consultants for the purpose or in connection with the Securitisation, was true, accurate and complete in every material respect and no material information available to the Originator had been omitted.
- (xxvi) Each authorisation, approval, consent, license, registration, recording, filing or notarisation or other action which was required to ensure the validity, legality, enforceability or priority of rights and obligations of the relevant parties to each Mortgage Loan Agreement and other relevant agreement, deed or document and in respect of the respective Mortgage and Collateral Security, was duly and unconditionally obtained, made or taken by the time of the execution of the relevant Mortgage Loan Agreement and the making of any advances thereunder or when otherwise required to be obtained, made or taken.
- (xxvii) Each Mortgage Loan Agreement was entered into substantially in the relevant form of the Lender's standard form agreement as adopted from time to time. No Mortgage Loan Agreement was amended since the date of execution in any manner that could have actually or potentially affected the interests of the Lender.
- (xxviii) No Mortgage Loan Agreement was entered into and executed and no Mortgage Loan had been advanced, under any applicable law providing for financial support of any kind, statutory discounts, and/or other provisions granting benefits or discounts with regard to principal and/or interest to Debtors, Mortgagors, Guarantors and/or Lenders.
- (xxix) All the Real Estate Assets were fully owned by the relevant Mortgagors at the time the Mortgage was perfected.
- (xxx) The Mortgages did not secure any loans other than the Mortgage Loans.
- (xxxi) No servicing or pooling agreement was entered into by the Originator in relation to any of the Mortgage Loans and/or the Claims which would have been binding on the Issuer

or which may have otherwise impaired or affected in any manner whatsoever the exercise of any of its rights in respect of the Claims, the Mortgages and the Collateral Security, other than the Servicing Agreement.

- (xxxii) The data and documents relating to the Mortgage Loan Agreements, the Mortgage Loans, all Instalments and any other amounts paid or repaid thereunder had been maintained and were in all material respects complete, proper and up to date, and all such data and documents were kept by the Originator or under its responsibility.
- (xxxiii) The origination, servicing, administration, collection and recovery practices adopted by the Originator, with respect to each Mortgage Loan Agreement, Claim, Mortgage and Collateral Security had in all respects been conducted in compliance with all applicable laws and regulations and with care, skill and diligence and in a prudent manner and in accordance with the loan management, collection and recovery policies adopted from time to time by the Originator, as applicable, as well as in accordance with all prudent and customary banking practices.
- (xxxiv) The provisions pursuant to which the Mortgage Loan qualified by the Originator as “*mutui fondiari*” pursuant to Article 38 and followings of the Consolidated Banking Act cannot exceed 80% of the appraised value of the relevant Real Estate Asset (or a percentage higher than 80% provided that additional security has been provided, in compliance with the rules for the *fondinario* loans) have been duly met. In particular, as far as the Mortgage Loans qualified by the Originator as “*mutui fondiari*” pursuant to Article 38 and followings of the Consolidated Banking Act concerning Real Estate Assets under construction or renovation are concerned, the provisions pursuant to which such Mortgage Loan cannot exceed 80% of the costs of the construction works to be carried out with regard to the relevant Real Estate Asset, including the costs of the land or in the event of renovation the value of the Real Estate Assets to renovate, has been duly complied with in each phase of the granting of the above mentioned Mortgage Loan, so that at each milestone the amount lent has never exceeded 80% of the value of the works completed at that relevant date. In relation to the Mortgage Loans qualified by the Originator as “*mutui fondiari*” pursuant to Article 38 and followings of the Consolidated Banking Act which have been granted in an amount exceeding 80% of the lower of the purchase price and the appraised value of the relevant Real Estate Asset, the insurance policies executed by Intesa Sanpaolo or by its assignors (and to which Intesa Sanpaolo has succeeded) as additional security in order to raise the maximum limit for the financing pursuant to Article 38 and followings of the Consolidated Banking Act complies with all the applicable legal and regulatory requirements.
- (xxxv) The Mortgage Loans which (i) were advanced by Intesa; (ii) whose the amortisation period began in 2005 and 2006; (iii) have the original final repayment dates of 10 or 15 or

18 or 20 or 24 or 25 years, and (iii) have constant instalments and amortisation plan with variable duration, have constant instalments since the relevant financial renegotiation;

- (xxxvi) To the best of the Originator's knowledge, no proceeding is presently pending or is threatened in writing in front of any judicial authority by any Debtors of the Mortgage Loans referred in the paragraph (xxxv) above;
- (xxxvii) Each Individual Initial Purchase Price corresponds to the book value of the relevant Claim, except for a part of the Claims in relation to which certain accounting adjustments adopted by Intesa Sanpaolo for a correct accounting representation of such Claims have not been taken into account. The above accounting adjustments in certain cases have implied for Intesa Sanpaolo an increase of the book value of the relevant Claim in respect of its nominal value, and in other cases, a decrease; as an effect of such accounting adjustments, the aggregate book value of the Claims is lower than the Initial Purchase Price. The accounting adjustments are based on circumstances that have concerned the Claims in the past and do not have any impact on the market value of the relevant Claims since they are unrelated to the principal amount outstanding of the relevant Claim and do not have an impact thereon.
- (xxxviii) Where required for the enforceability of the relevant pledge, the Debtor had been divested of the possession of the assets over which such pledge had been granted. In the case of a pledge granted over receivables, the relevant Debtor had been duly notified of the constitution of the pledge or had accepted it with an act bearing date certain at law (*data certa*).
- (xxxix) The personal guarantees granted, after Article 10 of the Italian Law No. 154 of 17 February 1992 have become effective, as security for future obligations of the relevant borrower(s) have all been capped.
- (xl) The insurance requirements provided for by the insurance policies executed by Intesa Sanpaolo or by its assignors (and to which Intesa Sanpaolo has succeeded) as additional security in order to raise the maximum limit for the loan to value pursuant to Article 38 and followings of the Consolidated Banking Act in relation to the Mortgage Loans qualified by the Originator as "*mutui fondiari*" pursuant to Article 38 and followings of the Consolidated Banking Act had been duly and timely complied with and the Originator:
 - (i) was not aware of any insurance requirements being breached and/or of any event which excluded or reduced or may have excluded or reduced the effectiveness of the relevant insurance cover or of any circumstance which jeopardised or may have jeopardised the insured risk pursuant to the above mentioned insurance policies;
 - (ii) had duly and timely paid all the insurance premiums (as the premium provided for thereto require an advanced and one-off payment), the taxes and the costs that it should have paid pursuant to each relevant agreement;
 - (iii) had received from each relevant insurance company a confirmation that all the Mortgage Loans granted in an amount exceeding the

80% of the lower of the purchase price and the the appraised value of the relevant Real Estate Assets were covered by the relevant insurance and (iv) had duly and timely complied with all its obligations pursuant to each above mentioned insurance policies.

- (xli) The aggregate principal amount due as at the Effective Date of the Mortgage Loans qualified as “*mutui fondiari*” pursuant to Article 38 and followings of the Consolidated Banking Act granted in an amount exceeding 80% of the the lower of the purchase price and the estimated value of the relevant Real Estate Assets is equal to 11.59% of the aggregate principal amount of all Mortgage Loans due as at the Effective Date.
- (xlii) The aggregate principal amount due as at the Effective Date of the Mortgage Loans not qualified as “*mutui fondiari*” pursuant to Article 38 and followings of the Consolidated Banking Act does not exceed 4.51% of the aggregate principal amount of all Mortgage Loans due as at the Effective Date.
- (xliii) The aggregate principal amount due as at the Effective Date of the Mortgage Loans secured by a Mortgage subsequent to the first ranking priority mortgage (ipoteca di grado successivo al primo grado economico) is equal to 2.94% of the aggregate principal amount of all Mortgage Loans due as at the Effective Date.
- (xliv) The Originator had sent notices, pursuant to the MEF-ABI Renegotiation Convention, to all and solely the entitled Debtors pursuant to the MEF-ABI Renegotiation Convention and to Decree 93/2008 and the Mortgage Loan Agreements and the relevant Mortgage Loans have not been renegotiated according therewith.

The Limited Recourse Loan, the Re-purchase and the Indemnity

Pursuant to the Transfer Agreement, in the event of any misrepresentation or breach by the Originator in respect of any of the representations and warranties under the Transfer Agreement which materially and adversely affect the value of the Claims, where such misrepresentation or breach of warranty is not remedied by the Originator within a period of 60 days from receipt of a written notice from the Issuer, the Originator shall advance to the Issuer, upon demand and within 10 (ten) Business Days from such demand, the Limited Recourse Loan in an amount equal to (a) the Individual Initial Purchase Price of the relevant Claim (or, concerning the Claims provided by the clause 4.3 of the Transfer Agreement, the amount paid pursuant to the clause 6.2 (ii) par. (a) and (b) of the Transfer Agreement) *plus* (b) interest from the Effective Date to the Payment Date (not falling prior to the Initial Amortisation Date) following the date at which such amount is paid by the Originator on Individual Initial Purchase Price (or on the amount paid pursuant to the clause 6.2 (ii) par. (a) and (b) of the Transfer Agreement), calculated at a rate equal to (i) Euribor from the Effective Date to the Issue Date (excluded) and at the (ii) weighted average rate of interest of the Notes from the Issue Date (included) to the Payment Date (not falling before the Initial Amortisation Date) immediately following the date at which the Limited Recourse Loan is granted to the Issuer *plus* (c) the costs and expenses (including, but not limited to, legal fees and

disbursements including any value added tax thereon) incurred by the Issuer, its officers, agents or employees or any of its permitted assignees in respect of the relevant Claim as of the date at which the Limited Recourse Loan will be granted to the Issuer, *plus* (d) the damages and losses awarded against the Issuer as a consequence of any claim raised by a third party in respect to the relevant Mortgage Loan as of the date at which the Limited Recourse Loan will be granted to the Issuer.

The Limited Recourse Loan will constitute a non-interest bearing limited recourse advance made by the Originator to the Issuer which shall be repayable by the Issuer to the Originator applying (i) the collections related to the Claims in connection with which such Limited Recourse Loan has been granted – which shall not be included in the Issuer Available Funds and (ii) for the balance, any Issuer Available Funds available to make such payments in accordance with the applicable Order of Priority.

Pursuant to the Transfer Agreement, the Originator has agreed to indemnify and hold harmless the Issuer, its officers, agents or employees or any of its permitted assigns from and against any and all damage, loss, claims, liabilities, costs and expenses awarded against, or incurred by it arising from, *inter alia*, any representations and/or warranties made by Intesa Sanpaolo thereunder, being false, incomplete or incorrect.

Limited Recourse

The Transfer Agreement provides that, except for the Initial Price pursuant to article 5.2 of the Transfer Agreement and the payments under the Limited Recourse Loans pursuant to article 11.5.3 of the Transfer Agreement, all the obligations of the Issuer to make any payment pursuant to it shall be due and payable at the relevant Payment Date in an amount equal to the lesser of the nominal amount due and the amount which the Issuer is permitted to pay by the Issuer Available Funds in accordance with the applicable Order of Priority. Any amount owed by the Issuer that has not been paid (by reason of the above) after all the Collection Procedure and possible recovery procedures are completed or, in any case, at the Final Maturity Date of the Notes, shall be discharged as a result of a waiver of such Claims by the Originator in favour of the Issuer irrevocably given in the Transfer Agreement.

Governing Law and Jurisdiction

The Transfer Agreement is governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Transfer Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE SERVICING AGREEMENT

The Servicing Agreement has been entered into on 25 May 2009 by and between the Issuer and Intesa Sanpaolo (in its capacity as Servicer and as First Special Servicer) and to which Italfondionario (in its capacity as Second Special Servicer) has acceded on 5 June 2009 (the First Special Servicer

together with the Second Special Servicer are hereinafter referred to also as the “**Special Servicers**”), as amended on or about the Issue Date.

Duties of Servicer and Special Servicers

Pursuant to the Servicing Agreement, the Servicer has agreed, *inter alia*, to manage and service the Claims, including their collection, on behalf of the Issuer. The receipt of cash collections in respect of the Claims is the responsibility of the Servicer, which is also responsible for verifying that the transactions to be carried out in the context of the Securitisation comply with the provisions of the Securitisation Law and are consistent with the contents of this *prospectus*. Pursuant to the terms of the Servicing Agreement, the Servicer has also agreed to provide the services related to compliance with reporting requirements relating to the Claims and with any other regulatory requirement imposed on the Issuer.

Pursuant to the terms of the Servicing Agreement, each Special Servicer has agreed to carry out, on behalf of the Issuer, if informed by the Servicer, in accordance with the Servicing Agreement and the Collection Policy, any activities related to the management of the Defaulted Loans classified as “*in sofferenza*” which management will be entrusted thereto in accordance with the provisions of the Servicing Agreement. The allocation of the activities related to the management of any Defaulted Loan classified as “*in sofferenza*” between the First Special Servicer and the Second Special Servicer shall be as follows:

- (a) as of the date of effectiveness of the Servicing Agreement between the Issuer, the Servicer, the First Special Servicer and the Second Special Servicer and until the date of effectiveness of the New Management Agreement (excluded), all the Defaulted Loans classified as “*in sofferenza*” (if any) shall be managed as follows:
 - (i) as per the Claims originated by Sanpaolo, Sanpaolo IMI, CRB, Banco di Napoli, CRF, CRPR, Banca dell’Adriatico and the branches of Intesa Sanpaolo that were – before the merger with Intesa – branches of Sanpaolo IMI (the “**Ex Sanpaolo Claims**”), by the First Special Servicer;
 - (ii) as per the Claims originated by Cariplo, BAV, BCI, Intesa, Banca di Legnano and the branches of Intesa Sanpaolo that were – before the merger with Sanpaolo IMI – branches of Intesa (the “**Ex Intesa Claims**”), by the Second Special Servicer;

Where, before the date of effectiveness of the New Management Agreement, (x) the Issuer owns one or more Ex Sanpaolo Claims and one or more Ex Intesa Claims against the same debtor, or (y) the Issuer owns one or more Ex Sanpaolo Claims or one or more Ex Intesa Claims against the same debtor which is also debtor of a claim granted by a branch that was – before the merger between Intesa and Sanpaolo IMI – a branch of Intesa (an “**Ex Intesa Branch**”) or by a branch that was – before the merger between Intesa and Sanpaolo IMI – a branch of Sanpaolo IMI (an “**Ex Sanpaolo Branch**”), respectively, the management of all such Claims shall be attributed to the First Special Servicer in case the Owner Branch (which

means, with reference to a Claim, a branch of Intesa Sanpaolo to which the relationship with the relevant Borrower is referred, according to the IT procedures and the existing internal processes from time to time; the “**Owner Branch**”) is an Ex Sanpaolo Branch or to the Second Special Servicer in case the Owner Branch is an Ex Intesa Branch.

- (b) as of the date of effectiveness of the New Management Agreement (included), the provisions of the Collection Policy shall apply.

Pursuant to the terms of the Servicing Agreement, the Issuer authorised the Servicer and each Special Servicer to delegate to Intesa Sanpaolo Group Services S.c.p.a. (the “**IT and Operating Services Provider**”) (i) the management of the IT procedures related to the Claims (including those related to the Defaulted Loans), including those procedures related relating to the account presentation, the determination of accrued interest, the amount receivable from Debtors, the outstanding amount, the IT storage of any data and information related to the management of the Claims (including those related to Defaulted Loans); (ii) the carrying out of operational and back-office services; and (iii) only with reference to the Servicer, the production of the monthly reports (the “**Servicer Monthly Report**”), the quarterly reports (the “**Servicer Quarterly Report**”) and the semi-annual reports (the “**Servicer Semi-annual Report**”). The Servicer and each Special Servicer, each of them to their relevant extent, have represented to the Issuer that the IT and Operating Services Provider has all skills, software, hardware, information technology and human resources necessary to comply with the efficiency standards required by the Servicing Agreement. The Servicer and each Special Servicer, each of them to their relevant extent, shall remain at all times responsible for the activities delegated to the IT and Operating Services Provider.

The Servicer and each Special Servicer will have the right to substitute, at their expenses, the IT and Operating Services Provider provided that such substitution is made without prejudice to the carrying out of their operational activity and with the prior written consent of the Issuer and of the Representative of the Noteholders, unless the substitute is another company of the Intesa Sanpaolo group (in which case the prior consent of the Issuer and the Representative of the Noteholders are not required).

Reports

The Servicer has undertaken to prepare and submit, also through the IT and Operating Services Provider, to, *inter alios*, the Issuer, the Rating Agency and the Calculation Agent, the Servicer Monthly Report, the Servicer Quarterly Report and, at each Semi-annual Report Date, the Servicer Semi-annual Report containing a detailed summary of the collections in relation to each Mortgage Loan, a summary of the performance of the Portfolio, a detailed summary of the status of each Mortgage Loan, a report on the level of income and expenses of the Portfolio and a summary of the Servicer's proceeds and expenses relating to the Portfolio and a summary of the amounts credited to the Issuer by the Servicer and to the Servicer by the Issuer.

The Servicer Semi-annual Report will be available for inspection during normal business hours at the registered office of the Luxembourg Agent.

A firm of internationally recognised auditors acceptable to the Representative of the Noteholders appointed by the Servicer shall produce a report, pursuant to certain agreed upon procedures, based on the information provided in the preceding Servicer Semi-annual Report by no later than 15 calendar days after the first Servicer Semi-annual Report Date of each calendar year starting from year 2010.

Renegotiations

Article 11 of the Servicing Agreement sets out that:

- (i) also due to the recent enactment of the Bersani-*bis* Decree, pursuant to the Collection Policy, Intesa Sanpaolo has the power to renegotiate the Mortgage Loan Agreements, with particular regard to interest rate thereof, and the amortisation schedule (including the increasing or the reduction of the length of the amortisation period). In addition, also as an alternative to the above, the Collection Policy allows the early repayment of Mortgage Loans in full, which could also be funded by other loans granted by Intesa Sanpaolo; and
- (ii) in the event that the Collection Policy be amended to limit the above renegotiation rights, Intesa Sanpaolo would maintain limited renegotiation powers, as detailed in the Servicing Agreement.

Provisions are also set out with regard to the powers of Intesa Sanpaolo to waive in all or part default interest and/or prepayment fees that would be due under applicable laws.

In the event the rating assigned by Fitch to the unguaranteed, unsubordinated and unsecured long-term and short-term debt obligations of Intesa Sanpaolo falls respectively below A and F1, any renegotiation carried out by Intesa Sanpaolo under clause 11 of the Servicing Agreement shall result in an early redemption in full of the relevant Mortgage Loan.

Undertakings

The Servicer has undertaken, *inter alia*, the following, in relation to each Claim and until the occurrence of one of the following events: (i) all amounts of principal and interest on such Claim having been fully paid; (ii) the end of any relevant enforcement proceeding; or (iii) the expiry date of the Servicing Agreement (being the earlier of (a) the last Business Day of the twelfth month following the redemption of the last Claim and (b) the date on which the Servicing Agreement is terminated by the Issuer):

- (a) to carry out the administration and the collection of payments from the Claims in accordance with the highest professional standards;
- (b) to comply with laws and regulations applicable in Italy in relation to the activities contemplated under the Servicing Agreement;

- (c) to maintain, also through the IT and Operating Services Provider, effective accounting and auditing procedures so as to ensure compliance with the provisions of the Servicing Agreement;
- (d) without prejudice to the provisions of articles 3.1 and 11 of the Servicing Agreement as described above, not to authorise any waiver on any Claims or other security interest, lien or privilege pursuant to or in connection with the Mortgage Loan Agreements and not authorise any modification thereof which may be prejudicial to the Issuer's interests;
- (e) to provide each Special Servicer (where different from Intesa Sanpaolo) with all assistance as may be necessary and/or useful in order to manage and service the Defaulted Loans classified as "*in sofferenza*";
- (f) to refrain from collecting, on behalf of the Issuer, any contractual prepayment penalties non compliant with applicable laws and regulations;
- (g) to maintain the Claims separate at any time from the Existing Claims and the proceeds of the Securitisation separate from all the proceeds relating to the Existing Securitisations.

The Servicer has undertaken to promptly inform each Special Servicer (where different from Intesa Sanpaolo) of any circumstances which may lead to a Mortgage Loan being classified as a Defaulted Loan "*in sofferenza*", or to start judicial proceedings for the recovery of any outstanding payments under a Mortgage Loan, or to file a bankruptcy proceeding against a Debtor under a Mortgage Loan.

The Issuer has expressly authorised the Servicer to entrust third parties with the performance of the activity being the subject matter of the Servicing Agreement, except for the controlling function over the activity carried out by the relevant Special Servicer in accordance with the Servicing Agreement and with the Order of the Governor of the Bank of Italy dated 3 November 2003 (*Provisions concerning SPVs and Servicers*); for that purpose, the Servicer may grant powers of attorney to such persons, who shall act in the name and on behalf of the Issuer, without prejudice, in any case, to the full and sole liability of Intesa Sanpaolo for the outsourced activity.

The Issuer has expressly authorised each Special Servicer to appoint professional third parties for the performance of certain specific activities in relation to individual Defaulted Loans.

Termination

The Issuer may terminate the Servicer's appointment, subject to obtaining the prior authorisation by the Representative of the Noteholders, and appoint a substitute Servicer, in accordance with certain criteria, at any time if any of the following events takes place:

- (i) an order is made by any competent judicial authority providing for compulsory administrative liquidation (*liquidazione coatta amministrativa*) of the Servicer or the Servicer is admitted to any of the proceedings referred to in Title IV of the Consolidated Banking Act or a resolution is passed by the Servicer with the intention of obtaining the application of such proceedings;

- (ii) the Servicer does not comply, for any reason, with any applicable law and regulation (including the Securitisation Law) in relation to the administration and collection of payments from the Claims, the accounting and auditing procedures and any other activities contemplated under the Servicing Agreement and/or in case of termination (also in case of voluntary termination) or ineffectiveness of the contractual relationships between the Servicer and the IT and Operating Services Provider (including, for the avoidance of doubt, its substitute (if any)) by means of which the IT and Operating Services Provider carries out the aforementioned services in favour of the Servicer, and where the Servicer and the IT and Operating Services Provider have not substituted such contractual relationships at similar conditions, to the relevant extent for the purposes of the Servicing Agreement;
- (iii) the Servicer materially breaches any of its obligations under the Servicing Agreement, including the obligations regarding the services carried out by the IT and Operating Services Provider, or those under the Transfer Agreement, which could adversely affect the collection and administration of the Claims and/or Defaulted Loans classified as “*in sofferenza*” which is not remedied within 10 Business Days of receiving notice of the breach from the Issuer;
- (iv) the Issuer does not receive the auditors' report based on the information contained in the first Servicer's Semi-annual Report(s) of each calendar year starting from year 2009 within 15 days of such Servicer Semi-annual Report Date, other than for exclusive cause of the auditors;
- (v) the Servicer does not timely provide the Issuer and the Calculation Agent with the Servicer Monthly Report, the Servicer Quarterly Report and/or the Servicer Semi-annual Report;
- (vi) the Servicer also acts as one of the Special Servicers and the Issuer revokes its appointment as Special Servicer;
- (vii) upon request of the Representative of the Noteholders, in the event that (a) further to a downgrading of the Servicer the Representative of the Noteholders has exercised its right to appoint a back-up servicer and (b) the rating of the Servicer has not been upgraded to the minimum rating set out by the Servicing Agreement in connection therewith.

The Issuer shall notify the Rating Agency the termination and the appointment of the Servicer.

The Issuer may terminate the First Special Servicer and/or the Second Special Servicer's appointment and appoint a substitute of the First Special Servicer and/or a substitute of the Second Special Servicer, as applicable, in accordance with certain criteria, if any of the following events takes place:

- (i) an order is made by any competent judicial authority providing for the winding-up or dissolution of the relevant Special Servicer or for the appointment of a liquidator or receiver, or the relevant Special Servicer is admitted to any of the proceedings referred to in the Title IV of the Consolidated Banking Act or a resolution is taken by the relevant Special Servicer with the intention of obtaining the application of such proceedings;

- (ii) the relevant Special Servicer materially breaches any of its obligations under the Servicing Agreement, including the obligations regarding the services carried out by the IT and Operating Services Provider, which could prejudice the collection and administration of the Defaulted Loans classified as “*in sofferenza*” which is not remedied within 10 Business Days of receiving notice of the breach from the Issuer;
- (iii) a Special Servicer also acts as the Servicer and the Issuer revokes its appointment as Servicer;
- (iv) the Issuer becomes aware that the agreement governing the roles and activities of the Servicer and the relevant Special Servicer in relation to the management of the claims originated by the Intesa Sanpaolo Group has terminated or that due to an amendment of such agreement, the relevant Special Servicer has ceased to manage the claims originated by the Intesa Sanpaolo Group similar to the Claims and/or in case of termination (also in case of voluntary termination) or ineffectiveness of the contractual relationships between the relevant Special Servicer and the IT and Operating Services Provider (including, for the avoidance of doubt, its substitute (if any)) by means of which the IT and Operating Services Provider carries out the aforementioned services in favour of such Special Servicer, and where the Special Servicer and the IT and Operational Services Provider have not substituted such contractual relationships at similar conditions, to the relevant extent for the purposes of the Servicing Agreement.

Indemnity

The Servicer and each Special Servicer shall indemnify the Issuer from and against any and all damage and loss incurred by the Issuer in connection with any relevant obligations of the Servicer or each Special Servicer, respectively, not being carried out, pursuant to the Servicing Agreement. The Servicer and each Special Servicer have acknowledged and accepted that, pursuant to the terms of the Servicing Agreement, they do not have any recourse against the Issuer for any damage, loss, liability, costs or expenses (including legal fees), incurred by the Servicer and/or the Special Servicers, as the case may be, as a result of the performance of their activities under the Servicing Agreement.

The Servicer and each Special Servicer have agreed that the obligations of the Issuer under the Servicing Agreement are subordinated and limited recourse obligations and will be payable only out of the Issuer Available Funds in accordance with the applicable Order of Priority.

Remuneration

In return for the services provided by the Servicer, the Issuer will pay on each Payment Date, a fee equal to 0.5% of the Collections received by Issuer from the Servicer during the immediately preceding Collection Period. Furthermore, on each Payment Date, the Servicer shall be reimbursed for any costs and expenses incurred by it, in relation to the Insurance Policies in the immediately preceding Collection Period. In return for the services provided by each Special Servicer, the Issuer will pay to each of them, on each Payment Date, a fee equal to 9% of the amounts recovered by the Issuer (including, without limitation, any amount paid according to the Insurance Policies and

amounts by means of which payment Defaulted Loans classified as “*in sofferenza*” become performing), net of expenses, by means of the activities of the relevant Special Servicer during the immediately preceding Collection Period. In addition an amount of Euro 50 per annum for each Defaulted Loan classified as “*in sofferenza*” managed by it shall be paid to each Special Servicer in arrears on the first Payment Date following each full year of management. Furthermore each Special Servicer shall be reimbursed for costs and expenses incurred in the execution of its duties on the Payment Date immediately succeeding the Collection Period during which such costs and expenses are incurred.

Governing Law and Jurisdiction

The Servicing Agreement is governed by, and will be construed in accordance with, Italian law, with the exception of certain provisions in relation to the manner in which collection moneys are held by the Servicer and the Special Servicer (article 7.4), which are governed by English law.

Any disputes arising from or in connection with the Servicing Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE ADMINISTRATIVE SERVICES AGREEMENT

On or about the Issue Date, the Issuer, Intesa Sanpaolo and KPMG acting as Administrative Services Providers entered into the Administrative Services Agreement.

Pursuant to the Administrative Services Agreement, Intesa Sanpaolo has agreed to provide the Issuer with a number of administrative and accounting services for so long as the Notes are outstanding, including, *inter alia*, to:

- (a) provide a complete set of documentation relating to the Securitisation (the “**Documentation**”), containing updated information in accordance with any applicable laws so as to enable the Issuer to comply with all applicable laws, regulations or requirements imposed by supervisory authorities. Intesa Sanpaolo will ensure that the Documentation is updated and managed (also through the IT and Operating Services Provider) to the highest professional standards;
- (b) prepare the financial statements of the Issuer and provide consultancy services in relation to such financial statements. It will also maintain and update the accounting records of the Issuer in accordance with all accounting, legal and tax requirements, and maintain and update all accounting books and documents, manage the periodical activities concerning VAT and ensure that any direct or indirect tax requirements are complied with and provide consultancy services in relation to such tax requirements, maintain the invoices’ register; ensure legal assistance to the corporate bodies in order to resolve corporate issues and draft the minutes of the meeting of such corporate entities; and
- (c) provide each service as requested by the Issuer – except for the services to be provided by other parties under the Transaction Documents – such as, by way of example, the premises

and/or offices where to hold meetings and/or councils.

Pursuant to the terms of the Administrative Services Agreement, the Issuer authorised Intesa Sanpaolo to delegate the aforementioned services to the IT and Operating Services Provider. Intesa Sanpaolo has represented to the Issuer that the IT and Operating Services Provider has all skills, software, hardware, information technology and human resources necessary to comply with the efficiency standards required by the Administrative Services Agreement. Intesa Sanpaolo shall remain at all times responsible for the activities delegated to the IT and Operating Services Provider. Intesa Sanpaolo will have the right to substitute, at its expenses, the IT and Operating Services Provider provided that such substitution is made without prejudice to the carrying out of its operational activity and with the prior written consent of the Issuer and of the Representative of the Noteholders, unless the substitute is another company of the Intesa Sanpaolo group (in which case the prior consent of the Issuer and the Representative of the Noteholders are not required).

Pursuant to the Administrative Services Agreement, KPMG has agreed to provide the Issuer with a number of administrative and corporate services for so long as the Notes are outstanding, including, *inter alia*, to:

- (a) maintain and update the company books such as those concerning the quotaholders' meetings, the meetings of the board of directors and the other necessary company books;
- (b) provide a complete set of notices delivered to the registered office of the Issuer and forward it to Intesa Sanpaolo so as to enable Intesa Sanpaolo to carry out its own activities under the Administrative Services Agreement; and
- (c) manage the relations with authorities and institutions having their offices located in Rome.

The Issuer may terminate the appointment of Intesa Sanpaolo and appoint a successor, in accordance with certain criteria set out in the Administrative Services Agreement, upon the occurrence of any of the following events:

- (a) an order is made by any competent judicial authority providing for the compulsory administrative liquidation (*liquidazione coatta amministrativa*), of Intesa Sanpaolo or Intesa Sanpaolo is admitted to any of the proceedings referred to in Title IV of the Consolidated Banking Act or a resolution is passed by Intesa Sanpaolo with the intention of obtaining the application of such proceedings; or
- (b) material failure on the part of Intesa Sanpaolo (also where the failure has been caused, in full or in part, by the IT and Operating Services Provider) to observe or perform its obligations under the Administrative Services Agreement where such failure may adversely affect the performance of services provided under the Administrative Services Agreement.

The Issuer may terminate the appointment of KPMG and appoint a successor, in accordance with certain criteria set out in the Administrative Services Agreement, upon the occurrence of any of the following events:

- (a) KPMG is admitted to bankruptcy (*fallimento*) or any other insolvency proceedings (*procedura concorsuale*) or a resolution is passed by KPMG with the intention of obtaining the application of such proceedings or KPMG ceases or threatens to cease its activity or a significant part of it (other than in the context of restructuration transactions such as mergers, acquisitions or other transactions whose the final effect is that the successor of KPMG is an entity member of the KPMG network and affiliated with KPMG International or with the KPMG International's successor) or suspends or threatens to suspend the payments concerning its monetary obligations when due; or
- (b) material failure on the part of KPMG to observe or perform its obligations under the Administrative Services Agreement where such failure may adversely affect the performance of services provided under the Administrative Services Agreement; or
- (c) in the event the appointment of KPMG is terminated under either the correspondent agreements entered into between the same parties in the context of the Existing Securitisations or any of the agreements having a similar object matter that may be entered into between the same parties in the context of future securitisation transactions that may be carried out by the Issuer.

Pursuant to the terms of the Administrative Services Agreement, the Administrative Services Providers have agreed to indemnify and hold the Issuer harmless from and against any and all damage and loss incurred by the Issuer arising from any breach of the Administrative Services Providers or failure to carry out their obligations of under the Administrative Services Agreement (also, with reference to Intesa Sanpaolo, where such failure/breach has been caused, in full or in part, by the IT and Operating Services Provider). Intesa Sanpaolo also has undertaken to hold harmless and fully indemnify the Issuer from and against any request of payment made for any reason to the Issuer by the IT and Operating Services Provider in relation to the activities carried out by it in favour of Intesa Sanpaolo in order to allow the latter to carry out the services provided for by the Administrative Services Agreement.

An annual administration fee is payable by the Issuer to each Administrative Services Provider the first Payment Date of each year. In addition the Issuer will refund the expenses and costs incurred by the Administrative Services Provider in carrying out its obligations pursuant to the Administrative Services Agreement in accordance with the provisions thereof. All such fees and amounts will be payable on each Payment Date, to the extent of the availability of the Issuer Available Funds and in accordance with the relevant Order of Priority.

Governing Law and Jurisdiction

The Administrative Services Agreement is governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Administrative Services Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE STICHTING CORPORATE SERVICES AGREEMENT

On or about the Issue Date, the Issuer, the Foundation Corporate Servicer, the Foundation and the Foundation Sole Director have supplemented the Stichting Corporate Services Agreement entered into on 28 March 2008 in the framework of the First Existing Securitisation (as amended on 24 November 2008 in the framework of the Second Existing Securitisation), in order to extend its provisions to the benefit of the Securitisation. The parties to the Stichting Corporate Services Agreement, as amended, *inter alia*, make arrangements with respect to the duties to be performed by the Foundation Corporate Servicer and the Foundation Sole Director in relation to the Foundation and the Issuer.

Pursuant to the Stichting Corporate Services Agreement, the Foundation Corporate Servicer shall be responsible to perform all management and administration services in relation to the Foundation and all matters incidental thereto or connected therewith including, *inter alia*:

- (i) to provide all general company administration services required by the Foundation or by any applicable laws and regulations as may, from time to time, apply to entities such as the Foundation;
- (ii) to arrange the preparation, keeping and, upon reasonable request of the Issuer or the Representative of the Noteholders, auditing (at the cost of the Issuer) of the accounts of the Foundation, such tax and accounting records and such other books and records as are required by any applicable law or otherwise to be kept by the Foundation for the proper conduct of its affairs; and
- (iii) to provide such other corporate administration services as may be required by the Foundation from time to time.

Pursuant to the Stichting Corporate Services Agreement, each of the Foundation Sole Director and the Foundation shall use its best efforts to cause the Issuer to comply with its obligations under any Transaction Document by which the Issuer is bound and under any applicable law.

Governing Law and Jurisdiction

The Stichting Corporate Services Agreement is governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Stichting Corporate Services Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE CASH ALLOCATION, MANAGEMENT AND PAYMENTS AGREEMENT

On or about the Issue Date, the Issuer will enter into the Cash Allocation, Management and Payments Agreement with the Representative of the Noteholders, the Calculation Agent, and Intesa

Sanpaolo in its capacity as Cash Manager, Account Bank, Servicer, Administrative Services Provider and Paying Agent.

Pursuant to the Cash Allocation, Management and Payments Agreement:

- (i) the Account Bank will provide, *inter alios*, the Issuer, with a semi-annual report together with account handling services in relation to moneys and securities from time to time standing to the credit of, or registered on, the Issuer Accounts;
- (ii) the Cash Manager will provide, *inter alios*, the Issuer with a semi-annual report together with certain cash management and investment services in relation to moneys and securities standing to the credit of, or registered on, the Issuer Accounts;
- (iii) the Calculation Agent will provide, *inter alios*, the Issuer (i) with a payments report (the “**Payments Report**”) which will set out, *inter alia*, the Issuer Available Funds and the payments to be made on the following Payment Date and (ii) with an investors report (the “**Investors Report**”) which will set out certain information with respect to the Portfolio and the Notes;
- (iv) the Paying Agent will provide the Issuer with certain payment services.

Account Bank

The Issuer Accounts will be opened in the name of the Issuer and shall be operated by the Account Bank and the amounts standing to the credit thereof shall be debited and credited in accordance with the provisions of the Cash Allocation, Management and Payments Agreement.

At the end of each Business Day, the Account Bank shall transfer all sums credited to the Issuer Collection Account on such day to the Issuer Investment Account.

The Account Bank shall operate the Issuer Accounts in accordance with the instructions of the Calculation Agent, the Representative of the Noteholders, or any other Parties, in accordance with the Cash Allocation, Management and Payments Agreement (provided that the Account Bank can operate the Issuer Expenses Account and the Issuer Corporate Account, also upon instruction of the Administrative Services Provider, in compliance with the provisions of the Cash Allocation, Management and Payments Agreement, without the instructions of the Calculation Agent or the Representative of the Noteholders).

The Account Bank shall, on behalf of the Issuer, maintain or ensure that records in respect of all the Issuer Accounts are maintained and such records will, on each Calculation Date, show separately (i) all payments credited to, and all payments debited from, each of the Issuer Accounts and (ii) all Eligible Investments deposited or withdrawn from the Issuer Securities Account during the preceding Collection Period. They shall also ensure that such records are kept in safe custody and deliver such records to the Representative of the Noteholders upon request.

Cash Manager

In the period starting from the Business Day following a Collection Date (or in the case of the first Collection Period, from the Issue Date) and ending one Business Day before the immediately following Collection Date, the Cash Manager may instruct the Account Bank to invest on behalf of the Issuer funds standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account in Eligible Investments which have the requisite maturity date, and any return generated thereby will be transferred to the Issuer Payment Account and will form part of the Issuer Available Funds on the immediately following Payment Date, and the principal amounts deriving from the liquidation thereof shall be credited to the Issuer Initial Amortisation Account and to the Issuer Investment Account.

Subject to compliance with the definition of Eligible Investments and the other restrictions set out in the Cash Allocation, Management and Payments Agreement, the Cash Manager shall have absolute discretion as to types and amounts of Eligible Investments which it may acquire and as to the terms on which, through whom and on which markets, any purchase of Eligible Investments may be effected, provided that any such Eligible Investments will have to be pledged in accordance with the Deed of Pledge. As long as the Account Bank meets the requirements under the Cash Allocation, Management and Payments Agreement, with particular regard to it being an Eligible Institution, the Issuer Investment Account and the Issuer Initial Amortisation Account will constitute Eligible Investments and the Cash Manager will be under no obligation or duty whatsoever to instruct or consider instructing the Account Bank to invest funds standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account in any other Eligible Investment.

In the event Eligible Investments acquired by the Cash Manager on behalf of the Issuer cease to qualify as Eligible Investments, the Cash Manager shall decide whether to maintain such investments or to liquidate them and reinvest principal amounts and return therefrom in accordance with the provisions of the Cash Allocation, Management and Payments Agreement. The Cash Manager shall promptly notify the Representative of the Noteholders of its decision and of the rationale behind such decision.

On or prior to each Semi-annual Report Date, the Cash Manager shall deliver a copy of its semi-annual report (which may be delivered either in electronic or paper format) to the Issuer, the Representative of the Noteholders, the Paying Agent, the Account Bank, the Rating Agency, the Servicer, the Administrative Services Provider and the Calculation Agent. The Cash Manager semi-annual report shall include information on the Eligible Investments.

Calculation Agent

The Calculation Agent will prepare (i) prior to the service of a Trigger Notice, on or prior to each Calculation Date, and (ii) upon the service of a Trigger Notice, on or prior to the Business Day falling at least 5 Business Days prior to the applicable Payment Date, as specified by the Representative of the Noteholders by written notice to be delivered by the 25 Business Days' prior to such Payment Date, a Payments Report, subject to receipt by it of semi-annual reports from the

Servicer, the Cash Manager, the Account Bank, the Administrative Services Providers and the Swap Counterparty, which will set out the Issuer Available Funds and other amounts as provided in the Cash Allocation, Management and Payments Agreement. On or prior to the Investors Report Date the Calculation Agent shall (a) prepare the Investors Report setting out certain information with respect to the Portfolio and the Notes and (b) post such Investors Report on <https://tss.sfs.db.com/investpublic> or any other substitute website as may be notified from time to time to the Issuer, the Representative of the Noteholders, the Servicer, the Administrative Services Provider, the Cash Manager, the Lead Manager, the Rating Agency and the Noteholders, provided that in the event the above posting on a website is not possible or practicable, the Investors Report shall be delivered by the Calculation Agent, in electronic format, to the Issuer, the Representative of the Noteholders, the Servicer, the Administrative Services Provider, the Cash Manager, the Lead Manager, the Rating Agency.

On each Interest Determination Date, the Calculation Agent shall determine and notify (A) the Issuer and the Representative of Noteholders, the Account Bank, the Paying Agent, the Cash Manager, the Servicer, Intesa Sanpaolo in its capacity as Administrative Services Provider, the Luxembourg Agent, Monte Titoli and the Stock Exchange of, and will instruct the Luxembourg Agent and the Paying Agent to publish, no later than the first day of the relevant Interest Period, in accordance with the applicable Condition 14 and any applicable law and regulation (i) the rate of interest applicable to the Interest Period beginning after such Interest Determination Date (or in the case of the Initial Interest Period, beginning on and including the Issue Date) in respect of the Senior Notes in accordance with the Conditions; and (ii) the interest payment amount payable on the Senior Notes in respect of such Interest Period in accordance with the relevant Conditions and (B) the Issuer, the Representative of the Noteholders, the Account Bank, the Subordinated Loan Provider, the Paying Agent, the Servicer, Intesa Sanpaolo in its capacity as Administrative Services Provider, and the Class B Noteholders (i) the rate of interest applicable to the Interest Period beginning after such Interest Determination Date (or in the case of the Initial Interest Period, beginning on and including the Issue Date) in respect of the Junior Notes in accordance with the Conditions; and (ii) the interest payment amount payable on the Junior Notes in respect of such Interest Period in accordance with the relevant Conditions and (iii) the rate of interest applicable to the Subordinated Loan with regard to the immediately following Interest Period and (iv) the interest amount payable to the Subordinated Loan Provider on the Payment Date immediately following the end of the relevant Interest Period, in accordance with the Order of Priority and in accordance with the Subordinated Loan Agreement.

Paying Agent

One Business Day before each Payment Date, the Paying Agent shall, subject to Clause 7.1 of the Cash Allocation, Management and Payments Agreement, and subject to the receipt by it of the Payments Report from the Calculation Agent, direct the Account Bank to withdraw from the Issuer Payment Account (other than amount that shall be remain credited to the Issuer Investment Account or shall be transferred therefrom to the Issuer Initial Amortisation Account on the relevant

Payment Date in each case in accordance with the provisions of the Cash Allocation, Management and Payments Agreement) such amounts as are indicated in the Payments Report and credit them to the bank accounts of the Noteholders as indicated by Monte Titoli in so far as such amounts are for payments under the Notes and to the bank accounts of the Other Issuer Creditors as indicated by them, in accordance with the applicable Order of Priority and in so far as applicable, to the bank accounts indicated by any third party creditor entitled to receiving payments by the Issuer as described in the applicable Order of Priority.

General Costs

Taxes, administrative and corporate fees, costs and expenses and other general payment obligations, of the Issuer in each case to the extent that they are unrelated per se to any of the Existing Securitisations, the Securitisation or any other securitisation that the Issuer may carry out in the future (the “**General Costs**”) to be paid in accordance with items (i) and (ii) of the Orders of Priority or out of funds standing to the credit of the Issuer Corporate Account (and by the equivalent items and account in the other securitisation transactions carried out by the Issuer) shall be apportioned equally to each securitisation transaction carried out by the Issuer as existing from time to time, it being understood and agreed that:

- (i) for the purpose of determining the number of the transactions that should bear a portion of the costs, any securitisation transaction in the framework of which the Issuer will not have - or will be prudently expected not to have - amounts available to timely meet the portion of the General Costs shall be disregarded;
- (ii) the above-mentioned apportionment is subject to due and timely payment of their apportioned portion by all other transactions. Should the payment of an apportioned portion not be duly and timely made in accordance with the above provisions, such portion shall be apportioned equally to each other securitisation transactions carried out by the Issuer as existing at such time; and
- (iii) any payment (in full or in part) of General Costs shall be deemed as definitively made and shall remain allocated to each transaction in the portion actually paid by the Issuer with amounts pertaining to such transaction; as a consequence, in the event that the number of securitisation transactions able to meet the relevant payments changes over time - as could also be the case immediately after the carrying out of a new securitisation or the date in which all secured creditors in the framework of a securitisation transaction have been paid in full - any General Cost or portion thereof will be apportioned among the securitisation transactions existing (subject in all cases to the provisions of paragraphs (i) and (ii) above) as at the date in which the payment is due, disregarding whether all of them existed during the period to which the relevant General Cost pertains.

For the purpose of the above-mentioned apportionment, the Issuer has undertaken and agreed that it will procure that all relevant agents appointed in the framework of all securitisation transactions

carried out by the Issuer be timely provided with the relevant information relating to (a) the General Costs and (b) availability of funds to timely meet them, concerning all other existing securitisation transactions carried out by the Issuer. The Servicer and all relevant Agents have undertaken and agreed to timely carry out the relevant activities to allow the Issuer to meet its obligations *vis-à-vis* any other securitisation transaction carried out thereby in accordance with the above.

Warranties

The Cash Allocation, Management and Payments Agreement will contain representations and warranties given by the Issuer, the Cash Manager, the Account Bank, the Paying Agent and the Calculation Agent in respect of, *inter alia*, their *status*, their powers and authorisations and the non-violation of laws or regulations as a result of their being involved in the Securitisation.

Liability

None of the Account Bank, the Cash Manager, the Paying Agent or the Calculation Agent shall be liable in respect of any loss, liability, claim, expense or damage suffered or incurred by any other party as a result of the performance of its obligations under the Cash Allocation, Management and Payments Agreement save where such loss, liability, claim, expense or damage is suffered or incurred as a result of any fraud (*frode*), gross negligence (*colpa grave*) or wilful misconduct (*dolo*) of the Account Bank, the Cash Manager, the Paying Agent or the Calculation Agent or any of their respective agents, delegates or representatives or of any material breach by it or such agents, delegates or representatives of the provisions of the Cash Allocation, Management and Payments Agreement.

Remuneration

Subject to the provisions of the Intercreditor Agreement and the provisions of the Cash Allocation, Management and Payments Agreement, the Issuer shall pay (i) an annual fee to Intesa Sanpaolo, for its services as Account Bank, Cash Manager and Paying Agent under the Cash Allocation, Management and Payments Agreement and (ii) an annual fee to Deutsche Bank for its services as Calculation Agent under the Cash Allocation, Management and Payments Agreement. Any payment will be made semi-annually, *pro rata* and in arrears, on each Payment Date.

Termination

Upon the occurrence of certain events, including the Paying Agent and/or the Account Bank ceasing to qualify as Eligible Institutions, either the Representative of the Noteholders or the Issuer may terminate the appointment of the Paying Agent and/or the Account Bank, as the case may be, under the terms of the Cash Allocation, Management and Payments Agreement. Notwithstanding the above, in the event the Account Bank ceases to qualify as an Eligible Institution and as long as Intesa Sanpaolo continues to act as Servicer in the Securitisation, all Collections shall continue to be paid to the Issuer Collection Account opened with Intesa Sanpaolo, provided that

- (x) within 30 calendar days after the date on which the Account Bank ceases to qualify as an Eligible Institution, Intesa Sanpaolo, at its own cost:

- (a) provides the Issuer with a first demand unconditional, irrevocable guarantee by a qualifying Eligible Institution; or
- (b) makes a deposit to an account to be opened in the name of the Issuer with a qualifying Eligible Institution,

in both cases for an amount corresponding to the Guaranteed Collection Amount and

- (y) Fitch has confirmed that the rating of the Senior Notes will not be adversely affected.

The Issuer and the Representative of the Noteholders may jointly terminate the appointment of any of the Account Bank, the Cash Manager, the Paying Agent or the Calculation Agent under the Cash Allocation, Management and Payments Agreement in any circumstances (whether or not a Termination Event has occurred) by giving three months prior written notice of such termination to the Account Bank, the Calculation Agent, the Cash Manager, the Paying Agent and the other parties thereto. Such termination shall be conditional upon, *inter alia*, a relevant substitute being appointed by the Representative of Noteholders and the Issuer.

The Account Bank, the Cash Manager, the Paying Agent or the Calculation Agent may resign from their appointment under the Cash Allocation, Management and Payments Agreement upon giving not less than three months prior written notice of termination to the Representative of the Noteholders, the Issuer and the other parties thereto, provided that such resignation shall be effective only upon appointment of a substitute Agent by the Representative of the Noteholders and the Issuer jointly. Such resignation shall be conditional and subject to further conditions.

Governing Law and Jurisdiction

The Cash Allocation, Management and Payments Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Cash Allocation, Management and Payments Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE INTERCREDITOR AGREEMENT

On or about the Issue Date, the Issuer will enter into the Intercreditor Agreement with the Representative of the Noteholders (on its own capacity and as legal representative of the Organisation of the Noteholders), the Security Trustee, Intesa Sanpaolo, in its capacity as Originator, Administrative Services Provider, Account Bank, Paying Agent, Servicer, Subordinated Loan Provider, Swap Counterparty, Cash Manager and Quotaholder, KPMG in its capacity as Foundation Corporate Servicer and Administrative Services Provider, the Special Servicers, the Calculation Agent, the Foundation, the Foundation Sole Director, the Foundation in its capacity as Quotaholder, the Lead Manager and the Luxembourg Agent (collectively referred to as the “**Other Issuer Creditors**”).

The Intercreditor Agreement will set out *inter alia* the Order of Priority of payments to be made out of the Issuer Available Funds.

The obligations owed by the Issuer to each Noteholder and to each of the Other Issuer Creditors will be limited recourse obligations of the Issuer. The Noteholders will have a claim against the Issuer only to the extent of the Issuer Available Funds in each case subject to and as provided for in the Intercreditor Agreement (and the other Transaction Documents) provided that the Originator will have a claim against the Issuer as concerns the repayment of any Limited Recourse Loan as may be granted thereby pursuant to the Transfer Agreement in respect of: (i) the collections related to the Claims in connection with which such Limited Recourse Loan has been granted – which shall not be included in the Issuer Available Funds and (ii) for the balance, any Issuer Available Funds available to make such payments in accordance with the applicable Order of Priority.

The parties will agree that prior to or following the delivery of a Trigger Notice being served upon the Issuer, all amounts received or recovered by or on behalf of the Issuer shall be applied in or towards satisfaction of all the Issuer's payment obligations towards the Noteholders and the Other Issuer Creditors in accordance with the Post-Enforcement Order of Priority provided in the Intercreditor Agreement.

According to the terms of the Intercreditor Agreement, the Other Issuer Creditors will irrevocably appoint as from the date when the Notes become due and payable following the delivery of a Trigger Notice, the Representative of the Noteholders as their exclusive agent (*mandatario esclusivo*) and the Issuer will undertake, upon the occurrence of a Trigger Event, to comply with all directions of the Representative of the Noteholders, acting pursuant to the Conditions of the Notes, in relation to the management and administration of the Claims.

Sale of the Portfolio by the Issuer - Price

Subject to the Option Right and the other applicable provisions of the Transaction Documents, in case the Portfolio is sold to fund an early redemption of the Notes under Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*) or further to service of a Trigger Notice, as applicable, its transfer price - in each case based upon the then prevailing market practice - shall be at least equal, together with any other monetary rights and claims of the Issuer:

(x) to an amount sufficient to discharge in full all the Issuer's outstanding liabilities in respect of the Notes and any amounts required to be paid in priority thereto or *pari passu* therewith the Notes, or, if it is not so sufficient

(y) in case the Portfolio is sold to fund an early redemption of the Notes under Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), if the Class B Noteholders have confirmed their acceptance that only the Senior Notes be discharged in accordance with the provisions of Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable and the Junior Notes may be cancelled, in whole or in part, to an amount, determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders, which shall in any case be sufficient to discharge

in full all the Issuer's outstanding liabilities in respect of the Senior Notes and any amounts required to be paid in priority thereto or *pari passu* therewith; or

(z) in case the Portfolio is sold further to the service of a Trigger Notice, to an amount determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders.

Option Right

Under the Intercreditor Agreement, the Issuer will irrevocably grant Intesa Sanpaolo an option right to purchase, or to cause another entity, to purchase, from the Issuer:

- (i) in whole but not in part all then outstanding Claims, in the period starting from the date on which the Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio or of the Initial Purchase Price, and ending on the date on which the Notes have been redeemed in full;
- (ii) in whole but not in part all then outstanding Claims that will be offered for sale, upon exercise by the Issuer of its option of early redemption of the Notes for tax reasons pursuant to Condition 6.4 (*Redemption for Tax Reasons*);
- (iii) in whole but not in part all then outstanding Claims that will be offered for sale, upon decision of the Representative of the Noteholders to dispose of the Portfolio further to a Trigger Notice having been served upon the Issuer following the occurrence of a Trigger Event,

(each, an “**Option Right**” and the “**Option Claims**”, respectively).

In the circumstances:

- (x) set out in paragraph (i) above, Intesa Sanpaolo shall exercise the Option Right by serving not more than 80 nor less than 50 days' prior notice in writing to the Issuer and, in copy, to the Representative of the Noteholders and the Rating Agency;
- (y) set out in paragraph (ii) above, the Issuer shall notify in writing Intesa Sanpaolo (the “**Issuer Option Notice**”) and, in copy, the Representative of the Noteholders, that it intends to exercise the redemption option pursuant to Condition 6.4 (*Redemption for Tax Reasons*) and Intesa Sanpaolo shall notify in writing the Issuer and, in copy, the Representative of the Noteholders its intention to exercise the Option Right by the 20th day following receipt of the Issuer Option Notice.; and
- (z) set out in paragraph (iii) above, the Representative of the Noteholders shall notify in writing Intesa Sanpaolo (the “**Representative of the Noteholders Option Notice**”), that it intends to dispose of the Portfolio and Intesa Sanpaolo shall notify in writing the Representative of the Noteholders its intention to exercise the Option Right by the 20th day following receipt of the Representative of the Noteholders Option Notice (each of the notices sent by Intesa Sanpaolo pursuant to paragraphs (x), (y) and (z) above, an “**Intesa Sanpaolo Option Notice**”).

The Intesa Sanpaolo Option Notice shall include a solvency certificate and a certificate issued by the relevant Register of Enterprises (*certificato di vigenza*) and, in the circumstances set out in paragraphs (i) and (ii) above:

- (a) a legal opinion, satisfactory to the Issuer and the Representative of the Noteholders, as to the capacity of the Issuer to sell the Option Claims to Intesa Sanpaolo prior to the date on which the Notes are redeemed in full and as to the segregation of the purchase price of the Option Claims for the benefit of the Noteholders and the Other Issuer Creditors; or
- (b) in the event no such an opinion is provided, the details of the structure by which Intesa Sanpaolo will render available to the Issuer funds in an amount equal to the purchase price of the Option Claims on time for the Issuer to redeem the Notes in accordance with the applicable provisions of the Conditions.

Intesa Sanpaolo shall obtain the confirmation by the Issuer and the Representative of the Noteholders that they find acceptable any financing structure suggested in the Intesa Sanpaolo Option Notice as outlined in paragraph (b) above, provided that the Issuer and the Representative of the Noteholders will consider acceptable - for the purpose of Conditions 6.3 (*Optional Redemption*) and Condition 6.4 (*Redemption for Tax Reasons*) and the transfer of the Option Claims - a structure by which Intesa Sanpaolo is to grant (or cause a qualified/suitable entity to grant) the Issuer a fully subordinated bridge financing (i.e. any payments under which are subordinated to the discharge in full of any other Issuer's outstanding obligations *vis-à-vis* the Noteholders and any Other Issuer Creditors) in an amount equal to the purchase price of the Option Claims to be advanced by the date on which the Issuer will serve the early redemption notice pursuant Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable.

Any purchaser of the Portfolio shall provide the Representative of the Noteholders with: (i) a certificate issued by the relevant Register of Enterprises (*certificato di vigenza*) or an equivalent certificate available under the law and jurisdiction of its incorporation; (ii) a satisfactory solvency certificate; (iii) proof of full power to enter into the transfer agreement and to perform any obligations thereunder; and (iv) in the event it has not been assigned a rating by the Rating Agency equal to or higher than investment grade, a bankruptcy certificate issued by the competent Court.

The transfer of the Option Claims shall be completed:

- (1) in the circumstance set out in paragraph (a) above, on a date, either immediately prior to the date on which the notice is served pursuant to Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as the case may be, or immediately prior to the relevant date of redemption of the Notes, as will be agreed upon between Intesa Sanpaolo and the Issuer (with the prior written consent of the Representative of the Noteholders);
- (2) in the circumstance set out in paragraph (b) above, on the date on which the relevant purchase price is applied towards redemption of the Notes in accordance with the applicable provisions of the Conditions or towards redemption of any applicable bridge financing or

- any other date as will be agreed upon between the Issuer and the purchaser (with the prior written consent of the Representative of the Noteholders); or
- (3) in the circumstance set out in paragraph (iii) above, at the date of payment of the purchase price or any other date as will be agreed upon between the Issuer and the purchaser (with the prior written consent of the Representative of the Noteholders),
- (any of the above date, as applicable, the “**Transfer Date**”).

Any purchase of the Portfolio by Intesa Sanpaolo or any other entity will occur only in compliance with the applicable regulations from time to time issued by the Bank of Italy or as otherwise authorised by the Bank of Italy (if applicable).

Governing Law and Jurisdiction

The Intercreditor Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Intercreditor Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE SUBORDINATED LOAN AGREEMENT

On or about the Issue Date, Intesa Sanpaolo, as Subordinated Loan Provider, and the Issuer will enter into the Subordinated Loan Agreement.

Pursuant to the Subordinated Loan Agreement, Intesa Sanpaolo shall provide the Issuer with the Subordinated Loan, which will be applied by the Issuer to fund on the Issue Date the Cash Reserve Amount.

Interest shall accrue the Subordinated Loan from the Issue Date until the earlier of (i) the date of repayment in full of the Subordinated Loan and (ii) the Final Maturity Date, at an annual rate equal to 6 Month Euribor plus a margin of 80 basis points, and shall be payable by the Issuer on each Payment Date in accordance with the applicable Order of Priority.

Payments of interest and repayment of the principal of the Subordinated Loan shall be subordinated to payment of principal and interest on the Senior Notes, in accordance with the applicable Order of Priority.

Governing Law and Jurisdiction

The Subordinated Loan Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Subordinated Loan Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE DEED OF PLEDGE

On or about the Issue Date, the Issuer, the Representative of the Noteholders and the Other Issuer Creditors will enter into the Deed of Pledge.

Pursuant to the Deed of Pledge the Issuer will pledge in favour of the Noteholders and the Other Issuer Creditors, *inter alia*, (i) all the monetary claims and rights and all the amounts payable from time to time (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled pursuant or in relation to the Transaction Documents (other than English Law Documents and the Deed of Pledge), (ii) all the monetary claims and rights (including the accrued interests) relating to the amounts standing to the credit of the Issuer Accounts and any other account established by the Issuer in accordance with the provisions of the Transaction Documents and (iii) all Eligible Investments made on its behalf under the Cash Allocation, Management and Payments Agreement.

Governing Law and Jurisdiction

The Deed of Pledge will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Deed of Pledge shall be settled by the Courts of Milan.

DESCRIPTION OF THE DEED OF CHARGE

On or about the Issue Date, the Issuer and the Other Issuer Creditors will enter into the Deed of Charge, pursuant to which the Issuer will charge and assign by way of security in favour of the Security Trustee on trust for the benefit of the Other Issuer Creditors all of its rights, title, interest and benefit from time to time in and to the Charged Property as security for, *inter alia*, the obligations of the Issuer to the Noteholders in respect of the Notes and the Other Issuer Creditors, subject to and in accordance with the terms and conditions of the Deed of Charge and the Intercreditor Agreement.

Governing Law and Jurisdiction

The Deed of Charge will be governed by, and will be construed in accordance with, English law.

Any disputes arising from or in connection with the Deed of Charge shall be settled by the Courts of England.

DESCRIPTION OF THE SENIOR NOTES SUBSCRIPTION AGREEMENT

On or about the Issue Date the Issuer, the Originator, the Second Special Servicer, the Representative of the Noteholders, the Lead Manager and the Bookrunner will enter into the Senior Notes Subscription Agreement, under which, *inter alia*, Banca IMI will agree to subscribe for the Senior Notes and pay the relevant issue price and the Issuer will agree to pay Banca IMI the agreed selling, management and underwriting commission. Pursuant to the provisions of the Senior Notes Subscription Agreement, the Lead Manager will appoint the Representative of the Noteholders. In addition to the foregoing, see section headed “*Subscription and Sale*”.

Governing Law and Jurisdiction

The Senior Notes Subscription Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Senior Notes Subscription Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE JUNIOR NOTES SUBSCRIPTION AGREEMENT

On or about the Issue Date the Issuer, Intesa Sanpaolo and the Second Special Servicer will enter into the Junior Notes Subscription Agreement, under which, *inter alia*, Intesa Sanpaolo will agree to subscribe for the Junior Notes and pay the relevant issue price. Pursuant to the provisions of the Junior Notes Subscription Agreement, Intesa Sanpaolo will appoint the Representative of the Noteholders.

Governing Law and Jurisdiction

The Junior Notes Subscription Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Junior Notes Subscription Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE SWAP AGREEMENT

On or about the Issue Date the Issuer will enter into one or more swap confirmations under the 1992 International Swaps and Derivatives Association Inc. (ISDA) Master Agreement (Multicurrency – Cross Border) and Schedule, together with the associated Credit Support Annex and relevant ISDA Master Agreement (the “**Swap Agreement**”) with the Swap Counterparty, in order to hedge its interest rate exposure in relation to its floating rate obligations under the Notes and the interest component of its risk exposure due to any renegotiation (whether or not encompassing payment holidays) of the Mortgage Loans, made under the Bersani-*bis* Decree, in connection with the issue of Tremonti Bonds by the Intesa Sanpaolo Group, under article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007, or under other laws or

regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached, or in accordance with other provisions of the Collection Policy. Pursuant to the Swap Agreement in relation to the Mortgage Loans, on each Payment Date the Issuer will pay to the Swap Counterparty the Interest Instalments and the default interest collected from such Mortgage Loans during the immediately preceding Collection Period and (i) on each Swap Payment Date will receive from the Swap Counterparty an amount equal to interest at the linear interpolation of 9 Month Euribor and 10 Month Euribor with regard to the first period and thereafter 6 Month Euribor, in each case plus a margin applied to the notional amount of such swap, being for the Floating Rate First Reference Period, an amount of Euro 5,838,502,803.18, and for each following subsequent Floating Rate Reference Period, the Performing Outstanding Principal Portfolio as of the Collection Date immediately preceding the first day of such Floating Rate Reference Period as calculated by the Calculation Agent; and (ii) at the Issue Date, will receive from the Swap Counterparty an upfront payment equal to Euro 200,000.00.

The Swap Counterparty will, *inter alia*, be required to have a rating assigned to its unguaranteed, unsubordinated and unsecured short-term debt obligations of at least F1 by Fitch and a rating assigned to its unguaranteed, unsubordinated and unsecured long-term debt obligations of at least A by Fitch. If the Swap Counterparty's rating falls below such ratings or if the Swap Counterparty fails to perform its obligations under the Swap Agreement resulting in the Issuer being entitled to terminate the Swap Agreement, the Swap Counterparty will be required to either (at its discretion) (a) transfer all of its rights and obligations with respect to the Swap Agreement to a replacement swap counterparty with appropriate ratings; or (b) activate an appropriate mark-to-market collateral agreement or (c) obtain a guarantee from a third party with appropriate ratings in relation to its obligations under the Swap Agreement.

The Swap Agreement is expected to remain in place until final redemption or cancellation of the Notes.

Governing Law and Jurisdiction

The Swap Agreement will be governed by, and will be construed in accordance with, English law.

Any disputes arising from or in connection with the Swap Agreement shall be settled by the Courts of England.

DESCRIPTION OF THE MANDATE AGREEMENT

On or about the Issue Date, the Issuer and the Representative of the Noteholders, will enter into the Mandate Agreement, which is also in the interest and in favour of the Noteholders and the Other Issuer Creditors, pursuant to which: (i) following the delivery of a Trigger Notice, the Representative of the Noteholders shall be authorised to exercise, in the name and on behalf of the Issuer all the Issuer's rights relating to the Claims and/or the Transaction Documents to which the Issuer is a party and (ii) upon failure by the Issuer to exercise its rights under the Transaction Documents against any party in default and to procure the remedy of such default, the Representative of the

Noteholders shall be authorised to exercise, in the name and on behalf of the Issuer, all the Issuer's rights arising under such Transaction Documents against the defaulting counterparty.

The mandate conferred to the Representative of the Noteholders will include the powers to: (a) amend and terminate any of the Transaction Documents (to the extent the Issuer is so entitled under the relevant Transaction Documents); (b) replace the parties to any Transaction Documents (but such right in respect of the Servicer may be exercised only where the Issuer has failed to replace the Servicer for a period of at least 30 days) and (c) direct the sale, in whole or in part, of the Portfolio.

Governing Law and Jurisdiction

The Mandate Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Mandate Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE AGENCY AGREEMENT

On or about the Issue Date, the Issuer, the Representative of the Noteholders and the Luxembourg Agent will enter into the Agency Agreement.

Pursuant to the Agency Agreement the Luxembourg Agent will provide certain agency services to the Issuer in relation to the Senior Notes and in particular it shall (a) make documents available for inspections at its offices in Luxembourg as may be required by the Stock Exchange, (b) forward any notices or communication addressed to the Issuer and (c) provide for the publication of any notice which is to be given to the Senior Noteholders in accordance with the provisions of Condition 14 and deliver a copy thereof to the Stock Exchange and/or any other stock exchange on which the Senior Notes are listed.

The Issuer may terminate the appointment of the Luxembourg Agent by giving 30 days' prior notice and the Luxembourg Agent may resign from such appointment upon giving the other party at least 30 days notice provided that such termination or resignation shall be effective only upon appointment of a substitute Luxembourg Agent by the Issuer.

Governing Law and Jurisdiction

The Agency Agreement will be governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Agency Agreement shall be settled by the Courts of Milan.

DESCRIPTION OF THE QUOTAHOLDERS' AGREEMENT

On 18 December 2008, the Issuer, Intesa Sanpaolo and the Foundation have amended the Quotaholders' Agreement entered into between the same parties on 4 August 2008 in the framework of the First Existing Securitisation, which contains provisions and undertakings in relation to the management of the Issuer. In addition, under the Quotaholders' Agreement, the

Foundation has granted a call option in favour of Intesa Sanpaolo to purchase from the Foundation, and Intesa Sanpaolo has granted a put option in favour of the Foundation to sell to Intesa Sanpaolo, the quota of the Issuer quota capital held by the Foundation. Each option may only be exercised from the day on which all the notes issued by the Issuer in the context of the Existing Securitisations, of the Securitisation and of all the securitisation transactions that the Issuer will carry out, have been redeemed in full or cancelled.

Governing Law and Jurisdiction

The Quotaholders' Agreement is governed by, and will be construed in accordance with, Italian law.

Any disputes arising from or in connection with the Quotaholders' Agreement shall be settled by a Panel of Arbitrators (*Collegio Arbitrale*) composed of three arbitrators appointed pursuant to the provisions of the Regulation of the Chamber of Arbitrators of Milan (*Regolamento della Camera Arbitrale di Milano*).

ISSUER ACCOUNTS

The following accounts shall be established and maintained with the Account Bank as separate accounts in the name of the Issuer:

- (A) the Issuer Payment Account: into which (a)(1) all the amounts credited to the Issuer Investment Account during the Collection Period immediately preceding the relevant Payment Date (including, for the avoidance of doubt, any Pertaining Collections) other than amounts stated to remain credited thereto, and (2) all interest accrued during the Collection Period immediately preceding the relevant Payment Date on the amounts standing to the credit of the Issuer Accounts and credited thereto, will be transferred three Business Days before each relevant Payment Date; (b) all return (other, for the avoidance of doubt, than repayment of principal) from Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and of the Issuer Initial Amortisation Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; (c) the Cash Reserve Amount will be credited one day following the Issue Date; (d) all sums paid into the Issuer Initial Amortisation Account under item (vii) of the Pre-Enforcement Order of Priority or, as applicable, under items (v) and (xiii) of the Post-Enforcement Order of Priority will be transferred three Business Days before the Initial Amortisation Date; (e) any amount due by the Swap Counterparty under the Swap Agreements will be paid on each Swap Payment Date (other than the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement); and (f) all other sums (other than the Collections, including for the avoidance of doubt the Pertaining Collections) collected or received by the Issuer under any Transaction Document to which the Issuer is a party, and which is not to be credited on a different Issuer Account in accordance with the provisions of the Transaction Documents, will be credited from time to time and out of which (g) all amounts to be paid to the Noteholders on such Payment Date, will be paid, as directed one Business Day prior to each Payment Date by the Paying Agent in accordance with Clause 4.1 of the Cash Allocation, Management and Payments Agreement; (h) all the other amounts standing to the credit thereof on each Payment Date shall be applied for distribution on such Payment Date in accordance with the applicable Order of Priority; and (i) amounts limited to the provisions to be made in accordance with the applicable Order of Priority, or payments that were to be made pursuant to the applicable Order of Priority and were not made for the inability to reach the relevant creditor or other technical or similar errors will be used, up to three Business Days before the immediately succeeding Payment Date, to make, upon instruction of the Paying Agent, such payments (for the avoidance of doubt in an amount not greater than that set out in the

- relevant Order of Priority and as indicated in the relative Payments Report) as and when technically possible;
- (B) the Issuer Collection Account: to which all the Collections will be credited. Any amounts credited to the Issuer Collection Account will be transferred on the same date to the Issuer Investment Account;
 - (C) the Issuer Corporate Account: into which (a) the Issuer Retention Amount will be credited on the Payment Date falling in April of each year in accordance with the applicable Order of Priority and (b) an amount which, together with the amount credited to the Issuer Expenses Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date; and out of which (c) all administrative and other corporate expenses of the Issuer, in order for the Issuer to maintain its corporate existence will be paid, and (d) all interest accrued thereon during the preceding Collection Period and credited thereto will be transferred to the Issuer Payment Account three Business Days prior to the relevant Payment Date;
 - (D) the Issuer Expenses Account: into which (a) the Issuer Disbursement Amount will be credited on the Payment Date falling in April of each year in accordance with the applicable Order of Priority; (b) on the Issue Date: (1) the proceeds from the issuance of the Notes will be credited; (2) the Cash Reserve Amount will be credited; (3) the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement will be credited; and (c) by the tenth day immediately succeeding the Issue Date an amount which, together with the amount credited to the Issuer Corporate Account on or about the same date, is no higher than 265,000 Euro, will be credited; out of which (d) on or immediately after the Issue Date, as set out by the relevant Transaction Documents (1) the Initial Purchase Price of the Portfolio will be paid to the Originator; (2) certain initial costs of the Securitisation will be paid (including without limitation the selling, management and underwriting commissions due by the Issuer to the Lead Manager); (e) one day following the Issue Date the Cash Reserve Amount will be paid to the Issuer Payment Account; (f) all out of pocket expenses of the Issuer, incurred in the framework of the Securitisation, other than corporate costs and expenses, will be paid; and (g) all interest accrued thereon during the preceding Collection Period and credited thereto will be transferred to the Issuer Payment Account three Business Days prior to the relevant Payment Date;
 - (E) the Issuer Initial Amortisation Account: into which (a) on each Payment Date preceding the Initial Amortisation Date, provided that the Issuer has not received a Trigger Notice, the amount under item (vii) of the Pre-Enforcement Order of Priority, and (b) upon delivery of a Trigger Notice, on each Payment Date preceding the Initial Amortisation Date the amounts under items (v) and (xiii) of the Post-Enforcement Order of Priority will be credited from the Issuer Investment Account; (c) all principal payments deriving from the liquidation of the Eligible Investments made during the preceding Collection Period out of

- amounts standing to the credit of the Issuer Initial Amortisation Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; and out of which (d) three Business Days before each Payment Date which falls prior to the Initial Amortisation Date, any interest accrued in the relevant Collection Period on the amounts standing to the credit of the Issuer Initial Amortisation Account and credited thereto will be transferred to the Issuer Payment Account, and (e) three Business Days before the Initial Amortisation Date, all amounts credited to the Issuer Initial Amortisation Account pursuant to sub-paragraphs (a) and (b) above (together with interest accrued and paid thereon and standing to the credit thereof) will be transferred to the Issuer Payment Account; and the Issuer Initial Amortisation Account shall be closed as soon as all the monies standing to the credit thereof have been transferred further to the Initial Amortisation Date;
- (F) the Issuer Investment Account: into which (a) all amounts credited to the Issuer Collection Account will be transferred on the same date; (b) all principal payments deriving from the liquidation of the Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and liquidated by the fourth Business Day prior to the relevant Payment Date will be paid; and out of which (c) all the amounts credited to the Issuer Investment Account during the Collection Period immediately preceding a Payment Date (including, for the avoidance of doubt, any Pertaining Collections), will be transferred three Business Days before such Payment Date to the Issuer Payment Account, provided that (1) any amount available in accordance with the applicable Payments Report to be credited to the Issuer Investment Account on such Payment Date out of item (vi) of the Pre-enforcement Order of Priority will not be so transferred and will remain credited thereto; and (2) any amount available in accordance with the applicable Payments Report to be credited to the Issuer Initial Amortisation Account on such Payment Date out of item (vii) of the Pre-enforcement Order of Priority, or items (v) and (xiii) of the Post-enforcement Order of Priority, as applicable, will not be so transferred and be transferred instead to the Issuer Initial Amortisation Account on such Payment Date; (d) by the tenth day immediately succeeding the Issue Date, an amount will be credited to the Issuer Expenses Account and the Issuer Corporate Account, not being higher than 265,000 Euro in aggregate; and
- (G) the Issuer Securities Account: where (a) all securities constituting Eligible Investments will be registered from time to time and pledged in accordance with the provisions of the Intercreditor Agreement and the Deed of Pledge, (b) all return (other, for the avoidance of doubt, than repayment of principal) from Eligible Investments made during the preceding Collection Period out of amounts standing to the credit of the Issuer Investment Account and the Issuer Initial Amortisation Account will be transferred to the Issuer Payment Account as soon as available and in any event no later than the fourth Business Day preceding the immediately following Payment Date and (c) all capital payments deriving from the liquidation of Eligible Investments made during the preceding Collection Period

out of amounts standing to the credit of the Issuer Investment Account and of the Issuer Initial Amortisation Account will be transferred to the Issuer Investment Account or the Issuer Initial Amortisation Account, as applicable, as soon as available and in any event no later than the fourth Business Day preceding the immediately following Payment Date.

EXPECTED MATURITY AND AVERAGE LIFE OF THE SENIOR NOTES AND ASSUMPTIONS

The maturity and average life of the Class A Notes cannot be predicted, as the actual rate at which the Mortgage Loans will be repaid and a number of other relevant factors are unknown.

Calculations as to the expected maturity and average life of the Class A Notes can be made based on certain assumptions.

The tables below show the expected average life and the expected maturity of the Senior Notes, based, among other things, on the following assumptions:

- (i) the Issuer will redeem the Senior Notes in whole but not in part at their Principal Outstanding Amount, together with all accrued but unpaid interest thereon up to and including the relevant Payment Date, on the Payment Date falling on or after the Initial Amortisation Date, when the Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio (as defined below) and of the Initial Purchase Price;
- (ii) there will be no Defaulted Loans;
- (iii) the Claims will be subject to a constant annual prepayment at such rates as shown in the tables below, in equal monthly portions starting from the Effective Date;
- (iv) the Instalments will not be reduced and the term of the Mortgage Loans will not be extended;
- (v) redemption on the Senior Notes will commence on the Payment Date falling in April 2011;
- (vi) no Trigger Event will occur in respect of the Senior Notes;
- (vii) no Tremonti Bonds will be issued by Intesa Sanpaolo and, in any case, no payment holiday will be made by the Borrowers under applicable laws and regulations.

Expected Maturity of the Senior Notes

Annual Prepayment Rates	Class A Notes
0%	Oct 2032
4%	Oct 2028
8%	Oct 2024
10%	Oct 2023
12%	Oct 2021
16%	Oct 2019
20%	Oct 2017

Expected Average Life of the Senior Notes (Years)

Annual Prepayment Rates	Class A Notes
0%	10.8
4%	7.6
8%	5.7
10%	5.1
12%	4.6
16%	3.8
20%	3.3

The prepayment rate is stated as an average annualised prepayment rate but the prepayment rate for one Interest Period may be substantially different from that for another. The constant prepayment rates shown above are purely illustrative and do not represent the full range of possibilities for constant prepayment rates.

The other assumptions relate to circumstances which are not predictable.

The maturity and average life of the Class A Notes are subject to factors largely outside the control of the Issuer and consequently no assurance can be given that the assumptions and estimates above will prove in any way to be realistic and they must therefore be viewed with considerable caution.

TERMS AND CONDITIONS OF THE SENIOR NOTES

*The following is the text of the terms and conditions of the Senior Notes (as defined below) (the “**Conditions**”). In these Conditions, references to the “holder” of a Senior Notes or to the “**Senior Noteholder**” are to the ultimate owners of Senior Notes issued in dematerialised form and evidenced as book entries with Monte Titoli S.p.A. (“**Monte Titoli**”) in accordance with the provisions of (i) article 28 of Italian Legislative Decree No. 213 of 24 June 1998 and (ii) the regulation issued on 22 February 2008 by the Bank of Italy together with the Commissione Nazionale per le Società e la Borsa (“**CONSOB**”). The Senior Noteholders are deemed to have notice of and are bound by, and shall have the benefit of, inter alia, the terms of the Rules of the Organisation of Noteholders (as defined below).*

In these Conditions, references to any agreement or other document shall include such agreement or another document as may be modified from time to time in accordance with the provisions contained therein and any deed or other document expressed to be supplemental thereto, as modified from time to time.

In these Conditions, references to any laws or regulation shall be interpreted and construed to include any amendments and implementation thereof as of the date of these Conditions.

The Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065 (the “**Class A Notes**” or the “**Senior Notes**”), the Euro 563,400,000 Class B Residential Mortgage Backed Floating Rate Notes due June 2065 (the “**Class B Notes**” or the “**Junior Notes**” and, together with the Class A Notes, the “**Notes**”), have been issued by Adriano Finance S.r.l. (the “**Issuer**”) on 20 July 2009 (the “**Issue Date**”) to finance the purchase of a portfolio of performing residential mortgage loan receivables and connected rights from Intesa Sanpaolo S.p.A. (“**Intesa Sanpaolo**” or, as the originator or the successor of the relevant Lender, and the transferor of the Claims, the “**Originator**”).

Any reference in these Conditions to a “**Class**” of Notes or a “**Class**” of holders of Notes (“**Noteholders**”) shall be a reference to the Class A Notes and the Class B Notes, as the case may be, or to the respective holders thereof.

The principal source of payment of interest and principal on the Notes will be made from proceeds received from time to time in respect of a portfolio (the “**Portfolio**”) of performing residential mortgage loan receivables arising from mortgage loan agreements (the “**Mortgage Loan Agreements**”) purchased by the Issuer from the Originator pursuant to a transfer agreement entered into on 25 May 2009 between the Issuer and the Originator (the “**Transfer Agreement**”), as amended on or about the Issue Date. The Portfolio does not consist, in whole or in part, actually or potentially, of credit-linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives and will be segregated from all other assets of the Issuer by operation of Italian Law No. 130 of 30 April 1999 (the “**Securitisation Law**”) and, by operation of the

Securitisation Law and of the Transaction Documents (as defined below), amounts deriving therefrom will be available, both before and after a winding-up of the Issuer, to satisfy the obligations of the Issuer to the Noteholders, to pay costs, fees or expenses due to the Issuer's creditors under the Transaction Documents and to pay any other creditor of the Issuer in respect of costs, fees or expenses of the Issuer to such other creditor in relation to the securitisation of the Portfolio by the Issuer through the issuance of the Notes (the "**Securitisation**") subject to and in accordance with the Order of Priority set out in Condition 4 below. Amounts derived from the Portfolio will not be available to any other creditor of the Issuer.

By a servicing agreement entered into on 25 May 2009 by and between the Issuer and Intesa Sanpaolo as servicer and as first special servicer (in such capacities, the "**Servicer**" and the "**First Special Servicer**", respectively) and to which Italfondario S.p.A. as second special servicer ("**Italfondario**" or the "**Second Special Servicer**", and together with the First Special Servicer, the "**Special Servicers**") has acceded on 5 June 2009, and amended on or about the Issue Date (the "**Servicing Agreement**"), the Servicer, as *soggetto incaricato della riscossione dei crediti ceduti e dei servizi di cassa e di pagamento*, has agreed to manage, service and collect amounts in respect of the Portfolio on behalf of the Issuer. The receipt of the Collections (as defined below) is the responsibility of the Servicer. The Servicer is also responsible for verifying that the transactions to be carried out in the context of the Securitisation comply with the provisions of the Securitisation Law and are consistent with the contents of the *Prospetto Informativo* produced pursuant to article 2.6 of the Securitisation Law. Pursuant to the terms of the Servicing Agreement, each Special Servicer has agreed to carry out the activities related to the management of the Defaulted Loans classified as "*in sofferenza*" (as defined below) comprised within the Portfolio, if any, which management will be entrusted thereto in accordance with the provisions of the Servicing Agreement and the Issuer authorised the Servicer and each Special Servicer to delegate to Intesa Sanpaolo Group Services S.c.p.a. (the "**IT and Operating Services Provider**") (i) the management of the IT procedures related to the Claims; (ii) the carrying out of operational and back-office services; and (iii) only with reference to the Servicer, the production of the monthly, quarterly and semi-annual reports.

By an administrative services agreement entered into on or about the Issue Date (the "**Administrative Services Agreement**"), among Intesa Sanpaolo as administrative services provider (in such capacity the "**Administrative Services Provider**"), KPMG Fides Servizi di Amministrazione S.p.A. ("**KPMG**") as administrative services provider (in such capacity the "**Administrative Services Provider**" and together with Intesa Sanpaolo the "**Administrative Services Providers**") and the Issuer, (i) Intesa Sanpaolo has agreed to provide, in favour of the Issuer, *inter alia*, certain administrative and accounting services, including the keeping of the accounting and tax register and (ii) KPMG has agreed to provide, in favour of the Issuer, *inter alia*, certain administrative and corporate services, including the keeping of the corporate books, in each case for so long as any Note is outstanding.

By a Senior Notes subscription agreement entered into on or about the Issue Date (the “**Senior Notes Subscription Agreement**”) among the Issuer, the Representative of Noteholders, Intesa Sanpaolo as Originator, the Second Special Servicer, Banca IMI S.p.A. as lead manager and bookrunner (the “**Lead Manager**” and the “**Bookrunner**”), Banca IMI S.p.A. has agreed to subscribe and pay for the Senior Notes on the Issue Date.

By a Junior Notes subscription agreement entered into on or about the Issue Date (the “**Junior Notes Subscription Agreement**” and, together with the Senior Notes Subscription Agreement, the “**Subscription Agreements**”) among the Issuer, the Representative of Noteholders, Intesa Sanpaolo and the Second Special Servicer, Intesa Sanpaolo has agreed to subscribe and pay for the Junior Notes on the Issue Date.

By a cash allocation, management and payments agreement entered into on or about the Issue Date (the “**Cash Allocation, Management and Payments Agreement**”) among the Issuer, Deutsche Bank S.p.A. as calculation agent (in such capacity, the “**Calculation Agent**”), Intesa Sanpaolo as Servicer, as paying agent (in such capacity, the “**Paying Agent**”), as account bank (in such capacity, the “**Account Bank**”), as administrative services provider (the “**Administrative Services Provider**”) and as cash manager (in such capacity, the “**Cash Manager**”) and KPMG as the representative of the Organisation of Noteholders (in such capacity, the “**Representative of the Noteholders**”), the Cash Manager, the Paying Agent, the Account Bank and the Calculation Agent have agreed to provide the Issuer with certain calculation, notification and reporting services together with account handling and cash management services in relation to moneys or securities from time to time standing to the credit of, or registered on, the Issuer Accounts (as defined below). The Cash Allocation, Management and Payments Agreement also contains provisions for, *inter alia*, the payment of principal and interest in respect of the Notes.

By an agency agreement entered into on or about the Issue Date (the “**Agency Agreement**”) among the Issuer, the Representative of the Noteholders and Sanpaolo Bank S.A. (“**Sanpaolo Bank**”) as Luxembourg agent (the “**Luxembourg Agent**”), the Luxembourg Agent has agreed to provide certain agency services to the Issuer in relation to the Senior Notes.

By an intercreditor agreement entered into on or about the Issue Date (the “**Intercreditor Agreement**”) among the Issuer, the Representative of the Noteholders and the Other Issuer Creditors (as defined below), the parties have agreed that the Collections (as defined below) in respect of the Portfolio will be applied in or towards satisfaction of the Issuer’s payment obligations towards the Noteholders as well as the Other Issuer Creditors pursuant to the applicable Order of Priority, set out in Condition 4 below, and the circumstances in which the Representative of the Noteholders will be entitled to exercise certain rights in relation to the Portfolio have been regulated. The Originator, the Representative of the Noteholders, the Security Trustee, the Calculation Agent, the Administrative Services Providers, the Servicer, the Special Servicers, the Cash Manager, the Account Bank, the Paying Agent, the Luxembourg Agent, the Subordinated Loan Provider, the

Foundation Corporate Servicer, the Foundation Sole Director, the Quotaholders, the Lead Manager and the Swap Counterparty are hereinafter collectively referred to as the “**Other Issuer Creditors**”.

By one or more swap confirmations entered into on or about the Issue Date under the 1992 International Swaps and Derivatives Association Inc. (ISDA) Master Agreement (Multicurrency - Cross Border) and Schedule, together with the associated Credit Support Annex and relevant ISDA Master Agreement (the “**Swap Agreement**”) between the Issuer and Intesa Sanpaolo (the “**Swap Counterparty**”), the Issuer will hedge its interest rate exposure in relation to its floating rate obligations under the Notes and the interest component of its risk exposure due to any renegotiation (whether or not encompassing payment holidays) of the Mortgage Loans, made under the Bersani-bis Decree, in connection with the issue of Tremonti Bonds by the Intesa Sanpaolo Group, under article 2, paragraphs 475 to 480, of Italian law No. 244 of 24 December 2007, or under other laws or regulations or agreements promoted by relevant authorities or trade associations (*associazioni di categoria*), existing or to be enacted or reached, or in accordance with other provisions of the Collection Policy.

By a subordinated loan agreement entered into on or about the Issue Date (the “**Subordinated Loan Agreement**”) between the Issuer and Intesa Sanpaolo in its capacity as subordinated loan provider (the “**Subordinated Loan Provider**”), the Subordinated Loan Provider has agreed to advance a subordinated loan in an amount of Euro 75,000,000 (the “**Subordinated Loan**”) to the Issuer, which will be used by the Issuer to fund the Cash Reserve Amount (as defined below) on the Issue Date. Interest shall accrue on the Subordinated Loan at a rate equal to Euribor plus a margin of 80 basis points.

By a deed of pledge executed by the Issuer on or about the Issue Date (the “**Deed of Pledge**”) the Issuer will pledge in favour of the Noteholders and the Other Issuer Creditors, *inter alia*, (i) all the monetary claims and rights and all the amounts payable from time to time (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled pursuant or in relation to the Transaction Documents (other than the English Law Documents (as defined below) and the Deed of Pledge), (ii) all the monetary claims and rights (including the accrued interests) relating to the amounts standing to the credit of the Issuer Accounts (as defined below) and any other account established by the Issuer in accordance with the provisions of the Transaction Documents and (iii) all Eligible Investments made on its behalf under the Cash Allocation, Management and Payments Agreement.

By a deed of charge executed by the Issuer on or about the Issue Date (the “**Deed of Charge**”) the Issuer has assigned by way of security to and charged in favour of the Security Trustee on trust for the Noteholders and the Other Issuer Creditors all of its rights, title, interest and benefit from time to time in and to the Charged Property as security for, *inter alia*, the obligations of the Issuer to the Noteholders in respect of the Notes and the other Issuer Secured Creditors, subject to and in accordance with the terms and conditions of the Deed of Charge and the Intercreditor Agreement.

By a mandate agreement entered into on or about the Issue Date (the “**Mandate Agreement**”) between the Issuer and the Representative of the Noteholders, the Representative of Noteholders shall be authorised to exercise, in the name and on behalf of the Issuer and in the interest of the Noteholders and the Other Issuer Creditors: (i) following the delivery of a Trigger Notice (as defined in Condition 10), all the Issuer’s rights relating to the Claims and/or the Transaction Documents to which the Issuer is a party and (ii) upon failure by the Issuer to exercise its rights under the Transaction Documents against any party in default and to ensure the remedy of such default, all the Issuer’s rights arising under such Transaction Documents against the defaulting counterparty.

By a quotaholders’ agreement entered into on 4 August 2008 in the framework of the First Existing Securitisation, as amended on 18 December 2008 (the “**Quotaholders’ Agreement**”) among the Issuer, Intesa Sanpaolo and Stichting Megatrendburg (the “**Foundation**”), the Foundation has granted a call option in favour of Intesa Sanpaolo to purchase from the Foundation and Intesa Sanpaolo has granted a put option in favour of the Foundation to sell to Intesa Sanpaolo, the quota of the Issuer’s quota capital held by the Foundation. Each option may only be exercised from the day on which all the Notes, the notes issued by the Issuer in the context of the Existing Securitisations (as defined below) and the notes issued in the context of all the securitisation transactions that the Issuer will carry out, have been redeemed in full or cancelled. The Quotaholders’ Agreement contains provisions and undertakings in relation to the management of the Issuer.

By a master definitions agreement entered into on or about the Issue Date (the “**Master Definitions Agreement**”) among all the parties to each of the Transaction Documents, the definitions of certain terms used in the Transaction Documents have been set forth.

By a stichting corporate services agreement entered into on 28 March 2008 in the framework of the First Existing Securitisation, amended on 24 November 2008 and supplemented on or about the Issue Date (the “**Stichting Corporate Services Agreement**”), among the Foundation, Giustidata S.r.l. (subsequently succeeded by KPMG) as Foundation Corporate Servicer, AMACO Management Services B.V. (currently ANT Management (Netherlands) B.V.) as Foundation Sole Director and the Issuer, the parties thereto have agreed to make arrangements with respect to the duties to be performed by the Foundation Corporate Servicer and the Foundation Sole Director in relation to the Foundation and the Issuer.

A Euro-denominated account has been established in the name of the Issuer (the “**Issuer Collection Account**”), which will be held with the Account Bank and to which all the Collections will be credited.

A Euro-denominated account has been established in the name of the Issuer (the “**Issuer Corporate Account**”), which will be held with the Account Bank and to which (a) the Issuer Retention Amount will be credited on each Payment Date falling in April and (b) an amount which,

together with the amount credited to the Issuer Expenses Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date out of the Collections. Amounts standing to the credit of the Issuer Corporate Account shall be used to cover the administrative and other corporate expenses of the Issuer.

A Euro-denominated account has been established in the name of the Issuer (the “**Issuer Expenses Account**”), which will be held with the Account Bank to which (a) the Issuer Disbursement Amount will be credited on each Payment Date falling in April and (b) an amount which, together with the amount credited to the Issuer Corporate Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date out of the Collections. Amounts standing to the credit of the Issuer Expenses Account shall be used to cover the out of pocket expenses of the Issuer incurred in the framework of the Securitisation, other than corporate costs and expenses. In addition certain amounts may be debited and credited to the Issuer Expenses Account on or about the Issue Date such as the proceeds from the issuance of the Notes, the Cash Reserve Amount, the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement, the Initial Purchase Price and certain initial costs of the Securitisation (including without limitation the selling, management and underwriting commissions due by the Issuer to the Lead Manager).

A Euro-denominated account has been established in the name of the Issuer (the “**Issuer Payment Account**”), which will be held with the Account Bank and to which all sums (other than the Collections) collected or received by the Issuer under any Transaction Document to which the Issuer is party, and which is not to be credited on a different Issuer Account in accordance with the provisions of the Transaction Documents, will be credited from time to time and out of which all amounts to be paid to the Noteholders will be paid as directed by the Paying Agent and all other payments will be made on any Payment Date in accordance with the applicable Order of Priority.

A Euro denominated account has been established in the name of the Issuer (the “**Issuer Initial Amortisation Account**”), which will be held with the Account Bank to which will be credited on each Payment Date preceding the Initial Amortisation Date, the amount under item (vii) of the Pre-Enforcement Order of Priority and upon delivery of a Trigger Notice, the amounts under items (v) and (xiii) of the Post-Enforcement Order of Priority.

A Euro-denominated account has been established in the name of the Issuer (the “**Issuer Investment Account**”), which will be held with the Account Bank to which all amounts credited to the Issuer Collection Account will be transferred on the same date.

A securities account has been established in the name of the Issuer (the “**Issuer Securities Account**”), which will be held with the Account Bank and into which all the securities constituting Eligible Investments will be deposited from time to time and pledged in accordance with the provisions of the Intercreditor Agreement and the Deed of Pledge.

The Issuer Payment Account together with the Issuer Collection Account, the Issuer Corporate Account, the Issuer Expenses Account, the Issuer Securities Account, the Issuer Initial Amortisation Account and the Issuer Investment Account are referred to as the “**Issuer Accounts**”.

The Issuer Quota Capital Account was opened in the name of the Issuer with the Account Bank in the framework of the First Existing Securitisation and is held and operated in accordance with the provisions of the First Existing Cash Allocation, Management and Payments Agreement and the First Existing Intercreditor Agreement and/or the Second Existing Cash Allocation, Management and Payments Agreement and the Second Existing Intercreditor Agreement (as the case may be), while the First Existing Notes and/or the Second Existing Notes (as the case may be) are outstanding and, thereafter, in accordance with the provisions of the Cash Allocation, Management and Payments Agreement and the Intercreditor Agreement. In particular, in accordance with the provisions thereof, the bank with which the Issuer Quota Capital Account is held shall be (i) an eligible institution as set out by the First Existing Master Definitions Agreement (i.e., *inter alia*, a bank which rating is consistent with the rating from time to time of the First Existing Senior Notes) and (ii) selected by the Issuer or the representative of the noteholders appointed in the framework of the First Existing Securitisation. The Account Bank has undertaken and agreed to hold the Issuer Quota Capital Account in accordance with the provisions of the Cash Allocation, Management and Payments Agreement and the Intercreditor Agreement in the event the Existing Notes are redeemed in full or cancelled while the Notes are outstanding.

These Conditions include summaries of, and are subject to, the detailed provisions of the Transfer Agreement, the Servicing Agreement, the Administrative Services Agreement, the Intercreditor Agreement, the Cash Allocation, Management and Payments Agreement, the Agency Agreement, the Stichting Corporate Servicing Agreement, the Deed of Pledge, the Deed of Charge, the Master Definitions Agreement, the Mandate Agreement, the Swap Agreement, the Subscription Agreements, the Subordinated Loan Agreement, the Quotaholders’ Agreement, the Rules of Organisation of Noteholders (attached hereto as Exhibit 1) (and together with these Conditions, the “**Transaction Documents**”).

Copies of the Transaction Documents are available for inspection during normal business hours by the Noteholders at the office for the time being of the Representative of the Noteholders, being, as at the Issue Date, KPMG and at the registered office of the Luxembourg Agent, being, as at the Issue Date, Sanpaolo Bank.

The Noteholders are entitled to the benefit of, are bound by, and are deemed to have notice of, all the provisions of the Transaction Documents.

The rights and powers of the Noteholders may only be exercised in accordance with the rules of organisation of the association of the Noteholders created on the Issue Date (respectively, the “**Rules of Organisation of Noteholders**” and the “**Organisation of Noteholders**”) which are deemed to form part of these Conditions.

1. FORM, DENOMINATION AND TITLE

- 1.1 The Recitals hereof and the exhibits hereto constitute an integral and essential part of these Conditions and shall have the force of and take effect as covenants.
- 1.2 The Notes are issued in bearer form and will be held in dematerialised form and will be wholly and exclusively deposited with Monte Titoli in accordance with article 28 of Italian Legislative Decree no. 213 of 24 June 1998, through the authorised institutions listed in article 30 of such Legislative Decree.
- 1.3 The Notes will be held by Monte Titoli on behalf of the Noteholders until redemption for the account of the relevant Monte Titoli Account Holder. The expression “**Monte Titoli Account Holder**” means any authorised financial intermediary institution entitled to hold accounts on behalf of its customers with Monte Titoli and includes any depository bank appointed by Clearstream and Euroclear. Title to the Notes will be evidenced by one or more book entries in accordance with the provisions of (i) article 28 of Italian Legislative Decree No. 213 of 24 June 1998 and (ii) the regulation issued on 22 February 2008 by the Bank of Italy together with the *Commissione Nazionale per le Società e la Borsa* (“**CONSOB**”).
- 1.4 The Notes will be issued in denominations of Euro 50,000 (and integral multiples of Euro 1,000 in excess thereof) each and no physical document of title will be issued in respect thereof.
- 1.5 The Rules of Organisation of Noteholders shall constitute an integral and essential part of the Conditions. The Noteholders may inspect a copy of the Rules of Organisation of Noteholders upon request at the registered office of the Issuer and at the registered office of each the Representative of the Noteholders and the Luxembourg Agent.
- 1.6 Each Note has the benefit of the Deed of Pledge and the Deed of Charge.

2. STATUS, PRIORITY AND SEGREGATION

- 2.1 The Notes constitute secured limited recourse obligations of the Issuer and, accordingly, the extent of the obligation of the Issuer to make payments under the Notes is limited to the amounts received or recovered by the Issuer in respect of the Portfolio and the other Issuer's Rights (as defined below). The Noteholders acknowledge that the limited recourse nature of the Notes produces the effects of a "*contratto aleatorio*" under Italian law and are deemed to accept the consequences thereof, including but not limited to the provisions under article 1469 of Italian Civil Code. The Notes are secured over certain assets of the Issuer pursuant to the Deed of Pledge and the Deed of Charge. In addition, by operation of the Italian law, the Issuer's rights, title and interest in and to the Portfolio are segregated from all other assets of the Issuer; by operation of the Italian law and of the Transaction Documents, subject to the provisions of the Intercreditor Agreement and of the applicable Order of

Priority, amounts deriving from the Portfolio will only be available both prior to and following the winding-up of the Issuer to satisfy the obligations of the Issuer to the Noteholders, the Other Issuer Creditors and any third party creditors in respect of costs, fees and expenses incurred by the Issuer to such third party creditors in relation to the Securitisation.

- 2.2 The Senior Notes will rank *pari passu* and without any preference or priority among themselves.
- 2.3 Prior to the occurrence of a Trigger Event (as defined in Condition 10), in respect of the obligation of the Issuer to pay interest on the Senior Notes, the Class A Noteholders will be entitled to receive payment of interest in priority to the payment of interest to the Class B Noteholders. The Class B Noteholders will not be entitled to receive payment of interest unless and until all interest amounts then due to the Class A Noteholders have been paid in full.
- 2.4 Prior to the occurrence of a Trigger Event, in respect of the obligation of the Issuer to pay principal on the Senior Notes, the Class A Noteholders will be entitled to receive payment of principal in priority to payment of principal to the Class B Noteholders. The Class B Noteholders will not be entitled to receive any payment of principal unless and until the Class A Notes have been redeemed in full.
- 2.5 Following the occurrence of a Trigger Event, in respect of the obligation of the Issuer to pay interest and principal on the Senior Notes, the Class A Notes will rank *pari passu* and without any preference or priority among themselves but in priority to the Class B Notes and the Class B Notes will rank *pari passu* and without any preference or priority among themselves, but will be subordinated to the Class A Notes.
- 2.6 If a Trigger Event occurs, as long as the Class A Notes are outstanding, unless notice has been given to the Issuer declaring the Class A Notes due and payable, the Class B Notes shall not be capable of being declared due and payable and the Class A Noteholders shall be entitled to determine the remedies to be exercised.
- 2.7 The Intercreditor Agreement contains provisions regarding the protection of the respective interests of all Noteholders in connection with the exercise of the powers, authorities, rights, duties and discretions of the Representative of the Noteholders under or in relation to the Notes or any of the Transaction Documents. If, however, in the opinion of the Representative of the Noteholders, there is a conflict between the interests of the Class A Noteholders, and the interests of the Class B Noteholders, the Representative of the Noteholders shall have regard only to the interests of the holders of the Class A Notes.
- 2.8 In these Conditions:

“**Issuer’s Rights**” mean the Issuer’s rights under the Transaction Documents.

“**Most Senior Class of Notes**” means, on each Payment Date, the Senior Notes or, further to redemption in full thereof, the Junior Notes.

3. COVENANTS

For so long as any amount remains outstanding in respect of the Notes, the Issuer shall not, save with the prior written consent of the Representative of the Noteholders or as provided in or contemplated by any of the Transaction Documents:

3.1 *Negative pledge*

without prejudice to the Security Interest created in the framework of the Existing Securitisations, create or permit to subsist any Security Interest whatsoever over the Portfolio or any part thereof or over any of its other assets or sell, lend, part with or otherwise dispose of all or any part of the Portfolio; or

3.2 *Restrictions on activities*

- (i) save as provided for in Condition 3.14 (*Further Securitisations*) and except for the activity carried out in the framework of the Existing Securitisations, engage in any activity whatsoever which is not incidental to or necessary in connection with any of the activities in which the Transaction Documents provide or envisage that the Issuer will engage; or
- (ii) have any subsidiary (*società controllata*) or affiliate company (*società collegata*), each as defined in article 2359 of the Italian Civil Code, any branch, subsidiary or establishment or any employees or premises; or
- (iii) at any time approve or agree or consent to any act or thing whatsoever which may be materially prejudicial to the interests of the Noteholders under the Transaction Documents and shall not do, or permit to be done, any act or thing in relation thereto which may be materially prejudicial to the interests of the Noteholders under the Transaction Documents; or
- (iv) become the owner of any real estate asset, including in the context of any foreclosure proceedings; or

3.3 *Dividends or Distributions*

pay any dividend or make any other distribution or return or repay any equity capital to its quotaholders, or issue any further *quota*; or

3.4 *Borrowings*

save as provided for in Condition 3.14 (*Further Securitisations*) below, incur any indebtedness in respect of borrowed money whatsoever or give any guarantee in respect of indebtedness or of any obligation of any person, save as provided by (i) the Transaction Documents or (ii) the documents entered into in the framework of the Existing Securitisations, provided that the obligations arising from such indebtedness or guarantee are limited recourse obligations with regards to amounts available to the Issuer in the framework of the Existing Securitisations; or

3.5 *Merger*

consolidate or merge with any other person or convey or transfer its properties or assets substantially or entirely to any other person; or

3.6 *No variation or waiver*

- (i) permit any of the Transaction Documents to which it is party (a) to be amended, terminated or discharged if such amendment, termination or discharge may negatively affect the interests of the Noteholders or any of the Other Issuer Creditors, or (b) to become invalid or ineffective (including as regard to the Security Interests created thereby); or
- (ii) exercise any powers of consent or waiver pursuant to the terms of any of the other Transaction Documents to which it is a party in a way which may negatively affect the interests of the Noteholders or any of the Other Issuer Creditors; or
- (iii) permit any party to any of the Transaction Documents to which it is a party to be released from its obligations thereunder if such release may negatively affect the interest of the Noteholders or any of the Other Issuer Creditors; or

3.7 *Bank Accounts*

have an interest in any bank account other than the Issuer Accounts except for the bank accounts opened in the name of the Issuer in the framework of the Existing Securitisations; or

3.8 *Statutory Documents*

amend, supplement or otherwise modify its by-laws (*statuto*) except where such amendment, supplement or modification is required by compulsory provision of Italian law, by the competent regulatory authorities or by an order, binding upon the Issuer, issued by a judicial authority; or

3.9 *Corporate Records, Financial Statements and Books of Account*

cease to maintain corporate records, financial statements and books of account separate from those of the Originator, the Servicer and of any other person or entity; or

3.10 *Compliance with corporate formalities*

cease to comply with all necessary corporate formalities; or

3.11 *Guarantee*

provide any guarantee or become obligated for the debts of any other entity or hold out its credit as being available to satisfy the obligations of others; or

3.12 *Centre of main interest - No branch outside the Republic of Italy*

move its “centre of main interest” (within the meaning of European Council Regulation (EC) No. 1346/2000 on insolvency proceedings) outside the Republic of Italy or open any “centre of main interest”, branch, office or establishment (as the latter term is defined in article 2(h) of European Council Regulation (EC) No. 1346/2000) outside the Republic of Italy; or

3.13 *De-registration*

ask for its de-registration from the general register kept by the Bank of Italy under article 106 of the Consolidated Banking Act or from any other register on which it may from time to time have been registered pursuant to future legislation requesting such registration, for as long as the Securitisation Law, the Consolidated Banking Act or any other applicable law or regulation requires the issuer of notes issued under the Securitisation Law or companies incorporated pursuant to the Securitisation Law to be registered therewith; or

3.14 *Further Securitisations*

carry out other securitisation transactions or, without limiting the generality of the foregoing, implement, enter into, make or execute any document, act, deed or agreement in connection with any other securitisation transaction, in circumstances where the Rating Agency’s prior confirmation that any such securitisation transaction will not adversely affect the rating of any of the Senior Notes has not been obtained.

In these Conditions:

“**Fitch**” means Fitch Ratings Limited.

“**Rating Agency**” means Fitch.

“**Security Interest**” means any mortgage, charge, pledge, lien, right of set-off, special privilege (*privilegio speciale*), assignment by way of security, retention of title or any other

security interest whatsoever or any other agreement or arrangement having the effect of conferring security.

4 ORDER OF PRIORITY

4.1 Prior to the service of a Trigger Notice, the Issuer Available Funds shall be applied on each Payment Date in making the following payments and provisions, in the following order of priority (in each case, only if and to the extent that payments of a higher priority have been made in full) (the “**Pre-Enforcement Order of Priority**”):

- (i) *first*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, any and all taxes due and payable by the Issuer, to the extent that such sums are not met by utilising the amount standing to the credit of the Issuer Corporate Account;
- (ii) *second*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) all due and payable administrative costs and expenses incurred by the Issuer other than those payable to parties to the Intercreditor Agreement, to the extent that such costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account, as the case may be; (b) any other fees, costs, payments and expenses required to be paid in order to preserve the corporate existence of the Issuer, maintain it in good standing and comply with applicable legislation, including, without limitation, any compensation owed to directors, officers, employees and consultants, or in connection with any listing or deposit of the Notes or any notice to be given to the Noteholders or to other parties to the Transaction Documents; in each case to the extent such fees, costs and expenses are not met by utilising the amounts standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account; (c) on the Payment Date falling in April of each year, to credit the Issuer Retention Amount into the Issuer Corporate Account and (d) on the Payment Date falling in April of each year, to credit the Issuer Disbursement Amount into the Issuer Expenses Account;
- (iii) *third*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) the fees, costs and expenses of, and all other amounts due and payable to, the Representative of the Noteholders and, if applicable, the Security Trustee, (b) the fees, costs and expenses of, and all other amounts due and payable to, the Cash Manager, the Calculation Agent, the Paying Agent, the Account Bank, the Luxembourg Agent, the Administrative Services Providers, the Foundation Corporate Servicer, the Servicer and the Special Servicers;
- (iv) *fourth*, to pay to the Swap Counterparty any amounts due and payable under the Swap Agreement excluding any termination payments resulting from a termination event caused by the Swap Counterparty under the Swap Agreement;

- (v) *fifth*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, interest due and payable in respect of the Class A on such Payment Date;
- (vi) *sixth*, provided that the Principal Outstanding Amount of the Senior Notes is higher than the Cash Reserve Amount and/or that the Senior Notes will be outstanding after such Payment Date, to credit the Issuer Payment Account with the Cash Reserve Amount;
- (vii) *seventh*, prior to the Initial Amortisation Date, to pay to the Issuer Initial Amortisation Account an amount up to the Target Amortisation Amount calculated in respect of such Payment Date;
- (viii) *eighth*, on or after the Initial Amortisation Date, in or towards satisfaction, *pari passu* and *pro rata*, of the Principal Outstanding Amount of the Class A Notes, in an overall amount equal to the Class A Principal Payment Amount with respect to such Payment Date;
- (ix) *ninth*, in or towards satisfaction of any claims of the Lead Manager under the Senior Notes Subscription Agreement and thereafter to pay to the Swap Counterparty all the remaining payments then due and payable under the Swap Agreement;
- (x) *tenth*, in or towards satisfaction of any amount due and payable to the Originator in respect of any Price Adjustment to be paid under the Transfer Agreement;
- (xi) *eleventh*, to pay interest due and payable pursuant to the terms of the Subordinated Loan Agreement;
- (xii) *twelfth*, to pay the Base Interest due and payable in respect of the Class B Notes on such Payment Date;
- (xiii) *thirteenth*, provided that the Senior Notes have been redeemed in full, in or towards satisfaction, *pari passu* and *pro rata*, of interest (if any) and principal due and payable on any limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement;
- (xiv) *fourteenth*, provided that the Class A Notes have been redeemed in full, in or towards repayment of principal under the Subordinated Loan, pursuant to the terms of the Subordinated Loan Agreement;
- (xv) *fifteenth*, to pay any Additional Return due and payable in respect of the Class B Notes on such Payment Date and any Additional Return in respect of the Class B Notes outstanding from any preceding Payment Date;
- (xvi) *sixteenth*, provided that the Class A Notes have been redeemed in full, in or towards satisfaction, *pari passu* and *pro rata*, of the Principal Outstanding Amount of the Class B Notes;

- (xvii) *seventeenth*, to pay any surplus into the Issuer Investment Account and, on the Payment Date when all the Notes have been redeemed in full, in and towards satisfaction of the Deferred Purchase Price, pursuant to the terms of the Transfer Agreement and thereafter in or towards satisfaction of any claims of Intesa Sanpaolo under the Subscription Agreements; and
- (xviii) *eighteenth*, on the Payment Date when all the Notes have been redeemed in full and the Deferred Purchase Price has been paid in full, to pay any surplus to the Issuer,

PROVIDED HOWEVER that, if at any time a payment is proposed to be made to any of the Other Issuer Creditors in accordance with the Pre-Enforcement Order of Priority and such Other Issuer Creditor is in default under any of its obligations to make a payment under any of the Transaction Documents to which it is a party, the amount of the payment which may be made to that Other Issuer Creditor shall be reduced by an amount equal to the amount of such defaulted payment. Any amount so withheld shall not be available for any other purpose and shall be paid to that Other Issuer Creditor as and when (and *pro rata* to the extent that) the defaulted payment is duly made by it and with the same priority as if such amount had been paid when originally due, and further provided that the Representative of the Noteholders shall be entitled, and is hereby authorised, to call for (and to accept as conclusive evidence thereof) a certificate from the auditors of the Issuer as to the amounts of the claims of any of the relevant parties.

4.2 After the service of a Trigger Notice following the occurrence of a Trigger Event, the Issuer Available Funds shall be applied on each Payment Date in making the following payments and provisions in the following order of priority (in each case, only if and to the extent that payments of a higher priority have been made in full) (the “**Post-Enforcement Order of Priority**”):

- (i) *first*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, upon the occurrence of a Trigger Event as set forth in Condition 10(d) (*Insolvency*), any mandatory expenses relating to the insolvency proceedings in accordance with Italian bankruptcy law and thereafter, or upon the occurrence of any other Trigger Event, any and all taxes due and payable by the Issuer, to the extent that such sums are not met by utilising the amount standing to the credit of the Issuer Corporate Account;
- (ii) *second*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) all due and payable administrative costs and expenses incurred by the Issuer other than those payable to parties to the Intercreditor Agreement, to the extent that such costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account, as the case may be; (b) any other fees, costs, payments and expenses required to be paid in order to preserve the corporate existence of the Issuer, maintain it in good standing and comply with

applicable legislation, including, without limitation, any compensation owed to directors, officers, employees and consultants, or in connection with any listing or deposit of the Notes or any notice to be given to the Noteholders or to other parties to the Transaction Documents; in each case to the extent such fees, costs and expenses are not met by utilising the amount standing to the credit of the Issuer Corporate Account or the Issuer Expenses Account; (c) on the Payment Date falling in April of each year, if any, to credit the Issuer Retention Amount into the Issuer Corporate Account, and (d) on the Payment Date falling in April of each year, if any, to credit the Issuer Disbursement Amount into the Issuer Expenses Account;

- (iii) *third*, to pay, *pari passu* and *pro rata* according to the respective amounts thereof, (a) the fees, costs and expenses of, and all other amounts due and payable to, the Representative of the Noteholders and the Security Trustee, (b) the fees, costs and expenses of, and all other amounts due and payable to, the Cash Manager, the Calculation Agent, the Paying Agent, the Account Bank, the Luxembourg Agent, the Administrative Services Providers, the Foundation Corporate Servicer, the Servicer and the Special Servicers;
- (iv) *fourth*, to pay to the Swap Counterparty any amounts due and payable under the Swap Agreement excluding any termination payments resulting from a termination event caused by the Swap Counterparty under the Swap Agreement;
- (v) *fifth*, in or towards satisfaction, *pari passu* and *pro rata* according to the respective amounts thereof, of the Principal Outstanding Amount and any interest due and payable and unpaid in respect of the Class A Notes, provided that any Issuer Available Funds available for the payment of the Principal Outstanding Amount of the Class A Notes on each Payment Date prior to the Initial Amortisation Date shall be credited to the Issuer Initial Amortisation Account and will become part of the Issuer Available Funds on the Initial Amortisation Date; and, provided that the Senior Notes have been redeemed in full, thereafter
- (vi) *sixth*, in or towards satisfaction of any claims of the Lead Manager under the Senior Notes Subscription Agreement and thereafter to pay to the Swap Counterparty all the remaining payments then due and payable under the Swap Agreement;
- (vii) *seventh*, in or towards satisfaction of any amount due and payable to the Originator in respect of any Price Adjustment to be paid under the Transfer Agreement;
- (viii) *eighth*, to pay interest due and payable in respect of the Subordinated Loan pursuant to the terms of the Subordinated Loan Agreement;
- (ix) *ninth*, to pay the Base Interest due and payable in respect of the Class B Notes on such Payment Date;

- (x) *tenth*, in or towards satisfaction, *pari passu* and *pro rata*, of interest (if any) and principal due and payable on any limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement;
- (xi) *eleventh*, in or towards satisfaction of the principal due and payable on the Subordinated Loan, pursuant to the terms of the Subordinated Loan Agreement;
- (xii) *twelfth*, to pay any Additional Return due and payable in respect of the Class B Note on such Payment Date and any Additional Return in respect of the Class B Notes outstanding from any preceding Payment Date;
- (xiii) *thirteenth*, in or towards satisfaction, *pari passu* and *pro rata* according to the respective amounts thereof, of the Principal Outstanding Amount due and payable and unpaid in respect of the Class B Notes provided that any Issuer Available Funds available for the payment of the Principal Outstanding Amount of the Class B Notes on each Payment Date prior to the Initial Amortisation Date shall be credited to the Issuer Initial Amortisation Account and will become part of the Issuer Available Funds on the Initial Amortisation Date;
- (xiv) *fourteenth*, to pay any surplus into the Issuer Investment Account and, on the Payment Date when all the Notes have been redeemed in full, in and towards satisfaction of the Deferred Purchase Price, pursuant to the terms of the Transfer Agreement and thereafter in or towards satisfaction of any claims of Intesa Sanpaolo under the Subscription Agreements; and
- (xv) *fifteenth*, on the Payment Date when all the Notes have been redeemed in full and the Deferred Purchase Price has been paid in full, to pay any surplus to the Issuer,

PROVIDED HOWEVER that, if at any time a payment is proposed to be made to any of the Other Issuer Creditors in accordance with the Post-Enforcement Order of Priority and such Other Issuer Creditor is in default under any of its obligations to make a payment under any of the Transaction Documents to which it is a party, the amount of the payment which may be made to that Other Issuer Creditor shall be reduced by an amount equal to the amount of such defaulted payment. Any amount so withheld shall not be available for any other purpose and shall be paid to that Other Issuer Creditor as and when (and *pro rata* to the extent that) the defaulted payment is duly made by it and with the same priority as if such amount had been paid when originally due, and further provided that the Representative of the Noteholders shall be entitled, and is hereby authorised, to call for (and to accept as conclusive evidence thereof) a certificate from the auditors or, if applicable, the liquidator (if any) of the Issuer as to the amounts of the claims of any of the relevant parties.

4.3 In these Conditions:

“**Additional Amount**” means the aggregate of:

- a) an amount equal to (x) the Individual Initial Purchase Price (net of the interest component thereof) *less* (y) the aggregate repayments of principal of each Claim repaid to the Issuer by the Originator pursuant to Clause 6.1 (ii) of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date, *plus* (z) the amount due to the Issuer by the Originator as interest on the principal amounts to be paid thereby pursuant to Clause 6.1 (ii) of the Transfer Agreement;
- b) an amount equal to the Individual Initial Purchase Price of each Claim (net of the interest component thereof) in respect of which the Originator has granted to the Issuer a Limited Recourse Loan, in addition to interest thereon due pursuant to Clause 11.5 of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date; and
- c) the amount credited by Intesa Sanpaolo to the Issuer pursuant to Clause 11.3 of the Servicing Agreement during the Collection Period immediately preceding such Calculation Date.

“**Additional Return**” means, in relation to each Payment Date, an amount (if positive) equal to:

- a) all interest (including default interest) accrued in respect of the Portfolio during the Collection Period immediately preceding such Payment Date; *plus*
- b) any other amount (other than the Principal Instalments) deriving from the Mortgage Loan Agreements (including but not limited to, penalties for prepayment, if any) received during the Collection Period immediately preceding such Payment Date; *plus*
- c) interest (if any) accrued on and credited to the Issuer Accounts in the Collection Period immediately preceding such Payment Date; *plus*
- d) any profit (including any capital gain) generated by, or interest accrued on, the Eligible Investments made during the Collection Period immediately preceding such Payment Date; *plus*
- e) all amounts paid to the Issuer on the Swap Payment Date immediately preceding such Payment Date under the terms of the Swap Agreement; *plus*
- f) provided that the Class A Notes have been redeemed in full, on the Payment Date at which the last payments are made in accordance with the applicable Order of Priority, all amounts standing to the credit of the Issuer Expenses Account and the Issuer Corporate Account (including, for the avoidance of doubt, amounts to be credited thereto on such Payment Date in accordance with paragraph g) below), net of the reasonably foreseen taxes, fees costs and expenses due to be incurred in

connection with (i) the Securitisation and/or (ii) the corporate existence of the Issuer to the extent that no other securitisation transactions carried out thereby are existing and/or (iii) its liquidation immediately after the end of the Securitisation to the extent that no other securitisation transactions carried out thereby are existing; *less*

- g) the aggregate amount of items (i) to (xiv) (but excluding items (vi), (vii) and (viii)) of the Pre-Enforcement Order of Priority or, as the case may be, items (i) to (xi) of the Post-Enforcement Order of Priority less the principal payments on the Notes.

“Arrears Ratio” means, at the end of each month, in relation to each Mortgage Loan, the ratio between (a) all amounts due and unpaid as principal and interest instalments (excluding default interest) in respect of such Mortgage Loan, and (b) the amount of the last instalment of such Mortgage Loan which has become payable on or prior to the relevant month-end.

“Borrower” means any person having entered into a Mortgage Loan Agreement and any successor thereto.

“Business Day” shall mean a day on which banks are generally open for business in Milan, London and Luxembourg and on which the Trans-European Automated Real-Time Gross-Settlement Express Transfer System (TARGET 2) (or any successor thereof) is open.

“Calculation Date” means 23 April and 23 October in each year or, if any such day is not a Business Day, the following Business Day.

“Cash Reserve Amount” means the amount of Euro 75,000,000.

“Claims” means each and every right arising under the Mortgages Loans and the Mortgage Loan Agreements, including but not limited to:

- a) all rights as of the Effective Date;
- b) all rights in relation to interest (including default interest) accrued on the Mortgage Loans up to the Effective Date, but not due and interest due but not paid at such date;
- c) all rights in relation to interest (including default interest) which will accrue on the Mortgage Loans as from the Effective Date;
- d) all rights which have accrued as at the Effective Date and will accrue as from the Effective Date, in relation to any fees, penalties, damages, indemnifications and any other amounts in relation to the early termination of the Mortgage Loans (including the Prepayment); and

- e) all rights, which have accrued as at the Effective Date (excluded) and will accrue as from the Effective Date, in relation to the reimbursement of expenses, and in relation to any losses, costs, indemnities and damages, as well as any other amount due to Intesa Sanpaolo in relation to the Mortgage Loans, the Mortgages, the Collateral Security and any insurance thereto related, including the rights in relation to the reimbursement of legal, judicial and other possible expenses incurred in connection with the collection and recovery of all amounts due in relation to the foregoing,

all the above together with the Mortgages, the Collateral Security, with the exception of the guarantees securing both the Mortgage Loans and all other Intesa Sanpaolo debt claim (*fideiussioni omnibus*) and all privileges and priority rights securing such rights, and all other ancillary rights (*accessori*) pertaining thereto, as well as any all other rights, claims and actions (including any action for damages), substantial and procedural action and defence inherent or otherwise ancillary to such rights, claims and actions and to the exercise thereof in accordance with the provisions of the Mortgage Loan Agreements and all other documents and agreements connected to them and/or pursuant to the applicable law, including, but not limited to, the right to accelerate the obligations of the Debtors (*diritto di dichiarare i debitori decaduti dal beneficio del termine*), as well as any credit rights of Intesa Sanpaolo and any inherent and ancillary rights in relation to any and all the insurance policies taken out in connection with the Claims, the Mortgage Loan Agreements and the Real Estate Assets (including, without limitation, policies covering the risk of damage, loss or destruction of any Real Estate Asset or any charged asset to secure the repayment of any amount due thereunder or covering the risk of death, of inability to work, or inability of the Debtors and the Mortgage Insurance Policies).

“Class A Principal Payment Amount” means, with respect to each Calculation Date, the lesser of: (a) the Target Amortisation Amount (or, if lower, the amount available after the application of the Issuer Available Funds, on the immediately following Payment Date, to all items of ranking prior to the payment of principal on the Class A Notes in the applicable Order of Priority) and (b) the Principal Outstanding Amount of the Class A Notes on such Calculation Date.

“Collateral Security” means any guarantee and/or security interest (other than a Mortgage), in force as of the Effective Date in order to guarantee or secure the payment of any Claim. The Collateral Security does not include any guarantees securing both the Mortgage Loans and all other Intesa Sanpaolo debt Claims (*fideiussioni omnibus*).

“Collection Date” means 31 March and 30 September in each year.

“Collection Period” means each six month period commencing on (but excluding) a Collection Date and ending on (and including) the next succeeding Collection Date, provided that:

- (i) for the purpose of determining the Collections received by the Issuer through the Servicer during a Collection Period (the **“Pertaining Collections”**),
 - (A) Collections credited to the Issuer Collection Account after the end of such Collection Period and paid with a value date falling within such Collection Period will be included; and
 - (B) Collections considered as pertaining to the previous Collection Period in accordance with the rule set out by paragraph (i) (A) above will be excluded; and
- (ii) following the delivery of a Trigger Notice, references to the Collection Period shall be deemed to refer to the relevant period on the basis of which the Calculation Agent has, in the Payments Reports, calculated the Issuer Available Funds.

The first Collection Period shall commence on (and including) the Effective Date, the first and the last Collection Periods may be shorter or longer than six months.

“Collections” means any amounts from time to time collected and/or recovered by the Issuer in respect of the Claims as principal, interest and/or expenses, including the Prepayments, and any repayment of damages, by means of the activity of the Servicer and the Special Servicers pursuant to the Servicing Agreement.

“Criteria” means the criteria, which each transferred Claim must satisfy, as specified in Exhibit A of the Transfer Agreement.

“Debtor” means any person, entity or subject, including any Mortgagor or Guarantor, who is liable for the payment of amounts due in respect of a Claim.

“Decree 239 Deduction” means any withholding or deduction for or on an account of *“imposta sostitutiva”* under Italian Legislative Decree No. 239 of 1 April 1996, as amended by Italian Law No. 409 of 23 November 2001.

“Defaulted Loan” means a Mortgage Loan (a) which at any time has been classified by the Servicer as *“in sofferenza”* in accordance with the provisions of the Bank of Italy and/or (b) has, or has at any time had, an Arrears Ratio equal to or greater than (i) 10 in the case of a Mortgage Loan payable on a monthly basis, (ii) 4 in the case of a Mortgage Loan payable on a quarterly basis and (iii) 2 in the case of a Mortgage Loans payable on a semi-annual basis.

“**Deferred Purchase Price**” means an amount equal to the amount resulting from the liquidation of the Residual Assets.

“**Effective Date**” means the date of the economic effects of the transfer of the Portfolio, it being 00:01 A.M. of 23 May 2009.

“**Eligible Institution**” means a depository institution organised under the laws of any state which is a member of the European Union or of the United States, the short-term unsecured and unsubordinated debt obligations of which are rated at least the Minimum Rating.

“**Eligible Investments**” means any senior, unsubordinated debt security, commercial paper, deposit or other debt instrument having at least the rating assigned by Fitch for the maturity (or the residual maturity, as applicable) of such investment set forth below:

Maturity	Rating
	Fitch
Between 30 calendar days and 6 months	AA- and F1+
Less than 30 calendar days	A and F1

or the different rating applicable by Fitch, in relation to the rating of the Senior Notes, *provided always that* (a) any such investment, paper, deposit or instrument has a maturity date falling on or before four Business Days preceding the immediately following Payment Date, (b) the investments provide a principal amount at maturity or upon liquidation of the investment which is not lower than the invested amount and (c) no such investment shall be made, in whole or in part, actually or potentially, in credit linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives or asset-backed securities.

“**English Law Documents**” means the Swap Agreement and the Deed of Charge.

“**Euribor**” means the Euro Interbank Offered Rate.

“**Existing Claims**” means, collectively, the First Existing Claims and the Second Existing Claims.

“**Existing Notes**” means, collectively, the First Existing Notes and the Second Existing Notes.

“**Existing Transaction Documents**” means, collectively, the documents entered into in the framework of the Existing Securitisations.

“Existing Securitisations” means, collectively, the First Existing Securitisation and the Second Existing Securitisation.

“First Existing Cash Allocation, Management, Payments Agreement” means the cash allocation, management, payments agreement entered into in the framework of the First Existing Securitisation.

“First Existing Claims” means the claims originated by (a) by Cariplo which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000; (b) by Banca Intesa S.p.A. which, following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (c) by the branches of Intesa Sanpaolo which before the above mentioned merger were branches of Banca Intesa S.p.A., and transferred to the Issuer pursuant to the terms of a transfer agreement entered into with Intesa Sanpaolo on 28 March 2008 (as subsequently amended), arising out of mortgage loans (*mutui fondiari*) classified as performing by Intesa Sanpaolo, for a nominal value (principal plus accrued interest) as at the close of business of the execution date equal to Euro 7,997,855,990.33.

“First Existing Intercreditor Agreement” means the intercreditor agreement entered into in the framework of the First Existing Securitisation.

“First Existing Master Definitions Agreement” means the master definitions agreement entered into in the framework of the First Existing Securitisation.

“First Existing Notes” means the Euro 7,557,950,000 Class A Residential Mortgage Backed Floating Rate Notes due December 2055 and the Euro 439,900,000 Class B Residential Mortgage Backed Floating Rate Notes due December 2055 issued by the Issuer in August 2008.

“First Existing Securitisation” the securitisation transaction carried out by the Issuer in August 2008 in the context of which it issued the First Existing Notes.

“First Existing Senior Notes” means the Euro 7,557,950,000 Class A Residential Mortgage Backed Floating Rate Notes due December 2055 issued by the Issuer in August 2008.

“Guarantor” means any person or entity, whether a Borrower or a Mortgagor or a third party, who granted a Collateral Security to secure the payment of any Claim.

“Individual Initial Purchase Price” means the initial purchase price of each of the Claims, as set out in Exhibit D to the Transfer Agreement.

“Initial Amortisation Date” means the Payment Date falling in April 2011.

“Initial Principal Amount of the Notes” means the principal amount of the Notes or each Class as at the Issue Date.

“Initial Principal Portfolio” means the principal outstanding amount of the Portfolio as at 00:01 A.M. of the 23 May 2009 (net of the claims that as at that date would have satisfied the Criteria but were not transferred to the Issuer, having been entirely prepaid prior to the opening of business of 25 May 2009).

“Initial Purchase Price” means the initial amount of Euro 5,860,077,110.80 which is due to be paid by the Issuer to Intesa Sanpaolo on the Issue Date as part of the purchase price for the Claims.

“Instalment” means, in respect of each Mortgage Loan, each monetary amount due from time to time by the relevant Borrower under such Mortgage Loan.

“Investors Report” means the investors report, in electronic format, prepared by the Calculation Agent pursuant to the Cash Allocation, Management and Payments Agreement.

“Investors Report Date” means 10 Business Days after each Payment Date.

“Issuer Accounts” means collectively the Issuer Payment Account together with the Issuer Collection Account, the Issuer Corporate Account, the Issuer Expenses Account, the Issuer Securities Account, the Issuer Initial Amortisation Account and the Issuer Investment Account.

“Issuer Available Funds” means, on each Payment Date, the aggregate of:

- (a) all the Collections received or recovered by the Issuer through the Servicer and the Special Servicers and all interest accrued and paid on such sums during the Collection Period immediately preceding such Payment Date;
- (b) on the Payment Date falling on the Initial Amortisation Date, any amount credited to the Issuer Initial Amortisation Account during the Collection Periods immediately preceding such Payment Date in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable;
- (c) all amounts due and payable to the Issuer by the Swap Counterparty pursuant to the terms of the Swap Agreement in relation to such Payment Date;
- (d) all amounts received from the Originator pursuant to the Transfer Agreement during the Collection Period immediately preceding such Payment Date;
- (e) any profit generated by the Eligible Investments and credited to the Issuer Payment Account by the fourth Business Day prior to such Payment Date;
- (f) any other interest accrued on the Issuer Accounts (as defined in the “*Glossary of Terms*”) during the Collection Period immediately preceding such Payment Date and

credited to the Issuer Payment Account by the third Business Day prior to such Payment Date;

- (g) all other amounts received by the Issuer under the Transaction Documents during the preceding Collection Period (except the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement);
- (h) any other amounts, not included in the foregoing items from (a) through (g) standing to the credit of the Issuer Investment Account, the Issuer Initial Amortisation Account (excluding, prior to the Initial Amortisation Date, any amount credited to such account in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable) and the Issuer Payment Account on the Collection Date immediately preceding the relevant Payment Date;
- (i) all amounts received from the sale of the Portfolio should such sale occur; and
- (j) following the delivery of a Trigger Notice, any proceeds from the enforcement of the Deed of Pledge and of the Deed of Charge,

without double counting.

“Issuer Disbursement Amount” means on each Payment Date falling in April of each year, the positive difference between (i) Euro 160,000 and (ii) the amount standing to the credit of the Issuer Expenses Account on the Collection Date immediately preceding such Payment Date.

“Issuer Retention Amount” means (a) on the first Payment Date an amount that shall not be lower than Euro 57,000 and shall not be higher than Euro 170,000, and (b) thereafter, on each Payment Date falling in April of each year, the difference between (i) an amount that shall not be lower than Euro 57,000 and shall not be higher than Euro 170,000 and (ii) the amount standing to the credit of the Issuer Corporate Account on the Collection Date immediately preceding such Payment Date, provided that the decision as to the actual amount applicable to each Payment Date - that shall be in any case within the above range - will be made and notified to the Calculation Agent by the Administrative Services Provider prior to the relevant Calculation Date.

“Issuer Secured Creditors” means the Noteholders and the Other Issuer Creditors.

“Lender” means, in respect of the Mortgage Loans, (a) Cariplo – *Cassa di Risparmio delle Provincie Lombarde S.p.A.* which was merged by incorporation in Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003) (**“Intesa”**) with effect as from 31 December 2000; (b) Banco Ambrosiano Veneto S.p.A. which was merged by incorporation in Intesa with effect as from 31

December 2000; (c) Banca Commerciale Italiana S.p.A. which was merged by incorporation in Intesa with effect as from 1 May 2001; (d) Intesa which, following the merger with Sanpaolo IMI S.p.A. (“**Sanpaolo IMI**”), changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007; (e) Istituto Bancario San Paolo di Torino S.p.A. which, following the merger with IMI - Istituto Mobiliare Italiano S.p.A., changed its name into Sanpaolo IMI with effect as from 1 November 1998; (f) Sanpaolo IMI, which following the merger with Intesa, changed its name into Intesa Sanpaolo with effect as from 1 January 2007; (g) Intesa Sanpaolo; (h) Banca di Legnano S.p.A., the claims originated thereby have been assigned and transferred *pro soluto* to Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003, now Intesa Sanpaolo) on 13 June 2002; (i) Banco di Napoli S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 31 December 2002; (j) Cassa dei Risparmi di Forlì S.p.A. (which has subsequently changed its name into Cassa dei Risparmi di Forlì e della Romagna S.p.A. as from 1 March 2007) through the branches which have been transferred to Intesa Sanpaolo - in the context of an assignment of ongoing concern - as from 1 October 2007; (k) Cassa di Risparmio di Padova e Rovigo S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 24 January 2005; (l) Cassa di Risparmio in Bologna S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 31 January 2005; (m) Banca Popolare dell’Adriatico S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 17 June 2006, as the originator of such Mortgage Loans, as applicable.

“**Limited Recourse Loan**” means a limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to clause 11.5 of the Transfer Agreement.

“**Mortgage Insurance Policies**” means the insurance policies underwritten by GE Mortgage Insurance Limited (subsequently renamed Genworth Financial Mortgage Insurance Limited), an insurance company, incorporated under the laws of England and Wales, whose registered office is at 80 Strand, London WC2R 0GR, United Kingdom, which is rated as insurance company AA- by Standard & Poor's, for the benefit of Intesa Sanpaolo or its assignors (and to which Intesa Sanpaolo has succeeded).

“**Mortgage Loan**” means a loan secured by a Mortgage, which may or may not qualify as “*mutuo fondiario*” (as the case may be) for the purposes of Italian law and regulations in force as at the Reference Dates, the Claims in respect of which have been transferred by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement.

“**Mortgagor**” means any person, whether a Borrower or a Guarantor or a third party, who has granted a Mortgage to secure the payment or repayment of any amounts payable in respect of a Mortgage Loan.

“Organisation of Noteholders” means the association of the Noteholders created on the Issue Date.

“Order of Priority” means each of the Pre-Enforcement Order of Priority and the Post-Enforcement Order of Priority, according to which the Issuer Available Funds shall be applied on each Payment Date, in accordance with the Conditions and the Intercreditor Agreement.

“Other Issuer Creditors” means the Originator, the Representative of the Noteholders, the Security Trustee, the Calculation Agent, the Administrative Services Providers, the Servicer, the Special Servicers, the Cash Manager, the Account Bank, the Paying Agent, the Luxembourg Agent, the Subordinated Loan Provider, the Quotaholders, the Foundation Corporate Servicer, the Foundation Sole Director, the Lead Manager and the Swap Counterparty.

“Outstanding Notes” means the aggregate Principal Outstanding Amount of the Class A Notes and the Class B Notes as at such Calculation Date.

“Outstanding Principal Portfolio” means, as at the end of a Collection Period, the principal outstanding amount of the Portfolio at such date, considering any Pertaining Collections.

“Payment Date” means the 29th day of April and October of each calendar year, starting from the 29th day of April 2010, and the 30th day of June 2065 (or, if any such day is not a Business Day, the next succeeding Business Day and provided that, following the delivery of a Trigger Notice upon the occurrence of a Trigger Event, the Payment Date may be any Business Day specified in the Trigger Notice or thereafter by the Representative of the Noteholders).

“Payments Report” means the payments report prepared by the Calculation Agent pursuant to the Cash Allocation, Management and Payments Agreement.

“Performing Outstanding Principal Portfolio” means, as at the end of a Collection Period, the principal outstanding amount of all the Mortgage Loans at such date which are not Defaulted Loans at such date, considering any Pertaining Collections.

“Pertaining Collections” has the meaning ascribed thereto in the definition of Collection Period.

“POPP” means the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding the relevant Calculation Date.

“Prepayment” means any prepayment of the principal amount outstanding in respect of a Mortgage Loan.

“Price Adjustment” means the amount to be paid by the Issuer to Intesa Sanpaolo as purchase price pursuant to clause 6.2 (ii) of the Transfer Agreement in respect of any Claims which met the Criteria but were erroneously not transferred to the Issuer on the Effective Date.

“Principal Instalment” means, with respect to each Mortgage Loan, the principal component of each Instalment.

“Principal Collections” means any amount of principal from time to time collected by the Issuer in respect of the Claims, including, for the avoidance of doubt, the Prepayments.

“Principal Outstanding Amount” means, with respect to the Notes or any Class on any date, the principal amount of the Notes or the relevant Class upon issue less the aggregate amount of all principal payments in respect of the Notes or any Class that have been made prior to such date.

“Purchase Price” means the amount which is equal to the sum of the Initial Purchase Price and the Deferred Purchase Price.

“Real Estate Assets” means the real estate properties which have been mortgaged in order to secure the Claims.

“Residual Assets” means any assets owned by the Issuer in the context of the Securitisation as at the date of repayment in full of the Notes and payment of all costs and charges and, in general, of all liabilities of the Issuer in the context of the Securitisation (including any liabilities arising from the Subordinated Loan) or provision thereof, with the exception of the payment of the Deferred Purchase Price.

“Rules of Organisation of Noteholders” means the rules governing the Organisation of Noteholders.

“Second Existing Claims” means the claims originated by (a) Cariplo - Cassa di Risparmio delle Provincie Lombarde S.p.A., which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000, (b) Banco Ambrosiano Veneto S.p.A., subsequently merged by incorporation with effect as from 31 December 2000 in Banca Intesa S.p.A., (c) Banca Commerciale Italiana S.p.A., subsequently merged by incorporation with effect as from 1 May 2001 in Banca Intesa S.p.A., (d) Banca Intesa S.p.A., which following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (e) the branches of Intesa Sanpaolo which before the above mentioned merger, were branches of Banca Intesa S.p.A., and transferred to the Issuer pursuant to the

terms of a transfer agreement entered into with Intesa Sanpaolo on 24 November 2008 (as subsequently amended), arising out of mortgage loans (*mutui fondiari*) classified as performing by Intesa Sanpaolo, for a nominal value (principal plus accrued interest) as at the close of business of the execution date equal to Euro 5,716,694,757.72.

“Second Existing Cash Allocation, Management, Payments Agreement” means the cash allocation, management, payments agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Intercreditor Agreement” means the intercreditor agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Master Definitions Agreement” means the master definitions agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Notes” means the Euro 5,281,150,000 Class A Mortgage Backed Floating Rate Notes due December 2058 and the Euro 397,500,000 Class B Mortgage Backed Floating Rate Notes due December 2058 issued by the Issuer in December 2008.

“Second Existing Securitisation” the securitisation transaction carried out by the Issuer in December 2008 in the context of which the Second Existing Notes were issued.

“Stock Exchange” means the Luxembourg Stock Exchange.

“Swap Payment Date” means the date on which a payment is due by the Swap Counterparty under the Swap Agreement, falling two Business Days’ before each Payment Date.

“Target Amortisation Amount” or **“TAA”** means, in relation to each Calculation Date, the Principal Outstanding Amount of the Notes at such Calculation Date less the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding such Calculation Date plus any Additional Amount transferred to the Issuer during the Collection Period immediately preceding such Calculation Date. The Target Amortisation Amount is therefore the positive amount to be calculated in accordance with the following formula:

$$\text{TAA} = \text{Outstanding Notes} - \text{POPP} + \text{Additional Amount}.$$

“Tremonti Bonds” means the debt instruments without voting rights qualifying as Core Tier 1 capital issued by listed Italian banks and parent companies of listed Italian banking groups, that can be converted into ordinary shares of the issuer upon its request, that the MEF can underwrite up to the 31st December 2009 pursuant to article 12 of Decree 185/2008.

4.4 *Cash Reserve Amount*

The Cash Reserve Amount will be financed at the Issue Date by Intesa Sanpaolo pursuant to the Subordinated Loan Agreement and, prior to the service of a Trigger Notice, will provide a liquidity support for payments of interest due to the Class A Noteholders, and other payments ranking prior thereto or *pari passu* therewith in the Pre-Enforcement Order of Priority, while the Senior Notes are outstanding. In light of its purpose, the Cash Reserve Amount will no longer be credited to the Issuer Payment Account starting from the Payment Date (included) at which the Senior Notes are expected to be redeemed in full or cancelled, i.e. the Payment Date at which the Principal Outstanding Amount of the Class A Notes prior to payments being made in accordance with the Pre-Enforcement Order of Priority is not higher than the Cash Reserve Amount and/or after which no Senior Notes will be outstanding.

4.5 *General Costs*

Taxes, administrative and corporate fees, costs and expenses and other general payment obligations of the Issuer, in each case to the extent that they are unrelated *per se* to any of the Existing Securitisations, the Securitisation or any other securitisation that the Issuer may carry out in the future (the “**General Costs**”) to be paid in accordance with items (i) and (ii) of the Orders of Priority or out of funds standing to the credit of the Issuer Corporate Account (and by the equivalent items and accounts in the other securitisation transactions carried out by the Issuer) shall be apportioned equally to each securitisation transaction carried out by the Issuer as existing from time to time, subject to timely availability of relevant funds and in compliance with the rules set out by the Cash Allocation, Management and Payment Agreement.

5. INTEREST

5.1 *Payment Dates, Interest Periods and Deferral of Interest*

The Notes will bear interest on their Principal Outstanding Amount from and including the Issue Date. Interest in respect of the Notes is payable in Euro on a semi-annual basis on each Payment Date in respect of the Interest Period (as defined below) ending immediately prior thereto. The first Payment Date is the one falling in April 2010. Interest in respect of any Interest Period or any other period will be calculated on the basis of the actual number of days elapsed and a 360 day year.

Interest shall cease to accrue on any part of the Principal Outstanding Amount of the Notes from (and including) the Final Maturity Date (as defined in Condition 6) unless payment of principal due and payable but unpaid is improperly withheld or refused, whereupon interest shall continue to accrue on such principal (as well after as before judgement) at the rate from time to time applicable to the Notes. If on any Payment Date, whilst the Class A Notes are outstanding and, therefore, the Class A Notes are the Most Senior Class of Notes, there is an amount payable as interest on the Class B Notes in respect of such Interest Period which is not paid on its due date and remains

unpaid, such amount will be deferred and not regarded as due on that Payment Date and will be aggregated with the amount of interest due (and treated as if it was due, subject to this Condition) in respect of the Class B Notes, on the next succeeding Payment Date.

5.2 *Rate of Interest*

The rate of interest payable from time to time in respect of the Senior Notes (the “**Rate of Interest**”) will be determined by the Calculation Agent on the Interest Determination Date.

The margin for the Senior Notes shall be:

0.7% per annum

(the “**Margin**”).

The Rate of Interest for each Interest Period shall be the aggregate of the Margin and:

- (a) the Euro Interbank Offered Rate for six month Euro deposits which appears on Euribor01 Reuter (the “**Screen Rate**”) or (aa) such other page as may replace Euribor01 Reuter on that service for the purpose of displaying such information or (bb) if that service ceases to display such information, such page as displays such information on such equivalent service (or, if more than one, that one which is approved by the Representative of the Noteholders) as may replace the Euribor01 Reuter at or about 11.00 A.M. (Brussels time) on the Interest Determination Date (as defined below); or
- (b) if the Screen Rate is unavailable at such time for six month Euro deposits, then the rate for any relevant period shall be the arithmetic mean (rounded to four decimal places with the mid-point rounded up) of the rates notified to the Calculation Agent at its request by each of the Reference Banks (as defined below) as the rate at which six month Euro deposits in a representative amount are offered by that Reference Bank to leading banks in the Euro-Zone Inter-bank market at or about 11.00 A.M. (Brussels time) on that date.
- (c) If on any such Interest Determination Date, the Screen Rate is unavailable and only two of the Reference Banks provide such offered quotations to the Calculation Agent the relevant rate shall be determined, as aforesaid, on the basis of the offered quotations of those Reference Banks providing such quotations.
- (d) If, on any Interest Determination Date, the Screen Rate is unavailable and only one of the Reference Banks provides the Calculation Agent with such an offered quotation, the Rate of Interest for the relevant Interest Period shall be the Rate of Interest in effect for the immediately preceding Interest Period which one of sub-paragraph (a) or (b) above shall have been applied to (the “**6 Month Euribor**”).

The Rate of Interest for the Initial Interest Period shall be the aggregate of the Margin and the rate per annum obtained by linear interpolation of 9 Month Euribor and 10 Month Euribor (each of them determined, *mutatis mutandis*, as provided in this Condition 5.2 (*Rate of Interest*) in respect of 6 Month Euribor; the “**9 Month Euribor**” and the “**10 Month Euribor**”, respectively), rounded to three decimal places with the mid-point rounded up. The Rate of Interest for the period starting on (and including) the Payment Date falling in April 2065 and ending on (and excluding) the Payment Date falling in June 2065 shall be the rate per annum obtained by linear interpolation of 2 Month Euribor and 3 Month Euribor (each of them determined, *mutatis mutandis*, as provided in this Condition 5.2 (*Rate of Interest*) in respect of 6 Month Euribor; the “**2 Month Euribor**” and the “**3 Month Euribor**”, respectively).

There shall be no maximum or minimum Rate of Interest.

5.3 Determination of Rates of Interest and Calculation of Interest Payments

The Calculation Agent shall, on each Interest Determination Date, determine:

- (i) the Rate of Interest applicable to the Interest Period beginning after such Interest Determination Date (or in the case of the Initial Interest Period, beginning on and including the Issue Date); and
- (ii) the Euro amount payable on the Senior Notes in respect of such Interest Period (the “**Interest Payment Amount**”). The Interest Payment Amount payable in respect of any Interest Period shall be calculated by applying the Rate of Interest to the Principal Outstanding Amount (as defined below) of the Class A Notes on the Payment Date (or, in the case of the Initial Interest Period, the Issue Date) on the commencement of such Interest Period (after deducting therefrom any payment of principal due and paid on that Payment Date), multiplying the product of such calculation by the actual number of days in the Interest Period and dividing by 360, and rounding the resultant figure to the nearest cent (half a cent being rounded up).

5.4 Publication of the Rate of Interest and the Interest Payment Amount

On each Interest Determination Date, the Calculation Agent shall determine and notify the Issuer, the Representative of the Noteholders, the Account Bank, the Paying Agent, the Cash Manager, the Servicer, Intesa Sanpaolo in its capacity as Administrative Services Provider, the Luxembourg Agent, Monte Titoli and the Stock Exchange of, and will instruct the Luxembourg Agent and the Paying Agent to publish, no later than the first day of the relevant Interest Period, in accordance with Condition 14 and any applicable laws and regulations: (i) the Rate of Interest applicable to the Interest Period beginning after such Interest Determination Date (or in the case of the Initial Interest Period, beginning on and including the Issue Date); and (ii) the Interest Payment Amount.

5.5 Determination or calculation by the Representative of the Noteholders

If the Calculation Agent or the Issuer, as the case may be, does not at any time for any reason determine the Rate of Interest and/or calculate the Interest Payment Amount in accordance with the foregoing provisions of this Condition 5, the Representative of the Noteholders as legal representative of the Organisation of Noteholders shall:

- i. determine the Rate of Interest at such rate as (having regard to the procedure described above) it shall consider fair and reasonable in all the circumstances; and/or
- ii. calculate the Interest Payment Amount in the manner specified in Condition 5.3 above,

and any such determination and/or calculation shall be deemed to have been made by the Calculation Agent.

5.6 Notifications to be final

All notifications, opinions, determinations, certificates, calculations, quotations and decisions given, expressed, made or obtained for the purposes of this Condition 5, whether by the Reference Banks (or any of them), the Calculation Agent, the Issuer or the Representative of the Noteholders shall (in the absence of wilful default, fraud, bad faith or manifest error) be binding on the Reference Banks, the Calculation Agent, the Issuer, the Representative of the Noteholders and all Noteholders and (in such absence as aforesaid) no liability to the Noteholders shall attach to the Reference Banks, the Calculation Agent, the Issuer or the Representative of the Noteholders in connection with the exercise or non-exercise by them or any of them of their powers, duties and discretion hereunder.

5.7 Reference Banks and Calculation Agent

The Issuer shall ensure that, so long as any of the Notes remains outstanding, there shall at all times be three Reference Banks (the “**Reference Banks**”) and a Calculation Agent. The Reference Banks shall be three major banks in the Euro-zone interbank market selected by the Calculation Agent with the approval of the Issuer. The Calculation Agent may not resign until a successor approved in writing by the Representative of the Noteholders has been appointed. If a new Calculation Agent is appointed a notice will be published in accordance with Condition 14.

In this Condition 5:

“**Euro-zone**” means the region comprised of member states of the European Union that adopted the single currency in accordance with the Treaty establishing the European Community (signed in Rome on 25 March 1957) as amended by the Treaty on European Union (signed in Maastricht on 7 February 1992); and

“**Interest Determination Date**” means, the second Business Day prior to each Payment Date in respect of the Interest Period commencing on that date. In relation to the Initial Interest Period, the Interest Determination Date will be two Business Days before the Issue Date; and

“**Interest Period**” shall mean each period from (and including) a Payment Date to (but excluding) the next following Payment Date, provided that the first Interest Period (the “**Initial Interest Period**”) shall begin on (and include) the Issue Date and end on (but exclude) the first Payment Date.

6. REDEMPTION, PURCHASE AND CANCELLATION

6.1 *Final Maturity Date*

Unless previously redeemed in full as provided in this Condition 6, the Issuer shall redeem the Senior Notes at their Principal Outstanding Amount on the Payment Date falling in June 2065 (the “**Final Maturity Date**”). All Senior Notes will, immediately following the Final Maturity Date, be deemed to be discharged in full and any amount in respect of principal, interest or other amounts due in respect of the Senior Notes will (unless payment of any such amounts is improperly withheld or refused) be finally and definitively cancelled.

6.2 *Mandatory Redemption*

The Notes will be subject to mandatory redemption in full or in part - in each case in accordance with the provisions of Condition 4.1, with particular regard to items (viii) and (xvi) thereof (please see page 180) - on the earlier of: (i) the Payment Date falling in April 2011 (the “**Initial Amortisation Date**”) and (ii) the Payment Date immediately following an amendment in the provisions of Italian Presidential Decree No. 600 of 29 September 1973 as a consequence of which the Issuer will no longer be required to pay an additional amount determined as a percentage of interest and other proceeds accrued on the Notes upon redemption thereof during the period up to the date falling after 18 months after the Issue Date, and on each Payment Date falling thereafter, in an amount equal to (a) as concerns the Senior Notes, the Class A Principal Payment Amount and (b) as concerns the Junior Notes, and provided that the Senior Notes have been redeemed in full, the Principal Outstanding Amount of the Class B Notes on such Payment Date.

6.3 *Optional Redemption*

The Issuer may on any Payment Date falling on or after the Initial Amortisation Date redeem the Senior Notes in whole but not in part at their Principal Outstanding Amount, together with all accrued but unpaid interest thereon up to and including the relevant Payment Date, if the Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio (as defined below) or of the Initial Purchase Price.

Any such redemption shall be effected by the Issuer giving not more than 60 nor less than 30 days' prior notice in writing to the Rating Agency, the Representative of the Noteholders and to the Noteholders in accordance with Condition 14 (*Notices*) and provided that the Issuer, prior to serving such notice to the Representative of the Noteholders and to the Rating Agency, has produced to the Representative of the Noteholders a certificate signed by the sole director or the chairman of the

board of directors of the Issuer evidencing that it will have the necessary funds, not subject to interests of any other person, to discharge all its outstanding liabilities in respect of the Notes (or the Senior Notes in the event the Class B Noteholders have confirmed their acceptance that only the Senior Notes be so discharged and the Junior Notes may be cancelled, in whole or in part) and any amounts required to be paid in priority to, or *pari passu* with, the Notes (or the Senior Notes, as applicable), in accordance with the applicable Order of Priority.

The Redemption of the Senior Notes pursuant to this Condition 6.3 may be funded, *inter alia*, through the proceeds of the exercise by Intesa Sanpaolo of its Option Right, as outlined in Condition 6.9 (*Option Right on the Portfolio - Transfer price of the Portfolio*).

6.4 *Redemption for Tax Reasons*

If the Issuer confirms to the Representative of the Noteholders that (i) on the next Payment Date the Issuer would be required to deduct or withhold, from any payment of principal or interest on the Senior Notes, any amount for or on account of any present or future taxes, duties, assessments or governmental charges by the Republic of Italy or any political sub-division thereof or any authority thereof or therein (other than in respect of a Decree 239 Deduction) or (ii) following a change of law, interpretation and administration thereof, the Issuer is likely (or amounts payable to the Issuer in respect of the Claims are likely) to become unconditionally subject to taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by the Republic of Italy or any political sub-division thereof or any authority thereof or therein or any other applicable tax authority having jurisdiction, and the Issuer produces to the Representative of the Noteholders a certificate signed by the sole director or the chairman of the board of directors evidencing that it will have the necessary funds, not subject to the interest of any other person, to discharge all its outstanding liabilities in respect of the Notes (or the Senior Notes in the event the Class B Noteholders have confirmed their acceptance that only the Senior Notes be so discharged and the Junior Notes may be cancelled, in whole or in part) and any amounts required to be paid in priority to or *pari passu* with the Notes (or the Senior Notes, as applicable) in accordance with the applicable Order of Priority, then following receipt of a written notice from the Representative of the Noteholders authorising the redemption, the Issuer will redeem, on the next succeeding Payment Date (which, for the avoidance of doubt, can precede the Initial Amortisation Date unless the Noteholders have resolved otherwise), the Senior Notes in whole but not in part at their Principal Outstanding Amount together with accrued but unpaid interest up to and including the relevant Payment Date, having given not more than 60 nor less than 30 days' notice in writing to the Rating Agency, the Representative of the Noteholders and to such Noteholders in accordance with Condition 14.

The redemption of the Notes pursuant to this Condition 6.4 may be funded, *inter alia*, through the proceeds of the exercise by Intesa Sanpaolo of its Option Right, as outlined in Condition 6.9 (*Option Right on the Portfolio - Transfer price of the Portfolio*).

Payments under the Senior Notes may or may not be subject to a Decree 239 Deduction. Upon the occurrence of any withholding or deduction for or on account of tax from any payments under the Senior Notes, neither the Issuer nor any other person shall have any obligation to pay any additional amount(s) to the holders of any Class of Notes.

6.5 Senior Notes Principal Payments, Redemption Amounts and Principal Outstanding Amount

On each Calculation Date, the Issuer shall procure that the Calculation Agent determines:

- (i) the principal payment (if any) due on the Senior Notes on the next following Payment Date; and
- (ii) the Principal Outstanding Amount of the Senior Notes on the next following Payment Date (after deducting any principal payment due to be made on that Payment Date).

Each determination by or on behalf of the Issuer of any principal payment on the Senior Notes and the Principal Outstanding Amount of the Senior Notes, shall in each case (in the absence of fraud, gross negligence, wilful misconduct or manifest error) be final and binding on all persons.

The Issuer will, no later than the third Business Day prior to each Payment Date, cause each determination of a principal payment on the Notes (if any) and Principal Outstanding Amount on the Senior Notes to be notified forthwith by the Calculation Agent to the Representative of the Noteholders, Monte Titoli, the Paying Agent, the Luxembourg Agent and the Stock Exchange and will cause notice of each determination of a principal payment on the Senior Notes and Principal Outstanding Amount on the Senior Notes to be given in accordance with Condition 14 and any applicable laws and regulations. If no principal payment is due to be made on the Senior Notes on a Payment Date, a notice to this effect will be given by or on behalf of the Issuer to the Noteholders in accordance with Condition 14 and any applicable laws and regulations.

If no principal payment on the Senior Notes or Principal Outstanding Amount on the Senior Notes is determined by or on behalf of the Issuer in accordance with the preceding provisions of this paragraph, such principal payment and Principal Outstanding Amount shall be determined by the Representative of the Noteholders in accordance with this paragraph and each such determination or calculation shall be deemed to have been made by the Issuer.

6.6 Notice of Redemption

Any such notice as is referred to in Conditions 6.3 and 6.4 above shall be irrevocable and, upon the expiration of such notice, the Issuer shall be bound to redeem the Notes in accordance with this Condition 6.

6.7 No purchase by Issuer

The Issuer shall not purchase any of the Notes at any time.

6.8 Cancellation

All Notes redeemed in full will be cancelled upon redemption and may not be re-sold or re-issued.

6.9 Option Right on the Portfolio - Transfer price of the Portfolio

Under the Intercreditor Agreement the Issuer has irrevocably granted Intesa Sanpaolo an option right to purchase, or to cause another entity, to purchase, from the Issuer, in whole but not in part, all the then outstanding Claims (the “**Option Claims**”):

- (i) in the period starting from the date on which the Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio or of the Initial Purchase Price and ending on the date on which the Notes have been redeemed in full;
- (ii) upon exercise by the Issuer of its option of early redemption of the Notes for tax reasons pursuant to Condition 6.4 (*Redemption for Tax Reasons*); or
- (iii) upon decision of the Representative of the Noteholders to dispose of the Portfolio further to a Trigger Notice having been served upon the Issuer following the occurrence of a Trigger Event,

(the “**Option Right**”).

Intesa Sanpaolo shall exercise the Option Right by serving a notice in writing to the Issuer and, in copy, to the Representative of the Noteholders (the “**Intesa Sanpaolo Option Notice**”).

The Intesa Sanpaolo Option Notice given in the circumstances set out in paragraph (i) above shall also be sent to the Rating Agency.

Intesa Sanpaolo shall obtain the confirmation by the Issuer and the Representative of the Noteholders that they find acceptable any financing structure it may propose to utilise to fund the purchase of the Claims in the circumstances set out in paragraphs (i) and (ii) above, provided that the Issuer and the Representative of the Noteholders will consider acceptable a structure by which Intesa Sanpaolo is to grant (or cause a qualified/suitable entity to grant) the Issuer a fully subordinated bridge financing (i.e. any payments under which are subordinated to the discharge in full of any other Issuer’s obligations *vis-à-vis* the Noteholders and any Other Issuer Creditors) in an amount equal to the purchase price of the Option Claims to be advanced by the date on which the Issuer will serve the early redemption notice pursuant Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable.

Subject to the Option Right and the other applicable provisions of the Transaction Documents, in case the Portfolio is sold to fund an early redemption of the Notes under Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable, its transfer price - determined

based upon the then prevailing market practice - shall be at least equal, together with any other monetary rights and claims of the Issuer:

- (x) to an amount sufficient to discharge in full all the Issuer's outstanding liabilities in respect of the Notes and any amounts required to be paid in priority thereto or *pari passu* therewith in accordance with the applicable Order of Priority; or
- (y) in the event (a) it is not so sufficient and (b) the Class B Noteholders have confirmed their acceptance that only the Senior Notes be discharged in accordance with the provisions of Condition 6.3 (*Optional Redemption*) or Condition 6.4 (*Redemption for Tax Reasons*), as applicable, and the Junior Notes may be cancelled, in whole or in part, to an amount, determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders, which shall in any case be sufficient to discharge in full all the Issuer's outstanding liabilities in respect of the Senior Notes and any amounts required to be paid in priority thereto or *pari passu* therewith, in accordance with the applicable Order of Priority.

7. PAYMENTS

- 7.1 Payment of principal and interest in respect of the Notes will be credited, according to the instructions of Monte Titoli, by the Paying Agent on behalf of the Issuer to the accounts of those banks and authorised brokers whose accounts with Monte Titoli are credited with those Notes and thereafter credited by such banks and authorised brokers from such aforementioned accounts to the accounts of the beneficial owners of those Notes or through Euroclear Bank S.A./N.V., as operator of the Euroclear system ("**Euroclear**") and Clearstream Banking S.A. ("**Clearstream**") to the accounts with Euroclear and Clearstream of the beneficial owners of those Notes, in accordance with the rules and procedures of Monte Titoli, Euroclear and Clearstream, as the case may be.
- 7.2 Payments of principal and interest in respect of the Notes are subject in all cases to any fiscal or other laws and regulations applicable thereto.
- 7.3 If the due date for any payment of principal and/or interest (or any later date on which any Note could otherwise be presented for payment) is not a Business Day, the holder of the relevant Note will not be entitled to payment of the relevant amount until the immediately succeeding Business Day. Noteholders will not be entitled to any interest or other payment for any delay in receiving the amount due as a result of the due date thereof not being a Business Day.
- 7.4 The Issuer reserves the right, subject to the prior written approval of the Representative of the Noteholders, at any time to vary or terminate the appointment of the Paying Agent and

to appoint another Paying Agent. The Issuer will cause at least 30 days' notice of any replacement of the Paying Agent to be given in accordance with Condition 14.

- 7.5 The Issuer reserves the right, subject to the prior written approval of the Representative of the Noteholders, at any time to vary or terminate the appointment of the Luxembourg Agent and to appoint another Luxembourg Agent, *provided that* (for as long as any of the Notes are listed on the Stock Exchange and the rules of the Stock Exchange so require) the Issuer will at all times maintain an agent with a specified office in Luxembourg.

8. TAXATION

All payments in respect of the Notes will be made without withholding or deduction for or on account of any present or future taxes, duties or charges of whatsoever nature other than a Decree 239 Deduction or any other withholding or deduction required to be made by applicable law. The Issuer shall not be obliged to pay any additional amount to any holder of Notes on account of such withholding or deduction.

9. PRESCRIPTION

- 9.1 Claims against the Issuer for payments in respect of the Notes shall be prescribed and become void unless made within ten years (in the case of principal) or five years (in the case of interest) from the Relevant Date in respect thereof.
- 9.2 In this Condition 9, the "**Relevant Date**", in respect of a Note, is the date on which a payment in respect thereof first becomes due and payable or (if the full amount of the moneys payable in respect of all Notes and accrued on or before that date has not been duly received by the Paying Agent or the Representative of the Noteholders on or prior to such date) the date on which notice that the full amount of such moneys has been received is duly given to the Noteholders in accordance with Condition 14.

10. TRIGGER EVENTS

- 10.1 Each of the following events is a "**Trigger Event**":

(a) *Non-payment of principal on the Notes*

Principal due and payable on the Most Senior Class of Notes (as defined in the "*Glossary of Terms*") on a Payment Date is not paid on the due date or within a period of five Business Days; or

(b) *Non-payment of interest on the Notes*

Interest due on the Most Senior Class of Notes on a Payment Date is not paid on the due date or within a period of three Business Days; or

(c) *Breach of obligations*

The Issuer defaults in the performance or observance of any of its other obligations under or in respect of the Notes, or any of them, or of any of the Transaction Documents to which it is a party (other than under (a) and (b) above) and except where, in the sole and absolute opinion of the Representative of the Noteholders, such default is incapable of remedy (in which case no notice will be required), such default remains unremedied for 30 days after the Representative of the Noteholders has given written notice thereof to the Issuer, certifying that such default is, in the opinion of the Representative of the Noteholders, materially prejudicial to the interests of the Noteholders; or

(d) *Insolvency etc.*

- i. An administrator, administrative receiver or liquidator of the Issuer is appointed over or in respect of the whole or any part of the undertaking, assets and/or revenues of the Issuer or the Issuer becomes subject to any bankruptcy, liquidation, administration, insolvency, composition, reorganisation (among which, without limitation, “*fallimento*”, “*concordato preventivo*” “*amministrazione straordinaria*” and “*liquidazione coatta amministrativa*” with the meaning ascribed to those expressions by the laws of the Republic of Italy) or similar proceedings (or application for the commencement of any such proceeding) or an encumbrancer takes possession of the whole or any substantial part of the undertakings or assets of the Issuer;
- ii. proceedings are initiated against the Issuer under any applicable bankruptcy, liquidation, administration, insolvency, composition, reorganisation or similar laws and proceedings are not, in the opinion of the Representative of the Noteholders, being disputed in good faith; or
- iii. the Issuer takes any action for a readjustment or deferment of any of its obligations or makes a general assignment or an arrangement or composition with or for the benefit of its creditors or is granted by a competent court a moratorium in respect of any of its indebtedness or any guarantee of any indebtedness given by it or applies for bankruptcy or suspension of payments; or

(e) *Winding up etc.*

An order is made or an effective resolution is passed for the winding up, liquidation or dissolution of the Issuer except a winding up for the purposes of or pursuant to an amalgamation or reconstruction, the terms of which have been previously approved in writing by the Representative of the Noteholders or by an Extraordinary Resolution; or

(f) *Unlawfulness*

It is or will become unlawful, to a material extent, in the opinion of the Representative of Noteholders, for the Issuer to perform or comply with any of its obligations under or in respect of the Notes or any Transaction Document to which it is a party;

10.2 Upon the occurrence of a Trigger Event, the Representative of the Noteholders shall:

- i. have the power to decide whether to serve a notice (a “**Trigger Notice**”) (other than in the event under paragraph (c), in relation to which no Trigger Notice can be served without a prior Extraordinary Resolution) on the Issuer. In the event of an Extraordinary Resolution having been passed requesting a Trigger Notice to be served as a result of the occurrence of a Trigger Event, the Representative of the Noteholders shall serve such Trigger Notice; and
- ii. provided that it has served a Trigger Notice, be entitled to dispose of the Portfolio, subject to the provisions of Clause 21 of the Intercreditor Agreement, provided that the transfer price - that in all cases shall be determined based upon the then prevailing market practice - together with any monetary rights and claims of the Issuer (a) either is sufficient to discharge in full all Issuer’s outstanding liabilities in respect of the Notes and any amounts required to be paid in priority thereto or *pari passu* therewith, in accordance with the Post-Enforcement Order of Priority, (b) or, in the event it is not so sufficient, has been determined by a merchant bank or a primary auditor of international repute appointed by the Issuer with the consent of the Representative of the Noteholders. In any case, the Portfolio may be disposed in whole or in part and transferred to one or more purchasers/counterparties according to the then current market conditions.

In the event a Trigger Notice is served by the Representative of the Noteholders, the Notes shall become immediately due and repayable at their Principal Outstanding Amount together with interest accrued thereon.

11. ENFORCEMENT

- 11.1 At any time after a Trigger Notice has been served, the Representative of the Noteholders may and shall, if so requested or authorised by a resolution of extraordinary meeting of Noteholders, take such steps and/or institute such proceedings against the Issuer as it may think fit to enforce repayment of the Notes and payment of accrued interest thereon.
- 11.2 All notifications, opinions, determinations, certificates, calculations, quotations and decisions given, expressed, made or obtained for the purposes of Condition 10 or this Condition 11 by the Representative of the Noteholders shall (in the absence of wilful default, gross negligence or manifest error) be binding on the Issuer and all Noteholders and (in such absence as aforesaid) no liability to the Noteholders or the Issuer shall attach to the Representative of the Noteholders in connection with the exercise or non-exercise by it of its powers, duties and discretion hereunder.

- 11.3 In the event that the Representative of the Noteholders takes action to enforce the Noteholders' rights in respect of the Portfolio and the Issuer's rights and after payment of all other claims ranking in priority to the Notes under the Conditions and the Intercreditor Agreement, the remaining proceeds of such enforcement (the Representative of the Noteholders having taken action to enforce the Noteholders' rights in respect of the entire Portfolio and all the Issuer's Rights) are insufficient to pay in full all principal and interest and other amounts whatsoever due in respect of the Notes and all other claims ranking *pari passu* therewith, then the claims of the Noteholders of such Class against the Issuer in respect of the relevant Class will be limited to their respective *pro rata* share of such remaining proceeds (if any) and the obligations of the Issuer to such Noteholders will be deemed discharged in full and any amount in respect of principal, interest or other amounts due under such Notes will be finally and definitively cancelled.
12. APPOINTMENT AND REMOVAL OF THE REPRESENTATIVE OF THE NOTEHOLDERS
- 12.1 The Organisation of Noteholders shall be established upon and by virtue of the issuance of the Notes and shall remain in force and in effect until repayment in full or cancellation of the Notes.
- 12.2 Pursuant to the Rules of Organisation of Noteholders, for so long as any Note is outstanding, there shall at all times be a Representative of the Noteholders. The appointment of the Representative of the Noteholders is made by the Noteholders subject to and in accordance with the Rules of Organisation of Noteholders, except for the initial Representative of the Noteholders appointed at the time of issue of the Notes, who is appointed by the Lead Manager and the initial holder of the Class B Notes pursuant to the Subscription Agreements. Each Noteholder is deemed to accept such appointment.
- 12.3 Pursuant to the provisions of the Rules of Organisation of Noteholders, the Representative of the Noteholders can be removed by the Noteholders at any time, provided a successor Representative of the Noteholders is appointed which shall be:
- i. a bank incorporated in any jurisdiction of the European Union or a bank incorporated in any other jurisdiction acting through an Italian branch or through a branch situated in a European Union Member; or
 - ii. a company or financial institution registered under article 107 of the Consolidated Banking Act; or
 - iii. a "*società fiduciaria*" regulated under the Italian Law n. 1966 of 1939 and Italian ministerial decree 16 January of 1995; or
 - iv. any other entity which may be permitted to act in such capacity by any specific provisions of Italian law applicable to the securitisation of monetary rights and / or by

any regulations, instructions, guidelines and /or specific approvals issued by the competent Italian supervising authorities.

- 12.4 The Rules of Organisation of Noteholders contain provisions outlining the responsibility of the Representative of the Noteholders (or outlining where the Representative of Noteholders is not to be responsible) (including provisions relieving it from taking proceedings unless indemnified to its satisfaction and providing for the Representative of the Noteholders to be indemnified in certain other circumstances) and provisions which govern the termination of the appointment of the Representative of the Noteholders and amendments to the terms of such appointment.

13. MEETINGS OF NOTEHOLDERS

- 13.1 The Representative of the Noteholders is the legal representative (*rappresentante legale*) of the Organisation of Noteholders.
- 13.2 The Representative of the Noteholders shall ensure that resolutions of any meetings of the Noteholders passed in accordance with and pursuant to the Rules of Organisation of Noteholders (the “**Meetings of Noteholders**”) are duly implemented and protect the Noteholders' interests in relation to the Issuer. The Representative of the Noteholders has the right to attend the Meetings. The Representative of the Noteholders can seek the prior approval of a Meeting in relation to any action or matter to be pursued by it.
- 13.3 All actions taken by the Representative of the Noteholders in the execution and exercise of all its powers and authorities and of discretion vested in it pursuant to these Conditions and/or under any of the other Transaction Documents (including, without limitation, those taken pursuant to the Mandate Agreement) shall be taken by duly authorised officer(s) for the time being of the Representative of the Noteholders. The Representative of the Noteholders may also whenever it considers it expedient in the interests of the Noteholders, whether by power of attorney or otherwise, delegate to any person or persons all or any of the trusts, powers, authorities and discretions vested in it as aforesaid. Any such delegation may be made upon such terms and conditions and subject to such regulations (including power to sub-delegate) as the Representative of the Noteholders may think fit in the interests of the Noteholders. The Representative of the Noteholders shall not, other than in the normal course of its business, be bound to supervise the proceedings but shall be responsible for any loss incurred by, any misconduct or default on the part of, such delegate or sub-delegate. The Representative of the Noteholders shall as soon as reasonably practicable give notice to the Issuer of the appointment, renewal, extension and termination of any delegate as aforesaid and shall procure that any delegate shall also, as soon as reasonably practicable, give notice to the Issuer of the appointment, renewal, extension or termination of any sub-delegate.

- 13.4 In order to protect the interests of Noteholders, the Representative of the Noteholders shall be authorised to represent the Organisation of Noteholders in judicial proceedings, including (without limitation) in cases of any bankruptcy, liquidation, administration or insolvency procedures of the Issuer.
- 13.5 The Rules of Organisation of Noteholders contain provisions for convening Meetings. The Issuer and the Representative of the Noteholders may convene a Meeting at any time, and shall be obliged to do so upon the request in writing of Noteholders holding not less than one tenth of the aggregate Principal Outstanding Amount.
- 13.6 The Rules of Organisation of Noteholders contain provisions limiting the powers of the Noteholders, *inter alia*, to bring individual actions or take other individual remedies to enforce their rights under the Notes. In particular, such actions will be subject to the Meeting not passing a resolution objecting to such individual action or other remedy on the grounds that it is not convenient at the time when the Meeting is held, having regard to the interests of the Noteholders. No individual action or remedy can be taken by a Noteholder to enforce his/her rights under the Notes before the Meeting has resolved on such action or remedy in accordance with the provisions of the Rules of Organisation of Noteholders.
- 13.7 The resolutions passed at any Meeting under the Rules of Organisation of Noteholders shall be binding on all Noteholders whether or not they are present at the Meeting.
- 13.8 In certain circumstances, a resolution in writing signed by or on behalf of all holders of Notes who for the time being are entitled to receive notice of a Meeting in accordance with the provisions of the Rules of Organisation of Noteholders, whether contained in one document or several documents in the same form, each signed by or on behalf of one or more such Noteholders, shall take effect as if it were an Extraordinary Resolution.

14. NOTICES

Subject to all mandatory provisions of Italian law, any notice regarding the Senior Notes to the Senior Noteholders shall be deemed to have been duly given if, (i) it has been given through the Monte Titoli system, as long as the Senior Notes are held in dematerialised form by Monte Titoli and it is a notice that the Monte Titoli system accepts to render available, and (ii) as long as the Senior Notes are listed on the official list of the Luxembourg Stock Exchange and the rules of such exchange so require, published on the website of the Stock Exchange (which is <http://www.bourse.lu>). Any such notice shall be deemed to have been given on the date of such publication or, if published more than once or on different dates, on the first date on which publication is made.

The Representative of the Noteholders shall be at liberty to sanction some other (either additional or alternative) method of giving notice to the Senior Noteholders if, in its opinion, such other method

is reasonable having regard to market practice then prevailing and the rules of the Stock Exchange on which Senior Notes are listed and provided that notice of such other method is given to the Senior Noteholders in such manner as the Representative of the Noteholders shall require.

15. GOVERNING LAW

15.1 The Notes are governed by Italian law.

15.2 All the Transaction Documents are governed by Italian law with the exception of the Swap Agreement and the Deed of Charge and certain provisions of the Servicing Agreement in relation to the manner in which amounts deriving from the Portfolio are held by the Servicer before being credited to an Issuer Account, which are governed by English law.

EXHIBIT I
RULES OF THE ORGANISATION OF NOTEHOLDERS

GENERAL PROVISIONS

Article 1

General

The Organisation of Noteholders is created by the issue and the subscription of the Notes, and shall remain in force and in effect until full repayment or cancellation of the Notes.

The contents of these Rules are deemed to form part of each Note.

Article 2

Definitions

In these Rules, the following expressions have the following meanings:

“Basic Terms Modification” means:

- (a) the modification of/to the date of maturity of the relevant Class;
- (b) a modification which would have the effect of postponing any day for payment of interest on the relevant Class;
- (c) a modification which would have the effect of reducing or cancelling the amount of principal payable in respect of the relevant Class or the rate of interest applicable in respect of the relevant Class;
- (d) a modification which would have the effect of altering the majority required to pass a specific resolution or the quorum required at any Meeting;
- (e) a modification which would have the effect of altering the currency of payment of the relevant Class;
- (f) a modification which would have the effect of altering the authorisation or consent by the Noteholders, as pledgees, to applications of funds as provided for in the Transaction Documents;
- (g) the appointment and removal of the Representative of the Noteholders; and
- (h) an amendment of this definition;

“Block Voting Instruction” means, in relation to any Meeting, a document:

- a) certifying that certain specified Notes (the **“Blocked Notes”**) have been blocked in an account with a clearing system or a Monte Titoli Account Holder, as the case may be, and will not be released until the conclusion of the Meeting;
- b) certifying that the holder of each Blocked Note or a duly authorised person on its behalf has instructed the relevant Monte Titoli Account Holder that the votes attributable to such Blocked Note are to be cast in a particular way on each resolution to be put to the Meeting and that, during the period of 48 hours before the time fixed for the Meeting, such instructions may not be amended or revoked;
- c) listing the total number of the Blocked Notes, distinguishing for each resolution between those in respect of which instructions have been given to vote for, or against, the resolution; and
- d) authorising a named individual or individuals to vote in respect of the Blocked Notes in accordance with such instructions;

“Chairman” means, in relation to any Meeting, the individual who takes the chair in accordance with Article 9 of these Rules;

“Class of Notes” means the Class A Notes and the Class B Notes, or any of them;

“Conditions” means the terms and conditions of the Senior Notes and/or the terms and conditions of the Junior Notes, as the context may require;

“Extraordinary Resolution” means a resolution of a Meeting, duly convened and held in accordance with the provisions contained in these Rules;

“Issuer” means Adriano Finance S.r.l.;

“Class A Noteholders” means the holders of the Class A Notes;

“Class A Notes” means the Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065.

“Class B Noteholders” means the holders of the Class B Notes;

“Class B Notes” means the Euro 563,400,000 Class B Residential Mortgage Backed Floating Rate Notes due June 2065.

“Meeting” means a meeting of the Noteholders or the holders of the relevant Class, as the context may require, both in first and in second call;

“Noteholders” means the holders of the Class A Notes and/or the holders of the Class B Notes;

“Principal Outstanding Amount” means with respect to the Notes or a Class at any date, the principal amount of the Notes or the relevant Class upon issue less the aggregate amount of all principal payments in respect of the Notes or the relevant Class that have been made prior to such date;

“Paying Agent” means Intesa Sanpaolo, in its capacity as paying agent;

“Proxy” means, in relation to any Meeting, a person appointed to vote under a Block Voting Instruction other than:

- (a) any such person whose appointment has been revoked and in relation to whom the Issuer or the Paying Agent has been notified in writing of such revocation prior to 48 hours before the time fixed for such Meeting; and
- (b) any such person appointed to vote only at a first call Meeting which has been held in second call for want of a quorum and who has not been reappointed to vote at the second call Meeting;

“Relevant Class Noteholders” means the holders of the Class A Notes and/or the holders of the Class B Notes, as the context may require;

“Relevant Fraction” means, both in first and in second call:

- (a) for all business other than voting on an Extraordinary Resolution, one-tenth of the Principal Outstanding Amount (i) of the relevant Class (in case of a Meeting of a particular Class), or (ii) of the Notes;
- (b) for voting on any Extraordinary Resolution other than one relating to a Basic Terms Modification, two-thirds of the Principal Outstanding Amount (i) of the relevant Class (in case of a Meeting of a particular Class) or (ii) of the Notes; and
- (c) for voting on any Extraordinary Resolution relating to a Basic Terms Modification (which must be proposed separately to each Class), three-quarters of the Principal Outstanding Amount of the relevant Class;

provided, however, that, in the case of a Meeting held in second call for want of a quorum it means:

- i) for all business other than voting on an Extraordinary Resolution relating to a Basic Terms Modification, the fraction (i) of the Principal Outstanding Amount of the relevant Class represented or held by the Voters actually present at the Meeting (in case of a meeting of a relevant Class) or (ii) of the Principal Outstanding Amount of the Notes represented or held by the Voters actually present at the Meeting; and

- ii) for voting on any Extraordinary Resolution relating to a Basic Terms Modification (which must be proposed separately to the holders of each Class), one-third of the Principal Outstanding Amount of the relevant Class;

“Representative of the Noteholders” means KPMG Fides Servizi di Amministrazione S.p.A., in its capacity as representative of the Organisation of Noteholders;

“Rules” means these Rules of the Organisation of Noteholders;

“Voter” means, in relation to any Meeting, the holder of a Blocked Note;

“Voting Certificate” means, in relation to any Meeting, a certificate issued by the Paying Agent or a Monte Titoli Account Holder and dated, stating:

- i) that the Blocked Notes have been blocked in an account with a clearing system or a Monte Titoli Account Holder, as the case may be, and will not be released until the conclusion of the Meeting; and
- ii) that the bearer of such certificate is entitled to attend and vote at the Meeting in respect of the Blocked Notes;

“Written Resolution” means a resolution in writing signed by or on behalf of all holders of the Notes who for the time being are entitled to receive notice of a Meeting in accordance with the provisions of these Rules, whether contained in one document or several documents in the same form, each signed by or on behalf of one or more such holders of the Notes;

“24 hours” means a period of 24 hours including all or part of a day upon which banks are open for business in the place where the Meeting is to be held and such period shall be extended by one period or, to the extent necessary, more periods of 24 hours until there is included as aforesaid all or part of a day upon which banks are open for business as aforesaid; and

“48 hours” means 2 consecutive periods of 24 hours.

Capitalised terms not defined herein shall have the meaning attributed to them in the Conditions.

Any reference in these Rules to an Article is, unless otherwise stated, to an article hereof.

Article 3

Organisation Purpose

Each Noteholder is a member of the Organisation of Noteholders.

The purpose of the Organisation of Noteholders is to co-ordinate the exercise of the rights of the Noteholders and, more generally, to take any appropriate action in order to protect their interests.

THE MEETING OF NOTEHOLDERS

Article 4

General

Subject to Article 19 below, any resolution passed at a Meeting duly convened and held, both in first and second call, in accordance with these Rules shall be binding upon all the holders of the relevant Class whether or not present at such Meeting and whether or not voting, and any resolution passed at a Meeting duly convened and held as aforesaid shall also be binding upon all the Noteholders; and, in each case, all the holders of the relevant Classes shall be bound to give effect to any such resolution accordingly and the passing of any such resolution shall be conclusive evidence that the circumstances justify the passing thereof.

Notice of the result of every vote on a resolution duly considered by the Noteholders or the holders of a relevant Class shall be published, at the expense of the Issuer, in accordance with the Conditions and given to the Paying Agent (with a copy to the Issuer and the Representative of the Noteholders) within 14 days of the conclusion of the Meeting.

The following provisions shall apply where outstanding Notes belong to more than one Class of Notes:

- (i) business which in the opinion of the Representative of the Noteholders affects only one Class of Notes shall be transacted at a separate Meeting of the holders of such Notes;
- (ii) business which in the opinion of the Representative of the Noteholders affects more than one Class of Notes but does not give rise to an actual or potential conflict of interest between the holders of any such Class of Notes and the holders of any other Class shall be transacted either at separate Meetings of the holders of each such Class or at a single Meeting of holders of all such Classes as the Representative of the Noteholders shall determine in its absolute discretion;
- (iii) business which in the opinion of the Representative of the Noteholders affects the holders of more than one Class and gives rise to an actual or potential conflict of interest between the holders of any such Class and the holders of any other Class shall be transacted at separate Meetings of the holders of each such Class; and
- (iv) the preceding paragraphs of these Rules shall be applied as if references to the Notes and the Noteholders were to the Notes of the relevant Class and to the holders of such Notes.

In this paragraph "**business**" includes (without limitation) the passing or rejection of any resolution.

Article 5

Issue of Voting Certificates and Block Voting Instructions

Noteholders may obtain a Voting Certificate from the relevant Monte Titoli Account Holder or require the relevant Monte Titoli Account Holder to issue a Block Voting Instruction by arranging for such Notes to be blocked in an account with a clearing system or the relevant Monte Titoli Account Holder, as the case may be, not later than 48 hours before the time fixed for the Meeting. Noteholders may obtain evidence by requesting their Monte Titoli Account Holders to release a certificate in accordance with article 22 of the regulation issued by Bank of Italy and CONSOB on 27 February 2008 (*Regolamento recante la disciplina dei servizi di gestione accentrata, di liquidazione, dei sistemi di garanzia e delle relative società di gestione*). A Voting Certificate or Block Voting Instruction shall be valid until the release of the Blocked Notes to which it relates. So long as a Voting Certificate or Block Voting Instruction is valid, the bearer thereof (in the case of a Voting Certificate) or any Proxy named therein (in the case of a Block Voting Instruction) shall be deemed to be the holder of the Blocked Notes to which it relates for all purposes in connection with the Meeting. A Voting Certificate and a Block Voting Instruction cannot be outstanding simultaneously in respect of the same Note.

Article 6

Validity of Block Voting Instructions

A Block Voting Instruction shall be valid only if it is deposited at the office of the Representative of the Noteholders, or at some other place approved by the Representative of the Noteholders, at least 24 hours before the time fixed for the Meeting of the Relevant Class Noteholders and if not deposited before such deadline, the Block Voting Instruction shall not be valid unless the Chairman decides otherwise before the Meeting proceeds to business. If the Representative of the Noteholders requires, a notarised copy of each Block Voting Instruction and satisfactory proof of the identity of each Proxy named therein shall be produced at the Meeting, but the Representative of the Noteholders shall not be obliged to investigate the validity of any Block Voting Instruction or the authority of any Proxy.

Article 7

Convening of Meeting

The Issuer and/or the Representative of the Noteholders may convene a Meeting at any time, and shall be obliged to do so upon the request in writing of holders of the relevant Class holding not less than one tenth of the Principal Outstanding Amount of the relevant Class.

Whenever the Issuer is about to convene any such Meeting, it shall immediately give notice in writing to the Representative of the Noteholders of the day, time and place thereof and of the nature of the business to be transacted thereat. Every such Meeting shall be held at such place as the Representative of the Noteholders may designate or approve.

The Meeting may be convened in first and second call.

Article 8

Notice

At least 21 days' notice (exclusive of the day on which the notice is given and of the day on which the Meeting is to be held) specifying the date, time and place of the Meeting, in first and, if any, in second call shall be given to the Noteholders and the Representative of the Noteholder (with a copy to the Issuer and the Rating Agency and the Representative of the Noteholders) in accordance with the Conditions. The notice shall set out the full text of any resolutions to be proposed and shall state that the Notes may be blocked with, or to the order of, the relevant Monte Titoli Account Holder or, as appropriate, the Paying Agent for the purpose of obtaining Voting Certificates or appointing Proxies not later than 48 hours before the time fixed for the Meeting.

Article 9

Chairman of the Meeting

Any individual (who may, but need not, be a Noteholder) nominated in writing by the Representative of the Noteholders may take the chair at any Meeting but: (i) if no such nomination is made, or (ii) if the individual nominated is not present within 15 minutes after the time fixed for the Meeting, those present shall elect one of themselves to take the chair, failing which, the Issuer may appoint a Chairman. The Chairman of a second call Meeting need not be the same person as the Chairman of the first call Meeting.

The Chairman co-ordinates matters to be transacted at the Meeting and monitors the fairness of the Meeting's proceedings.

Article 10

Quorum

The quorum at any Meeting shall be at least two Voters representing or holding not less than the Relevant Fraction (*quorum costitutivo*) of the aggregate Principal Outstanding Amount of the Notes.

The voting quorum (*quorum deliberativo*) shall be, subject to Article 16 (Votes) paragraph (a), more than one-half of the Principal Outstanding Amount of the relevant Class represented at the Meeting (in case of a Meeting of a relevant Class), or more than one-half of the Principal Outstanding Amount of the Notes represented at the Meeting.

Article 11

Second Call for Lack of Quorum

If after 15 minutes of the time fixed for any first call Meeting a quorum (*quorum costitutivo*) is not present, then:

- (a) the first call Meeting shall be dissolved; and
- (b) if so provided in the notice given pursuant to Article 8, the Meeting shall be held in second call.

Article 12

Adjourned Meeting

The Chairman may, with the consent of (and shall if directed by) any Meeting, adjourn such Meeting, both in first and in second call, from time to time and from place to place, provided that no business shall be transacted at any adjourned Meeting except business which might lawfully have been transacted at the Meeting at which the adjournment took place.

No Meeting may be adjourned more than once unless by resolution of the Meeting approved by the relevant voting quorum.

Article 13

Participation

The following may attend and speak at a Meeting:

- 1. Voters;
- 2. the Issuer or its representative and the Paying Agent;
- 3. the financial advisers to the Issuer;
- 4. the legal counsel to the Issuer, the Representative of the Noteholders and the Paying Agent;
- 5. the Representative of the Noteholders; and
- 6. any such other person as may be resolved by the Meeting.

Article 14

Show of hands

Subject to the provisions of Article 10, every question submitted to a Meeting shall be decided in the first instance by a show of hands. Unless a poll is validly demanded before or at the time that the result of the show of hands is declared, the Chairman's declaration that on a show of hands a resolution has been passed, passed by a particular majority, rejected or rejected by a particular

majority shall be conclusive, without proof of the number of votes cast for, or against, the resolution.

Article 15

Poll

A demand for a poll shall be valid if it is made by the Chairman, the Issuer, the Representative of the Noteholders or one or more Voters representing or holding not less than 10 (ten) Notes. The poll may be taken immediately or after such adjournment as the Chairman directs, but any poll demanded on the election of the Chairman or on any question of adjournment shall be taken at the Meeting without adjournment. A valid demand for a poll shall not prevent the continuation of the Meeting for any other business as the Chairman directs.

Article 16

Votes

Every Voter shall have:

- (i) on a show of hands, one vote (subject to the provisions of Article 10); and
- (ii) on a poll, one vote in respect of each Euro 50,000 in aggregate face amount of the outstanding Note(s) represented or held by such voter.

In the case of votes being equal the Chairman shall have a casting vote.

Unless the terms of any Block Voting Instruction state otherwise, a Voter shall not be obliged to exercise all the votes to which he is entitled or to cast all the votes which he exercises in the same manner.

Article 17

Vote by Proxies

Any vote by a Proxy in accordance with the relevant Block Voting Instruction shall be valid even if such Block Voting Instruction or any instruction pursuant to which it was given has been amended or revoked, provided that the Paying Agent or, as the case may be, the Issuer has not been notified in writing of such amendment or revocation not less than 24 hours before the time fixed for the Meeting. Unless revoked, any appointment of a Proxy under a Block Voting Instruction in relation to a Meeting shall remain in force in relation to any Meeting held in second call or resumed following an adjournment.

Article 18

Exclusive Powers of the Meeting

Subject to the Conditions and subject to the Intercreditor Agreement, which documents are deemed to be accepted by the Noteholders by way of purchase of, or subscription for, the Notes, the Meeting shall have exclusive powers over the following matters exercisable by Extraordinary Resolution:

- (a) to approve any Basic Terms Modification;
- (b) to approve any proposal by the Issuer for any modification, abrogation, variation or compromise of any of the Conditions or any arrangement in respect of the obligations of the Issuer under or in respect of the Notes;
- (c) to approve the substitution of any person for the Issuer (or any previous substitute) as principal obligor under the Notes (including, for the avoidance of doubt, with or without release of the Issuer (or any previous substitute) (*accollo privativo* or *accollo non privativo*));
- (d) to waive any breach or authorise any proposed breach by the Issuer of its obligations under or in respect of the Notes or any act or omission which might otherwise constitute a Trigger Event under the Notes;
- (e) to authorise the Representative of the Noteholders to concur in and execute and do all such documents, acts and things as may be necessary to carry out and give effect to any Written Resolution;
- (f) to exercise, enforce or dispose of any right and power on payment and application of funds deriving from any claims on which a pledge or other security interest is created in favour of the Noteholders, otherwise than in accordance with the Transaction Documents;
- (g) to appoint and remove the Representative of the Noteholders.

Article 19

Powers Exercisable by Extraordinary Resolution

Subject to the Conditions and subject to the Intercreditor Agreement, which documents are deemed to be accepted by the Noteholders by way of purchase of, or subscription for, the Notes, a Meeting of the Noteholders of any Class shall, in addition to the powers herein given, have the following powers exercisable by Extraordinary Resolution:

- (a) power to approve any Basic Term Modification;
- (b) power to sanction any proposal by the Issuer for any alteration, abrogation, variation or compromise of, or arrangement in respect of, the rights of the Noteholders against the

Issuer or against any of its property or against any other person whether such rights shall arise under these Rules, the Notes or otherwise;

- (c) power to sanction any scheme or proposal for the exchange or substitution or sale of any of the Notes for, or the conversion of any of the Notes into, or the cancellation of any of the Notes, in consideration of shares, stock, notes, bonds, debentures, debenture stock and/or other obligations and/or securities of the Issuer or of any other body corporate formed or to be formed, or for or into or in consideration of cash, or partly for or into or in consideration of such shares, stock, notes, bonds, debenture stock and/or other obligations and/or securities as aforesaid and partly for or into or in consideration of cash;
- (d) power to assent to any alteration of the provisions contained in these Rules, the Notes, the Conditions, the Intercreditor Agreement, the Cash Allocation, Management and Payments Agreement or any other Transaction Document which shall be submitted to the Noteholders by the Issuer and/or the Representative of the Noteholders;
- (e) power to discharge or exonerate the Representative of the Noteholders from any liability in respect of any act or omission for which the Representative of the Noteholders may have become responsible under or in relation to these Rules, the Notes of any Class or any other Transaction Document;
- (f) power to give any authority, direction or sanction which under the provisions of these Rules or the Notes of any Class, is required to be given by Extraordinary Resolution;
- (g) power to authorise and sanction the actions, in compliance with these Rules, of the Representative of the Noteholders under the terms of the Intercreditor Agreement and any other Transaction Documents and in particular power to sanction the release of the Issuer by the Representative of the Noteholders;
- (h) to authorise the Representative of the Noteholders to serve a 'Trigger Notice, as a consequence of a Trigger Event under Condition 10;
- (i) following the service of a 'Trigger Notice, power to resolve on the sale of one or more Claim(s) comprised in the Portfolio;

provided that:

- (a) no Extraordinary Resolution involving a Basic Terms Modification passed by the Class B Noteholders shall be effective unless it is sanctioned by an Extraordinary Resolution of the Class A Noteholders (to the extent that the Class A Notes are then outstanding);

- (b) no Extraordinary Resolution involving a Basic Terms Modification passed by the Class A Noteholders shall be effective unless it is also sanctioned by an Extraordinary Resolution of the Class B Noteholders;
- (c) no other Extraordinary Resolution of the Class B Noteholders shall be effective unless (A) the Representative of the Noteholders is of the opinion that it will not be materially prejudicial to the interests of the Class A Noteholders (to the extent that the Class A Notes are then outstanding) or (B) (to the extent that the Representative of the Noteholders is not of that opinion) it is sanctioned by an Extraordinary Resolution of the Class A Noteholders (to the extent that the Class A Notes are then outstanding).

Article 20

Challenge of Resolution

Each Noteholder, who was absent and/or dissenting can challenge Resolutions which are not passed in conformity with the provisions of these Rules.

Article 21

Minutes

Minutes shall be made of all resolutions and proceedings at each Meeting. The Chairman shall sign the minutes, which shall be *prima facie* evidence of the proceedings recorded therein. Unless and until the contrary is proved, every such Meeting in respect of the proceedings of which minutes have been summarised and signed shall be deemed to have been duly convened and held and all resolutions passed or proceedings transacted at it to have been duly passed and transacted.

Article 22

Written Resolution

A Written Resolution shall take effect as if it were an Extraordinary Resolution.

Article 23

Individual Actions and Remedies

Subject to the Conditions and subject to the Intercreditor Agreement, which documents are deemed to be accepted by the Noteholders by way of purchase of, or subscription for, the Notes, the right of each Noteholder to bring individual actions or take other individual remedies to enforce his/her rights under the Notes will be subject to the Meeting not passing a resolution objecting to such individual action or other remedy on the grounds that it is not convenient at the time when the Meeting is held, having regard to the interests of the Noteholders. In this respect, the following provisions shall apply:

- a. any Noteholder intending to enforce his/her rights under the Notes will notify the Representative of the Noteholders of his/her intention;
- b. the Representative of the Noteholders will, without delay, call for the Meeting as set out in these Rules;
- c. if the Meeting passes a resolution objecting to the enforcement of the individual action or remedy, the Noteholder will be prevented from taking such action or remedy (provided that the same matter can be submitted again to a further Meeting after a reasonable period of time has elapsed); and
- d. if the Meeting passes a resolution that does not object to the enforcement of the individual action or remedy, or no resolution is taken by the Meeting for want of quorum, the Noteholder will not be prohibited from taking such individual action or remedy.

No individual action or remedy can be taken by a Noteholder to enforce his/her rights under the Notes unless a Meeting has been held to resolve on such action or remedy in accordance with the provisions of this Article 23.

THE REPRESENTATIVE OF THE NOTEHOLDERS

Article 24

Appointment, Removal and Remuneration

The appointment of the Representative of the Noteholders takes place at a Meeting in accordance with the provisions of this Article 24, save as in respect of the appointment of the first Representative of the Noteholders that will be KPMG.

Any substitute Representative of the Noteholders shall be:

- 1) a bank incorporated in any jurisdiction of the European Union or a bank incorporated in any other jurisdiction acting through an Italian branch or through a branch situated in a European Union Member; or
- 2) a company or financial institution registered under article 107 of the Consolidated Banking Act; or
- 3) a "*società fiduciaria*" regulated under the Italian Law n. 1966 of 1939 and Italian ministerial decree 16 January of 1995; or
- 4) any other entity which may be permitted to act in such capacity by any specific provisions of Italian law applicable to the securitisation of monetary rights and/or by any regulations, instructions, guidelines and/or specific approvals issued by the competent Italian supervising authorities.

The Representative of the Noteholders shall be appointed for unlimited term and can be removed by the Meeting at any time.

In the event of a termination of the appointment of the Representative of the Noteholders for any reason whatsoever, the Representative shall remain in charge until acceptance of appointment by the substitute Representative of the Noteholders designated among the entities indicated in 1), 2), 3) or 4) above, the appointment of such Representative shall not be effective until such time as (i) the Issuer, and the Other Issuer Creditors have granted to such substitute Representative of the Noteholders the mandates required to be granted pursuant to the terms of the Intercreditor Agreement and (ii) provided also that any such substitute Representative of the Noteholders shall also have been appointed as Security Trustee pursuant to the provisions of the Deed of Charge. The powers and authority of the Representative of the Noteholders whose appointment has been terminated, shall be limited to those necessary for the performance of the essential functions which are required to be complied with in connection with the Notes.

Directors, auditors, employees of the Issuer and those who fall within the conditions indicated in article 2399 of the Italian Civil Code (provided that the circumstances that a party acts in another capacity in the framework of the Securitisation, the Existing Securitisations or any other securitisation that the Issuer may carry out in the future shall be disregarded for the purpose of establishing if such conditions are met) cannot be appointed Representative of the Noteholders, and, if appointed, shall be automatically removed from the appointment.

The Issuer shall pay to the Representative of the Noteholders as fee for its services as Representative of the Noteholders as from the date hereof such upfront and annual fee as agreed in the Subscription Agreements or in a separate fees letter, plus VAT if applicable, and a flat-rate fee, plus VAT if applicable, in the event that during a Collection Period the Representative of the Noteholders is required to perform certain additional activities specified in the Subscription Agreements; the above is in addition to such additional remuneration as shall be agreed between the Issuer and the Representative of the Noteholders where the latter performs activities of an exceptional nature or otherwise outside the scope of the normal duties of the Representative of the Noteholders under the Subscription Agreements. The above fees and remuneration shall accrue, where appropriate, from day to day and shall be payable in accordance with the applicable Order of Priority up to (and including) the date when the Notes have been repaid in full or cancelled in accordance with the Conditions.

Article 25

Duties and Powers

The Representative of the Noteholders is the legal representative of the Organisation of Noteholders.

Subject to the Conditions and subject to the Intercreditor Agreement, which documents are deemed to be accepted by the Noteholders by way of purchase of, or subscription for, the Notes, the Representative of the Noteholders is responsible for implementing the decisions of the Meeting and for protecting the Noteholders' common interests *vis-à-vis* the Issuer, to the extent and within the limits set forth in the terms and Conditions and the Intercreditor Agreement. The Representative of the Noteholders has the right to attend Meetings. The Representative of the Noteholders may convene a Meeting to obtain instructions from the holders of the relevant Class on action to be taken.

All actions taken by the Representative of the Noteholders in the execution and exercise of all its powers and authorities and of discretion vested in it shall be taken by duly authorised officer(s) for the time being of the Representative of the Noteholders. The Representative of the Noteholders may also, whenever it considers it expedient and in the interests of the Noteholders, whether by power of attorney or otherwise, delegate to any person(s) all or any of the trusts, powers, authorities and discretion vested in it as aforesaid. Any such delegation may be made upon such terms and conditions and subject to such regulations (including power to sub-delegate) as the Representative of the Noteholders may think fit in the interests of the Noteholders. The Representative of the Noteholders shall not, other than in the normal course of its business, be bound to supervise the proceedings but shall be responsible for any loss incurred by, any misconduct or default on the part of, such delegate or sub-delegate. The Representative of the Noteholders shall as soon as reasonably practicable give notice to the Issuer of the appointment, renewal, extension and termination of any delegate as aforesaid and shall procure that any delegate shall also, as soon as reasonably practicable, give notice to the Issuer of the appointment, renewal, extension or termination of any sub-delegate.

The Representative of the Noteholders shall be authorised to represent the Organisation of Noteholders in judicial proceedings, including in proceedings involving the Issuer in creditors' agreement (*concordato preventivo*), forced liquidation (*fallimento*) or compulsory administrative liquidation (*liquidazione coatta amministrativa*).

Article 26

Resignation of Representative of the Noteholders

The Representative of the Noteholders may resign at any time upon giving not less than three calendar months' notice in writing to the Issuer without assigning any reason therefore and without being responsible for any costs incurred as a result of such resignation. The resignation of the Representative of the Noteholders shall not become effective until the Meeting has appointed a new representative of the noteholders. If a new representative of the noteholders is not appointed by the Meeting sixty days after such notice of resignation, the resigning Representative of the Noteholders will be entitled to appoint its own successor, provided that any such successor shall meet the requirements of Article 24 herein.

Article 27

Exoneration of the Representative of the Noteholders

The Representative of the Noteholders shall not assume any other obligations in addition to those expressly provided herein and in the Transaction Documents.

- (a) Without limiting the generality of the foregoing, the Representative of the Noteholders but always subject to the Conditions and the Intercreditor Agreement:
 - (i) shall not be under obligation to take any steps to ascertain whether a Trigger Event or any other event, condition or act, the occurrence of which would cause a right or remedy to become exercisable by the Representative of the Noteholders hereunder or under any of the other Transaction Documents has happened and, until it shall have actual knowledge or express notice to the contrary, the Representative of the Noteholders shall be entitled to assume that no Trigger Event has occurred;
 - (ii) shall not be under any obligation to monitor or supervise the observance and performance by the Issuer, the Noteholders or any of the other parties to the Transaction Documents of their obligations thereunder (including under these Rules) and, until it shall have actual knowledge or express notice to the contrary, it shall be entitled to assume that the Issuer and each party to any Transaction Document is observing and performing all the obligations on its part contained in the Notes and hereunder or, as the case may be, any Transaction Document to which it is a party or by which it is bound;
 - (iii) shall not be under any obligation to give notice to any person of the execution of these Rules or any of the Transaction Documents or any transaction contemplated hereby or thereby;
 - (iv) shall not be responsible for or for investigating the legality, validity, effectiveness, adequacy, suitability or genuineness of these Rules or of any other Transaction Document, or any other document or any obligation or rights created or purported to be created hereby or thereby or pursuant hereto or thereto, and (without prejudice to the generality of the foregoing), it shall not have any responsibility for or have any duty to make any investigation in respect of or in any way be liable whatsoever for (i) the nature, status, creditworthiness or solvency of the Issuer, (ii) the existence, accuracy or sufficiency of any legal or other opinions, searches, reports, certificates, valuations or investigations delivered or obtained or required to be delivered or obtained at any time in connection herewith; (iii) the suitability, adequacy or sufficiency of any collection procedures operated by the Servicer or compliance therewith; (iv) the failure by the Issuer to obtain or comply with any licence, consent or other authority in connection

with the purchase or administration of the Portfolio; (v) any accounts, books, records or files maintained by the Issuer, the Servicer, the Special Servicers and the Banks or any other person in respect of the Portfolio;

- (v) shall not be responsible for the receipt or application by the Issuer of the proceeds of the issue of the Notes or the distribution of any of such proceeds to the persons entitled thereto;
 - (vi) shall have no responsibility for the maintenance of any rating of the Notes by the Rating Agency or any other credit or rating agency or any other person;
 - (vii) shall not be responsible for or for investigating any matter which is the subject of, any recitals, statements, warranties or representations of any party other than the Representative of the Noteholders contained herein or any other Transaction Document;
 - (viii) shall not be bound or concerned to examine or enquire into or be liable for any defect or failure in the right or title of the Issuer to the Portfolio or any part thereof whether such defect or failure was known to the Representative of the Noteholders or might have been discovered upon examination or enquiry or whether capable of remedy or not;
 - (ix) shall not be liable for any failure, omission or defect in registering or filing or procuring registration or filing of or otherwise protecting or perfecting these Rules or any Transaction Document;
 - (x) shall not be under any obligation to insure the Portfolio or any part thereof;
 - (xi) shall not be obliged to have regard to the consequences of any modification of these Rules or any of the Transaction Documents for individual Noteholders or any relevant persons resulting from their being for any purpose domiciled or resident in, or otherwise connected with, or subject to, the jurisdiction of any particular territory;
 - (xii) shall not (unless and to the extent ordered so to do by a court of competent jurisdiction) be under any obligation to disclose to any Noteholder, any Other Issuer Creditor or any other party any confidential, financial, price sensitive or other information made available to the Representative of the Noteholders by the Issuer or any other person in connection with these Rules and no Noteholder, Other Issuer Creditor or any other party shall be entitled to take any action to obtain from the Representative of the Noteholders any such information.
- (b) The Representative of the Noteholders subject to the Conditions and the Intercreditor Agreement:

- (i) may agree without the consent of the Noteholders amendments or modifications to these Rules (other than in respect of a Basic Terms Modification or any provision in these Rules referred to in the definition of “Basic Terms Modification”) or to any of the other Transaction Documents which, in the opinion of the Representative of the Noteholders, it is expedient to make or is a correction of a manifest error or is of a formal, minor or technical nature or it is necessary or expedient to make in light of the ongoing requirements of any of the Existing Securitisations or in the framework of the Issuer implementing a further securitisation in accordance with Condition 3.14 and clause 10.2.14 (*Further Securitisations*) of the Intercreditor Agreement provided that the Representative of the Noteholders is of the opinion that such modification will not be materially prejudicial to the interests of the Class A Noteholders, or, in the event the Class A Notes have been redeemed in full, the Class B Noteholders.

Any such modification shall be binding on the Noteholders and, unless the Representative of the Noteholders otherwise agrees, the Issuer shall cause such modification to be notified to the Noteholders as soon as practicable thereafter;

- (ii) may act on the advice or a certificate or opinion of or any information obtained from any lawyer, accountant, banker, broker, credit or rating agency or other expert whether obtained by the Issuer, the Representative of the Noteholders or otherwise and shall not, in the absence of fraud, gross negligence or wilful misconduct on the part of the Representative of the Noteholders, be responsible for any loss occasioned by so acting. Any such advice, opinion or information may be sent or obtained by letter, telex, telegram, facsimile transmission, e-mail or cable and, in the absence of fraud, gross negligence or wilful misconduct on the part of the Representative of the Noteholders, the Representative of the Noteholders shall not be liable for acting on any advice, opinion or information contained in or purporting to be conveyed by any such letter, telex, telegram, facsimile transmission, e-mail or cable notwithstanding any error contained therein or the non-authenticity of the same;
- (iii) may call for and shall be at liberty to accept as sufficient evidence of any fact or matter or the expediency of any transaction or things, unless any of its officers in charge of the administration of these Rules shall have actual knowledge or express notice to the contrary, a certificate duly signed by the legal representative of the Issuer, and the Representative of the Noteholders shall not be bound in any such case to call for further evidence or be responsible for any loss that may be occasioned by the Representative of the Noteholders acting on such certificate;
- (iv) save as expressly otherwise provided herein, shall have absolute discretion as to the exercise, non exercise or refraining from exercise of any right, power and discretion vested in the Representative of the Noteholders by these Rules or by operation of law

and the Representative of the Noteholders shall not be responsible for any loss, costs, damages, expenses or inconveniences that may result from the exercise, non-exercise or refraining from exercise thereof except insofar as the same are incurred as a result of its fraud, gross negligence or wilful default;

- (v) shall be at liberty to hold or to place these Rules, the other Transaction Documents and any other documents relating hereto in any part of the world with any bank officer or financial institution or company whose business includes undertaking the safe custody of documents or lawyer or firm of lawyers considered by the Representative of the Noteholders to be of good repute and the Representative of the Noteholders shall not be responsible for or required to insure against any loss incurred in connection with any such custody and may pay all sums required to be paid on account of or in respect of any such custody;
- (vi) in connection with matters in respect of which the Representative of the Noteholders is entitled to exercise its discretion hereunder or under any other Transaction Documents, the Representative of the Noteholders shall use its professional diligence and care to so exercise its discretion and in the most expeditious way, provided that it is entitled to convene a Meeting of the holders of any Class in order to obtain from them instructions upon how the Representative of the Noteholders should exercise such discretion provided that nothing herein shall be construed so as to oblige the Representative of the Noteholders to convene such a Meeting. Prior to undertaking any action, the Representative of the Noteholders shall be entitled to be prior indemnified by the Issuer and/or provided with security to its satisfaction against all actions, proceedings, claims and demands to which it may render itself liable and all costs, charges, damages, expenses and liabilities which it may incur by taking such action;
- (vii) in connection with matters in respect of which the Noteholders are entitled (including, for the avoidance of doubt and without limitation, when the Noteholders have been so requested) to direct the Representative of the Noteholders, the Representative of the Noteholders shall not be liable for acting upon any resolution purporting to have been passed at any Meeting of the holders of the relevant Class in respect whereof minutes have been made and signed even though subsequent to its acting, it transpires that there was some defect in the constitution of the Meeting or the passing of the resolution or that for any reason the resolution was not valid or binding upon such Noteholders;
- (viii) may call for and shall be at liberty to accept and place full reliance on as sufficient evidence of the facts stated therein, a certificate or letter of confirmation certified as true and accurate and signed on behalf of any common depository as the

Representative of the Noteholders considers appropriate, or any form of record made by any of them to the effect that at any particular time or throughout any particular period any particular person is, was, or will be, shown in its records as entitled to a particular number of Notes;

- (ix) may certify whether or not a Trigger Event is in its opinion materially prejudicial to the interests of the Noteholders and any such certificate shall be conclusive and binding upon the Issuer, the Noteholders, the Other Issuer Creditors and any other relevant person;
- (x) may determine whether or not a default in the performance by the Issuer of any obligation under the provisions of these Rules or contained in the Notes or any of the other Transaction Documents is capable of remedy and, if the Representative of the Noteholders shall certify that any such default is, in its opinion, not capable of remedy, such certificate shall be conclusive and binding upon the Issuer, the Noteholders and any relevant person;
- (xi) may assume without enquiry that no Notes are for the time being held by or for the benefit of the Issuer;
- (xii) shall be entitled to call for and to rely upon a certificate or any letter of confirmation or explanation reasonably believed by it to be genuine, of any party to the Security and Intercreditor Agreement or any Other Issuer Creditor or any rating agency in respect of every matter and circumstance for which a certificate is expressly provided for hereunder or any other Transaction Document or in respect of the rating of the Notes and it shall not be bound in any such case to call for further evidence or be responsible for any loss, liability, costs, damages, expenses or inconvenience that may be occasioned by its failing so to do; and
- (xiii) shall be entitled to assume, for the purposes of exercising any power, authority, duty or discretion under or in relation hereto that such exercise will not be materially prejudicial to the interests of the Noteholders of a Class, subject to the Rating Agency being duly informed of such exercise and the Representative of the Noteholders being satisfied that the rating of the Notes would not be adversely affected thereby.

Subject to the Conditions and the Intercreditor Agreement, any consent or approval given by the Representative of the Noteholders under these Rules and any other Transaction Document may be given on such terms and subject to such conditions (if any) as the Representative of the Noteholders thinks fit and notwithstanding anything to the contrary contained herein, or in any other Transaction Document, such consent or approval may be given retrospectively.

No provision of these Rules shall require the Representative of the Noteholders to do anything which may be illegal or contrary to applicable law or regulation or expend or risk its own funds or otherwise incur any financial liability in the performance of any of its duties, or in the exercise of any of its rights or powers, if it shall have reasonable grounds for believing that repayment of such funds or adequate indemnity against such risk or liability is not assured to it.

Article 28

Indemnity

It is hereby acknowledged that the Issuer has covenanted and undertaken under the Subscription Agreements to reimburse, pay or discharge (on a full indemnity basis) on demand, to the extent not already reimbursed, paid or discharged by any other party, all costs, liabilities, losses, charges, expenses, damages, actions, proceedings, claims and demand (including, without limitation, legal fees and any applicable value added tax or similar tax) properly incurred by or made against the Representative of the Noteholders or by any persons appointed by it to whom any power, authority or discretion may be delegated by it, in relation to the preparation and execution of, the exercise or purported exercise of its powers and performance of its duties under, and in any other manner in relation to, these Rules or the Transaction Documents, including but not limited to legal and travelling expenses and any stamp, issue, registration, documentary and other taxes or duties paid by the Representative of the Noteholders in connection with any action and/or legal proceedings brought or contemplated by the Representative of the Noteholders pursuant these Rules and any other Transaction Documents, for enforcing any obligations hereunder, under the Notes or the Transaction Documents, except insofar as the same are incurred because of the fraud, gross negligence or wilful misconduct of the Representative of the Noteholders.

THE ORGANISATION OF NOTEHOLDERS UPON SERVICE OF A TRIGGER NOTICE

Article 29

Powers

It is hereby acknowledged that, upon service of an Enforcement Notice, the Representative of the Noteholders shall, pursuant to the Mandate Agreement, be entitled, in its capacity as legal representative of the Organisation of Noteholders, also in the interest and for the benefits of the Other Issuer Creditors, pursuant to article 1411 and 1723 of the Italian Civil Code, to exercise certain rights in relation to the Portfolio pursuant to the Transaction Documents and in particular, to dispose of the Portfolio in accordance with Condition 10.2. Therefore, the Representative of the Noteholders, in its capacity as legal representative of the Organisation of Noteholders, will be authorised, pursuant to the terms of the Mandate Agreement, to exercise, in the name and on behalf of the Issuer and as *mandatario in rem propriam* of the Issuer, all and any of the Issuer's Rights, including the right to give directions and instructions to the relevant parties to the Transaction

Documents. In connection with any proposed sale of one or more Claims comprised in the Portfolio, the Representative of the Noteholders may, but shall not be obliged to, convene a Meeting in accordance with the provisions set out in these Rules to resolve on the proposed sale.

GOVERNING LAW AND JURISDICTION

Article 30

Governing Law - Jurisdiction

These Rules are governed by, and will be construed in accordance with, the laws of Italy and shall be subject to the exclusive jurisdiction of the courts of Milan, Italy.

TAXATION

The following is a general summary of current Italian law and practice relating to certain Italian tax considerations concerning the purchase, ownership and disposition of the Senior Notes. It does not purport to be a complete analysis of all tax considerations that may be relevant to any investor's decision to purchase, own or dispose of the Senior Notes and does not purport to deal with the tax consequences applicable to all categories of prospective beneficial owners of Senior Notes, some of which may be subject to special rules.

The following summary does not discuss the treatment of Senior Notes that are held in connection with a permanent establishment or fixed base through which a non-Italian resident beneficial owner carries on business or performs professional services in the Republic of Italy.

This summary is based upon tax laws and practice of Italy in effect at the date of this Prospectus which are potentially subject to retrospective amendment.

Prospective purchasers of Senior Notes should consult their tax advisers as to the consequences under Italian tax law, under the tax laws of the country in which they are resident for tax purposes and of any other potentially relevant jurisdiction of acquiring, holding and disposing of Senior Notes and receiving payments of interest, principal and/or other amounts under the Senior Notes, including in particular the effect of any state, regional or local tax laws.

Prospective noteholders should in any event seek their own professional advice regarding the Italian or other tax consequences of the subscription, purchase, ownership and disposition of the Senior Notes in these circumstances, including the effect of any state, local or foreign tax laws.

Income Tax on the proceeds

Under the current legislation, pursuant to the provision of Article 6, paragraph 1, of the Securitisation Law and Italian Legislative Decree No. 239 of 1 April 1996, (“**Decree No. 239**”), payments of interest and other proceeds in respect of the Senior Notes having an original maturity of not less than 18 months (hereinafter, for the purposes of this section headed “*Taxation*” also simply the “**Notes**”):

- (a) will be subject to an “*imposta sostitutiva*” at the rate of 12.5% in the Republic of Italy if made to beneficial owners who are: (i) individuals resident in the Republic of Italy for tax purposes, holding Notes not in connection with entrepreneurial activities (unless they have entrusted the management of their financial assets, including the Notes, to an authorised intermediary and have opted for the so-called “*risparmio gestito* regime” according to Article 7 of Italian Legislative Decree No. 461 of 21 November 1997 - the “**Asset Management Option**”); (ii) Italian resident non-commercial partnerships; (iii) Italian resident public and private entities, other than companies, not carrying out commercial activities as their exclusive or principal purpose (including the Italian State and public entities); (iv) Italian resident entities exempt from corporate income tax; and (v) non-Italian resident entities or persons without a permanent establishment in the Republic of Italy to which the Notes are effectively connected,

which are not eligible for the exemption from the “*imposta sostitutiva*” and/or do not timely comply with the requirements set forth in Decree No. 239 and the relevant application rules in order to benefit from the exemption from the “*imposta sostitutiva*”. As to non-Italian resident beneficial owners, the “*imposta sostitutiva*” may be reduced under double taxation treaties entered into by the Republic of Italy, where applicable.

In case the Notes are held by an individual engaged in a business activity and are effectively connected with same business activity, the interest will be subject to the *imposta sostitutiva* and will be included in the relevant income tax return. As a consequence, the interest will be subject to the ordinary income tax and the *imposta sostitutiva* may be recovered as a deduction from the income tax due.

The final 12.5% “*imposta sostitutiva*” will be applied by the Italian resident qualified financial intermediaries that will intervene, in any way, in the collection of interest and other proceeds on the Notes or in the transfer of the Notes;

- (b) will not be subject to the “*imposta sostitutiva*” at the rate of 12.5% if made to beneficial owners who are: (i) Italian resident corporations, commercial partnerships, individual entrepreneurs holding Notes in connection with entrepreneurial activities (please see specific reference above) or permanent establishments in the Republic of Italy of non resident corporations to which the Notes are effectively connected; (ii) Italian resident collective investment funds, SICAVs and Italian pension funds referred to in Italian Legislative Decree No. 252 of 5 December 2005; (iii) Italian resident individuals holding Notes not in connection with entrepreneurial activity who have entrusted the management of their financial assets, including the Notes, to an Italian authorised financial intermediary and have opted for the Asset Management Option; (iv) Italian real estate investment funds (“*Fondi comuni di investimento immobiliare*”); and (v), non-Italian resident beneficial owners of the Notes with no permanent establishment in the Republic of Italy to which the Notes are effectively connected, *provided that*:
 - (i) they are resident in a country which allows an adequate exchange of information. With reference to the above condition, according to Italian Ministerial Decree of 12 December 2001, the present list of the countries allowing an adequate exchange of information is that contained in the Ministerial Decree 4 September, 1996. The Finance Bill for 2008 provides that such list of countries will be that contained in a Ministerial Decree to be issued pursuant to the provisions embodied in Article 168 - *bis* of the Italian Presidential Decree No. 917 of 1986 introduced by the same Financial Bill for 2008. In particular, Article 168 - *bis* provides that such a Ministerial Decree will list all countries, which provide for an adequate exchange of information with Italy. The exemption from the “*imposta sostitutiva*” also applies to (1) non resident “institutional investors” (*i.e.* entities whose activity consists in making or managing investments on their own behalf or on behalf of other persons, as defined by *Circolare*

dell'Agenzia delle Entrate dated 1 March 2002 No. 23/E), even if they are not treated as taxpayers in their country of residence, but provided that they are resident in a country which allows an adequate exchange of information, (2) international organisations created pursuant to international treaties that are effective in the Republic of Italy, and (3) central banks or entities managing also the official reserves of the State;

- (ii) the Notes are deposited directly or indirectly: (1) with a bank or an Italian securities dealing firm (*società di intermediazione mobiliare*) (“**SIM**”) resident in the Republic of Italy; (2) with the Italian permanent establishment of a non-resident bank or brokerage company which is electronically connected with the Italian Ministry of Economy and Finance; or (3) with a non-resident entity or company which has an account with a centralised clearance and settlement system (such as Euroclear or Clearstream Luxembourg) which has a direct relationship with the Italian Ministry of Economy and Finance; or (4) a centralized managing company of financial instruments, authorized in accordance with Article 80 of the Financial Act;
- (iii) the banks or brokers mentioned in (ii) above receive a self-declaration from the beneficial owner of the interest which states that the beneficial owner is a resident of that country. The self-declaration, which must be in conformity with the model approved by the Ministry of Economy and Finance (approved with Decree of the Ministry of Economy and Finance 12 December 2001, published in the Ordinary Supplement No. 287 to the Official Journal No. 301 of 29 December 2001), is valid until revoked by the investor and does not have to be filed if an equivalent self-declaration (including Form 116/IMP) has been submitted to the same intermediary for the same or different purposes; in the case of institutional investors not subject to tax, the institutional investor shall be regarded as the beneficial owner and the relevant self-declaration shall be produced by the management company; and
- (iv) the banks or brokers mentioned in (ii) and (iii) above receive all necessary information to identify the non-resident beneficial owner of the deposited debt securities, and all necessary information in order to determine the amount of interest that such beneficial owner is entitled to receive.

Non-resident holders are subject to the 12.5% substitute tax on interest and other proceeds on the Notes if any of the above conditions (i), (ii), (iii) and (iv) is not satisfied.

Italian resident individuals holding Notes not in connection with entrepreneurial activity who have opted for the Asset Management Option are subject to a 12.5% annual substitute tax (the “**Asset Management Tax**”) on the increase in value of the managed assets accrued at the end of each tax year (which increase would include interest and other proceeds accrued on the Notes). The Asset Management Tax is applied on behalf of the taxpayer by the managing authorised intermediary.

Interest and other proceeds accrued on the Notes held by Italian resident corporations, commercial

partnerships, individual entrepreneurs holding the Notes in connection with entrepreneurial activities or permanent establishments in the Republic of Italy of non-resident corporations to which the Notes are effectively connected, are included in the taxable base for the purposes of: (i) corporate income tax (*imposta sul reddito delle società*, “**IRES**”) at 27.5%; or (ii) individual income tax (*imposta sul reddito delle persone fisiche*, “**IRPEF**”), at progressive rates, plus local surcharges, if applicable; under certain circumstances, such interest is included in the taxable basis of the regional tax on productive activities (*imposta regionale sulle attività produttive*, “**IRAP**”), at a rate of 3.9% (regions may vary the rate up to 0.9176%).

Italian resident collective investment funds and SICAVs are subject to a 12.5% annual substitute tax (the “**Collective Investment Fund Tax**”) on the increase in value of the managed assets accrued at the end of each tax year (which increase would include interest and other proceeds accrued on the Notes). Starting from 1 January 2001, Italian resident pension funds are subject to an 11% annual substitute tax (the “**Pension Fund Tax**”) in relation to the increase in value of the managed assets accrued at the end of each tax year.

According to Article 41-*bis* of Italian Law Decree No. 269 dated 30 September 2003, Italian real estate funds created under Article 37 of Italian Legislative Decree No. 58 dated 24 February 1998 and Article 14-*bis* of Italian Law No. 86 dated 25 January 1994 set up after 16 September 2001 and that have opted for such regime before 25 November 2001 are not subject to any substitute tax at the fund level, on the contrary, real estate funds that meet the requirements set forth by Article 82, paragraph 18, of Law Decree 112 are subject to a 1% “patrimonial tax” calculated on the net asset value of the same fund. Any income realised by certain subscribers of the real estate funds is subject to a 20% withholding tax.

Any positive difference between the nominal amount of the Notes and their issue price is deemed to be interest for tax purposes.

Without prejudice to the above provisions, in the event that the Notes are redeemed in full or in part prior to the expiry of the eighteen month period from the Issue Date, the Issuer may be required to pay an additional amount determined as a percentage of interest and other proceeds accrued on the Notes up to the time of the early redemption.

Capital Gains

Any capital gains realised upon the sale for consideration or redemption of the Notes will be treated for the purpose of corporate income tax and of individual income tax as part of the taxable business income of Noteholders (and, in certain cases, depending on the status of the Noteholders, may also be included in taxable basis of IRAP), and is therefore subject to tax in the Republic of Italy according to the relevant tax provisions, if realised by Noteholders who are:

- (a) Italian resident corporations;
- (b) Italian resident commercial partnerships;

- (c) permanent establishments in the Republic of Italy of foreign corporations to which the Notes are effectively connected; or
- (d) Italian resident individuals carrying out a commercial activity, as to any capital gains realised within the scope of the commercial activity carried out.

Pursuant to Italian Legislative Decree No. 461 of 21 November 1997, any capital gains realised by Italian resident individuals holding Notes not in connection with entrepreneurial activity and certain other persons upon the sale for consideration or redemption of the Notes would be subject to an “*imposta sostitutiva*” at the current rate of 12.5%. Under the tax declaration regime, which is the standard regime for taxation of capital gains realised by Italian resident individuals not engaged in entrepreneurial activity, the “*imposta sostitutiva*” on capital gains will be chargeable, on a cumulative basis, on all capital gains, net of any incurred capital loss. These individuals must report overall capital gains realised in any tax year, net of any relevant incurred capital loss, in the annual tax declaration to be filed with the Italian tax authorities for such year and pay the “*imposta sostitutiva*” on such gains together with any balance on income tax due for such year. Capital losses in excess of capital gains may be carried forward against capital gains realised in any of the four succeeding tax years.

As an alternative to the tax declaration regime, Italian resident individual noteholders holding Notes not in connection with entrepreneurial activity may elect to pay the “*imposta sostitutiva*” separately on capital gains realised on each sale or redemption of the Notes (the “**Risparmio Amministrato**” regime). Such separate taxation of capital gains is allowed subject to: (i) the Notes being deposited with Italian securities dealing firm (*società di intermediazione mobiliare*) (SIM) or certain authorised financial intermediaries; and (ii) an express election for the *Risparmio Amministrato* regime being made promptly in writing by the relevant Noteholder. The financial intermediary, on the basis of the information provided by the taxpayer, accounts for the “*imposta sostitutiva*” in respect of capital gains realised on each sale or redemption of Notes (as well as in respect of capital gains realised at the revocation of its mandate), net of any incurred capital loss, and is required to pay the relevant amount to the Italian tax authorities on behalf of the taxpayer, deducting a corresponding amount from proceeds to be credited to the Noteholder. Under the *Risparmio Amministrato* regime, where a sale or redemption of Notes results in capital loss, such loss may be deducted from capital gains subsequently realised in the same tax year or in the following tax years up to the fourth year. Under the *Risparmio Amministrato* regime, the Noteholder is not required to declare capital gains in its annual tax declaration and remains anonymous.

Any capital gains realised by Italian resident individuals holding Notes not in connection with entrepreneurial activity who have elected for the Asset Management Option will be included in the computation of the annual increase in value of the managed assets accrued, even if not realised, at year end, subject to the Asset Management Tax to be applied on behalf of the taxpayer by the managing authorised intermediary. Under the Asset Management Option, any depreciation of the managed assets accrued at year end may be carried forward against any increase in value of the

managed assets accrued in any of the four succeeding tax years. Under the Asset Management Option, the Noteholder is not required to report capital gains realised in its annual tax declaration and remains anonymous.

Any capital gains realised by Noteholders who are Italian resident collective investment funds and SICAVs will be included in the computation of the taxable basis of the Collective Investment Fund Tax.

Any capital gains realised by Noteholders who are Italian resident pension funds will be included in the computation of the taxable basis of Pension Fund Tax.

According to Article 41 *bis* of Italian Law Decree No. 269 dated 30 September 2003, real estate funds set up after 16 September 2001 or that have opted for such regime before 25 November 2001 are not subject to any substitute tax at the fund level, on the contrary, real estate funds that meet the requirements set forth by Article 82, paragraph 18, of Law Decree 112 are subject to a 1% “patrimonial tax” calculated on the net asset value of the same fund. Any income realised by certain subscribers of the real estate funds is subject to a 20% withholding tax.

The 12.5% final “*imposta sostitutiva*” may in certain circumstances be payable on capital gains realised upon sale for consideration or redemption of Notes by non-Italian resident persons or entities without a permanent establishment in the Republic of Italy to which the Notes are effectively connected, if the Notes are held in the Republic of Italy.

However, pursuant to Article 23 of Italian Presidential Decree No. 917 of 22 December 1986, any capital gains realised, by non-Italian residents without a permanent establishment in the Republic of Italy to which the Notes are effectively connected, through the sale for consideration or redemption of Notes are exempt from taxation in the Republic of Italy to the extent that the Notes are listed on a regulated market in the Republic of Italy or abroad (including the official list of the Luxembourg Stock Exchange) and in certain cases subject to filing of required documentation, even if the Notes are held in the Republic of Italy and regardless of the provisions set forth by any applicable double taxation treaty.

In case the Notes are not listed on a regulated market in the Republic of Italy or abroad:

- (1) as to capital gains realised by non-Italian resident beneficial owners of the Notes with no permanent establishment in the Republic of Italy to which the Notes are effectively connected are exempt from the “*imposta sostitutiva*” in the Republic of Italy on any capital gains realised upon sale for consideration or redemption of the Notes if they are resident, for tax purposes, in a country which recognises the Italian tax authorities right to an adequate exchange of information (Please note that, the Finance Bill for 2008 provides that such list of countries will be that contained in a Ministerial Decree to be issued pursuant to the provisions embodied in Article 168 - *bis* of the Italian Presidential Decree No. 917 of 1986 introduced by the same Financial Bill for 2008. In particular, Article 168 - *bis* provides that such a Ministerial Decree will list all countries, which provide for an adequate exchange of

information with Italy). If non-Italian residents without a permanent establishment in the Republic of Italy to which the Notes are effectively connected fall under the *Risparmio Amministrato* regime or the Asset Management Option, exemption from Italian capital gains tax will apply on the condition that they file an appropriate self-declaration within the relevant time limit with the authorised financial intermediary stating that they are resident in a country which allows an adequate exchange of information; and

- (2) in any event, non-Italian resident persons or entities without a permanent establishment in the Republic of Italy to which the Notes are effectively connected that may benefit from a double taxation treaty with the Republic of Italy, providing that capital gains realised upon the sale or redemption of the Notes are to be taxed only in the country of tax residence of the recipient, will not be subject to the “*imposta sostitutiva*” in the Republic of Italy on any capital gains realised upon sale for consideration or redemption of Notes; in this case, if non-Italian residents without a permanent establishment in the Republic of Italy to which the Notes are effectively connected fall under the *Risparmio Amministrato* regime or the Asset Management Option, exemption from Italian capital gains tax will apply on the condition that they file the appropriate documents within the relevant time limit with the authorised financial intermediary which include, *inter alia*, a statement from the competent tax authorities of the country of residence of the non-Italian residents.

Inheritance and Gift Taxes

Pursuant to Italian Law Decree No. 262 of 3 October, 2006, (Decree No. 262), converted into Law No. 286 of 24 November, 2006, the transfers of any valuable asset (including shares, bonds or other securities) as a result of death or donation are taxed as follows:

- (a) transfers in favour of spouses and direct descendants or direct ancestors are subject to an inheritance and gift tax applied at a rate of 4 per cent. on the value of the inheritance or the gift exceeding €1,000,000;
- (b) transfers in favour of relatives within the fourth degree or relatives-in-law of a direct lineage or other relatives-in-law of a collateral lineage up to the third degree, are subject to an inheritance and gift tax applied at a rate of 6 per cent. on the entire value of the inheritance or the gift. Transfers in favour of brothers/sisters are subject to the 6 per cent. inheritance and gift tax on the value of the inheritance or the gift exceeding €100,000; and
- (c) any other transfer is subject to an inheritance and gift tax applied at a rate of 8 per cent. on the entire value of the inheritance or the gift.

Transfer tax

Italian Law Decree no. 248 as of December 31, 2007 provided for the repeal of the transfer tax (*tassa sui contratti di borsa*). As a result, starting from December 31, 2007 the disposal of Notes

does not trigger the application of such transfer tax anymore.

European Withholding Tax Directive

The Italian Government has implemented in the Republic of Italy the directive regarding the taxation of savings income (the “**Directive**”) adopted by the European Union Council of Economic and Finance Ministers on 3 June 2003 by approving the Italian Legislative Decree No. 84 of 18 April 2005 (the “**Decree No. 84**”). The Decree No. 84 has been published on the Official Gazette of 23 May 2005 No. 118 and its provisions apply to interest payments made as of 1 July 2005. Pursuant to the Directive, each member states of the European Union (the “**Member State**” and together the “**Member States**”) will ultimately be expected to provide information to other Member States on interest paid from that Member State to individual savers resident in those other Member States. For a transitional period, Belgium, Luxembourg and Austria will be allowed to apply a withholding tax instead of providing information, at a rate of 15% the first three years (1st July 2005 – 30th June 2008), 20% for the subsequent three years (1st July 2008 – 30th June 2011) and 35% from 1st July 2011 onwards. These three Member States will implement automatic exchange of information:

- (1) if and when the EC enters into an agreement by unanimity in the Council with Switzerland, Liechtenstein, San Marino, Monaco and Andorra in exchange of information upon request as defined in the OECD Agreement on Exchange of Information on Tax Matters (as developed by the OECD global forum working group on effective exchange of information in 2002) in relation to interest payments, and to continue to apply simultaneously the withholding tax; and
- (2) if and when the Council agrees by unanimity that the United States is committed to exchange information upon request as defined in the 2002 OECD Agreement in relation to interest payments.

The Directive has a broad scope, covering interest from debt-claims of every kind, including cash deposits and corporate and government bonds and other similar negotiable debt securities. The definition of interest extends to cases of accrued and capitalised interest. This includes, for example, interest that is calculated to have accrued by the date of sale or redemption of a bond of a type where normally interest is only paid on maturity together with the principal (a so-called “zero-coupon bond”). The definition also includes interest income obtained as a result of indirect investment via collective investment undertakings (*i.e.* investment funds managed by specialist fund managers who placed the investments made by individuals in a diverse range of Assets according to defined risk criteria).

The European Commission, further to a mandate received from the Council on 16 October 2001, concluded negotiations with key non-EU countries (Liechtenstein, Monaco, Andorra, San Marino, Switzerland) to ensure the adoption of equivalent measures in those countries in order to allow effective taxation of savings income paid to EU residents.

According to the provisions set forth by the Decree No. 84, banks, *Poste Italiane S.p.A.*, SIM, asset management companies, financial intermediaries, fiduciary companies resident in the Republic of Italy and any other person resident in the Republic of Italy which for professional or commercial reasons pay or attributed the payment of interest to individuals resident in another Member States who are the beneficial owners of such payment shall provide information to the competent Italian tax office (*Agenzia delle Entrate*) with respect to the identity and the residence of the relevant beneficial owner of that payment. The *Agenzia delle Entrate* automatically transmits the information so collected to the competent tax office of the Member State where the beneficial owner is resident within 30 June of the subsequent year to that one in which the payments have been made.

SUBSCRIPTION AND SALE

Introduction

Pursuant to the Senior Notes Subscription Agreement, the Lead Manager has agreed to subscribe and pay the Issuer for the Senior Notes at their Issue Price and the Issuer has agreed to pay the Lead Manager the agreed selling, management and underwriting commissions (to the extent not paid by Intesa Sanpaolo), subject to the terms and conditions set forth therein.

The Senior Notes Subscription Agreement is subject to a number of conditions and may be terminated by the Lead Manager in certain circumstances as more particularly detailed therein. In compliance with the provisions of the Senior Notes Subscription Agreement, the Issuer has agreed to indemnify the Lead Manager against certain losses and liabilities described therein in connection with the issue or offer of the Senior Notes.

Pursuant to the Senior Notes Subscription Agreement, the sale and distribution of the Senior Notes is subject to the following selling restrictions.

Selling Restrictions

United States

The Notes have not been and will not be registered under the United States Securities Act 1933 (the “**Securities Act**”), and have not been registered or qualified under any state securities or “Blue Sky” laws of the United States and may not be offered or sold within the United States or to, or for the account or benefit of, U.S. persons except in certain transactions exempt from, or not subject to, the registration requirements of the Securities Act. Terms used in this paragraph have the meanings given to them in Regulation S under the Securities Act (“**Regulation S**”).

Compliance by the Issuer with United States securities laws

The Issuer has represented, warranted and undertaken to the Lead Manager and the Bookrunner in the Senior Notes Subscription Agreement that:

- 1) neither it nor any of its affiliates (as defined in Rule 405 under the Securities Act) nor any other person acting on their behalf will sell, offer for sale, solicit, offer to buy or otherwise negotiate in respect of, any security (as defined in the Securities Act) in a manner that would require the registration of the Senior Notes under the Securities Act;
- 2) neither it nor any of its affiliates nor any other person acting on their behalf has engaged or will engage in any directed selling efforts (as defined in Regulation S under the Securities Act) in the United States in respect of the Senior Notes; and

- 3) the Issuer is a “foreign issuer” (as defined in Regulation S under the Securities Act) and reasonably believes there is no “substantial U.S. market interest” (as defined in Regulation S under the Securities Act) in the debt securities of the Issuer, and the Issuer has complied with the offering restriction requirements of Regulation S.
- 4) neither it nor any of its affiliates (as defined in Rule 405 under the Securities Act) nor any other person acting on its or their behalf will engage in any form of general solicitation or general advertising (as those terms are used in Rule 502(c) of Regulation D under the Securities Act), in connection with the offering of the Senior Notes in the United States.

Lead Manager compliance with United States securities laws

The Lead Manager has represented, warranted and undertaken to the Issuer in the Senior Notes Subscription Agreement as follows, except as permitted by the Senior Notes Subscription Agreement. Terms used below in this paragraph have the meanings given to them in Regulation S under the Securities Act.

- 1) It has offered and sold the Notes, and will offer or sell the Notes only in “offshore transactions” in accordance with Rule 903 of Regulation S under the Securities Act;
- 2) neither it, its affiliates nor any person acting on its or their behalf have engaged or will engage in any directed selling efforts within the meaning of Rule 902 of Regulation S under the Securities Act with respect to the Notes; and
- 3) neither it, its affiliates nor any person acting on its or their behalf, has solicited or will solicit any offer to buy or sell the Notes by any form of general solicitation or general advertising, including but not limited to the methods described in Rule 502(c) under the Securities Act in connection with the offer and sale of the Notes in the United States; and
- 4) it has not entered and will not enter into any contractual arrangement with respect to the distribution or delivery of the Notes, except with its affiliates or with the prior written consent of the Issuer.

Lead Manager compliance with United States Treasury regulations

The Lead Manager moreover has represented, warranted and undertaken to the Issuer in the Senior Notes Subscription Agreement as follows. Terms used below in this paragraph have the meanings given to them in the United States Internal Revenue Code of 1986 and regulations thereunder, including the D Rules.

- 1) Except to the extent permitted under United States Treasury Regulation §1.163-5(c)(2)(i)(D) (the “**D Rules**”): (i) it has not offered or sold, and until the expiration of a restricted period of 40 days from the earlier of the commencement of the offering or the Issue Date will not offer or

sell, any Notes in bearer form to a person who is within the United States or its possessions or to a United States person; and (ii) it has not delivered and will not deliver in definitive form within the United States or its possessions any Notes sold during the restricted period;

- 2) it has, and throughout the restricted period will have, in effect procedures reasonably designed to ensure that its employees or agents who are directly engaged in selling Notes are aware that the Notes may not be offered or sold during the restricted period to a person who is within the United States or its possessions or to a United States person, except as permitted by the D Rules;
- 3) if it is a United States person, it is acquiring the Notes in bearer form for the purposes of resale in connection with their original issuance and, if it retains Notes for its own account, it will only do so in accordance with the requirements of United States Treasury Regulation §1.163-5(c)(2)(i)(D)(6);
- 4) with respect to each affiliate of the Lead Manager that acquires Notes in bearer form from the Lead Manager for the purpose of offering or selling such Notes during the restricted period, the Lead Manager either: (a) repeats and confirms for the benefit of the Issuer the representations, warranties and undertakings contained in paragraphs (1), (2) and (3) above on such affiliate's behalf; or (b) agrees that it will obtain from such affiliate for the Issuer's benefit the representations, warranties and undertakings contained in paragraphs (1), (2) and (3) above; and
- 5) it has not entered and will not enter into any contractual arrangement with a distributor (as that term is defined for purposes of the D Rules) with respect to the distribution of the Notes, except with its affiliates or with the prior written consent of the Issuer.

Italy

The Lead Manager has agreed and represented that the offering of the Notes has not been cleared by *Commissione Nazionale per le Società e la Borsa* (“**CONSOB**”) pursuant to Italian securities legislation.

Accordingly, the Lead Manager has represented and agreed that it has not offered, sold or delivered, and will not offer, sell or deliver, and has not distributed and will not distribute and has not made and will not make available in the Republic of Italy, any Notes, this Prospectus nor any other offering material relating to the Notes other than:

- 1) to qualified investors (“*investitori qualificati*”) as referred to in article 100 of the Financial Act and defined by the Prospectus Directive, provided that such professional investors will act in that capacity and not as depositaries or nominees for other holders; or
- 2) in circumstances which are exempted from the rules on solicitation of investments pursuant to article 100 of the Financial Act and article 34-ter, first paragraph, of CONSOB Regulation No. 11971 of 14 May 1999.

Any offer of the Notes to professional investors in the Republic of Italy shall be made only (i) by banks, investment firms or financial intermediary enrolled in the special register provided for in Article 107 of the Consolidated Banking Act, to the extent duly authorised to engage in the placement and/or underwriting of financial instruments in the Republic of Italy in accordance with the relevant provisions of the Financial Act and implementing regulations; (ii) in accordance with any other applicable laws and regulations. Individual sales of the Notes to any persons in the Republic of Italy may only be made in accordance with Italian securities, tax and other applicable laws and regulatory guidelines.

United Kingdom

The Lead Manager has represented, warranted and agreed with the Issuer in the Subscription Agreement that:

- 1) it has not offered or sold and will not offer or sell any Notes to persons in the United Kingdom otherwise than in circumstances which have not resulted and will not result in an offer to the public in the United Kingdom within the meaning of the FSMA;
- 2) it has only communicated or caused to be communicated and will only communicate or cause to be communicated any invitation or inducement to engage in investment activity (within the meaning of Section 21 of FSMA) received by it in connection with the issue or sale of such Notes in circumstances in which Section 21(1) of FSMA does not apply to the Issuer; and
- 3) it has complied and will comply with all applicable provisions of FSMA with respect to anything done by it in relation to such Notes in, from or otherwise involving the United Kingdom.

European Economic Area

In relation to each Member State of the European Economic Area which has implemented the Prospectus Directive (each, a “**Relevant Member State**”), the Lead Manager has represented and agreed that with effect from and including the date on which the Prospectus Directive is implemented in that Relevant Member State (the “**Relevant Implementation Date**”) it has not made and will not make an offer of Notes to the public in that Relevant Member State prior to the publication of a prospectus in relation to the Notes which has been approved by the competent authority in that Relevant Member State or, where appropriate, approved in another Relevant Member State and notified to the competent authority in that Relevant Member State, all in accordance with the Prospectus Directive, except that it may, with effect from and including the Relevant Implementation Date, make an offer of Notes to the public in that Relevant Member State at any time:

- 1) to legal entities which are authorised or regulated to operate in the financial markets or, if not so authorised or regulated, whose corporate purpose is solely to invest in securities;

- 2) to any legal entity which has two or more of (i) an average of at least 250 employees during the last financial year; (ii) a total balance sheet of more than Euro 43,000,000 and (iii) an annual net turnover of more than Euro 50,000,000, as shown in its last annual or consolidated accounts; or
- 3) in any other circumstances which do not require the publication by the Issuer of a prospectus pursuant to Article 3 of the Prospectus Directive.

For the purposes of this provision, the expression an "offer of Notes to the public" in relation to any Notes in any Relevant Member State means the communication in any form and by any means of sufficient information on the terms of the offer and the Notes to be offered so as to enable an investor to decide to purchase or subscribe the Notes, as the same may be varied in that Member State by any measure implementing the Prospectus Directive in that Member State and the expression Prospectus Directive means Directive 2003/71/EC and includes any relevant implementing measure in each Relevant Member State.

General Restrictions

In addition, the Lead Manager has represented and agreed with the Issuer that no action has been or will be taken in any jurisdiction by it that would permit a public offering of the Notes, or possession or distribution of this Prospectus or any other offering or publicity material relating to the Notes, in any country or jurisdiction where action for that purpose is required. The Lead Manager has represented and agreed that it will comply with, and obtain any consent, approval or permission required under all applicable laws and regulations in each jurisdiction in which it acquires, offers, sells or delivers the Notes or has in its possession or distribute this Prospectus or any such other material, in all cases at its own expense. The Lead Manager will have any permission required for the acquisition, offer, sale or delivery by it of the Notes under the laws and regulations in force in any jurisdiction to which it is subject or in or from which it makes any acquisition, offer, sale or delivery; furthermore, the Lead Manager agrees that it will not, directly or indirectly, offer, sell or deliver any Notes or distribute or publish any prospectus, form of application, offering circular (including this Prospectus), advertisement or other offering material in or from any country or jurisdiction except under circumstances that will result in compliance with any applicable law and regulations. The Lead Manager is not authorised to make any representation or use any information in connection with the issue, subscription and sale of the Notes other than as contained in this Prospectus or any amendment or supplement hereto and in any marketing material or as provided to the Lead Manager by the Issuer.

GLOSSARY OF TERMS

These and other terms used in this document are subject to, and in some cases are summaries of, the definitions of such terms set forth in the Transaction Documents, as they may be amended from time to time. Certain terms derive from Transaction Documents which have been executed in the Italian language. These terms have been translated into English language from their definitions in Italian language contained in such Transaction Documents for the purposes of this “Glossary of Terms” and to the extent that there is any discrepancy between the definitions of such terms as set forth in the Italian language Transaction Documents and as set forth in the “Glossary of Terms” below, the definitions contained in such Italian language Transaction Documents shall prevail.

References to any agreement or other document, including the Transaction Documents, shall include such agreement or other document, as modified from time to time in accordance with the provisions contained therein and including any agreement or other document expressed to be supplemental thereof as of the date of this Prospectus.

References to any laws or regulation shall be interpreted and construed to include any amendments and implementation thereof as of the date of this Prospectus.

Save where the context otherwise requires, references to any party shall include references to its permitted successors, assigns or transferees from time to time.

“1 Month Euribor” means (i) the Euro Interbank Offered Rate for one month Euro deposits which appears (a) on Euribor01 Reuter (the **“Screen Rate”**) or (aa) such other page as may replace Euribor01 Reuter on that service for the purpose of displaying such information or (aaa) if that service ceases to display such information, such page as displays such information on such equivalent service (or, if more than one, that one which is approved by the Representative of the Noteholders) as may replace the Euribor01 Reuter) at or about 11.00 A.M. (Brussels time) on the Interest Determination Date; or (ii) if the Screen Rate is unavailable at such time for one month Euro deposits, then the rate for any relevant period shall be the arithmetic mean (rounded to four decimal places with the mid-point rounded up) of the rates notified to the Calculation Agent at its request by each of the Reference Banks as the rate at which one month Euro deposits in a representative amount are offered by that Reference Bank to leading banks in the Euro-Zone Inter-bank market at or about 11.00 A.M. (Brussels time) on that date; (iii) if on any such Interest Determination Date, the Screen Rate is unavailable and only two of the Reference Banks provide such offered quotations to the Calculation Agent the relevant rate shall be determined, as aforesaid, on the basis of the offered quotations of those Reference Banks providing such quotations; (iv) if, on any Interest Determination Date, the Screen Rate is unavailable and only one of the Reference Banks provides the Calculation Agent with such an offered quotation, the Rate of Interest for the relevant Interest Period shall be the Rate of Interest in effect for the immediately preceding Interest Period which sub-paragraph (i) or (ii) above shall have been applied to.

“2 Month Euribor” has the meaning ascribed thereto in Condition 5.2.

“3 Month Euribor” has the meaning ascribed thereto in Condition 5.2.

“6 Month Euribor” has the meaning ascribed thereto in Condition 5.2.

“9 Month Euribor” has the meaning ascribed thereto in Condition 5.2.

“10 Month Euribor” has the meaning ascribed thereto in Condition 5.2.

“ABI” means the Italian Banking Association.

“ABI-Consumers Agreement” means the agreement entered into on 2 May 2007 among ABI and the national consumer associations setting out the maximum amount of any prepayment fee payable under mortgage loan agreements, pursuant to the Bersani-*bis* Decree.

“Account Bank” means Intesa Sanpaolo, in its capacity as account bank.

“Additional Amount” means the aggregate of:

- (a) an amount equal to (x) the Individual Initial Purchase Price (net of the interest component thereof) *less* (y) the aggregate repayments of principal of each Claim repaid to the Issuer by the Originator pursuant to Clause 6.1 (ii) of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date, *plus* (z) the amount due to the Issuer by the Originator as interest on the principal amounts to be paid thereby pursuant to Clause 6.1 (ii) of the Transfer Agreement;
- (b) an amount equal to the Individual Initial Purchase Price of each Claim (net of the interest component thereof) in respect of which the Originator has granted to the Issuer a Limited Recourse Loan, in addition to interest thereon due pursuant to Clause 11.5 of the Transfer Agreement during the Collection Period immediately preceding such Calculation Date; and
- (c) the amount credited by Intesa Sanpaolo to the Issuer pursuant to Clause 11.3 of the Servicing Agreement during the Collection Period immediately preceding such Calculation Date.

“Additional Return” means, in relation to each Payment Date, an amount (if positive) equal to:

- a) all interest (including default interest) accrued in respect of the Portfolio during the Collection Period immediately preceding such Payment Date; *plus*
- b) any other amount (other than the Principal Instalments) deriving from the Mortgage Loan Agreements (including but not limited to, penalties for prepayment, if any) received during the Collection Period immediately preceding such Payment Date, *plus*
- c) interest (if any) accrued on and credited to the Issuer Accounts in the Collection Period immediately preceding such Payment Date; *plus*
- d) any profit (including any capital gain) generated by, or interest accrued on, the Eligible Investments made during the Collection Period immediately preceding such Payment Date; *plus*
- e) all amounts paid to the Issuer on the Swap Payment Date immediately preceding such Payment Date under the terms of the Swap Agreement; *plus*

- f) provided that the Class A Notes have been redeemed in full, on the Payment Date at which the last payments are made in accordance with the applicable Order of Priority, all amounts standing to the credit of the Issuer Expenses Account and the Issuer Corporate Account (including, for the avoidance of doubt, amounts to be credited thereto on such Payment Date in accordance with paragraph g) below), net of the reasonably foreseen taxes, fees costs and expenses due to be incurred in connection with (i) the Securitisation and/or (ii) the corporate existence of the Issuer to the extent that no other securitisation transactions carried out thereby are existing and/or (iii) its liquidation immediately after the end of the Securitisation to the extent that no other securitisation transactions carried out thereby are existing; *less*
- g) the aggregate amount of items (i) to (xiv) (but excluding items (vi), (vii) and (viii) of the Pre-Enforcement Order of Priority or, as the case may be, items (i) to (xi) of the Post-Enforcement Order of Priority less the principal payments on the Notes.

“**Administrative Services Agreement**” means the administrative services agreement entered into on or about the Issue Date among the Issuer and the Administrative Services Providers.

“**Administrative Services Providers**” means Intesa Sanpaolo and KPMG, in their capacity as administrative services providers of the Issuer.

“**Agency Agreement**” means an agency agreement entered into on or about the Issue Date among the Issuer, the Representative of the Noteholders and the Luxembourg Agent.

“**ANT**” means ANT Management (Netherlands) B.V.

“**Arrangers**” means Intesa Sanpaolo and Banca IMI.

“**Arrears Ratio**” means, at the end of each month, in relation to each Mortgage Loan, the ratio between (a) all amounts due and unpaid as principal and interest instalments (excluding default interest) in respect of such Mortgage Loan, and (b) the amount of the last instalment of such Mortgage Loan which has become payable on or prior to the relevant month-end.

“**Assets**” means all the undertaking, property, assets, rights and revenues whatever, present and future of the Issuer in the framework of the Securitisation and includes each or any of them.

“**Assigned Documents**” means:

- (a) the Swap Agreement; and
- (b) any other contract entered into by the Issuer in substitution of the Swap Agreement.

“**Assigned Rights**” means all present and future rights, title and interest in the Assigned Documents, including, without limitation, the right to receive all the amounts payable under the Assigned Documents, whether now or in future.

“**Balance Amount**” means the difference between the amounts of the instalments of qualifying non fixed rate loans that would be due under the applicable contractual terms and those determined in accordance with the provisions of Decree 185/2008 and which shall be assumed for by the State.

“**Banca dell’Adriatico**” means Banca Popolare dell’Adriatico S.p.A.

“**Banca di Legnano**” means Banca di Legnano S.p.A.

“**Banca IMI**” means Banca IMI S.p.A.

“**Banco di Napoli**” means Banco di Napoli S.p.A.

“**Base Interest**” means for the Class B Notes a margin of 0.8% per annum.

“**BAV**” means Banco Ambrosiano Veneto S.p.A.

“**BCI**” means Banca Commerciale Italiana S.p.A.

“**Bersani-bis Decree**” means the Italian Law Decree No. 7 of 31 January 2007, that came into force on the 2 February 2007, as converted into law by Italian Law No. 40 of 2 April 2007.

“**Bookrunner**” means Banca IMI, in its capacity as bookrunner with respect to the initial offer of the Notes.

“**Borrower**” means any person having entered into a Mortgage Loan Agreement and any successor thereto.

“**Business Day**” shall mean a day on which banks are generally open for business in Milan, London and Luxembourg and on which the Trans-European Automated Real-Time Gross-Settlement Express Transfer System (TARGET 2) (or any successor thereof) is open.

“**Calculation Agent**” means (i) Intesa Sanpaolo as calculation agent under the Swap Agreement and for the purpose thereof, and (ii) Deutsche Bank, in its capacity as calculation agent for the purposes and in the framework of the other Transaction Documents.

“**Calculation Date**” means 23 April and 23 October in each year or, if any such day is not a Business Day, the following Business Day.

“**Cariplo**” means CARIPLO - Cassa di Risparmio delle Provincie Lombarde S.p.A.

“**Cash Allocation, Management and Payments Agreement**” means the cash allocation, management and payments agreement entered into on or about the Issue Date among the Issuer, the Representative of the Noteholders, the Calculation Agent, Intesa Sanpaolo in its capacity as Cash Manager, Account Bank, Servicer, Administrative Services Provider and Paying Agent.

“**Cash Manager**” means Intesa Sanpaolo, in its capacity as cash manager.

“**Cash Reserve Amount**” means the amount of Euro 75,000,000.

“**Charged Property**” means all the Assets including the Assigned Documents, the Assigned Rights and the UK Accounts but excluding:

- (a) the Issuer’s assets which are segregated by virtue of the Securitisation Law;
- (b) the Issuer’s assets which are secured under the provision of a Transaction Document governed by Italian law; and

(c) the corporate assets owned by the Issuer in its own right and located in Italy.

“**Claims**” means each and every right arising under the Mortgage Loans and the Mortgage Loan Agreements, including but not limited to:

- a) all rights as of the Effective Date;
- b) all rights in relation to interest (including default interest) accrued on the Mortgage Loans up to the Effective Date but not due and interest due but not paid at such date;
- c) all rights in relation to interest (including default interest) which will accrue on the Mortgage Loans as from the Effective Date;
- d) all rights which have accrued as at the Effective Date and will accrue as from the Effective Date, in relation to any fees, penalties, damages, indemnifications and any other amounts in relation to the early termination of the Mortgage Loans (including the Prepayment); and
- e) all rights, which have accrued as at the Effective Date (excluded) and will accrue as from the Effective Date, in relation to the reimbursement of expenses, and in relation to any losses, costs, indemnities and damages, as well as any other amount due to Intesa Sanpaolo in relation to the Mortgage Loans, the Mortgages, the Collateral Security and any insurance thereto related, including the rights in relation to the reimbursement of legal, judicial and other possible expenses incurred in connection with the collection and recovery of all amounts due in relation to the foregoing;

all the above together with the Mortgages, the Collateral Security, with the exception of the guarantees securing both the Mortgage Loans and all other Intesa Sanpaolo debt claim (*fideiussioni omnibus*) and all privileges and priority rights securing such rights, and all other ancillary rights (*accessori*) pertaining thereto, as well as any all other rights, claims and actions (including any action for damages), substantial and procedural action and defence inherent or otherwise ancillary to such rights, claims and actions and to the exercise thereof in accordance with the provisions of the Mortgage Loan Agreements and all other documents and agreements connected to them and/or pursuant to the applicable law, including, but not limited to, the right to accelerate the obligations of the Debtors (*diritto di dichiarare i debitori decaduti dal beneficio del termine*), as well as any credit rights of Intesa Sanpaolo and any inherent and ancillary rights in relation to any and all the insurance policies taken out in connection with the Claims, the Mortgage Loan Agreements and the Real Estate Assets (including, without limitation, policies covering the risk of damage, loss or destruction of any Real Estate Asset or any charged asset to secure the repayment of any amount due thereunder or covering the risk of death, of inability to work, or inability of the Debtors and the Mortgage Insurance Policies).

“**Class**” means either a class of Notes or, if referred to Noteholders, the holders of a class of Notes.

“**Class A Initial Principal Amount**” means the amount of Euro 5,296,700,000.

“Class A Noteholders” means the holders of the Class A Notes.

“Class A Notes” means the Euro 5,296,700,000 Class A Residential Mortgage Backed Floating Rate Notes due June 2065.

“Class A Principal Payment Amount” means, with respect to each Calculation Date, the lesser of: (a) the Target Amortisation Amount (or, if lower, the amount available after the application of the Issuer Available Funds, on the immediately following Payment Date, to all items of ranking prior to the payment of principal on the Class A Notes in the applicable Order of Priority) and (b) the Principal Outstanding Amount of the Class A Notes on such Calculation Date.

“Class B Initial Principal Amount” means the amount of Euro 563,400,000.

“Class B Noteholders” means the holders of the Class B Notes.

“Class B Notes” means the Euro 563,400,000 Class B Residential Mortgage Backed Floating Rate Notes due June 2065.

“Class of Notes” means the Class A Notes and the Class B Notes, or any of them.

“Clearstream” means Clearstream Banking, Société Anonyme.

“Collateral Security” means any guarantee and/or security interest (other than a Mortgage), in force as of the Effective Date in order to guarantee or secure the payment of any Claim. The Collateral Security does not include any guarantees securing both the Mortgage Loans and all other Intesa Sanpaolo debt Claims (*fideiussioni omnibus*).

“Collection Date” means 31 March and 30 September in each year.

“Collection Period” means each six month period commencing on (but excluding) a Collection Date and ending on (and including) the next succeeding Collection Date, provided that:

- (i) for the purpose of determining the Collections received by the Issuer through the Servicer during a Collection Period (the **“Pertaining Collections”**),
 - (A) Collections credited to the Issuer Collection Account after the end of such Collection Period and paid with a value date falling within such Collection Period will be included; and
 - (B) Collections considered as pertaining to the previous Collection Period in accordance with the rule set out by paragraph (i) (A) above will be excluded; and
- (ii) following the delivery of a Trigger Notice, references to the Collection Period shall be deemed to refer to the relevant period on the basis of which the Calculation Agent has, in the Payments Reports, calculated the Issuer Available Funds.

The first Collection Period shall commence on (and including) the Effective Date.

“**Collection Policy**” means the procedures for the management, collection and recovery of Claims as described in Schedule A to the Servicing Agreement.

“**Collections**” means any amounts from time to time collected and/or recovered by the Issuer in respect of the Claims as principal, interest and/or expenses, including the Prepayments, and any repayment of damages, by means of the activity of the Servicer and the Special Servicers pursuant to the Servicing Agreement.

“**Conditions**” means the terms and conditions of the Senior Notes and/or the terms and conditions of the Junior Notes, as the context may require and reference to a numbered condition is to mention the corresponding numbered provision thereof.

“**CONSOB**” means the Commissione Nazionale per le Società e la Borsa.

“**Consolidated Banking Act**” means Italian Legislative Decree no. 385 of 1 September 1993.

“**CRB**” means Cassa di Risparmio in Bologna S.p.A.

“**CRF**” means Cassa dei Risparmi di Forlì S.p.A. which has subsequently changed its name into Cassa dei Risparmi di Forlì e della Romagna S.p.A. as from 1 March 2007.

“**Criteria**” means the criteria which each Claim must satisfy, as specified in Exhibit A of the Transfer Agreement.

“**CRPR**” means Cassa di Risparmio di Padova e Rovigo S.p.A.

“**Debtor**” means any person, entity or subject, including any Mortgagor or Guarantor, who is liable for the payment of amounts due in respect of a Claim.

“**Decree 93/2008**” means the Italian Law Decree No. 93 of 27 May 2008, converted into law by Italian Law No. 126 of 24 July 2008.

“**Decree 239 Deduction**” means any withholding or deduction for or on an account of “*imposta sostitutiva*” under Italian Legislative Decree No. 239 of 1 April 1996, as amended by Italian Law No. 409 of 23 November 2001.

“**Decree 185/2008**” means the Italian Law Decree No. 185 of 29 November 2008, converted into law, with amendments, by Italian Law No. 2 of 28 January 2009.

“**Decree No. 84**” means the Italian Legislative Decree No. 84 of 18 April 2005.

“**Deed of Charge**” means the deed of charge entered into on or about the Issue Date between, *inter alios*, the Issuer and the Security Trustee, pursuant to which the Issuer has assigned by way of security and charged in favour of the Security Trustee on trust for the Noteholders and the Other Issuer Creditors all of its rights, title, interest and benefit from time to time in and to the Charged Property.

“**Deed of Pledge**” means the deed of pledge entered into on or about the Issue Date, among the Issuer, the Noteholders, represented by the Representative of the Noteholders, and the Other Issuer

Creditors, pursuant to which the Issuer will pledge in favour of the Noteholders and the Other Issuer Creditors, *inter alia*, (i) all the monetary claims and rights and all the amounts payable from time to time (including payment for claims, indemnities, damages, penalties, credits and guarantees) to which the Issuer is entitled pursuant or in relation to the Transaction Documents (other than the English Law Documents and the Deed of Pledge), (ii) all the monetary rights (including the accrued interests) and claims relating to the amounts standing to the credit of the Issuer Accounts and any other account established by the Issuer in accordance with the provisions of the Transaction Documents and (iii) all Eligible Investments made on its behalf under the Cash Allocation, Management and Payments Agreement.

“Defaulted Loan” means a Mortgage Loan (a) which at any time has been classified by the Servicer as *“in sofferenza”* in accordance with the provisions of the Bank of Italy and/or (b) has, or has at any time had, an Arrears Ratio equal to or greater than (i) 10 in the case of a Mortgage Loan payable on a monthly basis, (ii) 4 in the case of a Mortgage Loan payable on a quarterly basis and (iii) 2 in the case of a Mortgage Loans payable on a semi-annual basis.

“Deferred Purchase Price” means an amount equal to the amount resulting from the liquidation of the Residual Assets.

“Directive” means the directive adopted by the European Union Council of Economic and Finance Ministers on 3 June 2003.

“Effective Date” means the date of the economic effects of the transfer of the Portfolio, it being 00:01 A.M. of 23 May 2009.

“Eligible Institution” means a depository institution organised under the laws of any state which is a member of the European Union or of the United States, the short-term unsecured and unsubordinated debt obligations of which are rated at least the Minimum Rating.

“Eligible Investments” means any senior, unsubordinated debt security, commercial paper, deposit or other debt instrument having at least the rating assigned by Fitch for the maturity (or the residual maturity, as applicable) of such investment set forth below:

Maturity	Rating
	Fitch
Between 30 calendar days and 6 months	AA- and F1+
Less than 30 calendar days	A and F1

or the different rating applicable by Fitch, in relation to the rating of the Senior Notes,

provided always that (a) any such investment, paper, deposit or instrument has a maturity date falling on or before four Business Days preceding the immediately following Payment Date, (b) the

investments provide a principal amount at maturity or upon liquidation of the investment which is not lower than the invested amount and (c) no such investment shall be made, in whole or in part, actually or potentially, in credit linked notes or similar claims resulting from the transfer of credit risk by means of credit derivatives or asset-backed securities.

“English Law Documents” means the Swap Agreement and the Deed of Charge.

“EU” means the European Union.

“Euribor” means the Euro Interbank Offered Rate.

“EURO” and **“Euro”** means the currency introduced at the start of the third stage of economic and Monetary Union pursuant to the Treaty establishing the European Community.

“Euroclear” means Euroclear Bank S.A./N.V., as operator of the Euroclear system.

“Euro-zone” means the region comprised of the member states of the European Union that adopted the single currency in accordance with the Treaty establishing the European Community (signed in Rome on 25 March 1957) as amended by the Treaty on European Union (signed in Maastricht on 7 February 1992).

“Execution Date” means 00:01 A.M. of 25 May 2009.

“Existing Claims” means, collectively, the First Existing Claims and the Second Existing Claims.

“Existing Notes” means, collectively, the First Existing Notes and the Second Existing Notes.

“Existing Securitisations” means, collectively, the First Existing Securitisation and the Second Existing Securitisation.

“Existing Transaction Documents” means, collectively, the documents entered into in the framework of the Existing Securitisations.

“Extraordinary Resolution” has the meaning ascribed thereto by the Rules of Organisation of Noteholders.

“Ex Intesa Branch” means a branch that was – before the merger between Intesa and Sanpaolo IMI – a branch of Intesa.

“Ex Intesa Claims” means the Claims originated by Cariplo, BAV, BCI, Intesa, Banca di Legnano and the branches of Intesa Sanpaolo that were – before the merger with Sanpaolo IMI – branches of Intesa.

“Ex Sanpaolo Branch” means a branch that was – before the merger between Intesa and Sanpaolo IMI – a branch of Sanpaolo IMI.

“Ex Sanpaolo Claims” means the Claims originated by Sanpaolo, Sanpaolo IMI, CRB, Banco di Napoli, CRF, CRPR, Banca dell’Adriatico and the branches of Intesa Sanpaolo that were – before the merger with Intesa – branches of Sanpaolo IMI.

“Final Maturity Date” means the Payment Date falling in June 2065.

“Financial Act” means the Italian Legislative Decree no. 58 of 24 February 1998.

“First Existing Cash Allocation, Management, Payments Agreement” means the cash allocation, management, payments agreement entered into in the framework of the First Existing Securitisation.

“First Existing Claims” means the claims originated by (a) Cariplo which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000; (b) Banca Intesa S.p.A. which, following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (c) the branches of Intesa Sanpaolo which before the above mentioned merger were branches of Banca Intesa S.p.A., and transferred to the Issuer pursuant to the terms of a transfer agreement entered into with Intesa Sanpaolo on 28 March 2008 (as subsequently amended), arising out of mortgage loans (*mutui fondiari*) classified as performing by Intesa Sanpaolo, for a nominal value (principal plus accrued interest) as at the close of business of the execution date equal to Euro 7,997,855,990.33.

“First Existing Intercreditor Agreement” means the intercreditor agreement entered into in the framework of the First Existing Securitisation.

“First Existing Master Definitions Agreement” means the master definitions agreement entered into in the framework of the First Existing Securitisation.

“First Existing Notes” means the Euro 7,557,950,000 Class A Residential Mortgage Backed Floating Rate Notes due December 2055 and the Euro 439,900,000 Class B Residential Mortgage Backed Floating Rate Notes due December 2055 issued by the Issuer in August 2008.

“First Existing Securitisation” the securitisation transaction carried out by the Issuer in August 2008 in the context of which the First Existing Notes were issued.

“First Existing Senior Notes” means the Euro 7,557,950,000 Class A Residential Mortgage Backed Floating Rate Notes due December 2055 issued by the Issuer in August 2008.

“First Special Servicer” means Intesa Sanpaolo, in its capacity as special servicer.

“Fitch” means Fitch Ratings Limited.

“Flexible Mortgages” means the Mortgage Loans under which Mortgage Loan Agreements set out fixed a rate of interest that could be changed up to a pre-determined number of times from floating to fixed or from fixed to floating.

“Floating Rate First Reference Period” means the period starting from the Issue Date (included) to 29 April 2010 (excluded), as defined in the Swap Agreement.

“Floating Rate Reference Period” means the semi annual period from 29 April of each year (included) to 29 October of each year (excluded) and from 29 October of each year (included) to 29 April of the immediately following year (excluded), as defined in the Swap Agreement.

“Foreclosure Proceedings” means the court proceedings by which the creditor of a non-performing Mortgage Loan seeks payment of the outstanding amount of such Mortgage Loan, together with the relevant interest and expenses, pursuant to applicable Italian law.

“Foundation” means Stichting Megatrendburg, in its capacity as quotaholder of the Issuer.

“Foundation Corporate Servicer” means KPMG (which has succeeded Giustidata S.r.l.), in its capacity as Foundation corporate servicer.

“Foundation Sole Director” means ANT (formerly AMACO Management Services B.V.), in its capacity as Foundation sole director.

“FSMA” means the Financial Services and Markets Act 2000.

“General Cost” means the taxes, administrative and corporate fees, costs and expenses and other general payment obligations of the Issuer, in each case to the extent that they are unrelated *per se* to the Existing Securitisations, the Securitisation or any other securitisation that the Issuer may carry out in the future.

“Guaranteed Collection Amount” means an amount to be provided by Intesa Sanpaolo, corresponding to the highest monthly Collections received during the twelve consecutive full calendar months immediately preceding the date on which the Account Bank ceases to qualify as an Eligible Institution, to be applied to make the Issuer whole of any failure to receive any amounts paid in connection with the Mortgage Loans. The calculation of the Guaranteed Collection Amount shall be updated on each anniversary of the above date based on the details of the immediately preceding 12 month period by the Servicer and shall be timely notified to the Issuer and the Representative of the Noteholders. The Guaranteed Collection Amount to be deposited by Intesa Sanpaolo to the account opened in the name of the Issuer with a qualifying Eligible Institution, pursuant to the provisions of the Cash Allocation, Management and Payments Agreement, shall be adjusted to be equal to the aggregate of (i) the updated Guarantee Collection Amount and (ii) an amount representing a percentage of such updated Guarantee Collection Amount equal to the then current monthly prepayment rate applicable to the Portfolio, within fifteen calendar days from the date in which the Servicer makes the relevant calculations as described above.

“Guarantor” means any person or entity, whether a Borrower or a Mortgagor or a third party, who granted a Collateral Security to secure the payment of any Claim.

“Individual Initial Purchase Price” means the initial purchase price of each of the Claims, as set out in Exhibit D to the Transfer Agreement.

“Initial Amortisation Date” means the Payment Date falling in April 2011.

“Initial Interest Period” means the first Interest Period, which shall begin on (and include) the Issue Date and end on (but exclude) the first Payment Date.

“Initial Principal Amount of the Notes” means the principal amount of the Notes or each Class as at the Issue Date.

“Initial Principal Portfolio” means the principal outstanding amount of the Portfolio as at 00:01 A.M. of 23 May 2009 (net of the claims that as at that date would have satisfied the Criteria but were not transferred to the Issuer, having been entirely prepaid prior to the opening of business of 25 May 2009).

“Initial Purchase Price” means the initial amount of Euro 5,860,077,110.80 which is due to be paid by the Issuer to Intesa Sanpaolo on the Issue Date as part of the purchase price for the Claims.

“Insolvency Proceedings” (*Procedure Concorsuali*) means bankruptcy (*fallimento*) or any other insolvency proceedings (*procedura concorsuale*) including, but not limited to, an arrangement with creditors prior to bankruptcy (*accordi di ristrutturazione dei debiti e/o concordato preventivo*), an adjustment of creditors’ claims (*concordato fallimentare*), compulsory administrative liquidation (*liquidazione coatta amministrativa*), extraordinary administration (*amministrazione straordinaria*) and the extraordinary administration of large companies in a state of insolvency (*amministrazione straordinaria delle grandi imprese in stato di insolvenza*).

“Instalment” means, in respect of each Mortgage Loan, each monetary amount due from time to time by the relevant Borrower under such Mortgage Loan.

“Insurance Policies” means any policies of insurance executed by a Debtor or a Mortgagor or by Intesa Sanpaolo (or by its assignors, to which Intesa Sanpaolo has succeeded), in connection with, or as a condition of, the granting of a Mortgage Loan, including without limitation, policies in respect of which the insured risks include the death of any Debtor or Mortgagor or any damage to, or destruction of, any Real Estate Asset, and the Mortgage Insurance Policies.

“Intercreditor Agreement” means an agreement entered into on or about the Issue Date among the Issuer, the Representative of the Noteholders (for itself and as legal representative of the Organisation of Noteholders) and the Other Issuer Creditors.

“Interest Determination Date” means, the second Business Day prior to each Payment Date in respect of the Interest Period commencing on that date. In relation to the Initial Interest Period, the Interest Determination Date will be two Business Days before the Issue Date.

“Interest Instalment” means, with respect to each Mortgage Loan, the interest component of each Instalment.

“Interest Payment Amount” means the Euro amount payable on the Senior Notes in respect of the relevant Interest Period.

“Interest Period” shall mean each period from (and including) a Payment Date to (but excluding) the next following Payment Date, provided that the first Interest Period (the Initial Interest Period) shall begin on (and include) the Issue Date and end on (but exclude) the first Payment Date.

“Intesa” means Banca Intesa S.p.A.

“Intesa Sanpaolo” means Intesa Sanpaolo S.p.A.

“Intesa Sanpaolo Group” means the banking group resulting from the merger between Banca Intesa S.p.A. and Sanpaolo IMI S.p.A.

“Intesa Sanpaolo Option Notice” means each of the written notices that Intesa Sanpaolo shall send to the Representative of the Noteholders informing it of its intention to exercise an Option Right pursuant to Clause 21 of the Intercreditor Agreement.

“Investors Report” means the investors report, in electronic format, prepared by the Calculation Agent pursuant to the Cash Allocation, Management and Payments Agreement.

“Investors Report Date” means 10 Business Days after each Payment Date.

“IGS” means Intesa Sanpaolo Group Services s.c.p.a.

“Issue Date” means 20 July 2009.

“Issue Price” means the price equal to:

- (i) in the case of the Class A Notes, 100 % of the Class A Initial Principal Amount; and
- (ii) in the case of the Class B Notes, 100 % of the Class B Initial Principal Amount.

“Issuer” means Adriano Finance S.r.l.

“Issuer Accounts” means collectively the Issuer Payment Account together with the Issuer Collection Account, the Issuer Corporate Account, the Issuer Expenses Account, the Issuer Securities Account, the Issuer Initial Amortisation Account and the Issuer Investment Account.

“Issuer Available Funds” means, on each Payment Date, the aggregate of:

- (a) all the Collections received or recovered by the Issuer through the Servicer and the Special Servicers and all interest accrued and paid on such sums during the Collection Period immediately preceding such Payment Date;
- (b) on the Payment Date falling on the Initial Amortisation Date, any amount credited to the Issuer Initial Amortisation Account during the Collection Periods immediately preceding such Payment Date in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable;
- (c) all amounts due and payable to the Issuer by the Swap Counterparty pursuant to the terms of the Swap Agreement in relation to such Payment Date;
- (d) all amounts received from the Originator pursuant to the Transfer Agreement during the Collection Period immediately preceding such Payment Date;
- (e) any profit generated by the Eligible Investments and credited to the Issuer Payment Account by the fourth Business Day prior to such Payment Date;

- (f) any other interest accrued on the Issuer Accounts (as defined in the “*Glossary of Terms*”) during the Collection Period immediately preceding such Payment Date and credited to the Issuer Payment Account by the third Business Day prior to such Payment Date;
- (g) all other amounts received by the Issuer under the Transaction Documents during the preceding Collection Period (except the upfront payment made by the Swap Counterparty on the Issue Date under the Swap Agreement);
- (h) any other amounts, not included in the foregoing items from (a) through (g) standing to the credit of the Issuer Investment Account, the Issuer Initial Amortisation Account (excluding, prior to the Initial Amortisation Date, any amount credited to such account in respect of item (vii) of the Pre-Enforcement Order of Priority or items (v) and (xiii) of the Post-Enforcement Order of Priority, as applicable) and the Issuer Payment Account on the Collection Date immediately preceding the relevant Payment Date;
- (i) all amounts received from the sale of the Portfolio should such sale occur; and
- (j) following the delivery of a Trigger Notice, any proceeds from the enforcement of the Deed of Pledge and of the Deed of Charge,

without double counting.

“**Issuer Collection Account**” means a Euro-denominated account, IBAN Code IT11 R030 6909 4001 0000 0000 512, which will be held with the Account Bank and to which all the Collections will be credited.

“**Issuer Corporate Account**” means a Euro-denominated account, IBAN Code IT87 Y030 6909 4001 0000 0000 618, which will be held with the Account Bank and to which (a) the Issuer Retention Amount will be credited on each Payment Date falling in April and (b) an amount which, together with the amount credited to the Issuer Expenses Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date. Amounts standing to the credit of the Issuer Corporate Account shall be used to cover the administrative and other corporate expenses of the Issuer.

“**Issuer Disbursement Amount**” means on each Payment Date falling in April of each year, the positive difference between (i) Euro 160,000 and (ii) the amount standing to the credit of the Issuer Expenses Account on the Collection Date immediately preceding each Payment Date.

“**Issuer Expenses Account**” means a Euro-denominated account, IBAN Code IT64 Z030 6909 4001 0000 0000 619, established in the name of the Issuer which will be held with the Account Bank to which (a) the Issuer Disbursement Amount will be credited on each Payment Date falling in April and (b) an amount which, together with the amount credited to the Issuer Corporate Account on or about the same date, is no higher than 265,000 Euro, will be credited by the tenth day immediately succeeding the Issue Date. Any amounts standing to the credit of the Issuer Expenses Account shall be used to cover the out of pocket expenses of the Issuer incurred in the framework

of the Securitisation, other than corporate costs and expenses. In addition certain amounts may be debited and credited to the Issuer Expenses Account on or about the Issue Date such as the proceeds from the issuance of the Notes, the Cash Reserve Amount, the upfront payment made by the Swap Counterparty under the Swap Agreement, the Initial Purchase Price and certain initial costs of the Securitisation (including without limitation the selling, management and underwriting commissions due by the Issuer to the Lead Manager).

“Issuer Initial Amortisation Account” means a Euro-denominated account, IBAN Code IT36 W030 6909 4001 0000 0000 616, which will be held with the Account Bank to which will be credited on each Payment Date preceding the Initial Amortisation Date, the amount under item (vii) of the Pre-Enforcement Order of Priority and upon delivery of a Trigger Notice, the amounts under items (v) and (xiii) of the Post-Enforcement Order of Priority.

“Issuer Investment Account” means a Euro-denominated account, IBAN Code IT13 X030 6909 4001 0000 0000 617, established in the name of the Issuer which will be held with the Account Bank to which all amounts credited to the Issuer Collection Account will be transferred on the same date.

“Issuer Option Notice” means the written notice that the Issuer shall send to Intesa Sanpaolo, and, in copy, to the Representative of the Noteholders to inform them that it intends to exercise its option of early redemption of the Notes for tax reason pursuant to Condition 6.4.

“Issuer Payment Account” means a Euro-denominated account, IBAN Code IT59 V030 6909 4001 0000 0000 615, established in the name of the Issuer which will be held with the Account Bank and to which all sums (other than the Collections) collected or received by the Issuer under any Transaction Document to which the Issuer is party, and which is not to be credited on a different Issuer Account in accordance with the provisions of the Transaction Documents, will be credited from time to time and out of which all amounts to be paid to the Noteholders will be paid as directed by the Paying Agent and all other payments will be made on any Payment Date in accordance with the applicable Order of Priority.

“Issuer Quota Capital Account” means a Euro-denominated account, IBAN Code IT76 T030 6909 4006 1531 3638 460, established in the name of the Issuer and operated in accordance with the provisions of the First Existing Cash Allocation, Management, Payments Agreement and the First Existing Intercreditor Agreement and/or the Second Existing Cash Allocation, Management, Payments Agreement and the Second Existing Intercreditor Agreement and/or the Cash Allocation, Management, Payments Agreement and the Intercreditor Agreement (as the case may be) which, as at the Issue Date, is held with the Account Bank (and can be maintained with a different bank), and to which all the sums contributed by the quotaholders of the Issuer as quota capital have been credited.

“Issuer Retention Amount” means (a) on the first Payment Date an amount that shall not be lower than Euro 57,000 and shall not be higher than Euro 170,000, and (b) thereafter, on each Payment Date falling in April of each year, the difference between (i) an amount that shall not be

lower than Euro 57,000 and shall not be higher than Euro 170,000 and (ii) the amount standing to the credit of the Issuer Corporate Account on the Collection Date immediately preceding such Payment Date, provided that the decision as to the actual amount applicable to each Payment Date - that shall be in any case within the above range - will be made and notified to the Calculation Agent by the Administrative Services Provider prior to the relevant Calculation Date.

“Issuer’s Rights” mean the Issuer’s rights under the Transaction Documents.

“Issuer Secured Creditors” means the Noteholders and the Other Issuer Creditors.

“Issuer Securities Account” means a Euro-denominated account, No. 1876/3100/3585496 established in the name of the Issuer which will be held with the Account Bank and into which all the securities constituting Eligible Investments will be deposited from time to time and pledged in accordance with the provisions of the Intercreditor Agreement and the Deed of Pledge.

“IT and Operating Services Provider” means Intesa Sanpaolo Group Services S.c.p.a., in accordance with the provisions of the Servicing Agreement.

“Italfondinario” means Italfondinario S.p.A.

“Italian Bankruptcy Law” means the Italian Royal Decree No. 267 of 16 March 1942.

“Italian Civil Code” means the Italian Royal Decree No. 262 of 16 March 1942.

“Italian Code of Civil Procedure” means the Italian Royal Decree No. 1443 of 28 October 1940.

“Judge” means the enforcement judge (*giudice dell’esecuzione*).

“Junior Notes” means the Class B Notes.

“Junior Notes Subscription Agreement” means the Junior Notes subscription agreement entered into among, *inter alios*, the Issuer, Intesa Sanpaolo, the Second Special Servicer and the Representative of the Noteholders, relating to the subscription for the Junior Notes.

“KPMG” means KPMG Fides Servizi di Amministrazione S.p.A.

“Law No. 302 of 1998” means Italian Law No. 302 of 3 August 1998.

“Law No. 342 of 1999” means Italian Law No. 342 of 4 August 1999.

“Law No. 80 of 2005” means Italian Law No. 80 of 14 May 2005.

“Law No. 263 of 2005” means Italian Law No. 263 of 28 December 2005.

“Lead Manager” means Banca IMI, also in its capacity as Bookrunner, under the Senior Notes Subscription Agreement.

“Legge Delega” means Italian Law. No. 142 of 19 February 1992.

“Lender” means, in respect of the Mortgage Loans, (a) Cariplo – *Cassa di Risparmio delle Provincie Lombarde S.p.A.* which was merged by incorporation in Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003)

(“**Intesa**”) with effect as from 31 December 2000; (b) Banco Ambrosiano Veneto S.p.A. which was merged by incorporation in Intesa with effect as from 31 December 2000; (c) Banca Commerciale Italiana S.p.A. which was merged by incorporation in Intesa with effect as from 1 May 2001; (d) Intesa which, following the merger with Sanpaolo IMI S.p.A. (“**Sanpaolo IMI**”), changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007; (e) Istituto Bancario San Paolo di Torino S.p.A. which, following the merger with IMI - Istituto Mobiliare Italiano S.p.A., changed its name into Sanpaolo IMI with effect as from 1 November 1998; (f) Sanpaolo IMI, which following the merger with Intesa, changed its name into Intesa Sanpaolo with effect as from 1 January 2007; (g) Intesa Sanpaolo; (h) Banca di Legnano S.p.A., the claims originated thereby have been assigned and transferred *pro soluto* to Banca Intesa BCI S.p.A. (which has subsequently changed its name into Banca Intesa S.p.A. with effect as from 1 January 2003, now Intesa Sanpaolo) on 13 June 2002; (i) Banco di Napoli S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 31 December 2002; (j) Cassa dei Risparmi di Forlì S.p.A. (which has subsequently changed its name into Cassa dei Risparmi di Forlì e della Romagna S.p.A. as from 1 March 2007) through the branches which have been transferred to Intesa Sanpaolo - in the context of an assignment of ongoing concern - as from 1 October 2007; (k) Cassa di Risparmio di Padova e Rovigo S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 24 January 2005; (l) Cassa di Risparmio in Bologna S.p.A., through the branches which have been transferred to Sanpaolo IMI (now Intesa Sanpaolo) - in the context of an assignment of ongoing concern - as from 31 January 2005; (m) Banca Popolare dell’Adriatico S.p.A. which was merged by incorporation in Sanpaolo IMI (now Intesa Sanpaolo) with effect as from 17 June 2006, as the originator of such Mortgage Loans, as applicable.

“**Limited Recourse Loan**” means a limited recourse loan advanced by Intesa Sanpaolo to the Issuer pursuant to clause 11.5 of the Transfer Agreement.

“**Loan Position**” means each drawdown under any Mortgage Loan and where any drawdown has been fractioned into two or more portions, each such fractioned portion, the Claims in respect of which have been transferred by Intesa Sanpaolo, to the Issuer pursuant to the Transfer Agreement, and “**Loan Positions**” means all such drawdowns and all the fractioned portions thereof.

“**Luxembourg Agent**” means Sanpaolo Bank S.A., in its capacity as Luxembourg agent.

“**Mandate Agreement**” means a mandate agreement entered into on or about the Issue Date between the Issuer and the Representative of the Noteholders, pursuant to which the Representative of the Noteholders shall be authorised to exercise, certain non monetary rights and powers upon the occurrence of specific events.

“**Mandatory Reduced Rates**” means the lower interest rates, fixed in accordance with the Usury Law Decree, which shall be substituted on instalments payable from the date on which the Usury Law Decree came into force pursuant to decision No. 29 of 25 February 2002 issued by the Italian Constitutional Court.

“**Margin**” has the meaning ascribed thereto under Condition 5.2.

“**Master Definitions Agreement**” means the master definitions agreement dated on or about the Issue Date among all the parties to the Transaction Documents, in which the definitions of the terms used in the Transaction Documents have been set forth.

“**Meeting**” means a meeting of the Noteholders or the holders of the relevant Class, as the context may require, both in first and in second call.

“**MEF**” means the Italian Ministry of Economy and Finance.

“**MEF-ABI Renegotiation Convention**” means the agreement (*convenzione*) issued on 19 June 2008 by MEF and ABI pursuant to article 3 of Decree 93/2008.

“**Member State**” means each member state of the European Union and together, the “**Member States**”.

“**Minimum Rating**” means a rating assigned to the short term unguaranteed, unsubordinated and unsecured short-term debt obligations at least equal to F1 by Fitch or the different rating assigned by Fitch, as determined in relation to the rating of the Class A Notes.

“**Monte Titoli**” means Monte Titoli S.p.A., whose registered office is at Via Mantegna 6, 20154 Milan, Italy.

“**Monte Titoli Account Holders**” means any authorised financial intermediary institution entitled to hold accounts on behalf of their customers with Monte Titoli and includes any depository bank appointed by Clearstream and Euroclear.

“**Monte Titoli Mandate Agreement**” means the agreement entered into between the Issuer and Monte Titoli S.p.A. on and about the Issue Date pursuant to which Monte Titoli S.p.A. has agreed to provide certain services in relation to the Notes on behalf of the Issuer, as may be modified from time to time in accordance with the provisions contained herein and including any agreement or other document expressed to be supplemental hereof.

“**Mortgage**” means the mortgage security (*“ipoteche”*) created on the Real Estate Assets pursuant to Italian law in order to secure the Claims and “**Mortgages**” shall mean all of them.

“**Mortgage Insurance Policies**” means the insurance policies underwritten by GE Mortgage Insurance Limited (subsequently renamed Genworth Financial Mortgage Insurance Limited), an insurance company, incorporated under the laws of England and Wales, whose registered office is at 80 Strand, London WC2R 0GR, United Kingdom, which is rated as insurance company AA- by Standard & Poor's, for the benefit of Intesa Sanpaolo or its assignors (and to which Intesa Sanpaolo has succeeded).

“**Mortgage Loan**” means a loan secured by a Mortgage, which may or may not qualify as “*mutuo fondiario*” (as the case may be) for the purposes of Italian law and regulations in force as at the

Reference Dates, the Claims in respect of which have been transferred by Intesa Sanpaolo to the Issuer pursuant to the Transfer Agreement.

“Mortgage Loan Agreements” means an agreement pursuant to which a Mortgage Loan has been made available to a Borrower.

“Mortgagor” means any person, whether a Borrower or a Guarantor or a third party, who has granted a Mortgage to secure the payment or repayment of any amounts payable in respect of a Mortgage Loan.

“Most Senior Class of Notes” means, on each Payment Date, the Senior Notes or, further to redemption in full thereof, the Junior Notes.

“New Management Agreement” means the agreement, to be negotiated in good faith, between Intesa Sanpaolo and Italfondinario to regulate, *inter alia*, the allocation of the management of any defaulted loan originated by Intesa Sanpaolo between the latter and Italfondinario, which shall be executed after the Servicing Agreement.

“Noteholders” means the holders of the Class A Notes and/or the holders of the Class B Notes.

“Notes” means the Class A Notes and the Class B Notes.

“Official Gazette” means the *Gazzetta Ufficiale della Repubblica Italiana*.

“Option Right” means the option right granted by the Issuer to Intesa Sanpaolo to purchase from the Issuer:

- (i) in whole but not in part all then outstanding Claims, in the period starting from the date on which the Outstanding Principal Portfolio is equal to or less than the lower of 10% of the Initial Principal Portfolio or of the Initial Purchase Price, and ending on the date on which the Notes have been redeemed in full;
- (ii) in whole but not in part all then outstanding Claims that will be offered for sale, upon exercise by the Issuer of its option of early redemption of the Notes for tax reasons pursuant to Condition 6.4;
- (iii) in whole but not in part all then outstanding Claims that will be offered for sale, upon decision of the Representative of the Noteholders to dispose of the Portfolio further to a Trigger Notice having been served upon the Issuer following the occurrence of a Trigger Event,

(each, the **“Option Claims”**, respectively).

“Order of Priority” means each of the Pre-Enforcement Order of Priority and the Post-Enforcement Order of Priority, according to which the Issuer Available Funds shall be applied on each Payment Date, in accordance with the Conditions and the Intercreditor Agreement.

“Organisation of Noteholders” means the association of Noteholders created on the Issue Date.

“Originator” means Intesa Sanpaolo, in its capacity as originator or successor of the relevant Lender, and transferor of the Claims.

“Other Issuer Creditors” means the Originator, the Representative of the Noteholders, the Security Trustee, the Calculation Agent, the Administrative Services Providers, the Servicer, the Special Servicers, the Cash Manager, the Account Bank, the Paying Agent, the Luxembourg Agent, the Subordinated Loan Provider, the Foundation Corporate Servicer, the Foundation Sole Director, the Quotaholders, the Lead Manager and the Swap Counterparty.

“Outstanding Notes” means the aggregate Principal Outstanding Amount of the Class A Notes and the Class B Notes as at such Calculation Date.

“Outstanding Principal Portfolio” means, as at the end of a Collection Period, the principal outstanding amount of the Portfolio at such date, considering any Pertaining Collections.

“Overdue Amount” means any amounts due and unpaid by the relevant Borrower as principal and interest (excluding defaulted interest) in respect of a Mortgage Loan.

“Owner Branch” means, with reference to a Claim, a branch of Intesa Sanpaolo to which the relationship with the relevant Borrower is referred, according to the IT procedures and the existing internal processes from time to time.

“Paying Agent” means Intesa Sanpaolo, in its capacity as paying agent.

“Payment Date” means the 29th day of April and October of each calendar year, starting from the 29th day of April 2010, and the 30th day of June 2065 (or, if any such day is not a Business Day, the next succeeding Business Day and provided that, following the delivery of a Trigger Notice upon the occurrence of a Trigger Event, the Payment Date may be any Business Day specified in the Trigger Notice or thereafter by the Representative of the Noteholders).

“Payments Report” means the payments report prepared by the Calculation Agent pursuant to the Cash Allocation, Management and Payments Agreement.

“Performing Outstanding Principal Portfolio” means, as at the end of a Collection Period, the principal outstanding amount of all the Mortgage Loans at such date which are not Defaulted Loans at such date, considering any Pertaining Collections.

“Pertaining Collections” has the meaning ascribed thereto in the definition of Collection Period.

“POPP” means the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding the relevant Calculation Date.

“Portfolio” means the portfolio of Claims purchased by the Issuer from Intesa Sanpaolo pursuant to the terms of the Transfer Agreement.

“Post-Enforcement Order of Priority” means the order in which the Issuer Available Funds shall be applied on each Payment Date following the service of a Trigger Notice in accordance with the Conditions and the Intercreditor Agreement.

“Pre-Enforcement Order of Priority” means the order in which the Issuer Available Funds shall be applied on each Payment Date prior to the service of a Trigger Notice in accordance with the Conditions and the Intercreditor Agreement.

“Prepayment” means any prepayment of the principal amount outstanding in respect of a Mortgage Loan.

“Price Adjustment” means the amount to be paid by the Issuer to Intesa Sanpaolo as purchase price pursuant to clause 6.2 (ii) of the Transfer Agreement in respect of any Claims which met the Criteria but were erroneously not transferred to the Issuer on the Effective Date.

“Principal Collections” means any amount of principal from time to time collected by the Issuer in respect of the Claims, including, for the avoidance of doubt, the Prepayments.

“Principal Instalment” means, with respect to each Mortgage Loan, the principal component of each Instalment.

“Principal Outstanding Amount” means with respect to the Notes or a Class at any date, the principal amount of the Notes or the relevant Class upon issue less the aggregate amount of all principal payments in respect of the Notes or the relevant Class that have been made prior to such date;

“Prospectus” means this prospectus prepared in connection with the issue of the Notes.

“Prospectus Directive” means the Directive 2003/71/EC of the European Parliament and of the Council of 4 November 2003 on the prospectus to be published when securities are offered to the public or admitted to trading, and includes reference to the Commission Regulation (EC) No. 809/2004.

“Purchase Price” means the amount which is equal to the sum of the Initial Purchase Price and the Deferred Purchase Price.

“Quotaholders” means Intesa Sanpaolo and Stichting Megatrendburg.

“Quotaholders’ Agreement” means a quotaholders’ agreement entered into on 28 March 2008 in the framework of the First Existing Securitisation, and amended on 18 December 2008 among the Issuer and the Quotaholders, pursuant to which certain rules have been set forth in relation to the corporate management of the Issuer and options in relation to the quotas of the Issuer have been granted.

“Rate of Interest” means the rate of interest payable from time to time in respect of the Senior Notes.

“Rating Agency” means Fitch.

“Real Estate Assets” means the real estate properties which have been mortgaged in order to secure the Claims.

“Reference Banks” means three major banks in the Euro-zone interbank market selected by the Calculation Agent with the approval of the Issuer.

“Reference Dates” means the close of business of 25 March 2009 and the close of business of 12 May 2009.

“Regulation S” means Regulation S under the Securities Act.

“Relevant Date” means, in respect of each Class, the date on which a payment becomes due and payable or (if the full amount of the moneys payable in respect of that Class and accrued on or before that date has not been duly received by the Paying Agent or the Representative of the Noteholders on or prior to such date) the date on which notice that the full amount of such moneys has been received is duly given to the Noteholders in accordance with the Conditions.

“Relevant Implementation Date” means the date on which the Prospectus Directive is implemented in the Relevant Member State.

“Relevant Member State” means each Member State which has implemented the Prospectus Directive.

“Representative of the Noteholders” means KPMG, in its capacity as representative of the Organisation of Noteholders.

“Representative of the Noteholders Option Notice” means the written notice that the Representative of the Noteholders shall send to Intesa Sanpaolo informing it that the Representative of the Noteholders intends to dispose of the Portfolio further to a Trigger Notice having been served upon the Issuer, following the occurrence of a Trigger Event.

“Residual Assets” means any assets owned by the Issuer in the context of the Securitisation as at the date of repayment in full of the Notes and payment of all costs and charges and, in general, of all liabilities of the Issuer in the context of the Securitisation (including any liabilities arising from the Subordinated Loan) or provision thereof, with the exception of the payment of the Deferred Purchase Price.

“Resolution” means the resolution of the Interministerial Committee of Credit and Savings (CICR) of 9 February 2000.

“Rule 405” means the Rule 405 under the Securities Act.

“Rules of Organisation of Noteholders” means the rules governing the Organisation of Noteholders.

“Sanpaolo” means Istituto Bancario San Paolo di Torino S.p.A.

“Sanpaolo Bank” means **Sanpaolo Bank S.A.**

“Sanpaolo IMI” means Sanpaolo IMI S.p.A.

“Screen Rate” means the Euro Interbank Offered Rate for three, four, five or six month Euro deposits, as the case may be, which appears on Euribor01 Reuter.

“Second Existing Cash Allocation, Management, Payments Agreement” means the cash allocation, management, payments agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Claims” means the claims originated by (a) Cariplo - Cassa di Risparmio delle Provincie Lombarde S.p.A., which was merged by incorporation in Banca Intesa S.p.A. with effect as from 31 December 2000, (b) Banco Ambrosiano Veneto S.p.A., subsequently merged by incorporation with effect as from 31 December 2000 in Banca Intesa S.p.A., (c) Banca Commerciale Italiana S.p.A., subsequently merged by incorporation with effect as from 1 May 2001 in Banca Intesa S.p.A., (d) Banca Intesa S.p.A., which following the merger with Sanpaolo IMI S.p.A., changed its name into Intesa Sanpaolo S.p.A. with effect as from 1 January 2007, and (e) the branches of Intesa Sanpaolo which before the above mentioned merger, were branches of Banca Intesa S.p.A., and transferred to the Issuer pursuant to the terms of a transfer agreement entered into with Intesa Sanpaolo on 24 November 2008 (as subsequently amended), arising out of mortgage loans (*mutui fondiari*) classified as performing by Intesa Sanpaolo, for a nominal value (principal plus accrued interest) as at the close of business of the execution date equal to Euro 5,716,694,757.72.

“Second Existing Intercreditor Agreement” means the intercreditor agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Master Definitions Agreement” means the master definitions agreement entered into in the framework of the Second Existing Securitisation.

“Second Existing Notes” means the Euro 5,281,150,000 Class A Mortgage Backed Floating Rate Notes due December 2058 and the Euro 397,500,000 Class B Mortgage Backed Floating Rate Notes due December 2058 issued by the Issuer in December 2008.

“Second Existing Securitisation” the securitisation transaction carried out by the Issuer in December 2008 in the context of which the Second Existing Notes were issued.

“Second Special Servicer” means Italfondinario, in its capacity as special servicer.

“Securities Act” means the U.S. Securities Act of 1933.

“Securitisation” means the securitisation of the Claims by the Issuer through the issuance of the Notes.

“Securitisation Law” means Italian Law No. 130 of 30 April 1999.

“Security Interest” means any mortgage, charge, pledge, lien, right of set-off, special privilege (*privilegio speciale*), assignment by way of security, retention of title or any other security interest whatsoever or any other agreement or arrangement having the effect of conferring security.

“Security Trustee” means KPMG, in its capacity as security trustee.

“Semi-annual Report Date” means 17 April and 17 October of each year, or if any such day is not a Business Day, the preceding Business Day, provided that the first Semi-annual Report Date will be October 2009, or if any such day is not a Business Day, the preceding Business Day.

“Senior Noteholder” means an holder of the Senior Notes.

“Senior Notes” means the Class A Notes.

“Senior Notes Subscription Agreement” means the Senior Notes subscription agreement entered into on or about the Issue Date among the Issuer, the Originator, the Special Servicers, the Representative of the Noteholders, the Lead Manager and the Bookrunner relating to the subscription for the Senior Notes.

“Servicer” means Intesa Sanpaolo, in its capacity as servicer.

“Servicer Monthly Report” means the monthly report to be prepared and provided by the Servicer pursuant to clause 9 of the Servicing Agreement.

“Servicer Quarterly Report” means the report to be prepared and provided by the Servicer on each Quarterly Report Date pursuant to clause 9 of the Servicing Agreement.

“Servicer Semi-annual Report” means the report to be prepared and provided by the Servicer on each Semi-annual Report Date pursuant to clause 9 of the Servicing Agreement.

“Servicing Agreement” means the servicing agreement entered into on 25 May 2009 by and between the Issuer, the Servicer and the First Special Servicer and to which the Second Special Servicer has acceded on 5 June 2009 and amended on or about the Issue Date.

“Special Servicers” means Italfondinario and Intesa Sanpaolo, in their capacity as special servicer.

“Stichting Corporate Services Agreement” means the Stichting corporate services agreement entered into on 28 March 2008 in the framework of the First Existing Securitisation, amended on 24 November 2008 and supplemented on or about the Issue Date among the Issuer, the Foundation, the Foundation Sole Director and the Foundation Corporate Servicer.

“Stichting Megatrendburg” means Stichting Megatrendburg, a Dutch foundation established under the laws of The Netherlands, with registered office in Amsterdam, Claude Debussylaan 24, 1082 MD, The Netherlands, as quotaholder of the Issuer.

“Stock Exchange” means the Luxembourg Stock Exchange.

“Subordinated Loan” means the subordinated loan for a principal amount of Euro 75,000,000 advanced by the Subordinated Loan Provider to the Issuer pursuant to the Subordinated Loan Agreement.

“Subordinated Loan Agreement” means a loan agreement entered into on or about the Issue Date between the Issuer and the Subordinated Loan Provider, pursuant to which the Subordinated Loan Provider has advanced the Subordinated Loan to the Issuer.

“Subordinated Loan Provider” means Intesa Sanpaolo.

“Subscription Agreements” means the Junior Notes Subscription Agreement and the Senior Notes Subscription Agreement.

“Swap Agreement” means one or more swap confirmations entered into as at the Issue Date between the Swap Counterparty and the Issuer made under the 1992 International Swaps and Derivatives Association Inc. (ISDA) Master Agreement (Multicurrency - Cross Border) and Schedule, together with the associated Credit Support Annex and relevant ISDA Master Agreement.

“Swap Counterparty” means Intesa Sanpaolo, in its capacity as swap counterparty.

“Swap Payment Date” means the date on which a payment is due by the Swap Counterparty under the Swap Agreement, falling two Business Days before each Payment Date.

“TAA” means Target Amortisation Amount (in relation to each Calculation Date, the Principal Outstanding Amount of the Notes at such Calculation Date less the Performing Outstanding Principal Portfolio as at the Collection Date immediately preceding such Calculation Date plus any Additional Amount transferred to the Issuer during the Collection Period immediately preceding such Calculation Date).

“Target Amortisation Amount” means the positive amount to be calculated in accordance with the following formula:

TAA=Outstanding Notes-POPP+Additional Amount.

“Transaction Documents” means the Transfer Agreement, the Servicing Agreement, the Administrative Services Agreement, the Stichting Corporate Services Agreement, the Intercreditor Agreement, the Agency Agreement, the Deed of Pledge, the Deed of Charge, the Subscription Agreements, the Subordinated Loan Agreement, the Cash Allocation, Management and Payments Agreement, the Mandate Agreement, the Rules of Organisation of Noteholders, the Quotaholders' Agreement, the Swap Agreement, the Conditions and the Master Definitions Agreement.

“Transfer Agreement” means the receivables purchase agreement entered into on 25 May 2009 between the Originator and the Issuer and amended on or about the Issue Date.

“Transfer Date” means the date on which the transfer of the Option Claims being the subject matter of the Option Right is completed.

“Tremonti Bonds” means the debt instruments without voting rights qualifying as Core Tier 1 capital issued by listed Italian banks and parent companies of listed Italian banking groups, that can be converted into ordinary shares of the issuer upon its request, that the MEF can underwrite up to the 31st December 2009 pursuant to article 12 of Decree 185/2008.

“Trigger Event” means any of the events described in Condition 10.

“Trigger Notice” means the notice described in Condition 10.

“UK Accounts” means the accounts that the Issuer may open in the future with an institution in the United Kingdom (if any) without prejudice to the provisions of the Transaction Documents.

“U.S. persons” has the meaning given to it in the Securities Act.

“Usury Law” means Italian Law n. 108 of 7 March 1996.

“Usury Rates” means the rates published every three months by the Italian Treasury.

“Usury Law Decree” means Italian Law Decree No. 394 of 29 December 2000.

“Usury Regulations” means the Usury Law Decree and the Usury Law.

GENERAL INFORMATION

The Class A Notes have been accepted for clearance through Monte Titoli, Euroclear and Clearstream under common code number 043972626.

The ISIN number for the Class A Notes is IT0004513112.

Application has been made to list the Senior Notes on the official list of the Luxembourg Stock Exchange and trade on the regulated market “*Bourse de Luxembourg*” (as contemplated by Directive 2004/39/EC).

The Issuer has obtained all necessary consents, approvals and authorisations in Italy in connection with the issue and performance of the Notes. The issue of the Notes was approved by the quotaholders’ meeting of the Issuer passed on 25 May 2009 and acknowledged by a subsequent resolution of the Board of Directors of the Issuer passed on the same date.

As long as the Senior Notes are listed on the official list of the Luxembourg Stock Exchange, copies of the following documents may be inspected during normal business hours at the registered office of the Luxembourg Agent:

- (i) By-laws (*statuto*) and the Deed of Incorporation (*atto costitutivo*) of the Issuer;
- (ii) Transfer Agreement;
- (iii) Servicing Agreement;
- (iv) Administrative Services Agreement;
- (v) Intercreditor Agreement;
- (vi) Cash Allocation, Management and Payments Agreement;
- (vii) Deed of Pledge;
- (viii) Deed of Charge;
- (ix) Mandate Agreement;
- (x) Quotaholders' Agreement;
- (xi) Swap Agreement;
- (xii) Conditions;
- (xiii) Master Definition Agreement;

- (xiv) Rules of Organisation of Noteholders;
- (xv) Senior Notes Subscription Agreement;
- (xvi) Subordinated Loan Agreement;
- (xvii) Stichting Corporate Services Agreement;
- (xviii) Agency Agreement;
- (xix) Financial Statements of the Issuer as at December 31, 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007, approved by the Board of Directors of the Issuer on 11 July 2008, together with the relevant explanatory notes thereto and the auditor's report issued on 14 July 2008 thereon; and
- (xx) Financial Statements of the Issuer as at 31 December 2008 and for the year then ended, approved by the quotaholders' meeting of the Issuer on 24 March 2009, together with the relevant explanatory notes thereto and the auditor's report issued on 9 March 2009 thereon.

The independent auditors of the Issuer are Reconta Ernst & Young S.p.A.

Except for the *interim* financial statements for the six months period ended June 30, 2008, no other *interim* financial statements have been prepared by the Issuer.

So long as any of the Senior Notes remains outstanding, copies of the Servicer Semi-annual Reports, the Issuer's by-laws and copies of the Issuer's annual audited financial statements, shall be made available for collection at the registered offices of the Luxembourg Agent.

The financial statements as at December 31, 2007 and for the period from its incorporation on 21 September 2007 to 31 December 2007 approved by the Board of Directors of the Issuer on 11 July 2008 together with the explanatory notes thereto and the auditor's report issued on 14 July 2008 thereon and the Financial Statements of the Issuer as at 31 December 2008 and for the year then ended approved by the quotaholders' meeting of the Issuer on 24 March 2009, together with the relevant explanatory notes thereto and the auditor's report issued on 9 March 2009 thereon, are incorporated by reference into this Prospectus (see section "*The Issuer - Financial Statements and Report of the Auditors*").

The Issuer has undertaken to maintain a Luxembourg Agent so long as the Senior Notes are listed on the official list of the Luxembourg Stock Exchange and the Rules of the Luxembourg Stock Exchange so require.

The Issuer estimates that its aggregate ongoing expenses in connection with the Securitisation (excluding the fees due to the Servicer and the Special Servicers) will be equal to approximately Euro 375,000 (exclusive of any applicable value added tax) per annum, provided that the fees due to the

Servicer and the Special Servicers, being expressed as a percentage of collections and recoveries, are expected to be equal to Euro 3,611,000 as at the first Payment Date and thereafter will follow the amortisation profile of the Portfolio. The estimated total commissions, costs and expenses for the admission and maintenance of the Senior Notes to trading are Euro 15,000. The initial costs of the Securitisation (including, without limitation, the selling, management and underwriting commissions due by the Issuer to the Lead Manager) and certain notary and corporate costs and expenses to be borne by the Issuer up to the end of December 2009, expected to be equal to Euro 265,000 in aggregate, will be funded out of Collections received by the Issuer prior to the Issue Date.

The Issuer has not been involved in any litigation, arbitration or administrative proceedings relating to claims or amounts which are material in the context of the issue of the notes in the past 12 months and, as the Issuer is aware, no such litigation, arbitration or administrative proceedings are pending or threatened.

Save as disclosed in this Prospectus, there has been no material adverse change, or any development reasonably likely to involve a material adverse change, in the condition (financial or otherwise) or general affairs or prospects of the Issuer since 31 December 2008 (the reference date of the last published audited financial statements) that is material in the context of the issue of the Notes.

This Prospectus and all the documents incorporated by reference will be available on the Luxembourg Stock Exchange's website (www.bourse.lu).

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